

# Endurance Technologies Ltd. (ENDURANCE)

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"Endurance Technologies Limited Q1 FY'23 Earnings  
Conference Call"

August 11, 2022

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MODERATOR : MR. NISHIT JALAN – AXIS CAPITAL LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Endurance Technologies Q1 FY'23 Results Call hosted by Axis Capital Limited . As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '\*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nishit Jalan from Axis Capital Limited. Thank you. And over to you, Sir.

Nishit Jalan: Thank you, Vivian. Good morning, everyone. Welcome to Q1 FY'23 Results Conference Call of Endurance Technologies .

From the management team , we have with us Mr. Anurang Jain -- Managing Director ; Mr. Ramesh Gehaney -- Director and COO; Mr. Massimo Venuti -- Director and CEO, Endurance Overseas; Mr. Satrajit Ray -- Director and Group CFO and Mr. Raj Mundra -- Treasurer and Head, Investor Relations . I will now hand over the call to Mr. Jain for his opening remarks , post which we can get on to Q &A. Over to you, Mr. Jain.

Anurang Jain: Thank you very much, and good morning to everybody. I would like to share details of how we have done in the first quarter of the financial year '23.

In India in the first quarter of FY '23, as per the SIAM data, the two-wheeler industry sales grew by 37.24% compared to Q1 of the previous financial year . Scooters grew by 87.86% and motorcycles grew by 24.24%. The automotive industry in India had a growth of 37.7%.

The standalone income of Endurance grew by 39.9%. The two-wheeler business is approximately 82% of the total Endurance India's standalone business .

In our overseas operations in Q1 of this financial year, the EU and UK market saw a decrease of 16.4% in the volume of passenger cars sold while our European overseas sales grew by 1.9% in Euro terms .

On the financials , I will briefly talk to you about the Q1 FY'23: In Q1 of this financial year as compared to previous year same quarter, our consolidated total net income grew by 24.2% from Rs.17,063.6 million to Rs.21,185.1 million . Consolidated EBITDA grew by 4.9% from Rs.2,570 million to Rs.2,444 million . Consolidated EBITDA margin was at 11.5% . The profit

after tax grew by 7.1% from the previous year and was Rs.1,033.85 million at 4.9%. This included the extraordinary expense of our B-20 plant at Pune for voluntary separation scheme of Rs.102.85 million and the income from the Maharashtra package incentive scheme of Rs.300.95 million. There was no consolidated net debt and the company had a positive cash of Rs.4,981 million.

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During Q1, our standalone total income grew by 39.9% from Rs. 11,578 million to Rs. 16,201 million. Standalone EBITDA grew by 11.6% from Rs. 1,596 million to Rs. 1,782.2 million with an EBITDA margin of 11%. Standalone profit after tax grew by 42.5% and was Rs.809.26 million at 5% which included the extraordinary expense of our B-20 Chakan plant, Pune for Voluntary Separation Scheme of Rs.102.85 million and the income from the Maharashtra package incentive scheme of Rs. 300.95 million. There was no net debt and there was a standalone positive cash available of Rs.3,420 million.

We would like to mention that Endurance is focused in both Indian and European operations for a profitable growth and higher than the industry growth. The detailed financials are available with the stock exchanges and on the Endurance website.

I would now like to share certain other key points for the Q1 FY23.

1. In Q1 FY23 76% of consolidated total income, including other income came from Indian operations and the balance 24% came from our European operations.
2. In India,

in Q1 FY'23 Rs.4,040 million of new business was won from OEMs other than Bajaj, which included HMT, Hero MotoCorp, Ather Energy, Hero Electric and Tata Motors. I would like to mention that we have Rs. 16,320 million worth of request for quotes from OEMs which are in process.

3. The electric vehicles market continues to offer significant opportunity for growth for the auto component industry. It is estimated that the Indian EV market will touch US\$150 billion by 2030, growing at a CAGR of 90% in the next decade. At Endurance, we have taken a major step forward to harness this opportunity by executing a Share Subscription and Purchase Agreement for acquiring 100% of equity share capital of Maxwell Energy Systems Private Limited in a phased manner. 51% equity stake has already been acquired by us in July. Maxwell is in the business of advanced embedded electronics, particularly in the Battery Management Systems (or the BMS) for automobile, EVs and battery packs. We plan to leverage Maxwell's deep technical expertise, and its BMS deployment experience both in India and Europe.

We aim to offer our products to multiple new clients, including Indian and overseas automotive OEMs, and manufacturers of battery packs. At present, Maxwell supplies to over 70 automotive OEMs and battery pack makers spread across 15 countries, including India, France, Spain and USA. Since its inception, Maxwell has deployed over 65,000 Smart BMS units in EVs and stationary storage systems and has active orders in the pipeline of over 400,000 BMS units from OEMs both in India and Europe. This also includes orders from one of the largest two-wheeler OEMs in India. This year, Maxwell has launched integrated IBP BMS and ancillary PDU for two and three wheelers. Maxwell is also engaged in new business for the soon to be launched, lower cost PCM Pro BMS.

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While EVs will be a big focus area for us in the coming years, we are also looking at scaling our growth in the conventional markets of India and Europe.

4. At Endurance we have acquired 100% stake in Velcolli Srl, Italy. This will help us expand our innovative solution offerings in the mobility sector in Europe. Velcolli enables fleet operators to increase route efficiencies, enhance safety, optimize maintenance activity, and lower the fuel cost. With this acquisition we seek to expand and focus on new organic and inorganic growth in both India and Europe by gaining access to new technology backed by continued product innovation.

5. As you are aware, we have added a high technology new product which is the Driveshaft at Waluj, Aurangabad. Driveshaft is a proprietary product and an EV-

agnostic product in an automotive application. Driveshaft transforms the torque generated from an engine through its transmission to the wheels. The application is for three wheelers and four wheelers, including some LC Vs. The launch of the Drive shaft has opened an additional revenue stream for Endurance and will lead to a significant business growth opportunity for Endurance in the future.

We have also won orders from Mahindra and TVS and commercial supplies have started to Bajaj Auto from July '22 onwards.

6. We have acquired an Italian company, Frenotecnica in July '22, which is involved in the business of materials and components for braking systems, like brake pads for two-wheeler s. In 2021, they had a sales turnover of € 3.6 million with an EBITDA margin of €1 million. They have a very renowned brand name called "Brenta" in the aftermarket and replacement business.

7. With this acquisition, and acquisition of the two Italian companies, which are Gremica and Adler in 2020, we want to create a Center of Excellence in Italy and grow in the premium components in the two-wheeler segment. This acquisition gives growth opportunities

to the Endurance Group in the aftermarket as well as provides access to the in-depth know-how for production technologies of friction materials, especially for brake applications.

8. I would also like to mention that Endurance is focusing on a more value add and profitable product mix in its future business, which includes:

a. braking, suspension, advanced electronics, and casting supplies to two and three wheelers, EV OEMs and new startups

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Page 5 of 18 b. 200 cc plus motorcycles brakes and clutch assemblies with help of acquisition of Adler and Gremica in Italy in the year 2020. The 200 cc plus motorcycles brakes business has already started. And the 200 cc plus motorcycle clutch business is expected to start in FY24.

c. Paper-based clutch assemblies replacing cork-based clutch assemblies for motorcycles, continuous variable transmissions or the automatic clutch for scooters. As mentioned earlier with Hero MotoCorp, we are at an advanced stage of testing and we expect to start supplies from Q4 of FY 23.

d. Anti-Lock Brake Systems or ABS for 150 cc plus motorcycles with our collaboration with Beijing -West Industries. We have started supplies to Bajaj Auto and Royal Enfield.

e. We are also increasing our business of the 200 cc plus motorcycles inverted front forks and adjustable rear motor shock absorbers with collaboration partners KTM AG. We are working with KTM to increase supply of both on-road and also start with off-road motorcycle, high technology inverted front forks and rear shock absorbers. And we had made a three-year plan for it. We also started supplies to HMSI on the two-wheeler s in India for inverted front forks and have also won orders for inverted front forks from Hero MotoCorp. f. Fully finished machined castings as compared to raw castings and semi-finished castings for two, three and four wheelers.

9. The brake assembly business is growing with addition of Bajaj, TVS, Royal Enfield, Yamaha, Hero MotoCorp and HMSI new business. We are increasing our plant capacity of these brake assemblies from 285,000 numbers a month to 570,000 numbers a month. And discs from 375,000 numbers a month to 675,000 numbers a month. Our second plant at Waluj, Aurangabad has been set up for this increase in volumes and has already started operations. By October '22, we should be supplying 470,000 disc brake assemblies per month from both our brake plants at Waluj, Aurangabad.

10. Supply of two-wheeler ABS assemblies to Bajaj started in the last week of September '21 and to Royal Enfield from February 2022 onwards. Our plan is to reach a run rate of 400,000 ABS assemblies per annum by September '22.

As you may be aware, competition is mainly from Bosch, which controls the major market share in the Indian ABS motorcycle market, which requires approximately 3 million to 3.5 million ABS assemblies per annum.

We are also right now in the process of clearing our dual channel ABS also by the end of this calendar year, and we're scaling up additional assembly lines for the same. This is a large business opportunity for Endurance.

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Page 6 of 18 We are also focused on supply of our products for E V two and three wheelers. We already started supplies of brake assemblies, suspension, and aluminum casting for electric scooters and three wheelers.

11. After the acquisition of Maxwell, we are also supplying BMS for two-wheeler EVs and battery pack makers. Our focus is to supply our E V products to two and three wheelers OEMs, both existing and new.

12. We have won Rs.4,840 million of new business in Q1 of this financial year. This business is all planned to start in this financial year and reach its peak in FY '24.

Apart from this , Maxwell has won a two -year business of Rs.2 54 mil

lion mainly from

Tork Motors in the Q1 of this financial year.

Rs.4,840 million business which Endurance has won also includes Rs.1,108 million of new business wins for EVs in Q1 of this financial year including from Ather Energy , Hero Electric , Mahindra Electric and Bounce .

Our focus is on e-bicycle business, especially for suspension, BMS and brakes. We already have received confirmed orders for this business. This is both for our Indian OEMs and exports.

13. Due to increased orders from Bajaj , Yamaha India, T VS and Hero Electric, we have added a new plant at Chakan to help increase our supplies from 240 ,000 alloy wheels in a month to 320,000 alloy wheels in a month. This plant has already started operations in July ' 22. We have also started supplies to T VS for alloy wheels in July 2022.

14. In Europe, in Q1 of this financial year, we have won € 14.32 million of business from Daimler, Magna Lighting, Bosch, and Stellantis. . As you all know, we won € 71 million new business in the last financial year in Europe.

15. I would also like to point out that Endurance both in India and Europe is actively pursuing access to new technology and focusing on new product organic and inorganic growth.

16. I would also like to mention that, Endurance has also entered into two backward integration product areas which are important substitutes also . Firstly, aluminum forging axle clamps required for our inverted front forks for which we have a technical collaboration with a company called FGM in Italy. We have already started supplies from our, Aurangabad plant from April '22 for Bajaj front forks and direct exports to KTM. But there has also been a lot of interest from OEMs for supply of aluminum forgings other than axle clamps, because opportunities are there not only for axle clamps in inverted front forks, but also for other applications.

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The second product is the steel braided hoses for ABS applications for mid and high - end bikes. This supply has already started last year. Both these products will help us in our future profitable growth.

17. In Q1 of this financial year, aftermarket sales grew by 53.75% from Rs.626.47 million in Q1 of the previous year to Rs. 963.19 million. We are exporting aftermarket parts to 31 countries and we are adding four more countries in this financial year. The aftermarket sales growth is a very large focus area for us at Endurance.

Also , in Q1 of this financial year, the export sales for India standalone business increased by 11.88% from Rs. 361.8 million in Q1 FY'22 to Rs. 404.8 million in Q1 of this financial year.

We are happy to announce that Endurance has been chosen as one of the 'Factories of the Future ' by the Economic Times for Promising Plant Initiative 2022 , which is for the mid -scale and large plants across India. The evaluating criteria was Leadership , Innovation , Make in India and Atmanirbhar Bharat -focus , Strong EHS Culture and Women Empowerment .

On the environment front , I would especially like to mention that Endurance is striving to be in carbon -neutral in its plants by effective use of solar power and wind power, which is increasing every quarter, creating carbon sinks by driving tree plantations, and thereby creating dense forests and driving use of natural gas and LPG in place of electricity and furnace oil. We're also focusing on lowering hazardous waste generation and to achieve zero waste to landfills .

At Endurance, it will be a continuous endeavor to grow through organic and inorganic growth , with a focus on technology upgradation, quality improvement, cost reduction, and environment , health and safety . We will do our best to fulfill all our stakeholder expectations by following our five values of Customer Centricity, Integrity, Transparency, Teamwork and Innovation.

We at Endurance have a very positive outlook based on new large business wins in the last two years, including for electric vehicles, both in India and European operations. With these opening remarks, I would like to invite questions from everybody. I would like to inform you that our Maxwell founders, Mr. Akhil Aryan and Mr. Alex Colet will also take your questions on Maxwell. Thank you.

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Moderator: Ladies and gentlemen, we will now begin the question-and-answer session. The first question is from the line of Jinesh Gandhi from Motilal Oswal Financial Services. Kindly proceed.

Jinesh Gandhi: Can you share some numbers on mix related changes and its impact on the India business? I'm referring to the first quarter where there was lower production of premium motorcycles and which has also impacted our revenue growth.

Anurag Jain: Yes, our mix improved when there was an increase in ABS supplies, increase in inverted front forks and rear mono shock supply for both KTM and Bajaj India, doing more machine and castings. And also, more supplies of our backward integration products like aluminum forgings and wire steel braided hoses. Also, our Valmiki plant for Hyundai and Kia, have contributed to business increase and also a better product mix. Our second brakes plant at Waluj has also helped us to do more brakes business, which is of a better value add. Since Q1 of last year the share of brakes business is continuously increasing for the Indian market. In Q1, our brake systems were about 31% of the total market size. There will be a ramp up for all the new orders we have got from various OEMs which surely shall increase the share of business.

Jinesh Gandhi: For the India business, the 40% revenue growth, which we have seen, any indication of what was the benefit of RM cost in that growth number?

Anurag Jain: The RMC percentage of sales went up from 64.9% in first quarter of last financial year to 68.8%, which is almost a 3.9% increase. It is difficult to identify how much of this increase is attributable to aluminum cost going up. Apart from buying aluminum alloys, we also purchase sub-components which have an aluminum content. These sub-components include bottom cases for front forks, castings required for clutches, brake master cylinders and caliper castings. As you know, aluminum is roughly 50% of our purchases. For the aluminum which we buy, the price has gone up from Rs. 162/ Kg in Q1 of last year to Rs.228/ Kg in Q1 of this financial year; it's a 41% jump. Steel is more than 30% of our purchase. Together, aluminum and steel are more than 80% of our purchases. Steel, which is more than 30% has gone up by 20%. We buy steels like bar steels, forging steels, stainless steels and spring steels. And this has been the major cause of this 3.9% increase in the RMC cost. We bear higher costs on account of higher aluminum prices, both for direct and indirect alloy purchases. The higher price of aluminum paid by us for direct alloy purchases is Rs. 150- 160 Crores. We recover such higher cost of aluminum from OEM customers both for direct and indirect impact. The aggregate indirect impact is difficult to compute. 3.9% of our revenue is about Rs.460 crores. Of this, we can compute the direct impact which is about Rs.150-160 crores, but it will be much more when we compute the indirect aluminum and steel purchases from our suppliers for sub-components. In terms of revenue, we have grown more than 130% with a customer where there is a quarter lag in getting the increases. And even for certain areas like the AC 2B for bottom case, it's a two-quarter lag which we're trying to correct. So, that also has its own impact. I would like to mention, though the volumes have gone up in certain outstation plants in Sanand and in Kolar,

Karnataka, these

volumes are not enough. HMSI two-wheeler have done quite well in Q1. But looking at our

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capacities that we have in outstation plants, this increase is not enough and hence, we are taking new orders from other customers in both these plants to get better economies of scale, to have better profitable growth and to lower our breakeven points. So, multi-product and multi-OEM is a focus on both of these outstation plants, like we have done in our Pan Nagar plant. I don't have a total figure, but I know that 80% is aluminum and steel; 50% plus more than 30%. But there is a decline in metal price from August. We're seeing a decline on aluminum prices of almost Rs.20/a Kg and steel by about Rs.6 /a Kg from August, which is a very good sign. It helps us in lowering RMC per cent to sales.

Jinesh Gandhi: How should we look at margins from Q1 level, how do you look at margins for India business

particularly ?

Anurang Jain: We feel we lost at least 3% in RMC in the first quarter due to high metal prices .. The moment the metal prices go down and as RMC percentage to sales go down, the EBITDA margin goes up. And this is what we are expecting from August onwards. And let's hope this trend continues.. But definitely , we are seeing softening of aluminum and steel prices, which are more than 80% of our purchases directly or indirectly from vendors.

Jinesh Gandhi: So, we should go back to that 13%, 14% margin ?

Anurang Jain: That is our focus, it'll depend s on softening of aluminum and steel prices .. So, I think it all depends on RMC per cent to sales, depending on how much the steel and aluminum prices go down in the next couple of months.

Moderator: The next question is from the line of Pramod Amte from InCred Capital . Kindly proceed.

Pramod Amte: So, this is with regard to electric vehicle order wins. Even though in terms of order inflow side, it looks like almost 20% order inflows are coming from EVs . Wanted to know strategically, what confidence or what ratios we will look at two, three years down the line as your sales mix goes up for EV segment to form as a proportion of sales mix? Second ly, can you give some color in terms of the profitability of EV ?

Anurang Jain: Well, I can say that due to lower volumes, the pricing in general is better. But having said that in future as the volumes of EVs really go up, the prices could be lower. But definitely it's not going to be lower than the existing prices for IC engine. Because ultimately, like I mentioned in the past, whether it's a brake product or a suspension product, they are very similar to the IC E product , suspension could be a bit different as damping values can differ . Brakes are quite similar to what we see in ICE . Definitely , more EV in scooter where we are getting a larger market share, is very good for us because we have lower presence in ICE scooter, so this is an additional business . Today, as you know scooters is only 9% of our standa lone India business. And most of these orders we are getting in EV is actually for scooters. Pricing today is better , but in the next few years could be similar . The competition is what dictates the price. At the same time, we are engaged , with every OEM and every new startup which matters, and we are not going to

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Page 10 of 18 lose any business . This business of Rs.484 crores also includes a very large brak es business for Ather Energy , which is starting in October ' 22, and where the volumes are supposed to go up to 300,000 per annum . It is a very good business because we regard Ather as a very good company similar to OEMs . With Hero Electric, in the first quarter , we have won volume of 300,000 front alloy wheel for the ir vehicles which are coming up . So, there are some ve

ry interesting

businesses we are getting, which is our strength of course . Most of these businesses will start in this financial year, and peak by FY' 24. This of course also includes the Bajaj EV wins we have won for two and three wheeler s, which itself is about Rs.124 crores. And Bajaj is going very aggressive and have encouraged us to put up capacity of 10,000 a month immediately which we have done. W e are not going to lose any business of EVs. We are going all out to acquire new orders based on our competitiveness, our technology, our financial strength and we are investing in these products..

Pramod Amte: Second question is with regard to the aluminum prices. Wanted to know the LME prices have been correcting for some time. How to look at your casting versus LME trend? Why does it take such a lag for you, one, to get realized on the ground? Second, is there a way to hedge yourself considering your aluminum is a large proportion through the LME and have a much transparent pricing in aluminu m as compared to steel?

Anurang Jain: Firstly, is this quarter , the lag is only for one customer, which is HMSI. We are trying to talk to them but they have a practice with all their vendors as per their global purchasing policy. However , as the tide is turning towards lower metal prices and with the lag, definitely I expect some gain from Q3 or Q4 of this financial year, because we have been losing in the last eight quarters, we are going to start gaining as the tide is turning now. . O ur largest buyi ng is secondary alloy which we use for all our aluminum die casting business, whether it's t wo wheeler s, three wheelers or four wheelers. This is not fully correlated with aluminum traded on LME. T he secondary alloy market depends on the scrap pricing . It could be imported or local scrap. Fortunately secondary alloy pricing is back -to-back and we get the increase with most of the customers in the same quarter . Scrap pricing of Indian secondary alloy suppliers, is a function of scrap availability and exchange rates. . So, that's the way the secondary aluminum alloy pricing works for us . which is the largest part of our buying . . Primary alloy is mainly for alloy wheel business.

Moderator: The next question is from the line of Aditya Jhawar from Investec. Kindly proceed.

Aditya Jhawar : How is the outlook for customers in the premium bikes specifically Royal Enfield and Bajaj Auto? Y ou mentioned that ABS semiconductor issue that we were facing , is gradually getting sorted. So, have you seen any business uptick for other products vertical s, like suspension, die

casting etc.. Has the momentum already picked up in the month of July and for ABS is it expected to pick up in the next couple of months?

Anurang Jain : See the major issue still remains the availability of semiconductor chips. It has improved, definitely from Quarter 1, but still not back to normal. Fortunately, for our ABS, we have got a good response from our chips supplier Mando Hella .. And that's how we have been increasing

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Page 11 of 18 our ABS volumes, we are almost doing 25,000 a month, and we want to reach a desired run rate of 33,000 by September 2022 .

Also, our dual-channel ABS is under clearance, which will open up new volumes for us. So, our current capacity is 400,000 and we are further increasing it with the dual channel. Fortunately, for ABS, the chip shortages will not affect our supplies, but definitely on the overall two-wheeler volumes we are still skeptical. I know there has been some supplier de-risking by Indian OEM's. I would say the situation improved in Quarter 1, but still not back to normal. I think, Q1 they did about 4.8 million vehicles, which is not bad. But I think the time has come to go back to a level of 6 million a quarter or 24 million every year.

ar.

So, that is what we are hoping for, so let's hope that happens. But to answer your question, semiconductor chip shortages are still going on. And that's why you see people like Bajaj have only gained 1.1% in motorcycles, in Q1, because they don't have semiconductor chips to make more vehicles.

Aditya Jhawar : In the standalone business, there has been a sequential uptick in the OPEX as well as the employee cost. Anything you want to call out in these two items, specifically for this quarter?

Satrajit Ray : So, firstly, quarter-to-quarter has its own peculiarities. I will use a few pointers. Quarter 1 to Quarter 1, the employment cost increase has been about Rs. 5.2 crores, that's entirely driven by increments paid to our management staff and agreement benefits paid to unionized staff. When you come to other expenses, you must remember that last year, out of the three months, there was one month when the results were extremely depressed. And we were partially locking down our plants, drawing down our inventory, trying to see that in those low volume situation, what the best way to operate was. So, it's not a fair comparison, because at least for 30 to 40 - 45 days, the operations were extremely depressed. So, all the manufacturing overheads were quite low at that point in time with plants practically coming to a standstill so many of the overheads are now at a fairly normal rate.

The other problem which we faced very significantly is huge increase in fuel costs. All our energy costs have gone up significantly. For example, PNG between Quarter 1 to Quarter 1, increased by 63%, LPG 49%, furnace oil 48%, light diesel oil 73%. So, that's the kind of increase. Now this has a cascading increase in other items like freight. So, we had a bit of a problem with regard to these types of costs increases during Quarter 1 of this year. Now coming to Quarter 4 to Quarter 1, the increases in employment costs were because in Quarter 4 certain leave as per our rules lapse, so we got a gain in our actuarial valuation. So, that had an abnormal dip.

The main increases are happening from employee increments and agreement benefits for workmen. Let's take one item just to give you an example, our corporate social responsibility expenses, we had pretty much spent the years quota by December 2021. So, there was hardly any CSR expenditure in Quarter 4. But in Quarter 1, we would be spending in a normal way. So, there's a pretty large gap there, but these are all sequencing issues.

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Page 12 of 18 On fuel, gas and oil costs, even between Quarter 4 and Quarter 1, we have seen increases ranging between 12% and 25%. So, that is our concern.

Anurang Jain : I would also like to add to that, these fuel costs increases affecting operational cost and freight costs. Now, we have taken up with the customers. One customer has given increases on conversion cost from 1st July. But other customers have not. As commodity prices are softening, we are going a bit assertively to try and get these conversion cost increases, because these are very high. These are unprecedented as the energy and fuel costs are sharply increasing. So, we are quite hopeful that this will be handled partly or fully.

Satrajit Ray: One additional point, though, it is not a part of your question. Between Quarter 4 and Quarter 1, there was a significant reduction in aftermarket sales. In Quarter 4, we did very well. In Quarter 1, the figure was considerably lower. And that's also partially driven by the fact that exports in Quarter 1 aftermarket were lower due to lower sales in geographies like Sri Lanka, Bangladesh, and Egypt for very well-known reasons. So, we expect the situation to improve from Quarter 3 and by Quarter 4, you will see very good numbers in aftermarket but that's again,



something which has got to do with the way the situation in t

hese geographies is getting phased

out, but when you compare quarter -to-quarter that comes out as a point of comparison.

Anurag Jain: So, Quarter 1 to Quarter 1, we have grown more than 53% in aftermarket sales ..

Moderator : Thank you. The next question is from the line of Chetan Gindodia from AlfAccurate. Kindly proceed.

Chetan Gindodia : With respect to our standalone revenue, if we see our sequential growth is around 4% , compared to the industry which on a sequential basis grew by 7.5%, even if we nullify the effect of Bajaj Auto motorcycle lower volumes and with no new order wins , how would one see Endurance outperforming two-wheeler industry this year?

Anurag Jain: On a Quarter 1 to Quarter 1 basis, we have grown 39.9% versus 37.7% growth of the auto industry. We are performing better than auto industry as well as two-wheeler segment on comparison of Quarter 1 of last year to Quarter 1 of this year. The semiconductor shortages have definitely affected the growth at Bajaj Auto which is our largest customer in India and that also affects us.

Also, at our Vallam plant , we are increasing orders with Hyundai and Kia, our ABS supplies have gone up , our inverted front forks volumes are increasing both in India as well as Europe.

Machined casting business is also increasing. These are all orders which are of the last one and a half - two years. So, definitely it has played a part for larger growth. . The two -wheeler industry still on Quarter 1 is at 4.8 million which is better than last financial year .

But going forward, like I said, whether it's EV or any new business wins we have done last two years will yield fructification by end of this financial year r. And maybe partly, of course, the orders will go to the next financial year too. So, there is a lag because customers do give us orders, one and a half to two years earlier .

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Page 13 of 18 Chetan Gindodia : With respect to our shock absorber business, which is a major business for us, our revenue growth in standalone business for shock absorber for FY'22 was 15%, whereas , for our major competitor, it was upwards of 35%. Have we lost any market share in the shock absorber business? And what is our market share trend in this segment?

Anurag Jain: I don't know from where you have the 15% figure. As far as we are concerned, our shock absorbers market share is close to 36 % and for front forks is close to 42%, not very different from previous years. And in fact 36%, would have been much higher if our largest customer would also post growth similar to industry. They are sure of regaining their market share. . Also we are very happy to tell you that in July 2022, , we have got 100% of Suzuki front fork order for value of Rs. 140 crores which is starting in 2024. It's a huge leap forward for us as you may be aware that Suzuki is doing very well in scooters .. We are gaining a lot of new business from existing and new OEM's.

Chetan Gindodia : Can you update on European power cost situation, as I can see margin improvement on sequential basis in the European business ? And also, could you share the customer wise revenue mix for current quarter or for FY'22?

Anurag Jain: Well, I will not tell you the revenue mix. I will only tell you that Bajaj Auto share of business has gone down. That has gone down without losing a single business of Bajaj, obviously, because they have only grown 1.1% and HMSI posted very good growth. .

Massimo Venuti : In the 1

st Quarter of this financial year, we witnessed about €2 million net impact for higher energy cost. Average price of gas has increased from €17 of the previous year to €100 per megawatt /hr, which is 500% increase in price. Regarding electricity , it has increased from €70 per megawatt /hr to €250 per megawatt ,which is more or less 260% increase

in price. And here,

we are speaking about the 1st Quarter . Now, in the months of July and August, the situation has worsened and there was a further increase of more or less 10 0% compared to the 1st quarter. So, the situation is very difficult. In our Profit & Loss statement for the 1st Quarter , the net negative impact was around €2 million.

Moderator : Thank you. The next question is from the line of Pujan Shah from Congruence Advisors. Kindly proceed.

Pujan Shah: Can you elaborate on the mechanisms related to raw materials contracts which are on a three or six month basis ? . And how we are passing the costs further considering the price volatility ?

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Page 14 of 18 Anurang Jain: As far as aluminum alloy is concerned, it is always based on either two or three monthly prices for all customers, except for HMSI, which is a quarter lag. The rates are fixed based on quotes from secondary Alloy Ingot suppliers, and this applies for all the customers. In some cases we are directly buying from our own sources and in few cases from customer directed suppliers. Normally these prices are settled for that quarter between us and the customer based on the alloy ingot quotes that we get from a few suppliers.

It is based on a quarterly average basis. Sometimes you have customers like Bajaj who may just do for two months, if the trend is very volatile. So, then we will fix up those prices with Bajaj, in agreement with them for two months or three months, depending on the situation. And then, we accordingly finalize rates with our suppliers for the specific two or three months. So, it's a back-to-back with the supplier. Only for one customer it's a quarter lag. So, when the prices are increasing you lose and when the prices are decreasing you gain with respect to this customer.

Moderator: Thank you. The next question is from the line of Arvind Sharma from Citi. Kindly proceed.

Arvind Sharma: If you could share the revenue, EBIT and PAT in Euro terms for the European operations.

Massimo Venuti: In the 1st Quarter 2022/23, we closed with the €61.1 million of turnover compared to €62.3 million of the previous financial year with a reduction of 1.9%. In terms of EBITDA, we closed with €8.4 million. EBITDA% was 13.7% compared to 18.2% of the previous financial year. In terms of net result, we closed with €2.9 million, as compared to €4.7 million of the previous financial year. PAT% stood at 4.8%. We have had an impact of the increase of aluminum prices of around 0.8%. So, the EBITDA % without considering the effect of aluminum should have been 14.5%. The impact of energy cost was about €2 million in the previous quarter, and EBITDA margin without energy and without aluminum impact should have been at 17.5% for Q1 FY-23, more or less in line with the previous financial year.

Arvind Sharma: Your views on premiumization in the Indian motorcycle business and the impact on Endurance?

Anurang Jain: The premiumization will increase with the mandatory use of ABS, usage of front forks and paper based clutch assembly. In collaboration with Adler, we are introducing APTC clutch assembly from the next financial year. These will definitely add to our margins. Coupled with the fact that we have gone for backward integration of high-end products like steel braided hoses for ABS, and aluminum forgings for axle clamps, used in inverted front forks, it will improve our profit margins further.

So, our margins will definitely increase. More OEMs are going for high-end vehicles. But today, I think the leader is Bajaj KTM, TVS with BMW and these OEM's are catching up with their indigenous products also. To what extent the premiumization will happen will depend on the appetite of the Indian market to purchase these high-end vehicles.

Moderator:

: Thank you. The next question is from the line of Ashutosh Tiwari from Equirus Securities. Kindly proceed.

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Page 15 of 18 Ashutosh Tiwari: Firstly, if I look at your aftermarket while it has grown 53% YoY, but if you look at last three quarters run rate was around Rs. 120 crores per quarter on average. So, there is a big drop over there in this quarter so any reason behind that?

Anurang Jain: Based on track record, Quarter 4 is always the best quarter in terms of profitability and growth and Quarter 1 is always the lowest. The run rate improves for every quarter in the financial year.

So, always the second half of the financial year, accounts for almost two-thirds of the aftermarket revenue or even higher. So, the way we track is YoY, which is a 53% growth.

Ashutosh Tiwari: We are confident about delivering high double-digit kind of growth in this vertical?

Anurang Jain: For sure.

Ashutosh Tiwari: And secondly, in this brake assembly business, you mentioned you had 31% market share in this quarter, right?

Anurang Jain: Yes.

Ashutosh Tiwari: If I recall correctly, maybe one and a half years back in FY21 investor calls, you had mentioned that our market share was around 29%. And we were aspiring to go towards 50% plus because of the prospective orders.

Anurang Jain: Yes.

Ashutosh Tiwari: So, is there some delay over there because we were supposed to reach that number by FY22 end.

Anurang Jain: We already have the capacities installed in our new plant. All the new orders including HMCL, incremental volumes of Yamaha for scooter disc brakes, premium segment order from Bajaj for 250 cc Pulsars will add to the market share. For Bajaj the premium segment volumes are currently at 3000 to 5000 per month that has to go to at least 15,000 to 20,000 sets per month.

Also, TVS has to go to that high level to reach the peak of Rs. 125 crores order which we have got. Our focus of course is to reach 50% market share, but it will go up only when demand for vehicles will go up including Bajaj which has very high share of business for brakes. So, I would say as the new OEMs really ramp up the volumes and as Bajaj improves, definitely our

target is 50% for sure.

Ashutosh Tiwari: And what was the market share last year in this brake assembly?

Anurang Jain: In the brake assemblies it was I think about 30%.

Ashutosh Tiwari: So, now that the things are normalizing on this semiconductor, premium segment has also increased so in this year, can we see at least going towards 40% is that a possible number?

Anurang Jain: Well, let's really hope so because we have got the capacities and from October 2022 onwards we are planning 470,000 brake assemblies . .

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Page 16 of 18 Moderator: Thank you. The next question is from the line of Akshay from Anand Rathi, kindly proceed.

Akshay: Can you tell us about the outlook for the European business after the recent geo-political tensions? And in last quarter, you had won an order of €14 million from Stellantis for mild and full hybrid applications . Any more color on that?

Massimo Venuti: Yes, in the previous quarter we clocked more or less € 14.5 million of new business with our customer s - basically €8 million related Daimler and the rest share between Magna and Stellantis. All these projects are mainly in electrical solution s. The average SOP for this business will be in 2024 /25. And these order wins reinforce our excellent order -booking performance of the previous financial year. We had clocked €71 million of business acquisition - the best year for new order booking in our histor y. Regarding the current market scenario, new car registrations show that the market is very weak . Registrations are down by 35% as compared to the pre -covid period ( 2019) . All the OEMs

are putting in their efforts towards new project s for electrical vehicles . You may be aware that the European Parliament has recently confirmed last year's proposal by European Commission that from year 2035 , there will be zero production of the internal combustion engine. So, we need to consider to swi tch to a new segment, which will be 100% electric, and we are well positioned to do that .

Akshay: So, what are your views on companies in Europe that are developing Euro 7 diesel engines ?

Massimo Venuti: They are developing engine for exports market and f or sales in EU till 2035 . From 2036, for sure, you can not register a new car without the electrical technology in Europe Today the German market , export s more or less 1.2 million cars per year. So , they will continue to produce the internal combustion engine technology for other countries.

Akshay: What will be the execution period for Rs. 140 crore Suzuki front fork order , just to clarify that the share of business is 100% right And any possibility to get orders for Suzuki export market as well in the future?

Anurang Jain: Yes, there is 100% SOB . In July, we are just starting and will reach peak around April 2024. I could be wrong slightly here as I don't have LOI in front of me. But I am sure that they would have the same scooter for domestic and exports.

The Suzuki scooter would also be exported. So our front fork is also for exports and w e are also anyway doing front forks for other model which are being exported, but it's via Suzuki, we supply to Su zuki and they export it .

Moderator: Thank you. The last question is from the line of Jay Shah from Capital PMS, kindly proceed.

Jay Shah: I just wanted to ask the management that as you said that premiumization is happening and we have a heavy dependency on one of the OEMs. Do we have any plans to d erisk the dependency?

Anurang Jain: See, fortunately, when you talk about premiumization, when it comes to inverted front forks, there is only one more player . . For ABS there is only Bosch and Continental. If you talk about

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Page 17 of 18 machined castings of high -end motorcycles, w e are the first choice normally, unless there are some strategic reasons for going to a multinational competitor , which ha s been the case in the past. But we are always in consider ation because of our experience on Indian road conditions and our competitiveness .

We are focused on all our premium products, because we have the longest experience, we are competitive, we have the technology, both in product and process. And we are real ly hungry for this business and we don't want to leave any stones unturned in this process.

Jay Shah: Can I just ask one more question is the Maxwell management please?

Anurang Jain: Sure. So, you have both the f ounders Akhil Aryan and Alex Collet .

Jay Shah: I just wanted to ask the way the technology is evolving when it comes to the EV batteries , what is our preparedness ? How much time does it take for us to get in tune with the new technology that's coming up, like for example , lithium is probably ru ling the roost but you never know the way it's changing, then how do we change our systems according to that?

Akhil Aryan: So, typically, at the end of the day the battery will always be a battery, there will be a cathode and anode separator a nd there will be ion s moving between those two terminals. And batteries

will require Battery Management Systems. So, at a fundamental level, batteries require active management to perform, to ensure long life, to be safe and reliable. And also, to be able to predict the state of health, state of charge, range estimation, so on and so forth. So, at a core level, battery management systems are a very fundamental element of being able to deliver anything that is actually powered, whether it's your phone,

laptop, or electric vehicles.

Now, your question is really about how adaptive our BMS is. This is one of our core USP. What we have done as a company, when we started building the technology is instead of taking a product approach where you design a specific product, for a specific chemistry or a specific application, like a two-wheeler or three-wheeler, what we have done is we have designed the technology as a platform. So, our approach has taken a bit more effort and has required a lot more investment on the software, which is the embedded software side of things. But we have taken a platform approach, which is a longer journey, which allows us to now very quickly configure the battery management system for various different technologies, applications as well as chemistry.

So, there's LFP, NMC, LTO, LCO so there are different variants of lithium ion, as you might be aware. So, we can work across chemistry and across application, which means that the same hardware can be reconfigured very easily in a matter of minutes, to work with different chemistries as well as different applications. So, a scooter and E-rickshaw, a motorcycle, a telecom tower, a forklift, all of them can use the same product with using our platform approach by configuring the embedded software that goes inside of it.

So, by taking a platform approach, we really invested early on, in order to be extremely agile and ready for the future. When it comes to actually designing new battery management, for

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Page 18 of 18 different chemistries beyond lithium, I think that's also something we have a keen eye on the market and seeing what kind of technologies are getting adopted. But eventually, even if there is a better technology product compared to lithium, from a commercialization standpoint, these batteries are really expensive and so for them to reach mass market, it's not just the technology, but also the commercialization that needs to ramped up.

So, we are looking at technologies that both have technical depth as well as scalability. And now you know using BMS for that is a function of recalibrating some of our algorithms, but the core platform can be reused.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand the floor over to the management for closing comments.

Anurag Jain: Well, the only thing that I would, again repeat, is that we at Endurance have a very positive outlook based on our new large business wins in the last two years, including for electric vehicles, both in India and Europe. And we will do everything possible to grow in a higher than industry, profitable way in the future. All the best. Thanks.

Moderator: Thank you. Ladies and gentlemen, on behalf of Axis Capital Limited that concludes this conference. Thank you for joining us. You may now disconnect your lines.

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Endurance Technologies Limited Q2 FY23 Earnings Conference Call

November 8, 2022

MANAGEMENT : MR. ANURANG JAIN – MANAGING DIRECTOR , ENDURANCE TECHNOLOGIES LIMITED  
MR. RAMESH GEHANEY – DIRECTOR & CHIEF OPERATING OFFICER , ENDURANCE TECHNOLOGIES LIMITED  
MR. MASSIMO VENUTI – DIRECTOR & CHIEF EXECUTIVE OFFICER , OVERSEAS , ENDURANCE TECHNOLOGIES LIMITED  
MR. SATRAJIT RAY – DIRECTOR & GROUP CHIEF FINANCIAL OFFICER , ENDURANCE TECHNOLOGIES LIMITED  
MR. RAJ MUNDRA – TREASURER & HEAD, INVESTOR RELATIONS , ENDURANCE TECHNOLOGIES LIMITED

MODERATOR : MR. NISHIT JALAN – AXIS CAPITAL LIMITED

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Moderator: Good morning ladies and gentlemen and welcome to the Q2 FY 23 Earnings Conference Call of Endurance Technologies Limited hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the opening remarks. Should you need assistance during the conference call, please signal an operator by pressing '\*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nishit Jalan from Axis Capital Limited. Thank you. And over to you Mr. Jalan.

Nishit Jalan: Thank you, Michelle. Good morning, everyone. Welcome to Q2 FY23 Results Conference Call of Endurance Technologies.

From the management team, we have with us, Mr. Anurang Jain - Managing Director; Mr. Ramesh Gehaney - Director and COO; Mr. Massimo Venuti - Director and CEO, Endurance Overseas; Mr. Satrajit Ray - Director and Group CFO and Mr. Raj Mundra - Treasurer and Head, Investor Relations.

I will now hand over the call to Mr. Jain for his Opening Remarks, post which we can have the Q&A Session. Over to you, Mr. Jain.

Anurang Jain: Thank you, and good morning to everybody.

I would like to share details of how we have done in the second quarter of this financial year. In India in the second quarter of FY23 as per the SIAM data, the two wheeler industry sales grew by 7.35% compared to Q2 of the previous financial year; scooters grew by 15.78% and motorcycles grew by 5.62%. The automotive industry in India had a growth of 12%.

In our overseas operations in Q2 of this financial year, the EU and UK markets saw an increase of 0.4% in the volume of passenger cars sold, while our European sales grew by 25.9% in euro terms.

I will now brief you on the financials of the second quarter of FY23. During Q2 of this financial year as compared to previous year same quarter, our consolidated total net income grew by 25% from Rs.18,957.5 million to Rs.23,690.6 million. Consolidated EBITDA grew from Rs.2,681.9 million to

Rs.2,800.2 million . Consolidated EBITDA margin was at 11.8% . The profit after tax degrew from Rs.1,333 million in Q2 FY'22 to Rs.1,314.9 million in Q2 of this financial year , and the PAT was at 5.6%. This included the income of the Maharashtra PSI Scheme incentive of Rs.284.61 million . There was no

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consolidated net debt and company had a positive cash flow of Rs.2,838 million.

During Q2, our standalone total income grew by 26.9% from Rs.15,057 million to Rs.19,113 million . Standalone EBITDA grew from Rs.2,170 million to Rs.2,377.4 million with an EBITDA margin of 12.4% . Standalone profit after tax grew from Rs.1,223.6 million in Q2 of FY22 to Rs.1,312.7 million in Q2 of this financial year , and the PAT was at 6.9%. This included the income of the Maharashtra PSI Scheme Incentive of Rs.284.61 million .

We would like to mention that Endurance is focused in both its Indian and European operations for a profitable growth and on growing higher than the industry growth. The detailed financials are available with the stock exchanges and on the Endurance website.

I would like to now share certain key points till Q2 of this FY23:-

1. In Q2 of FY23 , 80.7% of consolidated total income including other income came from Indian operations and the balance 19.3% came from our European operations .

2. In India , till date of FY23 , Rs.6,928 million of new business has been won from OEMs other than Bajaj Auto, which included Honda two wheelers , Hero MotoCorp, Ather Energy, Hero Electric and Tata Motors. We have Rs.22,822 million worth of requests for quotes from OEMs. Our customers recognize us as a trusted and capable partner in the value chain ,

both in terms of technical and financial strength. Our consolidated net worth is now in excess of Rs.40 billion.

3. The electric vehicles market continues to offer significant opportunities for growth to the auto component industry. It is estimated that the Indian EV market will touch Rs.150 billion by 2030. Therefore, at Endurance , we have taken a major step forward to harness this opportunity by executing a Share Subscription and Purchase Agreement for acquiring 100% of equity share capital of Maxwell Energy Systems Private Limited in a phased manner. 51% equity has already been acquired in July . As you all know , Maxwell is in the business of advanced electronics, particularly in the Battery Management Systems (or the BMS) for automobile , EVs and battery packs. We plan to leverage Maxwell's deep technical expertise , and its BMS deployment experience in India and Europe.

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4. We aim to offer our products to multiple new clients including Indian and overseas automotive OEMs and manufacturers of battery packs. We have already started supplies to Hero MotoCorp for their new EV which was launched in October. With the existing order pipeline, the technical capabilities and synergies between Endurance and Maxwell, we are confident of achieving our goals in

the embedded electronics space.

5. As you are aware, we have added a high technology new product which is the Drive shaft at Waluj, Aurangabad. Driveshaft is a proprietary product and an E V-agnostic product. Drive shaft transforms the torque generated from an engine through its transmission to the wheels. The application is for three wheelers and four wheelers including some LCVs. The launch of the driveshaft has opened an additional revenue stream in the transmission segment for Endurance and will lead to a significant business growth opportunity for Endurance in the future. Commercial supplies have already started to Bajaj Auto from July '22 onwards. We have won orders from Mahindra and TVS also.

6. To help our overseas operations to grow in the profitable aftermarket business for two wheeler components, we have acquired an Italian company Frenotecnica in July '22. Frenotecnica is involved in the business of friction materials and components for braking systems like brake pads for two wheelers. In 2021, they had a sales turnover of €3.6 million with an EBITDA margin of €1 million . It's a highly profitable business. They have a renowned brand name called Bren ta in the after market and replacement business.

7. With this acquisition and earlier acquisitions of the two Italian companies, namely , Grimeca , and Adler in 2020, we want to create a center of excellence in Italy for premium two wheeler components , and grow in the segment in Europe . This acquisition gives growth opportunities to the Endurance Group in the European aftermarket business as well as provide access to in -depth knowhow for process technologies of friction materials, especially for brake applications . We are looking at more such acquisitions.

8. I would like to mention that Endurance is focusing on a more value add and profitable product mix in its future business, which includes :  
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- a. Braking, suspension, advanced electronics, and aluminum casting supplies to two and three wheeler EV OEMs – both existing players and new startups .
- b. 200 cc plus motorcycle brakes and clutch assemblies with the help of acquisition of Adler and Grimeca in Italy. The 200 cc plus motorcycle brakes business has already started last year and the 200 cc plus motorcycles clutch (assist and slip clutches for high end bikes) business is expected to start in Q1 of FY24.
- c. Paper-based clutch assemblies replacing the cork-based clutch assemblies for motorcycles
- .
- d. Continuous variable transmissions or the automatic clutch for scooters . With Hero Motorcorp we are at an advanced stage of testing and we expect to start supplies from the next financial year.
- e. We will also increase Anti-Lock Brake Systems or the ABS business for 150 cc plus motorcycles with our collaboration with Beijing West Industries . We have started supplies to Bajaj Auto and Royal Enfield , and are engaged with other OEMs for winning new ABS

business.

f. We are also increasing the business of the 200 cc plus motorcycle inverted front forks and adjustable rear mono shock absorbers. This is with the help of our collaboration partner , KTM AG . We are working with KTM to increase supply of both on -road and also start with off -road motorcycle, higher technology, inverted front forks and rear shock absorbers and we have made a three -year business plan for this.

g. We have also started supplies of inverted front forks to Honda two wheelers in India , and won orders for inverted front forks for three o f Hero MotoCorp 's new vehicle platforms . We are also engaged with other OEMs on the inverted front fork new business. This is indeed a fast growing business f or Endurance .

h. We are also focusing on fully finished machine d castings as compared to raw casting and semi -finished casting s for all two , three and four wheeler s OEMs

9. The brake assembly business is growing with addition of Bajaj, TVS, Royal Enfield, Yamaha, Hero MotoCorp and Ather Energy, as well as HMSI new business. Our second plant at Waluj, Aurangabad has been set up to cater to this increase in volumes, and has already started operations.

10. As you are aware, the supply of two wheeler AB S assemblies to Bajaj has started in the last week of Endurance Technologies Limited  
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September 2021 .ABS assemblies to Royal Enfield started from February 2022 onwards. Bosch controls the major market share in the Indian two wheeler ABS market of approximately 3 million to 3.5 million ABS assemblies per annum .

We are now in the process of even getting a dual channel ABS cleared by the end of this calendar year. And we are adding capacity of 200,000 ABS assemblies per annum to our existing 400,000 ABS assemblies per annum, which will give us a total capacity of 600,000 ABS assembl ies per annum. W e are also further planning to increase this volume s to 1.2 million ABS assemblies per annum by the second half of 2024. So, this is a very good growth opportunity for Endurance.

11. We also focus on supply of products for E V two and three wheelers . We have already started supplies for brake assemblies, suspensions, and aluminum castings for electric scooter and three wheeler.

After the acquisition of Maxwell , we are also supplying the Battery Management System for two wheeler EVs and battery pack makers . Our focus is to supply our EV product s to two and three wheeler OEMs, both existing and new.

Till Q2 of this financial year, we have won Rs.2,168 million of new business for EVs. All this business has been planned to start in this financial year or early next year and should reach peak volumes by the end of FY24.

The total business win for electric vehicles is at Rs. 4,891



million till date. This does not include a business which we just won a couple of days ago from Hero Electric which is about a Rs.1,200 million business for both the BMS and suspension and this business should start by early next year. So, this actually takes our business win for EV vehicles to now slightly more than Rs.6,000 million till date.

We are also focusing on the E -Bicycles business, especially for suspension, battery management system and brakes. This is both for our Indian OEMs and exports.

12. Due to increased alloy wheel orders from Bajaj , Yamaha India , TVS and Hero Electric, we have added a new plan

at Chakan to help increase supplies from 240,000 alloy wheels a month to 380,000 alloy wheels a month. This  
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plant has already started operations in July 22 , and the peak volumes should be reached by next month . The supplies to TVS had also begun in July 2022.

13. As far as Europe is concerned , till date of this financial year, we have won €42 million business mainly from Porsche , Daimler and Stellantis . We had won €70 million business last year

So, both India and Europe are aggressively going after new business . High value of order intake is a very good sign for us , as it reflects the trust of our customers .

14. I would also like to point out that Endurance , both in India and Europe , is actively pursuing access to new technology and focusing on introducing new products through organic or inorganic means .

15. As I mentioned earlier also , Endurance has already entered to backward integration product areas which are important substitutes. Firstly, aluminum forging axle clamp production, in technical collaboration with FGM, Italy. We already started deploying these forged parts in inverted front fork supplies for both Bajaj as well as for exports since April 22 .

We have recently won an order for third party sale of forgings - from Hero MotoCorp 's upper bracket aluminum forging, which will start by next year. So, the aluminum forging itself can become a segment and it's a huge opportunity for growth for us.

The second product is steel braided hoses for ABS applications for mid and high end bikes. This supply has already started .

Both these projects will help us make higher profit margins in the businesses of inverted front forks and ABS.

16. In the first half of this financial year, our aftermarket sales grew 16.2% from Rs.1,727 million in the previous year to Rs.2,006 million . We are exporting aftermarket parts to 31 countries and we are adding four more countries in this year , which are Rwanda, Burundi,

Brazil, and Vietnam. The aftermarket sales growth will continue to be a very large focus area for us at Endurance .

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17. In the first half of this financial year, the export sales for India standalone business decreased by 8.4% from Rs.878.56 million in the previous year to Rs.804.91 million . This was due to the lower orders of aluminum die casting exports to our European OEM customer . But I think it's slowly coming back ; we are winning new orders from Europe for castings. So, the future looks quite good . We are also extremely happy to inform you , Endurance has been judged as one of the India's Best Managed Companies based on Deloitte 's Best Managed Companies 2022 Program . On the environment front, I would especially like to mention that Endurance is striving to be carbon -neutral in its plants by effective use of solar power and wind power, creating carbon sinks by driving tree plantations and thereby creating dense forests and driving use of natural gas and LPG in place of electricity and furnace oil. We are happy to tell you that the use of furnace oil has been completely stopped now at Endurance We are also focusing on lowering hazardous waste generation and to achieve zero waste to landfill.

At Endurance, it will be our continuous endeavor to grow through organic and inorganic means , with a focus on technology upgradation, quality improvement, cost , and environment , health and safety . We will do our best to fulfill all our stakeholder expectations by following our five values of Customer Centricity, Integrity, Transparency, Teamwork and Innovation.

We at Endurance have a very positive outlook based on our new large business wins in the last two years including electric vehicles orders , both in India and Europe.

With

these opening remarks, I would like to invite questions from all of you. We also have the Maxwell Founder and CEO , Mr. Akhil Aryan on the call to answer any questions you may have on Maxwell. Thank you.

Moderator: We will now begin the question -and-answer session. The first question is from the line of Aditya Jhawar from Investec . Please go ahead.

Aditya Jhawar : My first question is pertaining to India business, if you can help us understand the breakup of the Rs.7 billion new order win in this year. You indicated that the cumulative order wins for EV are about Rs. 6 billion . Is this including Bajaj or not? And is there any breakthrough into new age OEMs for EVs in India ?  
Anurang Jain: Rs. 7 billion order addition includes orders from HMCL for castings , HMSI for front and rear shock absorbers , Tata Motors for the high end machine d castings , and from Hero Electric for

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alloy wheels. We also have orders from Ather Energy for the battery box housings , Yamaha for their suspension , TVS for brakes for the new N-360, and Royal Enfield for castings. I have not counted the order of the BMS and suspension worth Rs.1.2 billion from Hero Electric which we have won recently. The best part is that 80% is new business and replacement is only 20%.

Coming to the EV order book , out of Rs. 6 billion , Bajaj orders are of Rs.1.24 billion for the scooters and three wheelers. The other key orders are from Ather , Hero Electric, Mahindra Electric and Bounce . And as we speak, we are engaged with all these new big companies, which are there in the market and we

hope to give you some more good news in the next call .

Aditya Jhawar: My next question is on European business. Firstly , how are the customers reacting to price increases due to higher energy costs? And secondly, how's the production schedule for customers looking like in the next couple of months ?

Massimo Venuti: The first question is regarding the energy prices . In Q2 FY -23, the energy costs reached €472 per megawatt in comparison to Q2 FY22 cost of €125, and gas was at € cents 208 per meter cube in comparison to € cents 50 per meter cube. The European governments, including Italy, are supporting us with contributions to offset these price increases . In Italy, for Q2 FY -23, around 25% of the cost increases were made good by the government . And this 25% , grew to 40% in the month of October and November . Further, we are discussing with our customers in order to find the solution for the future. I'm very happy to inform you that starting from the 1st of October, we reached an agreement with our major customer. And so it means that in the next quarter, the contribution from the government and from the customer will offset part of the impact of higher energy costs, though these will not cover 100% of the increase of energy costs. But, we are pretty confident about increase in our EBITDA % going forward, due to these measures .

We are not closing in a structural way these agreements with our customers, as the policy of the government of each country for energy related compensation to industry is different . In France and Spain, a price cap for energy and gas is in place . In Germany and Italy, they have no price cap. However, Germany officials have stated that they will fund €200 billion in order to support the consumers and also the industry . They will officially announce this strategy at the end of November . In Italy they are supporting us , but in a temporary way , and they renew their commitment month -per-month. Hence it is very difficult to

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enter into a structural agreement with the customers to take care of the energy cost increases. This is because the industry , including the OEM 's, are awaiting

an official position from the European Union. But the situation is expected to improve in the next month.

Speaking about the production schedules , in this quarter, the new car registrations went up by 0.4% - the numbers are more or less in line compared to the previous year. But Endurance Europe performed very well ; we increased the turnover by 25.9% from €45.3 million to €57 million. Also, the production of passenger cars in the same period in Germany was up by 42%. So, it means that they are increasing the inventory levels to address higher volumes for the next months, which is a positive compared to the previous year.

Different customers in different countries will support us in different ways, but I'm pretty optimistic that we will be able to recover majority of the energy cost increases .

In the last quarter, we have had an impact in our profit & loss of €1.9 million. In last six months of this financial year, the total impact was about €3.6 million . The EBITDA of this quarter would have been almost 16% without the energy cost increases and EBITDA of the six months around 16.6% without energy cost increases . So, barring these increases, our profitability is in line compared to the previous year .

Moderator: We have the next question from the line of Nitin Arora from Axis Mutual Fund . Please go ahead.

Nitin Arora : On Maxwell Energy , the order book at the time of acquisition was about Rs.150 crores. Please throw some light on EV specific order increases since then, without adding alloy wheels going

into electric vehicle s. Also if you can comment on the acquisition price and when it should be done 100% ?

Anurag Jain: As of now, the orders in hand are in excess of Rs.105 crores, There are leads of Rs.125 crores being pursued . Earlier, we had announced active order pipeline of Rs .150 crores which included Hero MotoCorp. We got a new order of Rs.70 crore for the BMS from Hero Electric . So, in totality the orders in hand are now up from Rs. 105 crores to Rs.175 crores .

Satrajit Ray: On acquisition cost , there's a comment in the stock exchange release which we've given post our results yesterday . It's mentioned that we purchased 51% of the company through primary issuance and secondary purchase for a consideration of Rs.135 crores and with that, Max well became a subsidiary ; that  
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happened on 1st July. So, the results are getting consolidated from 1st July 202 2. The balance 49% of Maxwell equity share capital will be purchased by Endurance in five tranches spread over next five financial years , and the consideration of each tranche will depend on Maxwell achieving certain financial targets as specified in the Share Purchase Agreement.

Nitin Arora: While EV market has grown rapidly, your BMS order book does not seem to have kept pace.

Akhil Aryan : We already have about Rs.175 crores in our order book. We have about another Rs.125 crores in active lead pipeline. Our thought process behind the market is not short -term. So, we are not chasing the last three months or last six months volumes. We are look ing at what are the volume creators of 2025 or 2030. We have to identify the OEMs that are genuinely being serious about their EV plans and also the ones that are building robust products that will stand the test of time. Of course, in the EV space with th e numbers itself, there has been a lot of noise, but very little signal.

In terms of business opportunities, we either go after high volume or high margin business. So, in India, with the new regulations coming in - new AIS-156, FAME -II, safety norms in the battery space and the vehicle space , all OEMs are responding and trying to align with these new regulations.

There are some OEMs that ha ve been in the market with Chinese CMSs that will eventually localiz

e the suppl ier. So, th is

transition from China to India is in process. And then there are also some OEMs that have traditionally built their own BMS, for example Ather . So, even if their volumes in the last three months have gone up, there is not really a space for us to sell to them. However, most other major OEMs are coming into the market to source BMS, and this includ es Hero MotoCorp who is a significant customer for us. Other customers in India as well as in Europe are keen to buy this from technology experts like us. Our focus is not necessarily on chasing short term trends by selling more volumes right now by lowering their cost but to focus on volume creators of 2025. We are also focusing more on integrating our technology and integrating our BMS into the battery sizes of those OEMs both in India as well as in Europe. This will enable us gear up for the next FY and to ramp up in the EV market so when the serious OEMs step in, we want to be part of that journey .

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Moderator: The next question is from the line of Ronak Sarda from Systematics Group. Please go ahead.

Ronak Sarda : Sir, my question is on the standalone operations. The quarter -

on-quarter and YoY growth looks pretty strong despite Bajaj Auto facing a lot of issues on their export market . If you could help us understand what has driven this strong growth? Also, how is the product mix? And in conjunction to that, how has been the ABS revenues seeing the scale up over the last few quarters?

Anurang Jain: The business has grown because of our new order wins over the last three years. Even during FY'21, we won orders worth Rs.5,850 million of new business ; last year, we won Rs.7,650 million. Till now, in this financial year, we have already won almost Rs.7 billion worth of orders till date and going strong. This doesn't include recently won order from Hero Electric for Rs.1200 million. Endurance is going after profitable business and doing a lot of cost controls, whether it is consolidation, more operational efficiency, anything in the product mix being better. We are trying to improve the profitability by going for machine die casting , we are expanding alloy wheel capacity to 380,000 alloy wheels a month from 240,000. Also, our Brakes business is growing very fast and we have set up a new plant for brakes which is operational . For brakes, we have received orders from EV companies like Ather where we are their single source. And luckily except for the clutch, all our products are EV -agnostic. We have also done backward integration to improve profitability which includes steel braided hoses and aluminum forgings for inverted front forks. This has helped us to increase our margins. These are both import -substitutes. So, our strategy is to outsource to Endurance Vendor Association . So, we are able to focus on critical operations in-house like surface treatments or assemblies.

Of course, the advanced electronics with Maxwell as well as driveshaft is still at initial stage . Also, I mentioned about aluminum forgings. It's not only about inverted front forks, we have received orders for upper brackets for conventional front fork from Hero MotoCorp. We are getting a lot of enquiries for other type of aluminum forgings.

So, I think our outperformance is a combination of product mix, technology, focusing on upgrading products , EV parts. EV s will grow very fast and we want to be a part of that growth. We have won EV orders worth Rs.600 crores of business already and we are going strong on this business .

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Higher commodity prices also increases sales, and increases RMC as % of sales. The RMC percent to sale in Q1 was 67.6%, Q2 was 67.2% . So, it's only gone down by 0.4%, but the EBITDA margin has gone up by 1.4%,

so extra 1% would be attributable

to richer product mix and cost controls. From Q3, we're expecting a further drop in raw metal prices . Aluminum is around 52% of our RMC, steel is 32% . Both these commodities ' prices are going down substantially in this quarter. That, of course, will help to increase the EBITDA margin % .

We are very optimistic on the future . In Europe , energy prices had gone up, resulting into lower EBITDA margin . Many companies in Europe are not doing well. We are seeing this as an opportunity to get new orders from all major OEMs.

So, I just want to say that I think our outperformance has been a combination of sales growth, better product mix and cost controls and purchasing being better.

Rona k Sarda : Mr. Aryan, can you help us understand how the two new norms on the battery side or on electric vehicles which are coming on 1st December, and then on 31st March can change the entire supply chain for BMS? And what could be the kind of cost increases?

Second question for Mr. Ray. The way we calculate the subsidiary performance for ETL group is directly consol minus standalone. Now with Maxwell getting consolidated as well, if you can help us understand, what kind of revenue and cost are sitting in the overall subsidiary numbers so that we can decipher the Europe performance separately.

Akhil Aryan : We are very happy with the new norms . In almost all of our BMS products , from the design stage we have taken extra precautions - more than what was mandated by law in India, because we were selling in international markets to Europe, the US, and we were already designing as per the global standards. Many of our products by default comply with the new norms announced by the India government, which includes AIS-156. There are some unique things that have been also announced in Phase 2 of AIS - 156 which will require some minor adjustments. We have designed the technology as a platform approach and not as a product, which allows us to comply without fully redesigning new hardware . We are simply implementing new firmware upgrades to our products, which will enable us to quickly have a compliant BMS. Again, like I said, most of our products are already compliant for both phases. For the other products, where minor tweaks are required, we're estimating to be ready before 1st December for phase 1.

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With these norms , a lot of the OEMs who were buying PCM which are protection circuits from China instead of a BMS, are now realizing that this is no longer going to work . When you're buying a PCM instead of a BMS, the problem is that there is no firmware because there is no microcontroller . So, you are basically in a place where you have a black box hardware that you just have to connect and it acts like a fuse . If something goes above a certain threshold, it just stops the battery from working.

So, there is no way to write some firmware to comply with the standards. So, it's almost as if they have to find a BMS supplier instead of protection circuits . This increases our addressable market significantly . I had mentioned in previous concall that FAME 2 regulations were just one step in that direction, and AIS, helps in adoption of reliable battery management technology .

Last but not the least, I also want to highlight that not only do these rules require a lot of OEMs to source BMS instead of PCMs, but also to source these BMSs locally . And in India, when it comes to an AIS compliant BMS which is cost competitive, we have the volume threshold and are definitely market leaders in this regard. And so, we're seeing a lot more conversations happening as many of our competitors do not meet the standards or do not have the experience of delivering products for the Indian market. So, I think the overall cost

impact for

companies that were using PCMs will be there, because they will have to move from PCMs to BMSs. So, there will be an increase in cost for their vehicles. But in the context of us as a supplier of technology and BMS , it will expand the addressable market for our technology. Our BMSs are compliant to phase 1 and phase 2 regulations .

Satrajit Ray : To answer the second part of your question, I'll give you numbers for Europe and Maxwell separately, because standalone numbers you already have. As far as Europe goes, I'll give you numbers in euros. Q2 FY -23 had a total income of €57 million and an EBITDA of €6.6 million compared to last year, total income was €45.3 million and €6.3 million EBITDA.

Now, you must remember that in Q2 FY -23, there has been an

8% depreciation of euro against rupee. So, as far as the rupee value is concerned, it will be lower. Now, as far as Maxwell is concerned, the total income in this quarter is Rs. 4 crore. At EBITDA level, there is a loss of Rs. 6.15 crore. This is primarily driven by the fact that we considered employee costs build up, but a very major order started fructifying later, so there's a timing mismatch between revenue and costs. So, that's why this

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loss on such a low value of sales. And the last point from my side is that a straight arithmetical aggregation will not get you the numbers, because there are consolidation adjustments.

Ronak Sarda : Right. That's really helpful. So, Europe was not as weak as the overall numbers reveal.

Moderator : We have the next question from the line of Sonal Gupta from L&T Mutual Fund. Please go ahead.

Sonal Gupta : In other operating income, what is the Maharashtra subsidy for Q2 FY -23 and Q1 FY -23 ?

Satrajit Ray : Maharashtra subsidy goes in Revenue from Operations. It doesn't go in Other Income.

For Q2 FY -23, the booking has been Rs. 284.61 million and in Q1 FY -23, the booking was Rs. 300.95 million . So, in totality for H1 FY -23 the booking is Rs.585.56 million.

Sonal Gupta : If you look at the strong growth on a year -on-year basis in the revenues, how much is because of the commodity prices going up? And how much do you expect to reverse in the coming quarters?

Anurag Jain: The RMC was 67.6 % of sales in Q1 FY -23, which went down to 67.2% in Q2 FY -23. Our EBITDA went up from 11% in Q1 to 12.4% in Q2 during the same period , which means we made an additional 1% because of sales growth, better economies of scale , cost control measures and better product mix .

Sonal Gupta : How much deflation in top line do you see due to decrease in aluminium prices on QoQ basis?

Anurag Jain: It is very difficult to predict as the customers keep changing their schedules every month. Since the IPO, we are focusing on higher than industry and profitable growth. With too many uncertainties we strive to do our best. In commodity prices , for instance alloys for alloy wheels there could be about 8 % to 12% drop which is very good for us from % margin perspective . Steel is going down; I was told about Rs. 6 or Rs. 8 /kg on an average. Once the RMC % goes down , EBITDA margin % will go up. We are seeing commodity prices coming down. We grew in a big way on YOY basis , not only due to higher commodity prices, but also due to higher volumes, coming from a Delta variant impacted base and on the back of new business win in the last three years.

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Sonal Gupta : On a year -on-year basis, how much of the revenue growth you've seen only because of commodity prices?

Satrajit Ray : In H1, about Rs . 270 crore impact of higher commodity prices, out of Rs. 870 crore growth in sales. But you must understand these are estimated numbers because there's a lot of indirect inflation in the components

we purchase, which is very difficult to put our fingers on.

Moderator : We have the next question from the line of Jinesh Gandhi from Motilal Oswal Financial Services. Please go ahead.

Jinesh Gandhi : How are you seeing the order book developing or production schedule developing post festive season on the 2-wheeler side in India?

Anurag Jain: I think this month is absolutely all right. Next month, we have

to wait and see , as we will get schedules in the last week of this month. In our case , growth is also because of business wins .

Jinesh Gandhi : My next question is with respect to the ABS business which we have from Bajaj Auto and RE ; can you indicate what kind of share of wallet we have for them for ABS?

Anurang Jain: As of now , we are doing a single channel ABS with Bajaj Auto having monthly volumes of 18,000 to 20,000. Additional 8,000 for Royal Enfield, but they want more. Our current capacity is 33,000 a month . We plan to achieve the monthly run -rate of 33,000 from January 2023 . Also our dual channel ABS is in clearance stage. We are adding another 200,000 capacity in addition to the existing 400,000, and are expecting orders for our dual channel ABS . So, we'll have a total capacity of 600,000 in a market size of 3 million to 3.5 million.

Jinesh Gandhi : We have seen outperformance in Europe , where we have grown at about 26% , or on an adjusted basis 19%, while the registration data is flat. What has led to that kind of a strong outperformance in the European market for us?

Massimo Venuti : In the previous quarter, even if the car registrations were up only 0.4%, there was an increase in the production of cars in Germany by 42%. OEMs are increasing car inventory. In comparison, in Q2 FY -22, there was a shortage of semiconductors that impacted their production significantly .

The market is recovering only for the premium cars. While the semiconductor aspect continues to be in a critical situation , all the OEM 's are using the available semiconductors mainly for the premium cars. If we analyze the numbers of all OEM's in Europe, we find that there is reduction of volume compared to the

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previous year , while turnover and also the profitability have increased . We have 10% - 11% inflation which is resulting into weak demand for low -end vehicles .

We are optimistic for the next 6 months as we are entering in the production phase for several new electric components . In the previous quarter, pure electric vehicles reached a market share of 11.9% implying 22% growth ; plug -in hybrid technology reached 8.5% share . So, currently 20% of the market is completely electric. We started investing in electric technology in 2015 and we are realizing the benefits of the same in our product mix.

Moderator : We have the next question from the line of Pramod Amte from InCred Capital. Please go ahead.

Pramod Amte : Considering that you are increasing ABS production and also Maxwell seems to be gaining orders , how do you see your import content going up in the coming years? And second is related to the ECU, are you looking at export opportunities ?

Anurang Jain: I will talk about the ABS and then Akhil can speak on BMS. As far as ABS is concerned, we have reduced import dependency by setting up a facility in-house for hoses, and now for valve manufacturing . This will lead to very good saving for us. Moreover, we're not importing the ECU, which is currently coming from Mando Hella in Chennai. So, for ABS, we'll not have much in terms of imports.

Akhil Aryan : So, when you get into the domain of designing and manufacturing advanced electronics like Maxwell is, unfortunately, the reality today is that there are not many global semiconductor companies who have set up shop in India. In the context of the BMS product, we w

ill have to continue importing the semiconductor components . Some passive components can be sourced locally, but a lot of the active components, if we want to build world class products, then more often than not we have to rely on international semiconductor suppliers like say a Texas



Instruments or Microchip, NXP and so on. And most of them don't have any presence in India. So, we will have to continue importing that. They had initially set up shop in multiple places around the world, but they are also de-risking themselves after the whole China scenario as well as COVID.

As we start setting up a manufacturing plant inside of Endurance for manufacturing and assembling our own electronics, Endurance will most certainly be placing orders on Maxwell's behalf to import some of these components and as the volumes for Maxwell pick up, unless there are ways in which Endurance Technologies Limited  
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India as a country overcome the semiconductors' dependence on other countries and these large semiconductor companies set up shop in India, I would say for the foreseeable future, at least for the raw material of semiconductors, not the PCB or the assembly, we will have to depend on imports.

However, I think from a strategy standpoint, we are very aggressively looking at international growth. Because like I said, for us we focus on either high volumes business in India or high margin business in Europe and in US. So, we have now created a dedicated team that is focusing on winning business in Europe. And we are not only focusing on the 2-wheeler market but also looking at applications of BMS in industrial equipments like forklifts, excavators, and so on, because a lot of those industrial equipment are transitioning from diesel to battery in Europe.

Pramod Amte : I wanted to check with Anurag Sir on the broader theme of Europe ? How are you looking at the power crisis, is it giving you any opportunity to build your export business from India ?

Anurag Jain: See, our strategy right from when we did the European acquisitions in 2006 is that we don't want to try and be a substitute for our business in Europe. We want Endurance Europe to grow. I am happy they've grown more than 25% in this quarter. Our exports from India have been to certain specific customers in Europe, like Getrag, for many years. But our strategy is very clear, we don't want to come in the way of our European operations to try and take their business unless we both agree that it makes sense. Business should not go to a third party.

The sea freights reached very high levels in recent times, which made exports un economical. In terms of exports, we have enough business opportunities from Sanmina for the castings required for their cell towers, and from Generac for the gensets.

Moderator: We have the next question from the line of Arvind Sharma from Citigroup. Please go ahead.

Arvind Sharma : What was the PAT for this quarter for the European business ? How much can be the expected decline in the energy prices?

Satrajit Ray : PAT in Europe for Q2 was €1.7 million.

Massimo Venuti : In Q2 FY23, we reached peak of energy prices at €472 per megawatt and €208 for gas. Currently, the futures are €300 for the energy and €120 for the gas, the situation is improving in terms of price. At this moment, it is difficult to fix the future

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prices, considering the uncertainties around government support initiatives. We are optimistic considering that there is an energy price reduction, and support from our customers and the government.

Arvind Sharma : Can you please give some details on the driveshaft business? What's the current revenue and what are the opportunities here?

Anurang Jain: I don't have the revenue numbers handy. We've already started with Bajaj and Mahindra. We are starting TVS in the first quarter of next financial year.

Moderator : We have the next question from the line from Ashutosh Tiwari from Equirus Securities. Please go ahead.

Ashutosh Tiwari : You mentioned that from next quarter, the raw material prices should come down. Will it lead to margin expansion ? In the second quarter , have we got the pass through , or is it still pending from the customers?

Anurang Jain: We get substantial pass through for aluminum and steel in the same quarter , but I would not say it is 100%. But there are other components like rubber, sintered items, bearings etc. which will not get addressed by pass-through. However, majority - say 90% does get addressed from the customer. Some pass-through price amendments come early while some of them come later with a quarter lag .

Ashutosh Tiwari : So, from Q3, margins should improve from Q2 levels ?

Anurang Jain: Our focus is to keep improving the margins.

Ashutosh Tiwari : Our current revenues are probably at the highest on a quarterly basis , in comparison to pre-COVID period . But our margins are significantly below for our standalone business? Generally, what is the target range you're looking over the next 1 or 2 years ?

Anurang Jain: See, when we had EBITDA margins in the range of 14.5% -15%, at that time the RMC percentage was 62% to 63% . In Q2 FY23, RMC was at 67.2%. So, as the raw material percentages go down again , it'll have an upward impact on the EBITDA margins.

Ashutosh Tiwari : On aftermarket sales, while the numbers for H1 FY -23 grew as compared to H1 FY -22, there is a small decline of 5% if you look on QoQ basis. So, how should we look at aftermarket sales from the full year perspective?

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Anurang Jain: This decline is mainly because of exports to countries like Sri Lanka, Bangladesh and Egypt. We cannot risk collection of our export invoices. Thus, we have partly resorted to merchant export route , but that does not get classified as our exports. All these 3 countries are important for us, but are facing some kind of financial crisis . In Egypt, we are seeing signs for improvement.

We aim to grow our Aftermarket exports. Like I mentioned in my opening remarks, we are adding 4 new countries now in the next few months.

Ashutosh Tiwari :. Do you see any uptick in exports to these countries from next year?

Anurang Jain: There are external factors that are not in our control , which are playing out in countries like Sri Lanka, Bangladesh and Egypt .

As far as profitability is concerned, there is no compromise and we are getting our payments on time . We expect that measures taken by these countries and by RBI could ease the situation.

Ashutosh Tiwari : And largely on the ABS side, how much revenue you would have done in the H1 FY -23, can you give a broad range?

Anurang Jain: See, normally, I don't give individual product wise revenue . We are doing volumes of 28,000 to 30,000 per month . We should do 33,000 from January 2023 , and we're adding another 200,000 capacity . This is mainly to meet dual channel ABS needs .

Ashutosh Tiwari : The 200k addition in ABS capacity will come up in Q4 FY-23?

Anurang Jain: The addition of 200,000 for dual channel will come from Q1 FY - 24 as there is lead time for building up the capacity. We have already placed the orders for imported machinery which will take around 6 months to reach our facility.

Ashutosh Tiwari : And by when can we expect to have a total capacity of 1.2 million ?

Anurang Jain: It will be more towards fourth quarter of calendar year 2024.

Moderator : We have the next question from the line of Aman Agarwal from Carnelian Capital. Please go ahead.

Aman Agarwal : So, I have 2 questions. First is on our incremental capital allocation.

So, in the past we have allocated the capital very wisely and that has led to sales growth and profit growth for us. So, going forward Sir, which areas are we looking to allocate  
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more capital? Will it be more towards EV agnostic products like driveshafts or will it be towards EV-related products like BMS? Or will we be focusing more on dealing in the PV opportunity, to increase the PV share?

Anurag Jain: So, it's a combination of everything. I think for driveshaft we have enough capacity at present and we have already invested in it. The focus for resource allocation will be on the high-end suspension, on brakes business, machine die casting business for four wheelers. EV of course, will be a major focus for us, but that's a part of suspension, brakes and casting business. We'll of course be investing in our own assembly lines for the BMS. We hope to start in April 2023, which will help us really improve our margins also on the BMS.

As a strategy we've followed 10-12 years, we like to do the critical operations in house and avoid investment for non-critical processes. We'll invest in all areas of business opportunities which have potential for profitable growth.

Aman Agarwal : My next question was on this new technology of integrated die casting where some of the players like Tesla are using large machinery to cast the overall structural body of PV at once. So, in our European business, do we see this as an opportunity or a threat?

Massimo Venuti : This new technology of integrated pressure die casting is absolutely interesting. Big European OEM's can consider investing in this technology, not the suppliers. These machines are costly, and it is not possible to transport the large parts produced. I don't believe that this could be an opportunity for Endurance in the short term.

Moderator : Ladies and gentlemen, that was the last question that the management could answer today. I would now like to hand the conference over to the management for closing comments.

Anurag Jain: No, I don't have anything further to add. As I mentioned in my opening remarks, we are very positive about the future.

Moderator : Thank you. On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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Endurance Technologies Q3 Earnings Conference Call

February 09, 2023

MANAGEMENT : MR. ANURANG JAIN – MANAGING DIRECTOR ,  
ENDURANCE TECHNOLOGIES LIMITED  
MR. RAMESH GEHANEY – DIRECTOR & CHIEF  
OPERATING OFFICER, ENDURANCE TECHNOLOGIES  
LIMITED  
MR. MASSIMO VENUTI – DIRECTOR & CHIEF  
EXECUTIVE OFFICER, ENDURANCE OVERSEAS,  
ENDURANCE TECHNOLOGIES LIMITED  
MR. SATRAJIT RAY – DIRECTOR & GROUP CHIEF  
FINANCIAL OFFICER, ENDURANCE TECHNOLOGIES  
LIMITED  
MR. RAJ MUNDRA – TREASURER & HEAD, INVESTOR  
RELATIONS , ENDURANCE TECHNOLOGIES LIMITED

MODERATOR : MR. NISHIT JALAN – AXIS CAPITAL LIMITED

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Moderator : Ladies and gentlemen, good day and welcome to the Endurance Technologies Q3 FY23 Conference Call hosted by Axis Capital Limited.

As a reminder, all participant lines will be in the listen only mode and there'll be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "\*" and then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nishit Jalan. Thank you, and over to you, sir.

Nishit Jalan : Thank you, Mike. Good morning, everyone. Welcome to Q3 FY23 Post-Results Conference Call of Endurance.

From the Management Team, we have with us Mr. Anurang Jain – Managing Director; Mr. Ramesh Gehaney – Director and COO; Mr. Massimo Venuti – Director and CEO, Endurance Overseas; Mr. Satrajit Ray – Director and Group CFO; and Mr. Raj Mundra – Treasurer and Head, Investor Relations.

I will now hand over the call to Mr. Jain for his opening remarks, post which we can have Q&A.

Over to you, Anurang.

Anurang Jain : Thank you, and good morning to everybody.

I would like to share details of how we have done in the third quarter and the first 9 months of this financial year FY23. In India, in the third quarter FY23 as per SIAM data, the 2-wheeler industry sales degrew by 0.43% compared to the previous financial year. Scooters grew by 14.5% and motorcycles degrew by 4.6%. The automotive industry in India had a growth of 3.8%. In Europe in Q3, there was an increase of 14.9% in the European Union Automotive Sales including UK. On the financials, I will talk to you about the Q3 FY23 and then the first 9 months of FY23.

During Q3, our consolidated total net income grew by 11.1% to Rs. 21,067.5 million from Rs. 18,965.9 million in Q3 of the previous year. Consolidated EBITDA grew by 19.2% to Rs. 2,510.2 million from Rs. 2,106.7 million in Q3 of FY22.

Consolidated EBITDA margin was at 11.9%. The net profit grew by 14.4% to Rs. 1,082.3 million from Rs. 946.3 million in Q3 of FY22, and the net profit was at 5.1%. There was no Maharashtra state megaproject incentive in Q3. There was no net debt and there was a positive cash available of Rs. 3,065 million. During Q3, our standalone total income grew by 7.4% to Rs. 16,047.46 million from Rs. 14,939.05 million in Q3 of FY22.

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Standalone EBITDA grew by 9.2% to Rs. 1856.33 million from Rs. 1699.50 million in Q3 of FY22. The EBITDA margin was at 11.6%. Standalone net profit grew by 5% to Rs. 922.06 million from Rs. 878.46 million in Q3 of the previous year. The net profit was at 5.7%. There was no Maharashtra state mega project incentive in Q3.

The Endurance overseas sales growth in Q3 FY23 was 26.1% at €60.1 million as compared to €47.6 million in Q3 of FY22. EBITDA margin grew by 64.6% to €8.6 million in Q3 of FY23 from €5.2 million in Q3 of FY22. The EBITDA margin percent grew from 11% to 14.4%.

As far as Maxwell is concerned, the EBITDA loss of Rs. 61.5 million in Q2 FY23 has come down to Rs. 46.7 million in Q3 of FY23. The main reasons are the postponement of the launch of the Hero MotoCorp EV scooter Vida and semiconductor shortage. Our full focus is to have a profitable growth from the next financial year. For this, at Endurance, we are investing in our own in-house BMS assembly line, which will substantially lower the major cost of the BMS. Also, RM costs led by the semiconductor chip prices will come down. Maxwell, being a startup, was not expected to post profits in the first year.

During the first 9 months of FY23, our consolidated Total Income grew by 19.9% to Rs. 65,943.19 million from Rs. 54,987.02 million in the first 9 months of FY22. Consolidated EBITDA grew by 5.4% to Rs. 7,754.83 million from Rs. 7,358.64 million in

the first 9 months of FY22. Consolidated

EBITDA margin was at 11.8%. The net profit grew by 5.7% to Rs. 3,431.09 million from Rs. 3,245.21 million in the first 9 months of FY22. The net profit was at 5.2%. This includes the Maharashtra state mega project incentive of Rs. 585.56 million.

During the first 9 months of FY23, standalone Total Income grew by 23.5% to Rs. 51,361.31 million from Rs. 41,574.16 million in the first 9 months of FY22. Standalone EBITDA grew by 10.1% to Rs. 6,016 million from Rs. 5,465.87 million in the first 9 months of FY22 with an EBITDA margin of 11.7%. Standalone net profit grew by 14% to Rs. 3,044.06 million from Rs. 2,670.09 million in the first 9 months of FY22. The net profit was at 5.9%. This includes the Maharashtra state mega project incentive for Rs. 585.56 million. There was no net debt and there was a positive cash available of Rs. 1,836 million.

CRISIL, in January 2023, has reaffirmed our rating as AA+/ stable for long-term funding and the highest rating of A1+ for short-term funding. The Endurance strengths cited included operations, financials, customer strengths and diversified revenue streams. The risks cited were moderately high customer concentration and the industry cyclicality. The detailed financials are available with the stock exchanges and on the Endurance website.

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I would like to share certain key points for the first 9 months of this financial year.

1. In the first 9 months of FY23, 78% of our consolidated Total Income including other income came from Indian operations and the balance 22% came from our European operations.

2. In India till date of FY23, Rs. 8,774 million of new business was won from OEMs other than Bajaj Auto. This included orders from HMSI, Hero MotoCorp, Ather Energy, Hero Electric, Mahindra, TVS and Tata Motors. This new business win includes Rs. 7,221.3 million of new business and Rs. 1,552.7 million of replacement business. The total business win for EVs, electric vehicles till date is Rs. 5,771.8 million. This included Rs. 1,987.8 million worth new orders in this financial year for the EVs, mainly from Ather energy, Hero Electric and Aptiv.

3. I would like to mention that we have Rs. 19,866 million worth of requests for quotes from OEMs. Since FY20 in India, Rs. 27,440 million of business has been won out of which Rs. 19,620 million is new business and Rs. 7,820 million is replacement business. Out of Rs. 19,620 million of new business, Rs. 4,410 million will happen in this financial year of FY23. A further Rs. 6,730 million will further increase this business in FY24, and the balance Rs. 8,480 million will begin in FY25 and FY26.

4. Our consolidated net worth is now in excess of Rs. 40 billion. Our customers recognize us as a trusted and a capable partner in their value chain in terms of both our technical and financial strengths.

5. As I mentioned last time, the electronic vehicles market continues to offer significant opportunity for growth for the auto component industry. It is estimated that the Indian EV market will touch Rs. 150 billion by 2030, growing at a CAGR of 90% in the next decade. Therefore, at Endurance, we have taken

a major step forward to harness this opportunity by executing a share subscription and purchase agreement for acquiring 100% of equity share capital of Maxwell Energy Systems Private Limited in a phased manner. We have already concluded the acquisition of 51% stake in Maxwell. Maxwell is in the business of advanced electronics, particularly in the battery management space for automobile EVs and stationary storage.

We are happy to inform you that we have recently won Rs. 700 million order for BMS from Hero Electric, which supplies will start in Q1 of the next financial year. With the current order book, order pipeline and technical strengths as well as synergies between Endurance and Maxwell, we

are extremely confident of achieving our goals in the embedded electronic space.

6. In Europe, to help our overseas operations to grow in the profitable 2-wheeler component aftermarket business, we have acquired an Italian company, Frenotecnica in July '22. This company is involved in the business of friction materials and components for braking systems, like brake pads for 2-wheelers. They have a renowned brand name Brenta, in the aftermarket and replacement business. This

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acquisition gives growth opportunities to the Endurance Group in the aftermarket as well as provide access to in-depth knowhow or process technologies of friction materials, especially for the brake applications.

7. Also, in November 2022, we acquired another Italian company, New Fren Srl. New Fren is engaged in the business of brake discs, centrifugal clutches, pads, and brake shoes for 2-wheeler vehicles. The operations are carried out from its plant in Italy and its subsidiary namely GDS Sarl situated in Tunisia in Africa. The primary business activity comprises of sale of products under its trademark "NewFren" through the aftermarket channels.

8. The acquisition of our past Italian collaborator, Adler and Grimeca in 2020, Frenotecnica Srl in 2022, and now with acquisition of New Fren, we at Endurance Overseas want to create a Center of Excellence in Italy for the business of premium components in the 2-wheeler segment, giving profitable growth opportunities to the Endurance group.

9. I would like to mention that Endurance is focusing on a more value-added and profitable product mix in its future business which includes:

a. Braking, suspension, advanced electronics, and aluminium casting supplies to 2 and 3-wheeler EV OEMs and startups. It also includes the 200 cc plus motorcycle brakes and clutch assemblies with the help of acquisitions of Adler and Grimeca in 2020. The 200 cc plus motorcycles brakes business has already started and growing, and the 200 cc plus motorcycle clutch business, will start in Q1 of next financial year.

b. Some other product mix focus areas are paper based clutch assemblies replacing cork-based clutch assemblies for motorcycles. We are setting up a paper manufacturing plant in Waluj, Aurangabad as a backward integration and the operations will start in Q1 of the next financial year. This will help in lowering the cost of the paper and also the dependence on imported paper, which comes mainly from the US and China. Another focus area is the continuous variable transmission or automatic clutch for scooters. With Hero MotoCorp, we are at an advanced stage of testing and we expect to start supplies from the next financial year.

c. We will increase our anti-lock brake systems or ABS business for 125 cc plus motorcycles with the collaboration with Beijing West Industries. We have started supplies to Bajaj and Royal Enfield and are engaged with other OEMs for acquiring new ABS business.

d. We are also increasing business of the 200-cc motorcycle inverted front forks and adjustable rear mono shocks. This is with the help of our collaboration partners, KTM AG. We are increasing supply for on-road and also, we'll be starting with the off-road motorcycles for inverted front forks and rear shock absorbers. We also started supplies of inverted front forks to HMSI in India, and have won orders for the inverted front fork from Hero MotoCorp, and also are engaged with other OEMs to get new business for the inverted front forks and rear mono shocks.

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e. We're also focusing on fully finished machined castings as compared to raw casting and semi-finished casting for 2, 3, and 4 wheelers as well as for non-automotive casting.

f. Our brake assembly business is growing with the addition of Bajaj, TVS, Royal Enfield,

Yamaha, Hero MotoCo

rp, Ather and HMSI new business. Our second plant at Waluj, Aurangabad has been set up for this increase in volumes and has already started operations.

10. The supply of 2-wheeler ABS assemblies to Bajaj Auto started in September '21 and ABS assemblies to Royal Enfield supply started from February '22 onwards. We will reach a run rate of 4,00,000 ABS assemblies in this month. As you may be aware, competition is mainly from Bosch which controls the major market share in the Indian ABS 2W market, which is about 3 to 3.5 million ABS assemblies per annum. We are also in the process of supplying dual channel ABS by June 2023. And we are putting up additional assembly lines by adding volumes of 200,000 ABS assemblies per annum by March 2023, which will take our total volume to 600,000 ABS assemblies per annum. We are further planning to increase the volumes to 1.2 million single and dual channel ABS assemblies per annum from the second half of 2024. We will also from March '23 manufacture in-house the ABS valves, which is not only a technology component, but will help in substantial lowering of our costs and increasing the profit margins on the ABS.

11. We also focus on supply of our products for EV 2 and 3-wheelers. We've already started supplies of brake assemblies, suspension and aluminum castings for electric scooter and 3-wheelers. After the acquisition of Maxwell, we are also supplying BMS for 2-wheeler EVs and battery pack makers. Our focus is to supply EV products to all the existing as well as new 2 and 3-wheeler OEMs. Till Q3 of this financial year, we have won Rs. 1988 million of new business for EVs. The total business win for EVs is Rs. 5,570 million till date. We have received LOI a few days ago from Ather for the front fork and rear shock absorber business for the Ather 450 electric vehicles. The business value is Rs. 230 million and it will start in the end of Q1 of the next financial year.

12. We're also focusing on E-bicycles business, especially for our suspension BMS and brakes. This is both for Indian OEMs as well as exports.

13. Due to increased orders from Bajaj, Yamaha India, TVS and Hero Electric, we have added a new plant at Chakan to help increase supplies of from 240,000 alloy wheels a month to 380,000 alloy wheels a month. This plant has started operations last year in July '22. Supplies also started in the same month. Supplies to Hero Electric will start from this month onwards.

14. As far as Europe is concerned, till date of this financial year, we have won €67.4 million of business mainly from Volkswagen Group, Daimler and Stellantis. So, in the last 2 years, approximately €140 million of new business has been won. I would also like to point out that Endurance, both in India and Europe, is actively pursuing its focus on gaining access to new technology and focusing on new products, organic and inorganic growth.

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15. Also, as mentioned earlier, Endurance has entered into backward integration for product areas which are import substitutes. First is aluminum forging axle clamps required for our inverted front forks. Endurance has entered into a technical collaboration with FGM, Italy and supplies have already started from our Waluj, Aurangabad plant to both Bajaj Auto as well direct exports to KTM. We also received orders for stem assembly and under bracket aluminium forgings from Hero MotoCorp. We are also engaged with other OEMs for supply of aluminium forgings other than for inverted front forks. The aluminium forging segment is a huge opportunity for growth at Endurance. The second product is the wire steel braid hoses for ABS applications for mid and high-end bikes. This supply already started last year and both these projects are helping us in our profitable growth.

16. In the first 9 months

of this financial year, our aftermarket sales grew 7.33% from Rs. 2,874.48 million in the previous year to Rs. 3,085.15 million in the first 9 months of this financial year. We are exporting aftermarket parts to 31 countries and this aftermarket sales growth is a large focus area for us.

17. In the first 9 months of this financial year, the export sales of the India standalone business degrew by 2.87% from Rs. 1426.12 million in the previous year to Rs. 1385.13 million in the first 9 months of this financial year. The major impact was due to lower export orders in the countries like Africa, South American countries like Colombia as well as the ASEAN belt.

On the environmental front, I would especially like to mention that Endurance is striving to be carbon neutral in its plants, by effective use of solar power and wind power, creating carbon sinks by driving tree plantation and thereby creating dense forests and driving use of natural gas and LPG in place of electric power and furnace

oil. The use of furnace oil has been completely stopped at Endurance. We're also focusing lowering hazardous waste generation and to achieve zero waste to landfill.

At Endurance, it will be a continuous endeavor to grow through organic and inorganic means with a focus on technology upgradation, quality improvement, cost and Environmental Health and Safety. We will do our best to fulfil all our stakeholder expectations by following our 5 values of Customer Centricity, Integrity, Transparency, Teamwork and Innovation.

We, at Endurance, have a very positive outlook based on new large business wins since the last 3 years including for electric vehicles, both in India and Europe.

With these opening remarks, I would like to now invite questions from all of you. Thank you.

Moderator : Thank you. We will now begin the question answer session. We have the first question line of Aditya Jhawar from Investec. Please go ahead.

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Aditya Jhawar : My first question is on our EV components. So, firstly, congrats for the BMS order from Hero Electric So, going ahead, what is the expansion strategy for EV components?

Anurag Jain : As far as our strategy is concerned, you know that suspension, brakes as well as aluminum castings are the EV orders we have been winning so far apart from the BMS of course. Hero Electric order which we have already won is for the BMS. So, these are the products as of now, which we are focusing on. There are also new products, but I can't talk about this. Once we start that or we are about to start that, I will talk about the other new products in the electronics space also. But we are working very, very actively on that. So, right now, you can say for the EV our product include suspension front forks and shock absorbers, brakes and different types of aluminum castings including case transmissions, battery housings, motor housing. So, these products will be our focus and, of course, our focus on EV is to engage, with all the existing as well as the new OEMs and we are fully engaged with them. And that's why the EV wins are happening quite fast, though we have been a late entrant by a year. Despite this delay, because of our strength in process and product technology, the business wins are happening quite fast. That's why we have already won in 9 months, Rs. 8,774 million rupees worth of new orders, including almost Rs. 2,000 million of EV orders. So, the strategy is to win orders from existing and new OEMs and we are engaged with all of them.

Aditya Jhawar : Further for our European business, we saw there was an energy price pass through for few customers, but should we expect another quantum of price pass through with some other set of customers to come in Q4 FY-23 or largely it is done in Q3 itself?

Massimo Venuti : In the third quarter of this financial year, we increased our EBITDA compared to the previous year

and also compared to the previous quarter which was due to two positive situations. First of all, we received part of incentive from the Italian government. And the second was all major customers accepting to compensate more or less 60% of the total delta energy costs compared to the previous year. If you analyze our profit and loss with 14.4% of EBITDA compared to 11% of the previous financial year, and more or less the same increase compared to the previous quarter of this financial year, where, we didn't receive support from our customers.

For the future quarter, the situation with our customer is already defined. So, we can say that we can offset part of the increase of energy costs in the short term. Speaking about the incentives from the government, we have no information whether the Italian government shall support us post March 2023. It's not clear because the Italian government officially announced that they will support the industry till the end of March 2023 and they have not yet provided further indications. Fortunately, there has been reduction in energy prices in the last 2 months as compared to the previous quarter.

And so, we are positioned to manage the situation fairly well.

Aditya Jhawar : Massimo, if you can give us some sense on how is the demand outlook looking in Europe, especially in countries like Italy and Germany? What is the sense we're getting from customers?

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Massimo Venuti : In the previous quarter, we closed with €60.1 million turnover compared to €47.6 million of the previous financial year. In Europe, we grew 26.1% in comparison to 14% growth in new car registrations in the market. We are taking share from our competitors. The sentiment in Germany, Italy, and in most of Europe is not so good in terms of volumes due to the very weak demand, due to the inflation, due to the increase in interest rates and so on. If you compare the results of this quarter compared to the previous ones, the situation is positive. But as far as the economy is concerned, the third quarter FY23 was the worst quarter in recent times, in Europe. The most positive news for Endurance overseas is regarding newly acquired business in the previous quarter, as Mr. Jain already told you before. We acquired €42 million business in one quarter of which €25 million with Volkswagen Group, €17 million with Stellantis. And please consider this €25 million



with Volkswagen is for 100% electric product, and this €17 million with Stellantis is 100% of hybrid technology. So, it means that in the last two years we acquired more or less €140 million, more than 50% of our stable annual business, 30% completely electric, 53% completely hybrid.

We are following the markets in the correct way, because two days ago we received a study of the industry. The study says that, in the previous calendar year – January to December 2022, in Europe, electric vehicles reached 30% of the total market. So, it means that in terms of booking orders for EV and Hybrid businesses, we are in a strong situation in the market for the future.

Aditya Jhavar: Similar question for the India business. Last year was a little bit of a challenging year for us. How are you seeing the next year both in terms of growth as well as on margins?

Anurag Jain: I think the most important aspect for Endurance in its 19 plants in India is that while the capacities are largely used up there is still some room to add business. In fact, we could have done much better in Q3 barring the fact that towards the latter part of the quarter, the sales really dropped for all OEMs. Even if you see the sales figures of the industry, the last 30 to 45 days of the quarter was quite weak. And for us in the 19 plants, we have done enough of consolidations in the past. We don't plan to consolidate anymore. We want to get new business. And more than Rs. 20 billion of

new business was won by us in the last three years. So, we have to use capacity at the plants.

As the capacities get used up, the margins become incremental for us. And that's why we feel we could have done much better with better offtake. Of course, Q3 is always worse than Q2 every year, because Q2 is more of quarter going in the festive period. And that's why Q2 is always the best, amongst the best Q2 and I could say Q4 also.

Out of order wins of Rs. 2,744 Crore, Rs. 1,962 Crore or 72% is new business. In this new business, sales increase this financial year was Rs. 4,410 million. Next year Rs. 6,730 million further new business would be added irrespective what happens in the market. And from FY '25 and FY '26 there will be Rs. 8,480 million further incremental business. So, our strategy is to go for profitable new business growth. And it helps us because when we occupy these plants, the economies of scale really improve for us and the profit becomes incremental. And of course, like I mentioned earlier, EV is the large focus for us, you know.

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Moderator: Thank you. We have the next question from the line of Jinesh Gandhi from Motilal Oswal. Please go ahead.

Jinesh Gandhi: First, can you share the revenue, EBITDA, PAT for Maxwell and for European operations?

Satrajit Ray: So, Maxwell Total Income for this Q3 was Rs.58 million, and loss at EBITDA level was Rs. 47 million. We started consolidating Maxwell from Q2. In the last quarter, their total income was Rs. 40 million, and loss at EBITDA level was Rs. 61.5 million. So, as you can see from Q2 to Q3, there has been a marginal increase in sales and the loss at EBITDA level has come down.

Massimo Venuti: At Endurance Europe, in the third quarter we closed with €60.1 million turnover with €8.6 million EBITDA, 14.4% EBITDA margin, and with the net result of €3 million, 5.1% PAT margin.

Compared to the previous year, there was 26.1% increase in turnover, 64.6% in EBITDA and 171% in terms of net results. I want to underline that without considering the increase of aluminum price, the EBITDA% would have been 14.7%. But if I were to use raw material prices as prevailing two years ago, the EBITDA should have been 16.4% instead of our reported EBITDA% of 14.4%. So, compared to two years ago, we lost 2% in our EBITDA% only due to the increase of raw material prices.

Jinesh Gandhi: And continuing on the European business, so can you share the order intake number again?

Massimo Venuti: Yes. We acquired new business in the last quarter of around €42 million. We closed Q2 with €25 million business acquired and with Q3, the year-to-date is €67 million. Out of €42 million business won in Q3 €25 million is with Volkswagen Group for four different parts. 100% electric, and €17 million with Stellantis for a clutch housing of the new transmission for hybrid vehicles. Over the last two years, €140 million of business was won.

Jinesh Gandhi: And with respect to availability of chip supply, are you seeing that getting addressed? Obviously, it might not be back to full normalcy, but you are seeing sustained improvement on quarter-on-quarter basis on the chip supply?

Massimo Venuti: The situation of the chip supply is under control, because, the demand is very weak. In this moment, the volumes are not so good. For this reason, the customers are recovering this year. Probably, there continues to be some problem in specific premium cars, but I can tell you that is not a problem for the overall European market. In this moment, the problem continues to be the inflation and the interest rate, because with this level of inflation, we have to increase the salaries. Otherwise, we cannot manage 11% of the inflation in the European market. We are not used to having this level of inflation.

Speaking about the raw material, I believe that due to the recession that is expected to a

arrive in next

months due to the inflation, there would be a reduction in raw material prices, and probably we can come back to the normative EBITDA% going forward.

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Jinesh Gandhi: My next question pertains to the India business. We have seen some moderation in demand for specific season in the two-wheeler side. How does the order book or production schedule look like from our customers in the fourth quarter?

Anurang Jain: Q4 is always better than Q3. So, it will be better for sure.

Jinesh Gandhi: And are we seeing any benefit of low metal prices now percolating to our P&L based on perspective of mathematical benefits?

Anurang Jain: I don't think so because there has been a correction already in the aluminum as well as steel. I am not seeing any further likely correction in Q4.

Moderator: Thank you. We have the next question from the line of Aashin from Equirus Securities. Please go ahead.

Aashin: Sir, our aftermarket sales this quarter are down 6% year-on-year which you have highlighted due to some headwinds from exports. So, could you help us with domestic aftermarket sales numbers and give a guidance on how aftermarket sales in the domestic market are?

Satrajit Ray: Our Q3 domestic aftermarket sales for FY '22 was Rs.844 million versus Rs.871 million, which is a 3% increase Year on Year basis. And exports declined from Rs.303 million to Rs. 208 million, which is a decline of more than 31%. So, the total aftermarket sales for Q3 FY22 were Rs.1,147 million in comparison with Rs.1,078 million for Q3 FY23, which is a 6% decrease. But if you look at the nine-month period, domestic sales went up from Rs.2,061 million to Rs.2,531 million, which is an increase of 22.8%, and exports came down from Rs.801 million to Rs.554 million, which is a decline of 30.8%. So, in totality, Rs.2,874 million, that is YTD December FY '22 versus Rs.3,085 million YTD December FY '23, which shows us a growth of 7.3%. Export market predominantly Sri Lanka, Bangladesh, Egypt, and certain parts of South America have not picked up as soon as they should have, but we believe that in the next three to six months, things will improve in the export market.

Aashin: My next question is regarding ABS. So, we were saying that in last quarter we have mentioned that by December '22 we would get a approval of dual channel ABS from RE. So, where are we on that? And also, if you can share the 3 months and 9 months numbers for revenue from ABS, how do you see that run rate going forward?

Anurang Jain: Our dual channel is under approval first at Bajaj, and RE will follow. Our capacity will be ready by end of March, and we hope to start supplies sometime in Q1 FY24, because our capacity will reach 600,000 which will include about 200,000 of dual channel. We will subsequently increase capacity to 1.2 million by the second half of 2024. Well, I can't tell you the value, because though I have told the number. I cannot give the value, you will know the pricing, and that's the concern for me. I cannot disclose the ABS segment revenue.

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Aashin: And then what sort of run rate do we see from ABS going forward?

Anurang Jain: What you will see is a more profitable growth. Like I said, this is a technology component, and, we are starting in-house production of valves actually end of this month itself, and March will be the normal supply. We have the technology from BWI which has really helped us with this. And this would substantially bring down this price compared to outsourcing. I think this initiative will give us much more profitable growth on the ABS.

Aashin: There are a few players who are facing actions due to FAME –II subsidy being taken off. So, if you can give us some idea about what percentage of our order book is coming from these players? And do you see any problem

over there?

Anurang Jain: I think we will have to see how that plays out on their subsidy. We are engaged with everybody who is significant in the EV space, and we are going to win orders from everybody. And what volumes they do, that depends on the market and how their vehicles sell.

Aashin: The CVT supply to HMSCI. We have said that from Q4 FY '23 we expect that to begin. So, where are we on that?

Anurang Jain: The testing has almost been cleared for HMCL. I would say, we are on the acceptance criteria. So, that is something which I know has gone slower than expected, but we are totally at it to see that we get this cleared fast for supplies.

Moderator: Thank you. We have the next question from the line of Nishit Jalan. Please go ahead.

Nishit Jalan: I have two questions, Anurang. Firstly, on the casting side, we had got a lot of orders from four-wheeler OEMs and also some non-auto customers. So, just wanted to understand where are we in that? And how much ramp up can we see in that business over the next one to two years?

And my second question is on Europe. Massimo talked about incentive from Italy government in this quarter. So, just wanted to understand what was the quantum of that? And will this be recurring in nature? Or will we get this in one or two quarters in a year?

Anurang Jain: As far as the four-wheeler business in India is concerned, we have got almost Rs.250 crores of Hyundai and Kia. That's why we started the second plant at Vallam last year. And we have also got orders from Tata Motors and Mahindra & Mahindra. So, I think the four-wheeler business increase is already started to play out. Basically, the casting business is driving up our share of business in the four-wheeler.

So, if the share of the four-wheeler was at about 6.5% of standalone sales a year ago, and is now more than 8%. And slowly we want to take this high, step by step.

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So, definitely, we have a very large focus on the four-wheeler casting business, with total machining. And of course, the non-automotive business, we have got from Sanmina for the casting required for Jio towers, which is worth almost Rs. 750 million business. And orders from Generac for genset for export to the US, that's about Rs. 450 million business, which is still to start. So, cumulatively the four-wheeler and the non-automotive business, we want to take it more than 10%.

Nishit Jalan: And in the Europe side?

Massimo Venuti: Speaking about the energy, the Italian government gave incentive in Q3, and also in the first two quarters of this calendar year. An incentive of 45% of the delta energy costs compared to the previous year shall be provided. This 45% incentive is recorded such that we have the benefit immediately in our profit and loss statement. And we can use this credit for payment of taxes in terms of avoiding cash payout. This incentive is only for shorter term, because starting from April the intent of the government has not yet been announced.

The German government has earmarked Euro200 billion for the next three years in order to support consumers and companies in high energy price situations. Considering the conditions, we are still trying to comprehend regarding how the German government will intervene in different energy price situations. In Q3, there was a reduction of 50% in the electricity prices and 52% in gas prices compared to the peak reached in the previous quarter. Now the energy price situation is more or less under control. And for this reason, the government is taking time in order to define the future of the incentive.

Nishit Jalan: Just one last question. What was the total CAPEX for us in the nine months so far? And I understand that in India, we would not need to incur the major growth CAPEX, even the capacity utilization is low. But in Europe, we are growing very well, gaining market share. Would w

e need to incur any

CAPEX in Europe next year?

Massimo Venuti: Yeah. So, speaking about Europe, in this financial year, considering the situation till the end of December, we expect to close with a gross CAPEX of more or less €25 million. The net CAPEX will be lower, since we would be recovering part of this investment from our customers. Speaking about 2023-24, in this moment we are preparing the budget.

But I can tell you that the next financial year will be one of the most important in our history in terms of investment, because we are installing the production capacity for the €140 million business acquired in the last 24 months. And so we could reach €40- €50 million, but now we are speaking about total investment and not about cash out because we have to see what will be the impact of the support from our customers in terms of the lump sum for the machines, and also for the tooling of parts. We could spend about €45 million in the next financial year.

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Moderator: Thank you. We have the next question from the line of Anik Mitra from Finartha Research. Please go ahead.

Anik Mitra: In the presentation, it was mentioned that elevated metal prices help sales growth. Can you throw some light over this?

Satrajit Ray: When metal prices go up, it affects our raw material cost, and similarly, there is a pass on of that cost on my top line through the sales price. So, suppose today I am at Rs. 100 of sales and Rs. 70 of raw material cost, if there is a Rs. 2 increase, 100 will become 102, and 70 will become 72. So, that's the kind of impact that higher metal cost has on sales growth. So, in Q3, that amount was not extremely large for a company of Endurance's size. It was close to Rs. 30 crores, but for the nine months, it was much larger, close to Rs.300 crores.

Anik Mitra: That means Sir, 100% pass on is possible from your end?

Anurang Jain: Yes.

Anik Mitra: My next question is about Frenotecnica and New Fren SRL. So, the names sound quite similar.

Are these two separate entities altogether?

Anurang Jain: They are both separate companies, bought from different owners.

Anik Mitra: When we can expect some contribution from these companies to our top line and EBITDA?

Massimo Venuti: Both these companies are EBITDA positive. The strategy is to enter the aftermarket in the two-wheeler segment in Europe. And for this reason, we decided to acquire two important companies.

New Fren is absolutely, very well recognized in terms of brand for clutch and for brake components, not only in the two-wheeler motorcycle, but also in the bicycle. The acquisition of New Fren in November 2022 has a reason also in the footprint of the company because they have a plant in Tunisia also, and this plant could be really competitive in terms of the cost of production for all the range of products of the two-wheeler.

The strategy is to try to make synergy between Adler, Grimeca, the brand already in our portfolio in the previous financial year, and now also Brenta, the brand of Frenotecnica, and New Fren, and to define a different position for each brand into the markets for two-wheeler, motor bike, bicycle markets, and to increase the profitability. We are expecting a total turnover for these companies to reach €13-€14 million levels in next three to four years.

Moderator: Thank you. That was the last question. I would now like to hand it over to the management for closing comments.

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Anurang Jain: No, I don't have any further comments. I have made my opening remarks. But I want to thank everybody for this call.

Management: Thank you.

Moderator: Thank you. On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Q4 FY23 Earnings Conference Call

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MANAGEMENT : MR. ANURANG JAIN – MANAGING DIRECTOR,  
ENDURANCE TECHNOLOGIES LIMITED  
MR. RAMESH GEHANEY – DIRECTOR & CHIEF OPERATING  
OFFICER, ENDURANCE TECHNOLOGIES LIMITED  
MR. MASSIMO VENUTI – DIRECTOR & CHIEF EXECUTIVE  
OFFICER, ENDURANCE OVERSEAS, ENDURANCE  
TECHNOLOGIES LIMITED  
MR. SATRAJIT RAY – DIRECTOR & GROUP CHIEF  
FINANCIAL OFFICER, ENDURANCE TECHNOLOGIES LIMITED  
MR. RAJ MUNDRA – TREASURER & HEAD, INVESTOR  
RELATIONS, ENDURANCE TECHNOLOGIES LIMITED

MODERATOR : MR. NISHIT JALAN – AXIS CAPITAL LIMITED

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Moderator : Ladies and gentlemen, good day and welcome to the Q4 FY23 Conference Call of Endurance Technologies Limited hosted by Axis Capital Limited.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “\*” and then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nishit Jalan. Thank you, and over to you, Sir.

Nishit Jalan : Thank you so much. Good morning, everyone. Welcome to Q4 FY23 Post-Results Conference Call of Endurance Technologies Limited.

From the Management Team, we have with us Mr. Anurang Jain – Managing Director; Mr. Ramesh Gehaney – Director and COO; Mr. Massimo Venuti – Director and CEO, Endurance Overseas; Mr. Satrajit Ray – Director and Group CFO; and Mr. Raj Mundra – Treasurer and Head - Investor Relations.

I will now hand over the call to Mr. Jain for his opening remarks, post which we can have Q&A. Over to you, Mr. Jain.

Anurang Jain : Thank you, and good morning to everybody.

I would like to share details of how we have done in Q4FY23 and in the whole Financial Year:

- a. In India, in Q4FY23 as per SIAM data, the 2-wheeler industry sales degrew by 4.15% compared to the previous financial year. Scooters grew by 11.9% and motorcycles degrew by 10.1%. The automotive industry in India had a degrowth of 0.5%.
- b. In Europe, in Q4FY23, there was an increase of 17.9% in the European Union Automotive Sales.

On the financials, I will briefly talk to you about the Q4FY23 and then the whole FY23:

1. In Q4FY23, our consolidated total net income grew by 7.8% and was Rs. 22,551.54 million as compared to Rs. 20,914.76 million in Q4 of the previous year. Consolidated EBITDA grew by 13.5% to Rs. 3,062.1 million from Rs. 2,698.12 million in Q4FY22.
2. Consolidated EBITDA margin was at 13.6%. The net profit grew by 0.2% and was Rs. 1,364.67 million at 6.1%. This includes the Maharashtra State Mega Project incentive in Q4 of Rs. 3.71 million.
3. In Q4 our standalone total income grew by 6.1% and was Rs. 16,595.76 million as compared

to Rs. 15,640.65 million in Q4 FY22.

4. Standalone EBITDA degrew by 0.3% to Rs. 2,058.34 million as compared to Rs. 2,064.65 million in Q4FY22. The EBITDA margin was at 12.4%. Standalone net profit degrew by Endurance Technologies Limited  
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8.9% was Rs. 1,045.11 million at 6.3%. This includes the Maharashtra State Mega Project incentive in Q 4 of Rs. 3.71 million.

5. For FY23, our consolidated total net income grew by 16.6% and was Rs. 88,494.73 million as compared to Rs. 75,901.78 million in FY22. Consolidated EBITDA grew by 7.6% and was Rs. 10,816.93 million as compared to Rs. 10,056.76 million in FY22. Consolidated EBITDA margin was at 12.2%.

6. The net profit grew by 4.1% and was Rs. 4,795.76 at 5.4%. This includes the Maharashtra State Mega Project incentive of Rs. 589.27 million.

7. Our subsidiary, Maxwell Energy, had sales of Rs. 180.29 million, with an EBITDA loss of Rs. 118.51 million.

8. In FY23 our standalone total income grew by 18.8% and was Rs. 67,957.07 million as compared to Rs. 57,214.81 million in FY22.

9. Standalone EBITDA grew by 7.2% and was Rs. 8,074.34 million as compared to Rs. 7,530.52 million in FY22 with an EBITDA margin of 11.9%. Standalone net profit grew by 7.1% and was Rs. 4,089.17 billion at 6%. This includes the Maharashtra State Mega Project incentive of Rs. 589.27 million.

10. There was no net debt and consolidated positive cash available of Rs. 4,193 million. Detailed financials are available with the stock exchanges and on the Endurance website. I would like to share key points for the FY23:

1) In FY23, 77% of our consolidated total income incl

uding other income came from Indian operations and the balance 23% came from our European operations.

2) In India in FY23, Rs. 9,350 million of new business was won from OEMs other than Bajaj Auto which included HMSI, Hero MotoCorp, Ather Energy, Hero Electric, Mahindra, TVS and Tata Motors. This new business included Rs. 7,800 million of new business and Rs. 1,550 million of replacement business. The total business wins for EVs till date is Rs. 6,004 million. This includes Rs. 3,765 million new orders for EVs, mainly from Ather Energy, Hero Electric, Greaves Electric, which is Ampere and Aptiv in this financial year.

This Rs. 6,004 million of EV business wins at Endurance, does not include the Rs. 1,290 million of new EV business will at Maxwell Energy. In FY'23, EV business wins was 42% of the total business wins.

I would like to mention that we have Rs. 25,668 million worth of request for quotes from OEMs. Since FY20 in India, Rs. 28,880 million of business has been won out of which Rs. 21,060 million is new business and Rs. 7,820 million is replacement business. Out of Rs. 21,060 million new business, Rs. 4,410 million happened in FY23 and a further Rs. 6,920 million will happen in FY24 and the balance Rs. 9,730 million will happen in the FY25 and FY26.

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Some of the new business wins, which will start in FY24 are:

■ TVS Rs. 402 million suspension business which would start at a Kolar, Karnataka plant from November 2023.

■ Hero Electric suspension business of Rs. 489 million which will start at Halol, Gujarat plant from June '23 onwards.

■ CBS brakes business of Rs. 272 million from Okinawa, the EV scooter maker and this business will start from October '23 at our Waluj, Aurangabad plant.

■ The Greaves Electric or the Ampere Suspension business of Rs. 155 million will start from our Kolar, Karnataka plant from August '23. In addition, the Greaves Electric Ampere Brakes business of Rs. 290 million will start at our Waluj, Aurangabad from August 2023.

■ The Ather Suspension business of Rs. 150 million will start in June '23 from our Kolar

plant at Karnataka. For the Ather Brakes business of Rs. 1,591 million, supplies have started, and this will reach a peak in the next financial year of FY'25.

■ Apart from the Rs. 9,350 million business wins, we have received an additional Rs. 1,200 million order from Hero MotoCorp for supply of front fork and shock absorbers from our plant at Halol in Gujarat. This business has started in April '23.

■ The ABS capacity is being now ramped up to 600,000 single and dual-channel ABS assemblies by July 2023 at our Waluj, Aurangabad plant.

■ The new 35 dia air suspension forks to be supplied to KTM, Austria will start by end of this financial year, with the help of KTM technology from our Waluj, Aurangabad plant. The value of this business will be Rs. 400 million per annum and it will be directly exported to KTM, Austria.

■ Our Battery Management System assembly line that's the SMT line will start operations from July '23 at our Waluj, Aurangabad plant. The value of the business when it reaches its peak will be at Rs. 800 million per annum.

■ For the EV scooters, we are ramping up our capacity to 240,000 per annum for the battery pack and the motor housing aluminum castings. The total value of this business won is Rs. 1000 million per annum, which will start in this financial year and will reach the peak in the next financial year.

■ For Ather Energy, we have started fully machined side channel aluminum casting at our Vallam plant with a full business volume of 200k per annum and the value of Rs. 410 billion. This business will peak in this financial year.

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■ For our aluminum forging business, which we have started with our collaboration with FGM Italy, we are increasing the capacity from 28

0,000 parts per annum to 600,000

parts per annum with an additional business value of Rs. 750 million from our Waluj, Aurangabad plant. This additional business will start this year and reach a peak in FY25.

■ At our Chakan plant, Pune, we are installing machines for structural aluminum castings like swing arms, sub frames and structural fairings for both EV and ICE models which are going in for light weighting, for Bajaj Auto, KTM, Piaggio and TVS. This business starts this year and will peak in next financial year of FY25.

■ The Suzuki scooter front fork business of Rs. 1,398 million which we won in the last financial year will start from our Waluj, Aurangabad plant in the next financial year of FY25 and we are installing a one million front fork numbers new line for the same.

■ Apart from Bajaj Auto and HMSI, we have now added TVS for supply of inverted front forks. The supplies will start in Quarter 1 of FY25 and the business value is Rs. 212 million.

I would like to mention that our customers now recognize Endurance as a trusted and capable partner in their value chain in terms of both technical and financial strengths.

3) The electronic vehicles market continues to offer significant opportunity for growth to the auto component industry. It is estimated that the Indian EV market will touch Rs. 150 billion by 2030, growing at a CAGR of 90% in the next decade. Therefore, at Endurance we have taken a major step towards the same to harness this opportunity by executing a Share Subscription and Purchase Agreement of acquiring 100% of the equity share capital of Maxwell Energy Systems Private Limited in a phased manner.

We have concluded the acquisition of 51% stake in Maxwell in July 2022. Maxwell, as you know, is in the business of advanced electronics particularly in Battery Management Systems or the BMS for two-wheeler EVs and automobile and stationery storage battery packs.

We are happy to inform you that we have won Rs. 700 million order of BMS from Hero Electric and Rs. 495 million of business from Greaves Electric or Ampere, these supplies

will start in July '23 and September '23 of this financial year respectively.

We have won new BMS business of Rs. 1,290 million in FY23 and Rs. 496 million till date in FY24. And we have a pipeline of RFQs of Rs. 1,310 million. Till date, since FY22, Rs. 3,286.2 million business has been won by Maxwell which is expected to be fully realized in FY26. With the current order book, order pipeline and technical strengths between Endurance and Maxwell, we are confident of achieving our goals in the embedded

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electronics space. In FY24, we are focusing on substantial sales growth and a positive EBITDA.

4) To help our overseas operations to grow in the European two-wheeler-components profitable aftermarket business, we have acquired an Italian company Frenotecnica in July '22. This company is in the business of friction materials and components for braking systems like brake pads for two-wheelers.

Also, in November 2022, we acquired the Italian company New Fren Srl. New Fren is engaged in the business of brake discs, centrifugal clutches, pads and brake shoes for two-wheeler vehicles.

The acquisition of our past Italian collaboration partners Adler and Grimeca for clutches and brakes in 2020, Frenotecnica in 2022 and now with the acquisition of New Fren in November, we are creating a Centre of Excellence in Italy for the business of premium components in the two-wheeler segment, giving profitable growth opportunities to the Endurance Group. Last year we had sales of approximately €15 million and we want to double this in the next few years.

5) As brake assembly business is growing with the addition of Bajaj, TVS, Royal Enfield, Yamaha, Hero MotoCorp, Ather and HMSI our second plant at Waluj, Aurangabad has already started operations. With this new plant our

disc brake assembly capacity has increased to 6.2 million numbers per annum and the brake disc capacity has increased to 8.1 million numbers per annum.

6) As you are aware, the supply of two-wheeler ABS assemblies to Bajaj Auto and Royal Enfield have started, we have reached a run rate of 400,000 ABS assemblies per annum. As you are all aware, competition is mainly from Bosch which controls the major market share in the Indian ABS two-wheeler market.

7) We are also in the process of supplying our dual-channel ABS, also by Q2 of this financial year. And we are setting up additional assembly lines by 200,000 ABS assemblies per annum, which will take our capacity to 600,000 ABS assemblies per annum. We are further planning to increase the volumes to 1.2 million both single and dual channel ABS assemblies per annum by the second half of the FY25.

8) We have, in March 2023, also started manufacturing the ABS valves, which is an import substitute. It is not only a technology component but will help us in substantially lowering our costs.

9) Due to increased orders from Bajaj, Yamaha India, TVS and Hero Electric, we have added a new plant at Chakan to help increase our supplies and volumes to 4.5 million wheels per annum

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annum from 2.8 million wheels per annum. This plant already started in July '22. We will reach peak supplies in Q2 of this financial year.

10) .As far as Europe is concerned, in FY'23 we have won €83.87 million new business mainly from the Volkswagen Group, Daimler and Stellantis. In the last two years, €158 million of business has been won.

11) I would also like to point out that Endurance, both in India and Europe, is actively pursuing



its focus on gaining access to new technology and focusing on new product organic and inorganic growth.

12) As mentioned earlier, Endurance has also entered to backward integration product areas :

a) Aluminum forging axle clamps for inverted front forks with the help of collaboration with FGM Italy. We have already started supplies to Bajaj Auto and directly to KTM. We have also won orders for stem assembly and under bracket aluminum forging from Hero MotoCorp. And we are actively engaged on new business with other OEMs for supply of aluminum forging other than inverted front forks. As you note this is used by EVs for light weighting also. And that's why the capacity is being increased from 280,000 parts per annum to 600,000 parts per annum in our plant at Waluj, Aurangabad.

b) The second product is the wire steel braided hoses for ABS applications for mid and high-end bikes, these supplies already have started from last year. Both these projects are helping us in our profitable growth.

13) In FY23, our aftermarket sales grew 2.91% from Rs. 4,189 million in the previous year to Rs. 4,310.9 million. We are now exporting our aftermarket parts to 31 countries. And aftermarket sales growth is a large focus area for us.

14) In FY23 our export sales for India stand-alone business degrew by 5.6% from Rs. 2,241.19 million in the previous year to Rs. 2,116.23 million. The major impact was due to lower export sales to countries, in Africa, South America as well as our neighboring countries. On the environmental front I would especially like to mention that Endurance is striving to be carbon neutral in its plants by effective use of solar power and wind power, creation of carbon sinks by driving tree plantation and thereby creating dense forests and also by driving use of natural gas and LPG gas in place of electric power and furnace oil. As mentioned earlier, the use of furnace oil has been completely stopped at Endurance. We achieved a carbon neutral percentage of 22.6% in FY'23 and our aspiration is to reach 50% in the next three to four years. We are also focusing on lowering hazardous waste generation to achieve zero waste to landfill.

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At Endurance it will be our continuous endeavor to grow through organic and inorganic growth with a focus on technology upgradation, quality improvement cost and environment and health & safety. We will do our best to fulfill our stakeholder expectations by following our five values of Customer Centricity, Integrity, Transparency, Teamwork and Innovation. At Endurance, we have a very positive outlook based on our new large business wins, including for electric vehicles in both India and Europe. With these opening remarks, I would like to invite questions from all of you. We have one of the Maxwell founders Mr. Akhil Aryan and our Maxwell CEO – Mr. Vishwas also on the line for taking your question on Maxwell. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. We have our first question from the line of Aditya Jhawar from Investec. Please go ahead.

Aditya Jhawar: My question is on European business, Massimo if you can highlight what was the government contribution in Q4 on account of the energy prices. And considering the energy prices have come down, what is our expectation for government support in FY24?

Massimo Venuti: Yes, in Q4FY23, we had around 17.8% of EBITDA and we recovered 100% of the increase of energy cost considering the support from our customers and also the incentive from the government. Only for Q4 of the financial year, the Italian government gave 45% of credit asset to the company. We were able to offset the impact of higher energy costs, by considering 45% asset credit and contribution from customers and for these reasons we came back to this level of profitability. From the first of April, unfortunately the government will reduce this contribution from 45% to 20%. So, the expectation for the future is reduction of government contribution, but please consider that the energy cost is going down in an important way. Yesterday in the market, the energy closed with 120 and the gas with 35, and it is approximately 25% less compared to the previous quarter. Our expectation is that we can try to offset this reduction of contribution from the government with the reduction of energy cost in the market.

Aditya Jhawar: What is our expectation for margins in FY24?

Massimo Venuti: The expectation is to improve the profitability compared to the previous year. We closed FY23 with 14.5% EBITDA margin and consider that with the same level of aluminum of the previous financial year, the profitability in terms of EBITDA should have been 14.9% and 5.1% in terms of net result. We are positive for the situation in terms of volume and also energy cost to improve the profitability

compared to the previous financial year.

Aditya Jhawar: How is the outlook shared by the OEMs in Europe? Do you foresee a higher level of wholesale dispatches to replenish the inventory and how is the situation in terms of the consumer sentiments on the ground?

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Massimo Venuti: Unfortunately, the sentiment is not so positive due to the high level of inflation, we are awaiting a recession not only Europe but probably in United States also. The previous quarter closed with an increase of new car registration numbers of 17.9% and the total financial year closed with an increase of 2.9%; but we are so far from the normal pre-COVID volume situation. The market closed with minus 24% compared to FY19.

The positive aspect however is that the exit quarter closed with a more-or-less 17% increase. And important to note the increase of production in Germany - in January, there was an increase of 29% of production, in February 24%, in March 67%. So from my point of view, it signals delivery of the car stocks to the dealers, which had suffered in the last 18 months for several problems including supply chain for semi-conductors. Now the OEMs are increasing the stock, w

aiting for the situation to improve

in terms of demand, but in this moment the environment is not positive due to the inflation.

Moderator: Thank you. The next question is from the line of Mumuksh Mandlesha from Anand Rathi. Please go ahead.

Mumuksh Mandlesha: You have indicated the new models for both standalone and Europe that would be ramped up in next few years. This would be a gross addition right. And can you indicate on net basis considering the running down of old orders, what kind of growth or performance you see over the industry in both India and Europe?

Anurang Jain: As far as India is concerned, it is very difficult to know what will be phased out and what is going to be added and that also depends on the volumes which are mentioned in the LOIs or in the purchase orders. But we will always outperform industry. Last year the two-wheeler industry sales were up 8.3%, automotive sales were up 11.8% led by passenger cars, but Endurance sales growth was 18.8%. EU industry sales last year was up 2.9%, we have grown 12.7% in Euro terms. So, I can only say that we will outgrow industry. It is very difficult to say the impact of sales going down on existing orders, that is why we separately mention replacement business and new business. As mentioned in the opening remarks, we have an estimate of how the new business is going to increase in the next two to three years.

Mumuksh Mandlesha: On the EV specific component, we have made inroads into BMS; what are then plans to look at other EV specific components going ahead?

Anurang Jain: We are looking at other electronic components also, but right now our major focus is to consolidate and grow and become profitable in Maxwell. We have won a lot of new business since FY2022 and this year we want to be positive at the EBITDA level with substantial growth. Our focus is to strengthen Maxwell and make it a financially strong company with good orders. So that is a focus of Akhil Aryan, Alex Collet the founders, the CEO Vishwas as well as all of us at Endurance. BMS is a huge opportunity - we won two large orders and have pipeline of orders in the form of RFQs. We are really focused on really growing this company. So, for other electronics, if a good opportunity comes, we will take it side by side, but right now the focus is on BMS.

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Mumuksh Mandlesha: How do you see the two-wheeler industry growth for this year? How is demand picking up?

Anurang Jain: The customers tell us it can be 10% to 12%. Having said that, it is difficult to predict how much growth there will be because there are so many unknowns in the future. Since new order wins is under our control, we are going after orders both in India and Europe, and in the last one year we have received very good business wins both for EV as well as ICE in Brakes, Suspension, Castings.

Moderator: Thank you. The next question is from the line of Jinesh Gandhi from Motilal Oswal Financial Services. Please go ahead.

Jinesh Gandhi: For European margins, the 17.8% EBITDA for 4th Quarter, how it would have been without compensation from the Italian government? And how do we see the trend over next couple of years on the European margins?

Massimo Venuti: So, regarding the incentive from the government, in Q4FY23 we received 45% incentive of the total energy cost. Starting from the 1st of April this incentive from Italian government will reduce it to 20%. In Germany, they fixed price cap with €150 and at current energy prices, we are not receiving any support, because the price of energy is lower compared to the price cap. Profitability in the last quarter of this financial year, compared with the previous financial year was not impacted, considering that we have been able to offset 100% of the increase of energy cost with government support or customer actions. Regarding the future, our expectation is to increase the profitability comp

ared to the previous

year due to the fact that the energy cost is going down in an important way - gas reached €30 compared to €15 of the pre-COVID situation 2019. In the previous financial year, electricity was €280 today we are seeing just about €120. For gas, €120 is down to about €30. If the prices will remain more or less the same with the stability of volume we can come back in the normal profitability.

Jinesh Gandhi: So, the 17.8% is a near normal margin for us?

Massimo Venuti: In the previous quarter, we achieved €67.4 million turnover with a growth of 8% compared to the previous year. Profitability is positively impacted by good volumes and reduction of energy cost. If the volume continues to be high compared to the previous year, I am pretty optimistic to maintain good level of profitability.

Jinesh Gandhi: And Massimo can you talk about what was the PAT for the Q4FY23?

Massimo Venuti: In the previous quarter, we closed with €4.5 million, 6.7% margin and for complete FY23, we closed to €12.1 million, 4.9% margin.

Jinesh Gandhi: With respect to the India business on the aluminum die-casting we have got good orders on the scooter side as well. So on the electric scooters, please comment on the content now what it is vis-à-vis the ICE scooters. In the past you have indicated it is broadly similar, now but since you have got the orders is it in line with what we were looking at earlier?

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Anurang Jain: On EVs, we have got from Ather Energy, Hero Electric, Okinawa, Greaves Electric. We have orders for brakes, suspension and castings and of course for BMS. Ather has also given us order for the side channel castings. So, we don't see any concern in per vehicle content for brakes, suspension and castings. We really got into the market for taking new EV orders, just about 1.5 or 2 years ago. As mentioned earlier, already 42% of orders are for EV in the last year. So, we are now going very aggressively for EV orders. It will take time to add casting business for multiple EV OEMs. So, it's just a start of a journey, we have a long way to go. We have seen good order wins but still a long way to go.

Jinesh Gandhi: On the India business margin, we have had an impact of commodity prices along with lower volumes. With some recovery in two-wheelers and commodity prices seeing some moderation, would it be fair to say we should be back in early teens now in the coming year and then moving towards 14%, 15%?

Anurang Jain: Yes, it will depend on the aluminum and steel prices. In fact, aluminum prices are still going up. It's almost doubled compared to FY21. In FY21, our RMC percentage in India was 62%. EBITDA margin I think in that year was 15.57%. Now RMC is 66.7% in FY '23, 4.7% higher, and we closed at 11.9% margin.

On the cost front, we are doing everything we can, whether it's Other Expenses, Employment cost or other heads. We are doing everything to see how we can sweat our assets, improve OEEs in our plants - original equipment efficiencies. I am told that the EBITDA amount in FY '23 has been the highest ever reported at Endurance in terms of absolute amount. This also indicates that we have done better in spite of challenging situation.

Jinesh Gandhi: Going forward the product mix will also be improving given fully machined castings and ABS?

Anurang Jain: It depends on the volume of the product mix- ABS, upside down front forks, brake systems are high value added parts. We are highly focused to increase these margins, we must come back to at least 13.5% to start with, you know.

Moderator: Thank you. The next question is from the line of Pramod Amthe from InCred Capital. Please go ahead.

Pramod Amthe: With regard to the aftermarket sales parts where I think you have indicated you are trying to nearly double the contributions of sales to around 10%. What actions you are taking? Because your total sales is organi

cally growing and you plan to increase the contribution of aftermarket sales. So, it would be almost like 2.5x to 3x the current aftermarket sales run rate which you want to achieve in two years.

So, can you give some color on that?

Anurang Jain: After-market sales as a percentage to India sales for the year is at 6.3%. Our ambition is to go to 10%, and to go step by step from 6.5 to 7.5, 8, and then take it forward in the next few years.

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The issue which happened last year was in export markets - we didn't expect the issues which were there in Africa, South America, Sri Lanka, Bangladesh - there were a lot of issues related to availability of currencies, and other macroeconomic factors. These factors affected the aftermarket sales in FY23. This year starting from June-July, we should see improvement in Sri Lanka, Bangladesh Africa.

We feel that this year will be a much better than last year. And it's a high focus area And our target is to reach 10% of India's sales by FY '26. Exports forms a very important part for sales growth. We export to 31 countries. We want to add another 5 countries in this financial year. We are in the process of doing that. If you see our domestic aftermarket sales, that has really done quite well this year.

There are lot of actions happening, for instance in Indonesia and Brazil. We have launched a very

special type of shock absorbers for Honda and other Japanese OEMs. They are very different from the shock absorbers we supply in the Indian or the other markets. We are slowly gaining entry into these new large markets. It takes time for us to realize good volumes and good sales value. But there is a lot of effort.

Even in India, we are aggressively going into Tier-2, Tier-3 towns, focusing pan-India for all our products. So, there are many initiatives happening on that front.

Pramod Amthe: With regard to your transmission parts business, it contributes around 5% of your sales. Considering the transition to EV and the risk, what are your thought process in terms of taking this business in the medium terms? Are there any new products possible there to make it a substantial part of your business?

Anurang Jain: It is 5.5% of our business, 80% of that is from motorcycles. There we are not seeing much of a traction into EVs. So, for our transmission business what we are planning is to get new customers in, like we have done for ABS, inverted front forks.

For inverted front forks, we have gone into backward integration by making aluminum forgings. For ABS, we have started with steel braided hoses and now valves from March. Similarly, we are planning to start a friction paper manufacturing plant by July '23 which will help us be more profitable in Transmissions and lower the dependence on imports from the US and China.

So, once three-wheelers become fully EV by 2030 or maybe earlier, 20% will be impacted but 80% of this 5.5% business is for motorcycles where we do not see anything happening very soon. We are trying to focus to get more volumes on the clutch business or adding more customers.

Pramod Amthe: On to new AIS standards for BMS, what is the actual change the industry has seen post April 4 meeting? And what impact on Maxwell in the next one year?

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Akhil Aryan: The new AIS standards are very important for the industry, and an opportunity for us to enter into long-term contracts with significant OEMs. We have won business and our focus is to become long-term partners with volume creators of 2025 and 2030.

We are not trying to go after all of the OEMs that are making say few hundred vehicles every month or so. We are basically focusing on the big business that we believe are going to lead the EV revolution at the country level.

Hero Electric is one of the significant players already on the road. They are making

a big move with

transitioning to Maxwell BMS even in their current models that are being deployed in hundreds of thousands of units every year – going forward will be using Maxwell BMS.

Ampere is also one of the significant volume creators after the acquisition by Greaves, they have actually doubled their capacity, their team, their plan for new vehicles and so on.

And with both of these companies, not only are we working on new vehicles but also helping them transitioning their existing vehicles to becoming AIS-156 compliant and meeting their localization needs, as their BMS was previously being bought from another country.

We are the sole player to Hero MotoCorp on their VIDA platform. We are also currently in conversation with a few large OEMs on their new vehicle launches, as well as helping them transition to AIS-156.

I want to reemphasize on the fact that Maxwell has been and is in a very strong position to enable OEMs to get a 100% localized BMS that is compliant with AIS-156, functionally safe. The new product that we recently introduced and which has enabled us to win some of the new businesses, which is the CT Lite, is a product that is specially designed to meet the needs of both cost and quality focused Indian two- and three-wheeler market. So we are absolutely living up and exceeding our plan on new order wins using the opportunity of AIS-156.

Pramod Amthe: And the last one is, thanks for the detailed presentation. A small request is since your order book on EV is improving, like the other segments you have indicated sales consumptions on this order book. If you can give a next two, three years outlook in the PPT, how this order book can convert into sales, that will be helpful and a guiding force. Thanks.

Anurang Jain: For EV, we have not given, but we have given overall rampup of new orders. We will have an internal discussion on that.

Moderator: Thank you. The next question is from the line of Arvind Sharma from Citigroup. Please go ahead.

Arvind Sharma: How do these new orders or new revenue from EV business compare with ICE business in terms of margins?

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Anurang Jain: It's a very sensitive question, but I think I have answered in the past calls, I would say margins are good. We don't have interest in business where we don't make money.

Our focus is not only business win, but business win in our plants where the capacity being used is

less, and that's why I specifically mentioned the new orders that are coming in our Kolar plant in Karnataka, Halol plant in Gujarat, plants which have a lower capacity utilisation. These will really help us in getting economies of scale and really improve the profitability in these plants which have been dragging us down in the last two years. So, these are also the focus areas, and we are putting EV business wins in these plants, you know, because they are doing the similar business of suspension, or castings, or brakes.

Arvind Sharma: Please share the revenue, EBITDA and PAT for your Europe business in rupee terms for Q4.

Massimo Venuti: In Q4, our revenue was Euro 67.4 million compared to 62.6 million of the previous financial year, an increase of 7.6%. EBITDA was 12 million of euros 17.8% EBITDA margin, compared to 7.9 million of euros in the previous financial year with 12.6% margin and a YOY increase of 51.9% in terms of EBITDA. Net result 4.5 million of euro, 6.7% compared to 2.7 million euro the previous financial year with an increase of 63.4% compared to the previous year.

Moderator: The next question is from the line of Vimal Goel from Alchemy Capital Management. Please go ahead.

Vimal Goel: My question is on the engine casting business. What is specific differential between your content per vehicle in the engine castings for ICE vehicles versus your aluminum casting for battery cases. How are these two in terms of comparison? Is th

e content higher or lower?

Anurang Jain: If I compare ICE with EV 2W, for ICE we have 7 parts, the crank cases are two, covers are two, cylinder block, cylinder head covers, cylinder head. In EV, there is a battery housing upper and lower. There is plates upper and middle, terminal ground, terminal part, terminal phase, base MCU, there are 9 parts in total. But here weight is 2 Kg less. But the value add is just 5% less.

In three-wheelers, we have the similar 7 parts in ICE, but in EV we have 11 parts because you also have a case transmission left and right which is added to the 9 2W parts, and here the value is, of course, much higher. So, almost 25%- 30% higher on a weight which is 1.5 Kg lower. So, in fact, these businesses are very good. That is why we are expanding our capacity by 240K per annum sets of castings mainly for the battery housing, motor housing and such other parts.

Vimal Goel: For BMS business overall, do you see some of these OEMs actually taking their battery management in-house? In the passenger vehicle industry, we have seen that most of the Battery Management has been taken in-house.

Akhil Aryan: The reality is building a BMS is a higher risk and low value opportunity for OEMs. So, the BMS is a critical component that goes inside of the battery, and it's not just sort of an analog device which has

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just hardware, but there are algorithms and software that need to be built both for safety as well as accuracy. So, whether it is state of charge, state of health, state of energy, state of power, all of these algorithms need to be designed - different configuration parameters that need to be put in place for working with different types of chargers, safety parameters for acceleration, for range estimation, or charging control so on and so forth.

You made a statement saying that passenger vehicles OEMs are designing their BMS in-house. I don't think that's accurate. I think that there is also a significant opportunity for us to enter four-wheelers in the near future.

There are components that OEMs are trying to build in-house, but when it comes to safety critical components, they are relying on companies like us - we have spent over eight years building the technology that we are putting out in the market today. We have deployed it over hundreds of thousands of vehicles that ran millions of kilometers validated with no failures on the road.

So, that credibility is something that really helps us build a narrative in front of OEMs that when they are designing new vehicles, instead of taking a bet on building something that could be detrimental, if there was any issue on the road even to their brand or to their product lines, they choose to work with people who have domain and in-depth knowledge as well as technology that is tried and tested on the road which is why we are seeing success with significant OEMs.

Now the OEMs that you might be referring to that has built their own BMS are perhaps OEMs that started much before. For example, Tesla or Ather or someone like that started 10, 11 years ago. At that time, they did not have a mature offering of Tier1 suppliers bringing the technology. So, they were basically forced to design the technology in-house and build it themselves.

But for significant OEMs that are launching their EV products today, they have to fight against time.

They don't have five years to design their own BMS and design every single product and build sort of vertically integrated technology.

From the perspective of OEMs designing their own BMS we do not see that as a risk. What we do see is OEMs wanting to design their own batteries. They want to own the IP on the battery level, and so they typically want to source the cells, design the electromechanical assembly and buy a BMS from say a company like Maxwell and assemble it by themselves into a proprietary design.

So, that's what we are seeing on the two-wheeler side. I think that that trend will continue. There will be other advanced electronics like Anurang mentioned that we are also venturing into beyond the BMS.

So, it's not like we are putting our head in the sand and saying okay, BMS will be here forever. We are also exploring other advanced electronics beyond the BMS that we will be bringing to market very shortly under the Maxwell umbrella. Our mission is to accelerate the transition to an all-electric future. And for that there will be various different advanced electronics required. BMS is our flagship

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offering today, and I think that will continue both for two-wheelers as well as passenger vehicles in the near future.

Moderator: Thank you. The next question is from the line of Mukesh Saraf from Avendus Spark. Please go ahead.

Mukesh Saraf: What proportion of the casting is fully machined. And how do you think that proportion can look in the next couple of years based on ongoing business?

Anurang Jain: So, I would say that 75% are either semi-finished or fully finished. There are some sticky customers who still want to do it in-house where most of the OEMs are giving it out because they don't want to get into the issue of rejections being sent back after machining. Today fully machined, we would be at a rough guess of about 40%, 45%.

But if we will be going to fully machined at 75%, 80%, that would be a good target to achieve. In fact, many customers are asking us to do that. And that requires investment also. So, we will go phase wise. I can't give when in future, but definitely I can only say that all the new business we are taking is only for machined castings.

These percentages are including Bajaj Auto. Among non-Bajaj business also, there are certain parts which are fully machined, there are certain which are not machined also. So, the non-machined parts are yet expected to go to semi-finished or fully finished. The mindset is to do machining in-house with a few of them. Bajaj Auto is a leader in doing fully machined.

And also, four-wheelers is largely fully machined only. Hyundai, Kia, Tata Motors, Mahindra is largely fully machined. There are some exceptions, but largely fully machined.

Mukesh Saraf: EV business wins for you stand at Rs. 6 billion. How are we looking at this FAME subsidy probably not being extended? Do you see a risk of the subsidy not being extended and the production at the OEMs falling?

Anurang Jain: We have to invest in the journey of EV where there is a large focus by the government and by the OEMs and for environmental reasons. Our job is to take the business, which we are doing. So if the volumes don't happen, we will do less sales, but most of these orders are from existing plants. We are trying to increase sales and profitability from the existing plants without much additional investment. We are not setting up a new plant, and most of the capacities are already there.

Moderator: Thank you. The next question is from the line of Aashin Modi from Equirus Capital. Please go ahead.

Aashin Modi: We have two products in testing and validation. One is CVT with HMCL and dual-channel ABS with Bajaj and RE. Could you tell us where are we on that?

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Anurang Jain: CVT is still under approval at HMCL, but that is going a bit slow. The kind of traction we were expecting is not happening. And also with scooters going the EV way in Hero MotoCorp, we are also having a review whether to invest time and money on this or not.

As far as the ABS dual channel, that will go very fast. Our target is to start supplies of dual channel by Q2 of this financial year.

Aashin Modi: We have seen we have got good traction in the e-two-wheeler space. So, could it be replicated in the e-three-wheeler space as well? And what sort of the

content difference can we see for us in ICE three-wheeler versus an EV three-wheeler?

Anurang Jain: For three-wheeler there are 11 parts versus 7 parts. The 11 parts are 1.5 Kg lower, with a much higher value add.

Similarly for brakes, we are already supplying to Mahindra Electric, and this month we are starting with Bajaj Auto for the three-wheeler EV brakes system, and we are in touch with others.

There is no front fork in three-wheelers, so we are focused on shock absorber business for 3W also.

Moderator: Thank you. Ladies and gentlemen, this would be the last question for today which is from the line of Aditya Jhawar from Investec. Please go ahead.

Aditya Jhawar: We are working with a construct where the OEM designs the battery and Endurance provide the battery management system. So, in this construct, how should we think about the warranty liabilities? Will OEMs accept the warranty claim?

Akhil Aryan: When we say the battery is designed by the OEM, it is essentially the electromechanical assembly. So, whenever there is a warranty claim, you have to be able to do a root cause analysis and figure out whether the failure was due to a design defect on the electromechanical assembly or whether it was a failure of an electronics board not able to say open or close a MOSFET, for example, in a specific case. Before we supply all of our BMSs, we do a very significant and complete testing of all functionalities

on every single board, because we want to be extra careful and we want to protect our reputation as well as Maxwell brand. We have been able to supply hundreds of thousands of units without having any significant failure on road so far.

So, before we ship out our BMSs, we actually do functional test of every single feature, and we also provide our customers with benches on their site, to enable them to retest all of these features along with the battery after battery integration before they install it inside the vehicle. They test the safety critical functionality before they put it inside, and that's basically where the handover happens.

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But if for whatever reason that is a field issue, then there is a very detailed process to identify the RCA or the root cause analysis of the issue, and it has to be attributed either to a design defect on the battery integration, battery design, or design defect on the hardware or software of the BMS. So, there is a hard line which will allow you to segregate whose warranty claim it will be.

Aditya Jhawar: In the presentation you had given a target of aftermarket reaching 10% by FY26. Similarly, can you give some sense that how should we think about four-wheeler contribution in India revenue which is now about 7.5%?

Anurang Jain: In India, we supply only aluminum castings to four-wheelers. What we are looking at is opportunities for inorganic growth in the four-wheeler segment and technical collaboration in the four-wheeler segment. To do brakes, clutches or any other proprietary product in future, we need a good technology partner.

While we are actively pursuing that to take 4W share of business up, please note that our 2W business growth is expected to be rapid with value-added products really going up and supplying all our products to all our OEMs, and even BMS 2W orders fructifying. So, four-wheeler inorganic opportunity as well as collaborations in terms of JVs or collaboration agreements are being looked at to enter this area.

Moderator: Thank you. Ladies and gentlemen, as that was the last question for today, I would now like to hand the conference over to the management for closing comments. Over to you.

Anurang Jain: I would just like to thank everybody for joining the call.

Moderator: Thank you, sir. On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

## Call: Aug 2023

21st August, 2023 ENDURANCE TECHNOLOGIES LIMITED  
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NSE Code: ENDURANCE

Sub: Transcript of Conference Call held in respect of the Company's Q1 FY24 financial results.

Ref.:

1. Regulation 30 and Regulation 46(2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations").
2. Intimation of telephonic / virtual meeting with Analysts / Institutional Investors dated 3rd August, 2023.

Dear Sir / Madam,

In continuation of the referred intimation and Listing Regulations, please find enclosed the transcript of the conference call held on 11th August, 2023 in respect of the Company's Q1 -FY24 financial results.

The transcript has been hosted on the Company's website at:  
[https://www.endurancegroup.com/wp-content/uploads/2023/08/Endurance - Technologies -Limited -Q1-Earnings -Conference -Call-11-08-2023.pdf](https://www.endurancegroup.com/wp-content/uploads/2023/08/Endurance-Technologies-Limited-Q1-Earnings-Conference-Call-11-08-2023.pdf)

We request you to take the above information on your record.

Thanking you,  
Yours faithfully,  
For Endurance Technologies Limited

Sunil Lalai  
Company Secretary and Executive Vice President – Legal  
Membership No.: A8078

Encl.: As above

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Q1 FY24 Earnings Conference Call  
August 11, 2023



Management: Mr. Anurang Jain – Managing Director,  
Endurance Technologies Limited  
Mr. Ramesh Gehaney – Director & Chief Operating  
Officer, Endurance Technologies Limited  
Mr. Massimo Venuti – Director & Chief Executive  
Officer, Endurance Overseas, Endurance Technologies Limited  
Mr. Satrajit Ray – Director & Group Chief Financial  
Officer, Endurance Technologies Limited  
Mr. Raj Mundra – Treasurer & Head, Investor  
Relations, Endurance Technologies Limited

Moderator: Mr. Nishit Jalan – Axis Capital Limited

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Moderator : Good morning, ladies and gentlemen. Welcome to the Endurance Technologies Q1 FY24 Earnings Conference Call hosted by Axis Capital Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing \* then 0 on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nishit Jalan from Axis Capital. Thank you. And over to you, Sir.

Nishit Jalan : Good morning everyone. Welcome to Q1 FY24 Post-Results Conference Call of Endurance.

From the Management team, we have with us Mr. Anurang Jain – Managing Director; Mr. Ramesh Gehaney – Director and COO; Mr. Massimo Venuti – Director and CEO, Endurance Overseas; Mr. Satrajit Ray – Director and Group CFO; and Mr. Raj Mundra – Treasurer and Head -Investor Relations.

I will now hand over the call to Mr. Jain for his opening remarks, post which we can have Q&A. Over to you, Anurang.

Anurang Jain: Thank you, and good morning to everybody.

I would like to share details of how we have done in the Q1 FY24.

a. In India, in the Q1 FY24 as per the SIAM data, the two-wheeler industry sales grew by 1.21% compared to Q1 FY23. Scooters grew by 9.16% and motorcycles degrew by 1.57%. The automotive industry in India had a growth of 2.7%. The standalone income of Endurance grew by 13.3%.

b. In our overseas operations in Q1 FY24 the EU and the UK market saw an increase of 18% in the volume of passenger cars sold, while our European sales grew by 12.6% in Euro terms and 22.4% in Rupee terms.

I will now briefly talk to you on the financials of the Q1 FY24

1. During Q1 FY24 as compared to Q1 FY23 our consolidated total net income grew by 16.4% from Rs. 21,185 million to Rs. 24,666 million. Consolidated EBITDA grew by 38.2% from Rs. 2,444 million to Rs. 3,378 million. Consolidated EBITDA margin was at 13.7%.

2. The Profit After Tax grew by 58.1% from Rs. 1,034 million to Rs. 1,635 million at 6.6% margin. This included the income of the Maharashtra PSI Scheme Incentive for Rs. 340.22 million. There was no consolidated net debt and the company had a positive cash available of Rs. 5,092 million.

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3. During Q1 our standalone total income grew by 13.3% from Rs. 16,201 million to Rs. 18,361 million. Standalone EBITDA grew by 35.2% from Rs. 1,782 million to Rs. 2,409 million with an EBITDA margin of 13.1%.

4. Standalone Profit After Tax grew by 61.3% and was Rs. 1,305 million at 7.1% margin.

This included the income of Maharashtra PSI Scheme Incentive of Rs. 340.22 million. There was no net debt and there was standalone positive cash available for Rs. 3,742 million.

We would like to mention that Endurance is focused in both its Indian and European operations, on profitable growth and growing higher than the industry. The detailed financials are available with the stock exchanges and on the Endurance website.

I would like to share key points for Q1 FY24:

1. In Q1 FY24, 75.1% of our consolidated total income including other income came from Indian operations including Maxwell sales and the balance 24.9% came from our European operations.

2. In India till date in FY24, Rs. 3,070 million of new business was won from OEMs other than Bajaj Auto which included Royal Enfield, TVS, Hero MotoCorp, Jaguar Land Rover, Mahindra & Mahindra and Case New Holland. This business win of Rs. 3,070 million was all new business.

3. The total business win for EVs till date is Rs. 6,000 million. These orders are mainly from Ather Energy, Bajaj

Auto, Hero Electric, Greaves Electric, and Aptiv. I would like to mention that we have Rs. 24,877 million worth of requests for quotes from OEMs.

Since FY20 in India, Rs. 31,940 million of business has been won out of which Rs. 24,120 million which is 76% is new business, and Rs. 7,820 million is replacement business. The new business of Rs. 24,120 million will reach peak sales in FY25 and FY26 and it is mainly for suspension, castings and brake assemblies. The TVS business wins in this period has been Rs. 5,012 million and is growing.

Some of the new business wins which will start in this financial year FY24 are:

- The TVS Rs. 404 million suspension business will start at our Kolar, Karnataka plant by the end of Q3 FY24.
- Royal Enfield Alloy Wheel business win of Rs. 395 million, which is our 5th OEM client in alloy wheel business, where we will start supplies from Q3 FY24.
- Hero Electric suspension business of Rs. 489 million, which is at Halol, Gujarat plant, where we will start supplies from next month.
- The CBS brake business of Rs. 273 million from Okinawa, and this business would start from Q4 FY24 at our Waluj, Aurangabad plant.

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- The Greaves Electric suspension business of Rs 194 million will start from our Kolar, Karnataka plant from next month. The Greaves Electric brakes business of Rs. 290 million will start from our Waluj, Aurangabad plant also from next month.
- The Ather suspension business of Rs. 150 million will start next month at our Kolar plant, Karnataka. For the Ather brakes business of Rs. 1,591 million, supplies have started and will reach peak in FY25.
- We also received an additional Rs. 1,200 million order for supply of front fork and shock absorbers from Hero MotoCorp which has started at our Halol, Gujarat plant in June 23; we had got the orders in April 23. And approximately Rs.50 to 60 million supplies have already taken place.
- The new 35 dia air suspension front forks for supply to KTM, Austria will start by end of FY24 with the help of KTM Technology from our Waluj, Aurangabad plant. The value of the business will be Rs. 400 million per annum.
- Our Battery Management System assembly line which is a Surface Mounted Technology line will start operations from next month at our Waluj, Aurangabad plant. The peak value of business will be Rs. 800 million per annum. And we will start manufacturing BMS for Maxwell.
- For electric vehicle scooters, we are ramping up our capacity to 240,000 sets per annum of eight casting parts for EV battery pack and motor housings. The total value will be Rs. 1,000 million per annum which has

started and will reach peak in FY25.

- For Ather Energy, we have started fully machined side channel aluminum casting at our Vallam plant, with a full business value of Rs. 410 million which will peak next financial year.
- For our aluminum forging business, we are increasing our capacity from 280,000 parts per annum to 600,000 parts by annum, leading to additional business value of Rs. 750 million from our Waluj, Aurangabad plant. This business has started and will reach its peak in FY25.
- We have added Jaguar Land Rover as a new EV passenger car customer with annual business value of Rs. 240 million and business will start in March 24. These are aluminum forgings which are required for assemblies which support our battery housing. And these forgings will be exported to UK.
- At our Chakan plant, we are installing machines for structural aluminum castings like swing arms, sub frames, and structural fairings for both EV and ICE models which are going in for light weighting, for Bajaj Auto, for KTM, for Piaggio and for TVS. This business starts in FY24 and will peak also next year in FY25.
- The Suzuki scooter front fork business for Rs.

1,398 million will start from our Waluj, Aurangabad plant in July 2024. And we are installing a one million front fork numbers new assembly line for the same.

- Apart from Bajaj Auto and RE, we have now added TVS for supply of inverted front forks and rear Mono Shock Absorbers. These supplies will start in Q1 of FY25 and the business value is Rs. 266 million.

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- We are happy to tell you that we won business from Honda two-wheelers or HMSI for front fork and shock absorbers for their new and first EV scooter for which the SOP will be in October 2024.
- For Bajaj Triumph bikes we have won orders for front fork, shock absorbers, brake disc, alloy wheel and aluminum castings including the swing arms. The SOP has already started in July 23. The value of this business is Rs. 3,300 million. On Triumph, the ETL value content is Rs. 28,000 per bike.
- For HMCL - Harley Davidson, we have won business for aluminum castings, for suspension, for brake disc and aluminum forging. The SOP has also started for this. The peak business value will be Rs. 853 million in FY25. On Harley Davidson, ETL content is Rs. 10,000 per bike.

4. The electronic vehicles market continues to offer significant opportunity for growth to the auto component sector. Therefore, at Endurance we have taken a major step forward to harness this opportunity by executing a Share Subscription and Purchase Agreement for acquiring 100% of equity share capital of Maxwell Energy Systems Private Limited in a phased manner.

We have recently increased our equity stake from 51% to 56% in Maxwell as per our agreement. Maxwell is in the business of advanced electronics particularly in Battery Management Systems or the BMS for two-wheeler EVs and automobile two-wheeler battery packs.

We have won BMS business of Rs. 1,290 million in FY23 and Rs. 596 million till date in FY24. And have a pipeline of RFQs of Rs. 1,168 million. Till date, since FY22, Rs. 3,457 million business has been won by Maxwell which is expected to fully realized in FY26. With the current order book, order pipeline and technical strengths between Endurance and Maxwell, we are confident of achieving our goals in the advanced electronic space. In FY24, we are focusing on substantial sales growth and a positive EBITDA at Maxwell.

5. With the acquisition of a past Italian collaborators - Adler and Grimeca in 2020 and of Frenotecnica and New Fren in 2022 we are creating a Centre of Excellence in Italy for the business of premium components in the two-wheeler segment, giving profitable growth opportunities to our overseas operations and the Endurance Group.

6. Our disc brake assembly business is growing with the addition of Bajaj, TVS, Royal Enfield, Yamaha, Hero MotoCorp, Ather and HMSI. To cater to this new business, our second plant at Waluj, Aurangabad has been setup for the increase in volumes and has already started operations. We will start the disc brake assembly supplies to Hero MotoCorp from March 2024 and to HMSI two-wheelers for February 2025. With this new plant, our disc brake assembly capacity has increased to 6.2 million numbers per annum and brake disc to 8.1 million numbers per annum.

7. As far as supply of two-wheeler ABS assemblies are concerned we have already started supplies to Bajaj Auto and Royal Enfield. We have already reached a run rate of 400,000

ABS assemblies per annum. As you are all aware the competition is largely from Bosch which controls the major market share in the Indian ABS two-wheeler market.

8. We are also in the process of supplying our dual-channel ABS by the end of Q3 of this financial year. And we are scaling up additional assembly lines by 200,000 ABS assemblies per annum which will

take our capacity to 600,000 ABS assemblies per annum. We are further planning to increase the volumes to 1.2 million both single and dual channel, ABS assemblies per annum from the second half of FY25.

9. In March 2023, we have started manufacturing the ABS valves. It is not only a technology component but will also help in substantially lowering our costs.

10. Due to increased orders from Bajaj, Yamaha India, TVS, Hero Electric and now Royal Enfield we have added a new plant at Chakan to help increase supplies to 4.5 million wheels per annum. This plant has already started operations. We have recently won our first alloy wheel business of Rs. 395 million per annum from Royal Enfield. Supplies will start from Q3 of this financial year. With these new orders now, we now plan to further increase our supplies to 420,000 alloy wheels per month.

11. As far as Europe is concerned, in FY24 we have won €16.93 million business mainly from the Volkswagen Group for their EV passenger cars.

12. I would also like to point out the Endurance, both in India and Europe, is actively pursuing its focus on gaining access to new technology and focusing on new product organic and inorganic growth.

13. In Q1 FY24 our aftermarket sales degrew by 4.25% from Rs. 963.19 million in the Q1 FY23 to Rs. 922.25 million in Q1 FY24. The major reason for degrowth was due to lower sales in the domestic market due to the tighter credit controls which we implemented for negotiating higher sales targets for this financial year.

14. We are exporting our aftermarket parts to 31 countries now. We are now adding Turkey as the 32nd country. We have already won the orders and the supply should start this month. After-market sales growth is a large focus area for us and we are very confident that we will have a good growth in this financial year.

15. In Q1 FY24 the export sales for India standalone business grew by 31.2% from Rs. 404.82 million in the Q1 FY23 to Rs. 531.16 million in Q1 FY24. The major sales growth came from machined casting, exports to Ford Motors in UK, Iveco and Case New Holland, and also for two-wheeler suspension exports for KTM plants in Austria, China and Southeast Asia.

On the environmental front I would especially like to mention that Endurance is striving for being carbon neutral in its plants by effective use of solar power and wind power, creating carbon sinks by driving tree plantations and thereby creating dense forest and driving use of natural gas and LPG in place of electric power and furnace oil. The use of furnace oil has completely stopped.

We have achieved a carbon neutral percentage of 31.8% in Q1 FY24 and our aspiration is to reach greater than 50% in the next three years. This has increased from 22.6% which we achieved in

FY23. We are also focusing on lowering hazardous waste generation and to achieve zero waste to landfill.

At Endurance it will be our continuous endeavor to grow through organic and inorganic means with a focus on technology upgradation, quality improvement, cost and environment and health & safety. We will do our best to fulfill our stakeholder expectations by following our five values of Customer Centricity, Integrity, Transparency, Teamwork and Innovation.

We at Endurance have a very positive outlook based on our new large business wins in the last four years including for electric vehicles, both in India and Europe.

With these opening remarks, I would now like to invite questions from all of you. We also have with us the Maxwell founders Mr. Akhil Aryan and Mr. Alex Collet as well as Mr. Vishwas who is the COO of Maxwell. Thank you.

Moderator : Thank you. Ladies and gentlemen we will now begin with the Question -and-Answer Session. The

first question is from the line

of Mumuksh Mandlesha from Anand Rathi. Please go ahead.

Mumuksh Mandlesha : On the India new order ramp up, the latest presentation talk about ramping up to 23 million by FY25. And I think in the Q4 presentation, it was 16 million so what is leading to the increase?

Anurang Jain : This is largely the business wins which we have had for suspension, brakes and aluminum casting business. And also, we have now the Triumph and Harley Davidson product just started. There is increase in exports to Austria for KTM, increase in exports of our aluminum castings to Ford, Case New Holland, Iveco. And we won Rs. 5,000 million of business from TVS and this business is really growing.

Bajaj has grown in a small way but our content per vehicle is so large that for us the Bajaj grows then we grow much higher. The ABS volumes have increased, the inverted front forks volumes both for Bajaj and RE have increased and exports to KTM too have increased. So new business wins is largely for brake, suspension and aluminum castings.

Mumuksh Mandlesha : Please comment on volumes expectations?

Anurang Jain: HMSI did not have a very good growth especially in motorcycles, they degrew 18.6%, but from July there is a very good growth. The volumes expected from July to March 24 is pretty good. So, we will see a very good growth as we have three plants, specifically for HMSI (in Aurangabad, Sanand and in Kolar). At the same time there is new EV business which is of Rs. 6000 million from Ampere, Ather, Hero Electric. This business will also start from out-station plants in Kolar and in Halol, so that we get better economies of scale.

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Mumuksh Mandlesha : On the EV business, there are some volume ramp up issues happening for the new age peers like Ampere, Bounce, Hero, Ather. Any risk you see to the orders on account of challenges to these players?

Anurang Jain: EV players are reconfiguring their products. Starting from September, they are reorganizing their battery engine and battery packs to smaller sizes. We will have to wait and see what is the new Fame-III subsidy. Volumes had taken a hit from the month of June, though in July we saw a growth again.

We understand that everybody is getting into variants of downsizing the battery pack or battery engine and seeing that they become more viable in terms of price charged to the customers. So from September to January all these customers will slowly get back to track.

It is difficult to predict the future, but we are optimistic with the thrust on EV.

Mumuksh Mandlesha : Any volume impact on players where there was penalty imposed to them, for e.g. Hero Electric ?

Anurang Jain: Yes, they have all indicated that they will be ramping the volumes, some from September onwards and some from January onwards.

Mumuksh Mandlesha : On the Europe margins which were low sequentially, we have seen Other Expense was higher - any reason for that?

Massimo Venuti : In Europe, we closed the Q1 FY24 with ₹68.8 millions of turnover compared to ₹61.1 million of the Q1 FY23 with an increase of 7.7 million which means 12.6% increase in terms of turnover. In terms of EBITDA, for Q1 FY24 ₹11.1 million, 16.1% margin as compared to ₹8.4 million, 13.7% margin for Q1 FY23. We grew at 31.8% in terms of the EBITDA. and in terms of Net Profit we closed Q1 FY24 with ₹4.2 million, 6.1% margin as compared to ₹2.9 million, 4.8% margin for Q1 FY23, with an increase of 43.7% compared to the previous financial year.

Anurang Jain: If we see the Q1 both in India and Europe, compared to our sales growth our EBITDA and PAT margins have grown substantially higher. And we have maintained right from 2016, our profits should grow higher than the sales growth percentage. And there is a lot of efforts being made on

de on

increased sales, increased economies of scale from our plants, better cost efficiencies. So, this is our philosophy. This is in the DNA of Endurance.

Aditya Jhawar : What is the quantum of vehicle content in Triumph and Harley?

Anurang Jain: So, it is Rs. 28,000 per vehicle in Triumph, Rs. 10,000 per vehicle in Harley and Rs. 10,000 per vehicle in Chetak.

Aditya Jhawar : What is the aggregate revenue you are expecting from these two models?

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Anurang Jain: Around Rs. 3300 million per year is the peak value for Triumph. And Harley is about Rs. 850 million per annum.

Aditya Jhawar : On European business, 12% constant currency growth in Euro terms is quite encouraging. So, how should we think about growth and margins in the next few quarters?

Massimo Venuti : The European market saw an increase of 18% in Q1 FY24 compared to Q1 FY23. We cannot compare the turnover of the company to the volume of new car registrations, because in the last two to three years we have been affected by the shortage of semiconductor and certainly a lot of the cars that we are registering now in the European market had been produced in 2020/2021 and they are selling the stocks which were waiting for semiconductors.

Unfortunately, demand in the market is very weak due to the high level of inflation and interest cost. Our expectation for the next quarter is that the market will go down, considering that production will go down as compared to the new car registrations.

In terms of profitability, we are optimistic that we can improve in an important way in the EBITDA compared to the previous year, because fortunately the effect of energy and gas is becoming sustainable in our field. This winter we don't see any kind of problem, as we close the contracts with our customers for approximately 80% of the potential increase of energy cost compared to today. Considering the fact that 16.1% of EBITDA margin was achieved in the previous quarter, we have been able to recover approximately 3% points compared to the previous financial year.

Aditya Jhawar : Amongst all the order wins, can you please highlight some specific order wins which gave us entry to a new customer or a new product line or certain orders which strategically are important though they might be small right now.?

Massimo Venuti : Our strategy in Europe has been to focus on the business of 4-5 major customers that control 80% of the total market in Europe. In the previous quarter, Volkswagen contributed 33.7% of our total turnover, Stellantis 23.5%, Mercedes 10.1%, and BMW contributed 3.2%. In the last four years in Europe, we are able to acquire ■237 millions of new business. Around ■86 million of EV business, ■112 million of hybrid business which consist of 36% and 47% of our total business respectively.

Speaking about the new customers, Endurance was very strong in Germany with Porsche and in Italy with Volkswagen, but starting from 2019 we have entered in an important business with Audi for their electric vehicle. This is the most important info for the future, because the stability of Audi is well-known in the history of the European market, as was seen in the case of their new motors.

Aditya Jhawar : Has there been a little bit of delay in commercializing the dual channel ABS?

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Anurang Jain : The development, testing has taken a slightly longer time. Now the samples have already been submitted and by the end of Q3 we should start the SOP. There is a lot of confidence on our ABS systems. We have our own proving ground, and trained riders are employed by Endurance. So the commercialization will begin very fast.

Pramod Amte : With regard to this premium bike segment where

Harley and Triumph orders were won, does this

open up new set of components for you or does it open up ideas for new technologies you can imbibe and scale up over the next couple of years both for domestic and export market?

Anurang Jain : Yes, we will not specify the products, but definitely we are looking at new products which are for the future, which are EV agnostic and we are looking at technology collaborations, JV also in new

products which we are not doing today. We have large focus on increasing our business in four - wheelers as well as also for the non-automotive segment. And that is why we are focusing on new EV and hybrid wins in Europe. There would be new products which we are actively pursuing with new opportunities, which includes products also in the electronics space for EVs.

Pramod Amte : Do Triumph and Harley orders give you an entry into the global purchase offices of these companies?

Anurang Jain : The vehicles made by Bajaj and Hero MotoCorp will be both for India as well as for the export markets and for Endurance it will be indirect exports. Right now we have not seen, any direct interest from Triumph in UK or Harley Davidson in the U.S.

Pramod Amte : On the EV side, considering the incentive uncertainty for two-wheelers under Fame-III, do you see an opportunity considering that three -wheelers seems to be penetrating much better and seem to be having lesser Fame risk. Do you see more opportunities panning out in the three -wheeler EV space?

Anurang Jain : We have 11 aluminum castings for a three-wheeler EV compared to 9 in a two -wheeler. There is a case extension in a three-wheeler. Our biggest strength in Europe and India is that we are very strong in casting, including engineering, tool making and there are not many players who are financially strong and have the ability to invest and have that technology in product and in process. Aluminum die casting or aluminum forging is the future, for light weighting whether its EV or its any other vehicle which comes in the world. And this is the biggest strength of Endurance which will help us grow, of course apart from the proprietary business and new products.

Our product range is very good; it is only the clutch which is 5% of our business which is not used in EV. Within clutches, 80% of our sales is for motorcycles. And we do not see much of EV traction in motorcycles. But with our product strategy and now that we are getting into advanced electronics space, we are in a good space for in case of rapid EV adoption.

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Jinesh Gandhi : On ABS, what kind of market share now we have at total level, and particularly for the share of business with Bajaj and Royal Enfield?

Anurang Jain : For ABS, we are at 400,000 units per annum and with dual channel we will be 600,000; we believe the market is about 3 million to 3.5 million, so, we are still small so the growth opportunity is big, considering we are technology -proven, competitive, with no single quality/warranty issue in the last two years. So, we are going step by step and at the same time we are also improving our margins by doing backward integration. I have been talking to all of you on steel braided hoses which is an import substitute that we are doing in -house. Valves, which were also imported, are now produced in-house and in future there will be one more product. We are doing a lot of outsourcing to our Endurance Vendor Association vendor partners, but we are also doing backward integration on key components. We have also mentioned about a paper manufacturing plant for our paper friction materials of clutch assembly which will start by Q4 or early next financial year. So, we are very strategically focused on doing technology components and critical processes in -house. That has been

in our philosophy over the last 30 to 35 years.

Jinesh Gandhi : In India business we are seeing recovery in two -wheeler volumes now and there is improvement or stability in commodity prices. Any sense on by when we should be going back to 14% plus margins which we used to enjoy in pre -COVID period?

Anurang Jain: When we did 15.5% margins, the RMC price in India was 62%. In Q1 FY24, we have done 13.1% margin with 66.8% RMC. So, we are improving. But these numbers sometimes mathematically can look different, but I think the raw material trend is going down from July especially on aluminum. There is a 9% decrease in the aluminum alloy rates, which is a good thing for us. Steel has also gone down by about 1.8%. But raw material prices are nowhere near the levels of FY21 when RMC percentage was at 62%. But as the raw material percentage goes down, the EBITDA percentage and the PAT percentage will improve because we are net debt -free.

Jinesh Gandhi: In India business the incentive run rate seems to be improving vis-à-vis what we used to get earlier. So, how should we look at the annualized run rate for incentive and how long that will continue?

Satrajit Ray: This existing scheme under which we are booking Mega Project Incentive is the 2013 to 2019

scheme. We book it over seven years in tranches as equal as possible. We book 90% of this tranche every year, and upon certain formalities getting completed, we book the balance 10% . From next year under the existing scheme, there will be a drastic reduction because major part of the booking would take place by Financial Year 2023 -24. So, it will go less than half of this amount next year and in the next three years, it will be in single -digit Rs. Crores because that would be the 10% amount which would get booked for the last three -four years.

Maharashtra Government has announced a new 2019 to 2024 Mega Project Incentive Scheme with a threshold of Rs. 350 crores of CAPEX. We expect to apply for that either in Q4 or Q1 of next

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financial year. That incentive in totality is expected to be larger than what we were eligible for under the 2013 to 2019 scheme.

Jinesh Gandhi: In terms of CAPEX, would you indicate the CAPEX for FY24 both for India and Europe?

Satrajit Ray: India you can expect around Rs. 350 Crores but it will also depend on opportunities. If a good business opportunity comes up, there could be higher capex.

Massimo Venuti: In Europe, we closed the Q1 FY24 with €10 million for investments and the total expectation for the Financial Year is €60 million because we are installing the production capacity for EV projects and other projects.

Viraj Kacharia: On the Suspension business, in terms of the customer mix who will be the top 3 customers?

Anurang Jain: We are supplying suspension to all the 2-Wheeler and 3-Wheeler OEMs. After we got large orders for alloy wheels and for brakes from TVS, we now have Rs.404 million of Suspension business.

The top 3 customers would be Bajaj with KTM, HMSI Honda, Royal Enfield. But we are supplying to every traditional 2W player now and seeing a huge growth potential. With Suzuki, we have won a Rs.1400 million order just for front forks for their highest selling scooter, which business is starting in July24.

Viraj Kacharia: Can you throw some light on market share?

Anurang Jain: For suspension business on the whole in front forks, we are about 40% shock absorbers 37% of the market in Q1FY24.

Viraj Kacharia: On the Die -casting business, historically we have been more strong on the 2-Wheeler 3 -Wheeler side. On the 4-Wheeler piece, is there any thought process or any traction in India?

Anurang Jain: On the 4-Wheelers, Hyundai, Kia, Tata Motors and Mahindra are our key Indian

customers. Mahindra has seen a huge traction. We won more than Rs. 1000 million orders, which have already started. We have a huge focus on other large customers, including Maruti. We are going to focus on exports also. I can count the competition on my fingertips which have the financial strength and the technology in product and process in India and there are huge opportunities. Our focus is definitely on 4W and non- 2W to increase the share as we go along in future years whether it is through castings or it is through other new products. It will also slightly derisk the 2-W focus which we have in India. Our Overseas business is largely 4 -W.

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Kashyap Javeri: How do you split order wins between new order wins and replacement orders? And for CAPEX, where you mentioned Rs. 350 crores in India and roughly about €60 million in Europe, in your FY23 Annual Reports, there are some capital advances of about Rs. 170 crores already paid out.

Anurang Jain: Replacement orders are actually the existing models of customers being replaced with new models or having upgradations, but they do give a fresh LOI. For e.g. HMSI is going for new upgrades in scooters. It is very important to get these LOIs also, so that you continue your share of business. So, for us replacement is when the existing vehicle is being upgraded or replaced by the customer.



The new order is a completely new order for new vehicles or for new products. For example, if I'm not supplying brakes to Hero and I'm starting brakes to Hero, we have a new order. So, new is completely new, for a new vehicle like Triumph or Chetak or Harley-Davidson. Or if I'm not supplying a product to an OEM, when we start a new product, so that is new,

Satrajit Ray: On the CAPEX side, India will see around Rs. 350 crores and Europe will see €60 million. For the consolidated number, you have to add Rs. 350 crores plus €60 million. In Q1, the standalone CAPEX has been Rs. 72 crores and consolidated CAPEX has been Rs. 160 crores. In Europe, €60 million is not steady state annual capex because Europe historically has spent around €30 million per year. These numbers are the cash flow numbers in a year.

Anurang Jain: I would like to thank everyone for taking their time out and coming on this call. Thank you.

## Call: Nov 2023

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CIN No. L34102MH1999PLC123296

17th November , 2023  
The Manager – Listing,  
BSE Limited,  
Phiroze Jeejeebhoy Towers,  
Dalal Street,  
Mumbai - 400 001

BSE Code: 540153 The Manager – Listing,  
National Stock Exchange of India Ltd.,  
Exchange Plaza,  
Bandra -Kurla Complex, Bandra (E),  
Mumbai - 400051

NSE Code: ENDURANCE

Sub.: Transcript of Conference Call held in respect of the Company's Q2  
FY24 financial results.

Ref.:

1. Regulation 30 and Regulation 46(2)(a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations").
2. Intimation of Conference Call dated 30th October, 2023 .

Dear Sir / Madam,

In continuation of the referred intimation and Listing Regulations, please find enclosed the transcript of the conference call held on 9th November, 2023 in respect of the Company's Q2 -FY24 financial results.

The transcript has been hosted on the Company's website at:  
[https://www.endurancegroup.com/wp-content/uploads/2023/11/Endurance -  
Technologies -Limited -Q2-Earnings -Conference -Call-09-11-2023.pdf](https://www.endurancegroup.com/wp-content/uploads/2023/11/Endurance-Technologies-Limited-Q2-Earnings-Conference-Call-09-11-2023.pdf)

We request you to take the above information on your record.

Thanking you,

Yours faithfully,  
For Endurance Technologies Limited

Sunil Lalai  
Company Secretary and Executive Vice President – Legal  
Membership No.: A8078  
Encl.: as above

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Endurance Technologies Limited  
Q2 FY24 Earnings Conference Call  
November 09, 2023

Management: Mr. Anurang Jain – Managing Director ,  
Endurance Technologies Limited  
Mr. Ramesh Gehaney – Director and Chief  
Operating Officer , Endurance Technologies Limited  
Mr. Massimo Venuti – Director and Chief Executive  
Officer –Endurance Overseas , Endurance  
Technologies Limited  
Mr. Satrajit Ray – Director and Group Chief  
Financial Officer , Endurance Technologies Limited  
Mr. Raj Mundra – Treasurer & Head Investor  
Relations , Endurance Technologies Limited

Moderator : Mr. Rakesh Jain – Axis Capital Limited

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Moderator: Ladies and gentlemen, good day and welcome to the Q2 FY24 Earnings Conference Call of Endurance Technologies Limited, hosted by Axis Capital Limited.

As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing \* then 0 on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rakesh Jain from Axis Capital Limited. Thank you and over to you, Mr. Jain.

Rakesh Jain: Good morning, everyone. Welcome to the Q2 FY24 Post -Result Conference Call of Endurance Technologies.

From the management team, we have with us Mr. Anurang Jain - Managing Director, Mr. Ramesh Gehaney - Director and COO, Mr. Massimo Venuti - Director and CEO, Endurance Overseas , Mr. Satrajit Ray - Director and Group CFO and Mr. Raj Mundra - Treasurer and Head - Investor Relations.

I will now request Mr. Jain to begin with his opening remarks, post which we will have the Q&A session. Over to you, Sir.

Anurang Jain: Thank you, Rakesh, and good morning to everyone.

I would like to share details of how we have done in Q2 FY24.

a. In India, in Q2 FY24, as per the SIAM data, the two -wheeler industry sales de -grew by 2.44% compared to Q2 FY23 . Scooters grew by 1.13% and motorcycles de -grew by 4.1%. The automotive industry in India had a de -growth of 0.2%.

b. In our overseas operations in Q2 FY24 , the EU and UK markets saw an increase of 16.2% in the volume of passenger car sales, though the production of passenger cars growth was only at 3.7% in Germany . Our European sales in value grew by 10.1% in Euro terms.

I will now brief you on the financials of Q2 FY24

1. During Q2 FY24 , as compared to Q2 FY23 , our consolidated Total Income grew by 8.1% from Rs. 23,690.60 million to Rs. 25,605.46 million. Consolidated EBITDA grew by 19.2% from Rs. 2,800.20 million to Rs. 3,338.44 million. Consolidated EBITDA margin was at 13%.

The profit after tax grew by 17.5% from Rs. 1,314.94 million in Q2 FY23 to Rs. 1,545.55 million in Q2 FY24 and PAT margin was at 6%. This included the income of Maharashtra PSI scheme incentive of Rs. 248.79 million.

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The consolidated financials included Endurance Overseas total income of Rs. 5,650.69 million. EBITDA was at Rs. 835.19 million which was at 14.8% and PAT was at Rs. 229.38 million at 4.1%.

The consolidated financials also include the Maxwell Total Income of Rs. 171.27 million , EBITDA loss of Rs. 43.28 million which was at 25.3% and the profit after tax loss of Rs. 64.2 million which was at 37.48%. At Maxwell, Endurance team is fully focused on lowering the bought out component cost and the fixed and variable costs along with the increase in Total Income to be profitable from FY25 onwards and we

hope to be profitable in the Q4 FY24.

There was no consolidated net debt and the company had a positive net cash of Rs. 4,561.62 million.

2. In Q2 FY24 in comparison to Q2 FY23, our standalone total income grew by 3.8% from Rs. 19,113 million to Rs. 19,842.97 million. Standalone EBITDA grew by 8.7% from Rs. 2,377.4 million to Rs. 2,584.35 million with an EBITDA margin of 13%. Standalone profit after tax grew by 8.6% from Rs. 1,312.7 million to Rs. 1,425.4 million and the PAT margin was at 7.2%. This included the income of Maharashtra PSI scheme incentive of Rs. 248.79 million.

3. I would like to inform you that the Indian OEMs two-wheeler sales were at 24.5 million in FY19. In FY 23, the two-wheeler sales were at 19.5 million and in FY24 we are expecting that the two-wheeler sales number will reach 20.5 to 21 million. We expect the

consumer sentiment to improve in the long run with stabilisation on the geopolitical front, economic well-being percolating down to the rural areas and with high increase in sales of premium bikes and EV scooters and EV three-wheelers. The detailed financials are available with the stock exchanges and on the Endurance website.

I would like to share certain key points for H1 FY24 :

1. 77% of our consolidated Total Income including Other Income came from Indian operations which included Maxwell and the balance 23% came from our European operations.

2. In India till date in FY24, Rs. 7,774 million of new business was won from OEMs other than Bajaj Auto which included Royal Enfield, TVS, Hero Motocorp, Tata Motors, HMSI, Jaguar Land Rover, Mahindra and Mahindra, Punch Powertrain and Suzuki. This business win for Rs. 7,774 million constitutes Rs. 4,663 million of new business (about 60%) and Rs. 3,110 million of replacement business.

3. This Rs. 7,774 million of business will reach its peak in FY26. The total four-wheeler business won till date in this year is Rs. 1,170 million. These orders are mainly from Punch Powertrain (which is a JV between TACO group and Stellantis), Tata Motors, Mahindra, Jaguar and Jaguar Land Rover. I would like to mention that we have Rs. 19,160 million worth of requests for quotes from OEMs. Since FY20, in India Rs. 36,640 million of business has been won other than Bajaj Auto out of which Rs. 25,710 million is new business and Rs. 10,930 million is replacement business.

The Rs. 36,640 million new business will reach peak sales in the year FY25 and FY26 and is mainly for suspension, castings and braking systems.

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4. TVS business win has been Rs. 5,278 million and is growing. The business win is for brake systems, aluminium castings, suspension and drive shaft. This Rs. 5,278 million sales will reach peak in the FY25.

5. The total business win for electric vehicles till date is Rs. 6,194 million in the standalone business. These orders are mainly from Ather Energy, Bajaj Auto, Hero Electric, Greaves Electric, Bounce and Aptiv.

The new business won in Q2 FY24 is as follows.

■ TVS : We won Rs. 266 million inverted front fork and rear monoshock suspension business.

■ Ather : Brakes business for the new platform of Rs. 115 million.

■ Suzuki : New scooter front fork business for Rs. 253 million. This is in addition to the Rs. 1,400 million front fork business already won and the SOP will be in Q2 FY25.

■ HMSI : EV casting business win of Rs. 40 million at our Vallam plant. This is in addition to the front fork suspension business won for HMSI's first EV scooter earlier in this financial year.

6. The new 35 dia air suspension front forks for supply to KTM Austria will start by end of this year, with the help of KTM technology from Waluj, Aurangabad plant. The value of the business will be Rs. 400 million per annum and these parts will be exported to KTM Austria. The suspension business to both KTM India and Europe should touch Rs. 2,100 million in this financial year.

7. BMS assembly surface mounted technology line will start operations from February 2024 at our Waluj Aurangabad plant.

The peak business value will be Rs. 1,200 million per annum for the Battery Management System as well as the ABS ECU which we should reach in FY25.

8. For EV scooters we are ramping up our volumes to 2,40,000 parts per annum for 8

parts of EV battery pack and motor housing aluminium castings. The total value, to start with, will be Rs. 1,000 million per annum. Sales have already started and will reach peak in FY25.

9. For our aluminium forging business we are increasing the capacity from 2,80,000 parts per annum to 6,00,000 parts per annum for an additional business value of Rs. 800 million, from our Waluj Aurangabad plant. This business has started and

will reach

peak value in FY25. We have added Jaguar Land Rover as a new client for EV passenger cars with an export business value of Rs. 240 million. Aluminium forging is becoming a new opportunity for growth for both the ICE and the EV vehicles.

10. At our Chakan plant, we are installing machines for structural aluminium casting like swing arms, subframes and structural fairings both for EV and ICE models which are going in for light weighting for Bajaj Auto, KTM, Piaggio and TVS. This business has already started and will peak in FY25.

11. Our customers recognise us as a trusted and capable partner in the value chain in terms of both technical and financial strengths.

As I mentioned earlier the EV market continues to offer significant opportunity for growth to the auto component sector. Endurance has taken a major step forward to

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harness this opportunity by executing a Share Subscription and Purchase Agreement for acquiring 100% of equity share capital of Maxwell Energy Systems in a phased manner. We have recently increased our equity stake to 56% in Maxwell as per our agreement.

Maxwell is in the business of advanced electronics particularly in the Battery Management Systems for two wheeler EVs and stationary storage applications. At Maxwell we have won BMS business of Rs. 1290 million in FY23 and Rs. 883 million till date in FY24 and have a pipeline of RFQs for Rs. 810 million.

Since FY22, Rs. 3,743 million business has been won by Maxwell which is expected to be fully realised in FY26. With the current order book, order pipeline and technical strengths between Endurance and Maxwell we are confident of achieving our goals in the advanced electronics space.

12. As our disc brake assembly business is growing with addition of Bajaj, TVS, Royal Enfield, Yamaha, Hero Motocorp, Ather and HMSI, our second plant at Waluj, Aurangabad has already been set up.

We will also start disc brake assembly supplies to Hero Motocorp from March, 2024 and HMSI from November 2024. With this new plant our disc brake assembly capacity has increased to 6.2 million numbers and brake disc capacity to 8.1 million numbers. The supply of two wheeler ABS assemblies to Bajaj Auto and Royal Enfield has commenced.

13. We have reached a run rate of 400,000 ABS assemblies per annum. As you may be aware, competition is mainly from Bosch and Continental which control the major market share in the Indian ABS two-wheeler market. We are in the process of supplying a dual channel ABS from Q4 FY24 and we have scaled up additional assembly lines by increasing further by 2,40,000 ABS assemblies per annum which will take our capacity to 640,000 ABS assemblies per annum.

We are further planning to increase the volumes to 1.2 million single and dual channel ABS assemblies per annum by the end of 2025. We have, in March, 2023, started manufacturing the ABS valves which is not only a technology component but is helping us in substantially lowering our costs by backward integration.

14. Due to increased orders from Bajaj, Yamaha India, TVS, Hero Electric and now Royal Enfield, we have added a new plant in July, 2022 at Chakan to help increase supplies to 4.5 million wheels per annum. With our new order wins from Royal Enfield and TVS we are now expanding to supply 5.5 million wheels per annum from April 2024 onwards.

15. As far as Europe is concerned, in FY24, we have won EUR 19.76 million business. EUR 104 million orders that we have won in the last 18 months are mainly from two leading German OEMs and from a French-Italian group which manufactures passenger cars and commercial vehicles.

In the first nine months of 2023 the EU market has seen a battery EV penetration of 15% against 12% and 9% in the previous two years.

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Out

of EUR 104 million orders that we have won in the last 18 months , EUR 60 million orders are for the growing battery EV market.

I would also like to point out that Endurance both in India and Europe is actively focusing on gaining access to new technologies and on new products through organic and inorganic growth.

16. In Q2 FY24 aftermarket sales grew by 20.3% from Rs. 1043.6 million in the Q2 FY23 to Rs. 1255.2 million in Q2 FY24. We are exporting aftermarket parts to 32 countries. Now we are adding Brazil, DR Congo and Cameroon as the new countries which will take it to 35 countries. Aftermarket sales growth is a large focus area for us and we are targeting a good growth in this financial year.

17. Export sales for India's standalone business grew by 12.6% from Rs. 400.1 million in Q2 FY23 to Rs. 450.6 million in Q2 FY24. The major sales growth came from machine casting sales to Ford Motors in UK and IVECO in Italy including Case New Holland and also from two-wheeler suspension exports for the KTM plants in Austria, China and Southeast Asia.

On the environment front , I would especially like to mention that Endurance is striving to being carbon neutral in its plants by effective use of solar power and wind power, creating carbon sinks by driving tree plantations and thereby creating dense forests and driving use of natural gas and LPG in place of electric power and furnace oil.

As mentioned earlier, the use of furnace oil has been completely stopped at Endurance. We have achieved a carbon -neutral percentage of 30% till date in FY24 and our aspiration is to reach greater than 50% in the next three years. This has increased from 24.6% which we achieved in FY23.

We are also focusing in lowering hazardous waste generation to achieve zero waste to landfill. At Endurance it will be a continuous endeavour to grow through organic and inorganic growth with a focus on technology upgradation, quality improvement, cost and environment , health and safety. We will do our best to fulfil our stakeholder expectations by following our five values of Customer Centricity, Integrity, Transparency, Teamwork and Innovation.

We at Endurance have a very positive outlook , based on our large new business wins in the last four years including for electric vehicles , both in India and Europe. With these opening remarks I would like to invite questions from all of you. Thank you.

Moderator: Thank you very much Sir. We will now begin the question -and-answer session.

Jinesh Gandhi: First question is on the order intake both for India and European EV business . We have seen some bit of sluggishness in order intake for EVs in India and Europe. Is there any seasonality involved over here as last year you had booked orders of about EUR 84 million in Europe and in H1 FY24 only EUR 20 million orders .

Anurag Jain: In India, we have won Rs. 6,194 million of EV business. But FAME II subsidy in India was largely removed from 1st July 2023 and this did impact the sales in the Indian EV market. Most

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of the EV OEM companies are working on seeing how they can value engineer their EV vehicles. And I think it is a question of time that volumes will get back on track.

You have various OEMs which are increasing EV sales for both scooters as well as three - wheelers. And we are part of their journey . So as far as the EV market is concerned, it is only a postponement of the sales.

Massimo Venuti: In Europe we won EUR 20 million orders in H1 FY24 . 94% of this business is for electric vehicles . Some European countries have reduced the EV incentives starting from 1st September , 2023 .

But if we see the registration data from January to September 2023 in the European market , the composition of BEV reached 14.8% . If we add 8.2% share of plug -in hybrid vehicles, then in the first nine months of 2023, the

market share of electric was 23%. It is thus clear that OEMs are investing in this field.

Today we need support from the government because the price of EV car is higher compared to the internal combustion engine technologies. It is only a question of time before infrastructure is in place, EV costs are reduced and share of electric in total vehicles goes up further. In the recent past , we have not acquired much business in the internal combustion engine vehicles and bulk of our orders have been for EV and hybrid. Considering these orders, I am pretty sure of expanding Endurance revenues once the car production picks up.

The European economy has witnessed slow growth or recession. In the automotive market, we should note lower production numbers as compared to registration numbers, implying dealers

stock reduction. If I analyse Q2 which normally has lower OEM production activity due to the summer period compared to Q1, we have a reduction of 10% in registration but 18.7% in production. And if I analyse the Q2 FY24 against Q2 FY23, despite an increase of 17.7% in terms of registrations in Germany, the production went up only 3.7%.

At present, passenger car market has been impacted by inflation and interest costs. 90% of the cars are financed with interest ranging from 10% to 15%. Due to this burden, people prefer to postpone the purchase of cars.

Jinesh Gandhi: And is this reflected in the production schedule that you get from customers for the next 12 months? Is it lower than what we have seen in the last 12 months?

Massimo Venuti: New car production data is adverse compared to new car registration. Moreover if you compare current period against the pre covid situation there would be 20-25% reduction in the market, whichever way you see. Volumes are not expected to revive unless interest rates fall.

Arvind Sharma: What is the outlook from a broader perspective for the second half, both for India two-wheelers, and European passenger cars? Massimo did allude to it in his comment just now.

Anurang Jain: The rural demand is going to improve. The sense we are getting from the customers is that, the volumes will increase for two-wheelers and three-wheelers. For three-wheelers, it has been a

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very good year for all the OEMs, including Bajaj Auto, and Piaggio. What we are seeing is also a huge increase on the high-end bike sales of 150cc or higher.

There are many new models which we have entered like Harley-Davidson, Triumph. We are seeing a big increase in EV scooters and EV three-wheelers.

We have also won a lot of new orders for EVs, which have been postponed because of the FAME II subsidy withdrawal. Here, I think in this quarter or next quarter volumes will start coming in and increasing.

Massimo Venuti: It's very difficult to speak about the future because at present the sentiment of the people is not very positive. And it reflects in the low GDP numbers, not only in Europe, but also in the United States.

Despite a YoY increase of 3.7% in terms of Germany car production in Q2 FY24 in Europe, we have been able to close with an increase of 10% in the turnover. This is due to the fact that we have started with a lot of new projects. We are optimistic that we can similarly manage the situation in the next two quarters.

Arvind Sharma: The second question would be the normal figures that you share on revenue and EBITDA for the European operations in Euro terms?

Massimo Venuti: In Q2 FY24, we saw EUR 62.8 million of turnover as compared to EUR 57 million of the previous financial year with an increase of 10.1%. In terms of EBITDA, we closed with EUR 9.3 million as compared to EUR 6.6 million of the previous financial year with an increase of 41.7%. The EBITDA margin for the second quarter reached 14.8% compared to 11.5% of

the

previous financial year. In terms of PAT, we closed with EUR 2.5 million, 4% margin as compared to EUR 1.7 million, 2.9% margin with an increase of about 53% compared to the previous financial year.

Arvind Sharma: For Triumph, Harley-Davidson, as well as the recently launched Himalayan by Royal Enfield, you shared the expected production numbers. Is it possible to share them now?

Anurang Jain: I will not share the expected production numbers. Our wallet share in Triumph is Rs.28,000; for Chetak and Harley it is Rs. 10,000 per vehicle.

Rohit Khatri: What is the difference between aluminium content in EV and ICE; we had mentioned that the weight is slightly lower and the value is expected to be around 5% lower. Has anything changed with respect to this?

Anurang Jain: No, and I think it remains the same. But the value add is higher in both.

Rohit Khatri: The publicly available reports talk about a substantial increase in aluminium content around 30% to 50% increase in EVs.

Anurang Jain: I would not say 30% to 50% increase, but OEMs are still looking at more aluminium parts. As I mentioned, instead of ICE parts such as crank cases and covers, cylinder heads, cylinder blocks, now what we see in EVs are battery housings upper and lower, case transmission left and right,

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motor housing. So we have a lot of castings in EV 2W, which are lower in weight, but the value add is higher. There were about 7 parts in ICE two-wheeler versus 9 parts in an electric two-wheeler. So instead of the crank cases, covers, cylinder blocks, cylinder heads, we have the battery housings, base MCU, terminal phase, terminal power and many other castings. In 3W, the value add is actually much higher and the weight is slightly higher because we have more

castings . But it's not 30% to 50% higher weight, because in an EV, the castings have to be light weighted.

Amit Hiranandani: 25% of the consolidated revenue comes from the suspension business. So how do you intend to grow this piece of business in the mid to long run?

Anurang Jain: We have got a very large order from Suzuki for their scooters for front forks and rear shock absorbers , for supplies starting Q2 FY24 , of Rs. 175 crores a year.

We are also increasing our inverted front fork volumes . This year we should reach about Rs. 210 crores. These volumes are increasing every year, both for India for KTM Bajaj, as well as for KTM Austria, and other countries in China and Southeast Asia.

Premium parts like inverted front forks are now being used in the higher -end Pulsar bikes. So we have value engineered that front fork, and the pricing is much better compared to a normal front fork.

We are finding that now the technology components are being used in the lower -end bikes, not just the high end vehicles like KTM, but also in the higher range of Pulsars. We are finding very high end business of inverted front forks and rear mono -shocks going up. There has been an upgradation of products across all the OEMs which will also increase our business because we already have about 40% to 42% of the Indian front fork market.

Amit Hiranandani: You have been landing new orders for the EV suspension as well. So, is the realization and margin profile higher in the EV side?

Anurang Jain: It is good . We are increasing the suspension business on the EVs . As the EV scooters and EV three -wheelers grow, you will see a lot of increase in suspension because we are on many major platforms for EVs.

Amit Hiranandani: Is Endurance paying any royalty to KTM for suspension know -how?

Anurang Jain: No.

Aashin: My first question is on the India business margin . How do you see margins going on from here onwards with and without incentives ? Is it operating leverage or product mix which would drive improvement in margins in

the standalone India business?

Anurang Jain: We always compare our performance with the previous year. If you look at the margins in the first six months, consolidated total income has increased by 12% to Rs. 50,271 million in H1 FY24 . EBITDA has increased by 28.1% from Rs. 5,245 million to Rs. 6,717 million. The PBT has increased by 37%, which is Rs. 3,077 million to Rs. 4,215 million. And the profit after tax

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has increased from Rs. 2,349 million to Rs. 3,181 million, which is 35.4% increase . Our profits from 2016 are growing much higher than our sales.

The megaproject incentive was only Rs. 240 million in Q2 FY24, versus almost about Rs. 340 million in Q1 FY24 .

If you see standalone business numbers without megaproject incentives , EBITDA margin percentage has gone up from 11.1% of Q2 FY23 to 11.9% of Q2 FY24 , and PAT margin has gone up from 5.8% to 6.3%.

And if we look at numbers with megaproject incentive, the EBITDA margins have gone up from 12.4% to 13% and PAT has gone up from 6.9% to 7.2%.

We have to see that how our major OEMs and the industry is doing . Q2 FY24 has been tough compared to Q1 FY24 , because the two-wheeler industry, especially motorcycles has gone down. Three of our major OEMs have de -grown. You have EV coming in, then you have obstacles, so we are not able to meet our full volumes on EVs .

We have seen 3.8% YoY growth in standalone total income in Q2 FY24. This 3.8% growth is despite the lowering of metal prices, which led Rs. 57 crores impact on sales .

We are very highly focused on profitable growth. If you have to compare Q1 to Q2, you will see a lower growth this quarter , because our growth was very high in Q1, and mega project incentives were also higher.

QoQ variation could be on account of seasonality and incentive booking. YoY variation gives better understanding of changes in the business. I explained H1 figures this year versus last year, in order to compare how Endurance has done over last year .

In future, our focus will always be in growing the margins, like we have done in the first six months. We will keep growing. Of course, it depends upon how the volumes pan out for orders which we have won . But definitely we are improving from quarter -to-quarter.

Aashin: Regarding the profitability in the Europe business there was some drop in margins. Is it something related to seasonality, or is there something else to read into it?

Massimo Venuti: There is a reduction in profitability compared to the previous quarter due to the fact that we have had reduction of volume mainly linked to the lower OEM production in the summer period .

Turnover in the Q2 FY24 was EUR 62.8 million compared to EUR 68.8 million in the previous quarter, with a reduction of 8.7 % . The EBITDA margin decreased to 14.8% compared to 16.1%



mainly due to the reduction of volume in the turnover.

But if we analyse the year-to-date compared to the previous year, we are closing with 15.4% of EBITDA margin compared to 12.6%. The profitability of Endurance Overseas, in the year 2018, 2019 and 2020 pre-covid world, was higher in the backdrop of higher volumes in the market.

In 2018, the total market reached 13 million vehicles registration. We closed the previous financial year with 9.5 million. Probably, this year will see more or less the same and

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Unfortunately, the EBITDA of auto ancillary suppliers are affected by this reduction of volume.

But I believe that 15.4% of EBITDA is not so bad in our field. For sure, we are not facing the very high energy cost problem of the previous financial year. But compared to 2019-20 we are paying 3x gas and energy prices. And this means more or less 2% of EBITDA gets eroded.

Anurag Jain: Our consolidated finan

cial include s Maxwell. Maxwell is a very strategic call we have taken to

be a part of the EV journey. There will be some hurdles always along the way. But we are very confident that we are on the right path of the journey and confident that we will have positive results.

It's a product mix issue which will be resolved from Q4 FY24. We are very confident about Maxwell because of the technology, and the new order wins. EV is still a very emerging market in India. It will do well. We have to take some pain in the first couple of years but things will improve.

Shirish Guthe: We are seeing a lot of growth opportunities coming for other ancillaries from the aluminum casting exports and non-auto exports. Can you highlight any progress that we have made?

Anurag Jain: Endurance is a leader in Die Casting, not only because of capacity, capability, technology and process but with a lot of experience. We are getting a lot of opportunities both for exports as well as India. Right now our focus is on four-wheelers in a large way and on machine die castings.

And we are looking at EV as well as structural casting opportunities because of light weighting.

Exports of course is a major focus and we are working on how to increase the export business.

But Europe has its challenges because the number of vehicles sold are 20% less compared to 2018.

Shirish Guthe: Are these export opportunities coming at better margins?

Anurag Jain: Yes definitely they are coming at better margins. The question is whether the volumes as per the LOI are sustained or not. So we did have an issue in this year where volumes were lesser than what OEMs had earlier estimated. The focus on 4W exports that we have in India is at good margins.

Our focus is on machine die casting, structural casting and EV casting because there the margins are good and we have to focus where the margins are good.

Shirish Guthe: Can you share the break-up within casting? How much is four-wheeler and how do you see that playing out moving ahead?

Anurag Jain: We cannot share the break-up but four-wheeler margins in general are higher - commercial vehicles are the highest, then passenger cars followed by two and three wheelers.

Jinesh Gandhi: We talked about incentives for Q1 being Rs. 34 Cr. and that in Q2 it has come to Rs. 24Cr.

Satrajit Ray: It goes by how we apply and how government approves and pays us the incentive. We've been booking roughly around Rs. 58 crores every year for the last 2-3 years. So this year based on our

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GST bearing sales in the state of Maharashtra, we booked Rs. 34 crores in Q1 FY24, leaving Rs. 24.8 crores to be booked in Q2 FY24.

This represents 90% apportioned yearly incentive. The balance amount of 10% is booked when amounts get cleared (likely during Q4). There is expectation of more incentive coming in under this scheme but that is not certain at this point in time.

Jinesh Gandhi: How big can PVs and non-autos be over the next 3 years for aluminum die casting business?

Anurag Jain: Growth will be high but where the growth will lead us to as a percentage cannot be defined. We are a technology leader in all the products we make for 2 and 3 wheelers, or even for 4 wheelers on castings, there is a lot of upgradation and engineering happening. We supply for non-auto applications also and are trying to see how to increase sales there.

Jinesh Gandhi: On the PV, I believe we have won some orders from Tata Motors on the aluminum die casting, so is the content materially higher vis-à-vis what we supply to Hyundai, Kia, and Mahindra & Mahindra?

Anurag Jain: Definitely the order wins are increasing for Hyundai, Kia, and Tata Motors, and now Mahindra. Mahindra is coming in a much bigger way.

We are going to start two oil sumps for them also. The point is that all OEMs

should be able to generate the LOI volumes, because I give you my order figures that are based on the LOI quantities.

Jinesh Gandhi: We have focused on machine d components , where are we in the journey today and where should we be in two to three years' time ?

Anurang Jain: Machine d castings, whether semi -finished or finished, is at 70% in India approximately. Our focus is to take it to 100%. We don't want to do raw castings, but there is some understanding with our old OEM customers . However, we are trying to change that in the future. So that 30% needs to be converted to machined casting.

Anurang Jain: Since there are no further questions, I just want to thank all the people who attended and joined the call. Thank you for the time. Thank you.

## Call: Feb 2024

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13th February , 2024  
The Manager,  
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Mumbai - 400 001

BSE Code: 540153 The Manager,  
National Stock Exchange of India Ltd.,  
Exchange Plaza,  
Bandra -Kurla Complex, Bandra (E),  
Mumbai - 400051

NSE Code: ENDURANCE  
Sub.: Transcript of Conference Call held in respect of the Company's Q 3 FY24  
financial results.

Ref.:

1. Regulation 30 and Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations").
2. Intimation of telephonic / virtual meeting with Analysts / Institutional Investors dated 31st January, 2024

Dear Sir / Madam,

In continuation of the referred intimation and Listing Regulations, please find enclosed the transcript of the conference call held on 7th February , 2024 in respect of the Company's Q3 -FY24 financial results.

The transcript has been hosted on the Company's website at:  
[https://www.endurancegroup.com/wp-content/uploads/2024/02/Concall - Transcript -07-02-2024.pdf](https://www.endurancegroup.com/wp-content/uploads/2024/02/Concall-Transcript-07-02-2024.pdf)

We request you to take the above information on record.

Thanking you,

Yours faithfully,  
For Endurance Technologies Limited

Sunil Lalai  
Company Secretary and Executive Vice President – Legal  
Membership No.: A8078  
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Endurance Technologies Limited  
Q3 FY24 Earnings Conference Call  
February 07, 2024

Management: Mr. Anurang Jain – Managing Director,  
Endurance Technologies Limited  
Mr. Ramesh Gehaney – Director and Chief  
Operating Officer, Endurance Technologies Limited  
Mr. Massimo Venuti – Director and Chief Executive  
Officer – Endurance Overseas , Endurance  
Technologies Limited  
Mr. Satrajit Ray – Director and Group Chief  
Financial Officer, Endurance Technologies Limited  
Mr. R.S. Raja Gopal Sastry – Group Chief Financial  
Officer Designate, Endurance Technologies Limited  
Mr. Raj Mundra – Treasurer & Head Investor  
Relations, Endurance Technologies Limited

Moderator : Mr. Nishit Jalan – Axis Capital Limited

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Moderator: Ladies and gentlemen, good day, and welcome to Q3 FY24 Earnings Conference Call of Endurance Technologies Limited, hosted by Axis Capital Limited.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing \* then 0 on your touchtone phone. Please note that this conference is being recorded .

I now hand the conference over to Mr. Nishit Jalan from Axis Capital Limited. Thank you, and over to you, Sir.

Nishit Jalan : Thank you, Ria. Good morning, everyone. Welcome to Q3 FY24 Post Results Conference Call of Endurance.

From the management team, we have with us Mr. Anurang Jain - Managing Director; Mr. Ramesh Gehaney - Director and COO , Mr. Massimo Venuti - Director and CEO, Endurance Overseas, Mr. Satrajit Ray - Director and Group CFO , Mr. Raja Gopal Sastry – Group CFO (Designate) and Mr. Raj Mundra - Treasurer and Head, Investor Relations.

I will now hand over the call to Mr. Jain for his opening remarks, post which we can have the Q&A. Over to you, Sir.

Anurang Jain: Thank you very much, and good morning to all of you.

I would like to share our details of how we have done in the Q3 and the first nine months of this financial year.

a. In India, in Q3 FY24, as per the SIAM data, the two wheeler industry sales grew by 18.74% compared to the previous financial year. Scooters grew by 24.48% and motorcycles grew by 16.16%. The automotive industry in India as a whole had a growth of 15.89%.

b. In Europe, in Q 3 FY24 , there was an increase of 6.2% in the European Union automotive sales (with U.K).

On the financials, I will briefly talk to you about the Q3 FY24 and then the first nine months of this year.

1. During Q3, our consolidated Total Income grew by 22.8% to Rs. 25,880.76 million from Rs. 21,067.54 million in Q 3 FY23 . Consolidated EBITDA grew by 29.9% to Rs. 3,259.74 million from Rs. 2,510.24 million in Q3 FY23. Consolidated EBITDA margin was at 12.6%.

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Profit after tax grew by 40.7% to Rs.1,522.78 million from Rs. 1,082.3 million in Q 3 FY23 and the PAT percentage was at 5.9%. There was no Maharashtra mega project incentive in Q 3.

There was no net debt and there was net cash available of Rs . 4,636 million in consolidated books.

During Q3, our Standalone Total Income grew by 25.1% to Rs. 20,069.73 million from Rs.16,047.46 million in Q 3 FY23. Standalone EBITDA grew by 31.8% to Rs.

2,446.74 million from Rs. 1,856.33 million in Q 3 FY23. The EBITDA margin was at 12.2%.

Standalone PAT grew by 43.6% to Rs. 1,324.02 million from Rs. 922.06 million in Q3 FY23. PAT margin was at 6.6%. There was no Maharashtra mega project incentive in Q3.

2. The Endurance Overseas sales growth in Q 3 FY24 was at 5.4% at EUR 63.38 million as compared to EUR 60.1 million in Q 3 FY23. The Endurance Overseas EBITDA margin grew by 13.5% to EUR 9.81 million in Q3 FY24 from EUR 8.6 million in Q 3 FY23. The EBITDA margin was at 15.5%.

3. As far as Maxwell is concerned, there was an EBITDA loss of Rs. 33.7 million in Q3 FY24. The main reasons are the postponement of new EV launches. Endurance is focused to have a profitable growth from the next financial year. The in-house surface-mounted technology line for manufacturing of BMS at Endurance Waluj and the growth in new products with lower raw material percentages and higher margins will lead to profitable sales at Maxwell.

4. During the first nine months of FY24, our consolidated Total Income grew by 15.5% to Rs. 76,151.72 million from Rs. 65,943.19 million in the first nine months of FY23. Consolidated EBITDA grew by 28.7% to

Rs. 9,976.63 million from Rs. 7,754.83

million for the first nine months of FY23. Consolidated EBITDA margin was at 13.1%. PAT grew by 37.1% to Rs. 4,703.34 million from Rs. 3,431.09 million in the first nine months of FY23. PAT margin was at 6.2%. This includes the Maharashtra state mega project incentive of Rs. 589.01 million.

During the first nine months of FY24, our standalone Total Income grew by 13.5% to Rs. 58,273.52 million from Rs. 51,361.31 million in the first nine months of FY23. Standalone EBITDA grew by 23.7% to Rs. 7,439.81 million from Rs. 6,016 million in the first nine months of FY23 with an EBITDA margin of 12.8%. The standalone PAT grew by 33.2% to Rs. 4,054.8 million from Rs. 3,044.06 million in the first nine months of FY23. PAT margin was at 7%. This includes Maharashtra state mega project incentive of Rs. 589.01 million.

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There was no net debt as there was net cash available of Rs. 3,939 million in standalone books.

CRISIL has reaffirmed our rating as AA+ Stable for long-term funding and the highest rating of A1+ for short-term funding and have cited the Endurance strengths in operations, financials, customer strength and diversified revenue streams. The risks which have been cited were moderately high customer concentration and industry cyclicality.

The detailed financials are available with the stock exchanges and on the Endurance website.

I would now like to share certain key points for the first nine months of this financial year :

1. In the first nine months of FY24, 77% of our consolidated Total Income, including Other Income, came from Indian operations including Maxwell, and the balance, 23%, came from our European operations.

2. In India, till Q3 FY24, Rs. 9,410 million of new business was won from OEMs other than Bajaj Auto. These included Royal Enfield, TVS, Hero MotoCorp, Tata Motors, Honda i.e. HMT, Jaguar Land Rover, Mahindra & Mahindra, Punch Powertrain and Suzuki. This business win of Rs. 9,410 million constitutes Rs. 5,679 million of new business and Rs. 3,732 million of replacement business. This Rs. 9,410 million of business will reach peak in FY 26.

3. The total four-wheeler business win till date in this year is Rs. 1,285 million. The orders are mainly from Punch Powertrain, Tata Motors, Mahindra & Mahindra and Jaguar Land Rover.

I would also like to mention that we have Rs. 17,266 million worth of request for quotes from OEMs.

4. Since FY20 in India, Rs. 39,009 million of business has been won, out of which Rs. 27,458 million is new business and Rs. 11,551 million is replacement business.

The Rs. 38,720 million new business will reach peak sales in FY26 and is mainly for suspension, castings and brakes in India.

5. TVS business win has been Rs . 5,278 million till date, and it's growing. The business won is for brakes, aluminium castings and suspension. The Rs . 5,278 million sales will reach peak in FY 25.

6. The total business win for electric vehicles till date is Rs. 6,777 million. These orders are mainly from HMSI, Ather Energy, Bajaj Auto, Hero Electric, Greaves Electric, Endurance Technologies Limited

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Bounce, and Aptiv. This is apart from Rs . 3,785 million business won by our subsidiary company, Maxwell.

Some of the significant new business won till Q 3 FY24 is as follows:

- TVS, Rs. 266 million inverted front fork and rear monoshock suspension business. Also Rs. 404 million has been won for front fork and rear shock absorbers, which SOP has been planned in August, 2024.
- Hero MotoCorp new business win includes inverted front fork of Rs . 240 million, and SOP is planned in June, 2024. Brake assembly new business win of Rs . 263 million, and the SOP is planned in April, 2024. Front fork and rear shock absorber

win of Rs .

1,247 million, and this business has already started.

- We have also won Suzuki new scooter front fork business of Rs . 253 million. This is in addition to the previous year's Rs. 1,400 million front fork business already won, and SOP of both will be in Q 3 FY25.
- We have won the HMSI brake assembly new business of Rs . 294 million, and the SOP is planned in Q 3 FY25.
- We have also won the Royal Enfield alloy wheel new business of Rs . 657 million, and the SOP is planned from this month onwards.
- Punch Powertrain 4 wheeler Aluminium casting machine business has been won of Rs. 582 million, and the SOP is planned from this month onwards.

7. The new 35 dia air suspension inverted front forks for supply to KTM Austria will start by Q 3 FY25 with the help of KTM technology from our E93 Waluj, Aurangabad plant. The value of this business is Rs . 400 million per annum and the product will be exported directly to KTM Austria.

8. Our Battery Management System (BMS) assembly surface-mounted technology line has started SOP from 6th February FY24 at our Waluj, Aurangabad plant. The peak value of this business will reach Rs. 1,200 million per annum for BMS as well as ABS ECUs, which we should reach peak in FY26 .

9. For EV scooters, we are ramping up our sales to 240,000 sets per annum of parts for EV battery packs and motor housing aluminium castings. The total value will be Rs . 1,000 million per annum, which has started and will reach peak in the FY25.

10. For our aluminium forging business, we are increasing our capacity from 1,250 metric tonnes per annum to 1,750 metric tonnes per annum at an additional business value of Rs.750 million from our Waluj, Aurangabad plant. This business has started and will reach peak value in FY25. The SOP for the third aluminium forging press has already started from February FY24, and the fourth aluminium forging press will start in Q 1 FY25 .

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We also added Jaguar Land Rover as a new customer for the EV passenger car with an export business value of Rs . 240 million. The aluminium forging business is a new opportunity for growth for both ICE as well as EVs.

11. At our Chakan plant, last year we started a niche business of structural aluminium castings like swing arms, sub frames and structural fairings for both the electric vehicle and ICE models, which have gone in for light weighting . This was done for Bajaj Auto, KTM, Piaggio and TVS. This business has already started for Bajaj Auto, KTM, and Piaggio, and the SOP of TVS business is planned for April, 2024, which will reach peak in FY25. The business value is approximately Rs . 1,000 million per annum.

Endurance has a very good process and product technology in this business, which is helping us in almost being a sole supplier for these structural castings.

12. Our customers recognise us as a trusted and capable partner in the value chain in terms

of both technical and financial strengths.

The electronic vehicle market continues to offer significant opportunity for growth to the auto components sector.

As you know, Endurance has taken a major step forward to harness this opportunity by executing a Share Subscription and Purchase Agreement for acquiring 100% of

equity share capital of Maxwell Energy Systems Private Limited in a phased manner.

We have already increased our equity stake to 56% in Maxwell as per this agreement.

Maxwell is in the business of advanced electronics, particularly in the Battery Management Systems for two wheeler electric vehicles and for automobile and two wheeler battery packs.

13. At Maxwell, we have won Battery Management Systems business of Rs. 1,190 million in FY23 and Rs. 793 million till date in FY24. And we have a pipeline of RFQs of Rs. 1,050 million. Till date since FY 22, Rs. 3,785 million business has been won by Maxwell

, which is expected to be fully realised in FY27.

14. We are also happy to inform you that Royal Enfield has awarded us this month, new BMS business, which SOP will start in January, 2025. So with the current order book or the pipeline and technical strengths between both Endurance and Maxwell, we are very confident of achieving our goals in the advanced electronics space.

15. As disc brake assembly business is growing with the addition of Bajaj, TVS, Royal Enfield, Yamaha, Hero MotoCorp, Ather and HMSI, our second plant at Waluj, Aurangabad had been started for this increase of volumes and already had started SOP last year. We will also start disc brake assembly supplies to Hero MotoCorp from April, 2024 and to HMSI from the end of Q3 FY25.

With this new plant, our disc brake assembly volumes have increased to 6.2 million numbers per annum and for brake disk to 8.1 million numbers per annum.

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16. As you are aware, the supply of two wheelers ABS assemblies to Bajaj Auto and Royal Enfield has started. We have reached a run rate of 400,000 ABS assemblies per annum.

As you may be aware, competition is mainly from Bosch and Continental, both German companies, which control the major market share in Indian ABS two wheeler market. We are now in the process of supplying a dual-channel ABS from June, 2024, and we have also scaled up additional assembly lines by 240,000 ABS assemblies per annum, which has taken our capacity to 640,000 ABS assemblies per annum. We are further planning to increase the capacity to 1.2 million single and dual channel ABS assemblies per annum for the second half of FY 26.

In March 23, we have started manufacturing the ABS valves, which is not only a technology component, but has also helped us in substantially lowering our costs and make better profit margins.

17. Due to increased orders in aluminium alloy wheels from Bajaj Auto, Yamaha India, TVS, Hero Electric and now Royal Enfield, we have added a new plant in July, 2022 at Chakan to help increase supplies to 4.5 million wheels per annum. With new order wins from Royal Enfield and TVS, we've now expanded the capacity to supply 5.5 million wheels per annum, and the SOP will start from April, 2024 onwards.

18. As far as Europe is concerned, till date in FY24, we have won EUR 29 million business, mainly from the Volkswagen Group and Mercedes Benz. In the last 21 months, out of the EUR 113 million order, EUR 60 million orders are for the growing battery EV business, where penetration in Europe has increased to 15% in the calendar year 2023.

I would also like to point out that Endurance both in India and Europe is actively focusing on gaining access to new technology and on new products through organic and inorganic growth. At Endurance, our future focus will be on the following projects for a better product mix and better profit margins.

- We want to increase our 4-wheeler share of consolidated business in the four wheeler industry from 26% today to 45% by FY30. This increase will come from aluminium castings, aluminium forgings as they will be increasingly used for light weighting and from proprietary products through acquisitions, joint ventures and technology agreements.
- Our focus is on increasing our share of business with all customers on premium bikes greater than 150 cc for brake assemblies, ABS, suspension and clutch assemblies with upgraded product technologies and process.
- We are also focusing on increasing the business for electric vehicles for

existing as well as new products. We want to increase our advanced electronics or embedded electronics business by becoming a significant

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player for the Battery Management System and new electronic products required for EVs and other applications.

lications.

- We want to focus on increase in non -automotive business, which has large opportunities, especially in aluminium casting. We've already started this focus and are building up a special team for this.
- Our focus is to reach 10% of India sales in the aftermarket business by FY28. In the first nine months of FY24, our aftermarket sales grew by 5.58% from Rs. 3,085.15 million in the previous year to Rs. 3,257.26 million in the first nine months of this financial year. We are exporting our aftermarket parts to 33 countries. We are now planning to add 2 more countries in FY24 in Central and Western Africa and supplies should start soon. The aftermarket sales growth is a very large focus area for us. We have our challenges, especially for exports, and we are now targeting a good growth in FY25.

- In the first nine months of FY24, the export sales for India's standalone business grew by 7.37% from Rs. 1,385.13 million in the previous year to Rs. 1,487.27 million in the first nine months of FY24. The major sales growth has come from two wheeler suspension exports for KTM plants in Australia, China and Southeast Asia and from aftermarket export sales.

On the environment front, I would especially like to mention that sustainability is a huge focus at Endurance, and we are striving to be carbon neutral in our plants by effective use of solar power and wind power, creating carbon sinks by driving tree plantations and thereby creating dense forests and driving use of natural gas and LPG in case of electric power and furnace oil. Furnace oil use has been completely stopped. We have achieved a carbon neutral percentage of 30% till date in FY24, and our aspiration is to reach a carbon neutral percentage of more than 50% by FY30. We are also focusing on lowering hazardous waste generation and to achieve zero waste to landfill.

At Endurance, it will be a continuous endeavour to grow through organic and inorganic growth with a focus on technology upgradation, quality improvement, cost, environment, health and safety. We will do our best to fulfill our stakeholder expectations by following the five values of Customer Centricity, Integrity, Transparency, Teamwork, and Innovation.

We at Endurance have a very positive outlook based on our new large order business wins in the last four years, including electric vehicles, both in India and Europe. With these opening remarks, I would like to invite questions from all of you. We also have from Maxwell, Mr. Akhil Aryan, Mr. Alex Collet, and Mr. Vishwas, who is the CEO at Maxwell, to answer any questions which you may have on Maxwell. So thank you, and now we can take your questions.

Moderator: We will now begin the question -and-answer session.

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Aashin Modi: During the quarter, we have added around Rs. 164 crores of new orders, and we have added Rs. 60 crores of new EV business and also for four wheeler casting business. Could you please highlight?

Anurag Jain: As far as castings are concerned, the major order has come from Punch Powertrain, which has a tie-up with TACO in India. Punch Powertrain is becoming a very good growing customer for us because even in Europe, we have won a large business from Stellantis, which also has a tie-up with Punch Powertrain.

We have won orders from Jaguar Land Rover for Aluminium forgings. And new order wins from Tata Motors and Mahindra & Mahindra for castings.

For suspension, it's largely from Hero MotoCorp and TVS. These are the 2 major customers. All these order values mentioned above do not include orders from Bajaj. So Bajaj will increase our share of business with the growing volumes of Triumph, KTM and Chetak. These are not included in this Rs. 9,410 million of business. We have a fixed SOB with Bajaj for all our products.



Brakes is from Hero, HMS I and TVS. We were doing

largely motorcycle brakes. We have

reached about 75,000 sets per month and now we have started scooter brakes from this month.

Our target is to reach 100,000 brake assemblies per month for TVS. They are our second largest customer after Bajaj for brakes.

For alloy wheels, we have increased capacity because of orders from TVS and Royal Enfield.

TVS will be going to almost 65,000 sets a month from April, 2024 and Royal Enfield we'll be starting from April, 2024 as we've received an order of close to 20,000 sets a month. So we are slowly growing these businesses. Our focus is to improve the profitability and product through product mix and focusing more on those businesses which give us higher profit margins.

Aashin Modi: If you look at the current ramp-up of order book, peak business is in FY25. So how do we see growth from FY26 onwards, which would be the key segments driving the growth? And in which segment do we see incremental orders from here?

Anurang Jain: In the first nine months, the motorcycle which is our major business has grown only 3%.

Scooters grew by 10.66% and total 2-wheelers grew by 5.29%. Bajaj, our major customer has grown only 1.4% in motorcycles. Largely, the growth has come from three wheelers around 34%. Despite that, our standalone business has grown 13.5%.

We believe in profitable and higher than industry growth, and that's our focus. And that's happening because we have won so many new orders in the last four years and that's helping us to grow.

In Q3, motorcycle growth was very high at 16.16%, scooters growth was 24.48% including EVs, and 18.74% growth in total two wheelers. And our standalone business growth was at 25.1% without mega project incentive.

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Without mega project incentive, the EBITDA was at Rs. 2,336 million at 11.9% margin in Q2 FY24 and it was at Rs. 2,447 million at 12.2% margin in Q3 FY24.

With megaproject incentive, the sales were Rs. 19,594 million with mega project in Q2 FY24, which increased to Rs. 20,070 million in Q3 FY24. We witnessed the best Q3 in India after a long period of time. And the two wheelers industry did well and with that our major customer like Bajaj Auto, performed well with the growth in Triumph, KTM, Chetak.

The growth shall come largely from the high-end bikes. Our focus will be on all the 150cc plus bikes with high-end brakes, suspension, products with new technologies and assist and slip clutches.

We have to grow our market share. Casting is a huge opportunity for us to grow in four wheeler, two wheeler and for non-automotive.

We have a very large focus on four wheelers. We want to increase consolidated 4W business share from 26% to 45% by FY30. This is in spite of the expected increase in two wheeler business. Our large focus is on four wheelers, which will start with Aluminium castings and forgings, and also we are looking at acquisitions, joint venture collaborations in the 4-wheeler space.

In non-automotive, we already have orders for generator castings from Generac, USA and for cell-tower castings from Sanmina.

Aashin Modi: For Maxwell, congratulations on the orders win from Royal Enfield. So with the new launches in the electric scooter space, how do we see order wins over there?

Anurang Jain: For Hero Moto Corp, we are a major part of their EV scooter business. And we just won an order from Royal Enfield. We have won orders from Hero Electric, but because of the FAME II subsidy, there's been a postponement, hence they will start from Q1 FY25. We also have large orders from Greaves Electric.

Maxwell has a maximum experience on Indian roads. They have 150,000 - 160,000 BMS on road. Further, we are looking at new electronics products also after the Battery Management System.

Maxwell's acquisition is a part of our EV journey which might

get delayed but the volume,

especially scooters and three wheelers is really going to increase and the highest EV penetration will be in scooters and 3-wheelers. So the issue is we cannot lose these opportunities. From next financial year, it augurs well for Maxwell is what we strongly believe.

Jinesh Gandhi: Continuing on Maxwell while their key customers have been facing this issue of FAME II, how far are we in terms of getting in roads with mainstream OEMs like Ola, Ather, Bajaj, Hero, TVS?

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Anurang Jain: For Royal Enfield, there was the best competition in the fray and the fact that Maxwell has been selected proves itself that how competitive we are, what are our strengths on technology, and that's how we won this order.

As far as Ola is concerned, they are mainly doing it in-house. But definitely, our efforts are on with TVS and Bajaj. We are making efforts with everybody. But it's not only the Battery Management System, we're also looking at new electronic products in the future.

We're also looking at exports. We are looking at the orders which we have won and will peak in FY26. As the sales grow, we get into better products with lower raw material percentage with semiconductor shortages behind us and prices coming down. All this augurs well with sales growth, with lower RMC percentage and our technical strength. So we strongly believe we have a bright future ahead.

Jinesh Gandhi : Are we expecting to take longer time for us to get orders from Bajaj for BMS ?

Anurang Jain: The issue is we are a late entrant. They had given commitments to the already existing company. So as the volumes grow, which is aggressive on the EV space for both Bajaj and TVS, we will do our best to get orders based on our technology and our competitive strengths. We are really focused on this but right now, we have no wins from Bajaj.

Jinesh Gandhi : On the four wheeler focus, which we talked about taking share up to 45%. So is that particularly on the aluminium side or is it including alloy wheels ?

Anurang Jain: Four wheeler alloy wheel is another product in our mind which we have not finalized as yet. In other castings, new opportunities are coming our way like Punch Powertrain. We have a lot of new export orders coming up.

We will capitalize on the orders both in ICE and EV space, mainly on the aluminium castings. And it may include alloy wheel in the future. It will include proprietary products, existing as well as new products in the future. It can be through acquisitions, joint venture collaborations, and we are actively involved in this. But we have to be careful and ensure that in terms of acquisitions, we are able to manage and sustain profits. That's our philosophy but definitely reaching to 45% is a clear target which we intend to achieve by FY30.

Jinesh Gandhi : Structural casting parts order are for ICE or EV?

Anurang Jain: At present it is for ICE, but it's also required for EVs. Being a niche market, it goes on higher tonnage machines and there's a real technology involved in these structural parts because of their sensitivity. Because of our strong know-how, we are the first choice for this part.

It's not that we don't expect competition in the future, but will try to be a leader. But this area is becoming a very large area for growth. We already won Rs. 1,000 million worth of orders.

Jinesh Gandhi : Will this lead to increase in content per vehicle on the aluminium side of two wheelers ?

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Anurang Jain: Yes, these are high value-add items.

Jinesh Gandhi : In the passenger vehicle business, both in India and Europe, we have seen lower growth in the underlying industry in nine months of FY24. So is it more true with the timing difference because of the

product launches of key customers in India and Europe?

Anurang Jain: Two wheeler industry was not doing well in the first six months. My belief is at Endurance; we have to be in all the segments plus the non-automotive because we don't know where the industry growth will reside. In December, 4-wheeler volumes were flat and 2-wheeler was much ahead. There could be various reasons for change but we have to de-risk ourselves and be present substantially in four wheelers, two wheelers, three wheelers. And also non-automotive which will bring really good profitable opportunities in the future.

We believe the base was low for two wheelers. This year, we should do 21 million numbers. The peak was 24.5 million numbers in FY19. And if the rural grows, with better household income and good financing of the two wheeler vehicle, there is no reason it should not do well.

Mumuksh Mandlesha : Congratulations on the strong revenue growth, new order wins and the future diversification plans. On the revenue growth for this quarter QoQ basis, we have seen a double digit growth in the die-casting and suspension segments. Can you help us understand which new orders have ramped up and supported growth in Q3?

Anurang Jain: In the second plant, which came up in last year, we have won new orders for brakes business which is the fastest growing, then suspension and castings. Brakes, suspension, casting plus alloy wheels, they are leading this growth. We have pipeline of orders which are coming up.

Mumuksh Mandlesha : On QoQ basis (Q3 vs Q2), the die casting and suspension have grown by double-digit vs the industry growth being flattish. So to understand, which new orders would ramp up this quarter?

Anurang Jain: It was structural castings, castings for EVs, crank cases for premium bikes which have really grown.

In suspension, we have won orders from Hero MotoCorp worth Rs. 120 crores . Triumph, KTM, Chetak, Royal Enfield share has increased . Inverted front forks has gone up for exports. Bajaj has done very well in Q3. Suspension has gone up with them and very high value front forks. Bajaj uses even for the Pulsar , inverted front forks, which are much higher in price than the conventional front forks. Bajaj, Yamaha and Hero are the 3 companies which have really led the growth in Q3.

Mumuksh Mandlesha : For Other Expense, was there any one -off this quarter? Because Other Expense has grown broadly in line with the top line growth for both standalone and consolidated business , we have not seen any positive leverage benefit. Any reasons for that?

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Satrajit Ray : In India, there has been no significant increase in Other Expenses. Some preventive maintenance expense we normally undertake in December , but if you see other expenses as a percentage of revenues considering the fact that metal prices are coming down, so revenues have to be adjusted for that.

As a percentage of sale, it's not gone up at all. But one -off item would be preventive maintenance costs, but nothing very significant there.

Massimo Venuti : In Europe , compared to 2022, there is an increase in expenses due to the increase of Employee Cost. Starting from the 1st June 2023, we have had an increase of 6% in our employees cost linked to the inflation. And also in Other Expenses, if you compare the Q3 to the Q2, the increase is only due to the inventorization of costs for stock increase and the product mix , in fact conversely, the incidence of material cost decreased in the period . Otherwise the Other Expense and the employee cost are aligned compared to the previous quarter.

Pramod Amthe : In the new orders slide of your presentation, we can infer very rapid sales growth. So if I had to track what are these customers we need to watch out for? Because you also alluded to the fact that in

case of EVs, one of the customer missed out and hence be deferred for next year. So I wanted to get some more granularity when you are projecting that much of a lumpy rise for FY25 ?

Anurag Jain: When I mentioned about Rs . 38,720 million order win, some of the business already started in FY20, FY21, FY22, FY23 and FY24. I would say the major growth is going to come from all customers . We have received Rs. 1,650 million worth orders from Suzuki for new front fork and rear shock business starting in Q 3 FY25 despite Suzuki being a small piece in our scope of things .

For example , Bajaj Chetaks, Triumphs, KTMs . have grown in domestic market. If you take Yamaha, the brakes and alloy wheels business is increasing. TVS, Hero MotoCorp will see growth. KTM exports are increasing

We are growing with all our customers . In EVs, it will be mainly Ather, they have started doing well now. HMSI and Bajaj , as far as EVs is concerned, we'll be a part of the journey . We have already won business for castings for our South India plant from HMSI.

So we are focusing on EV with all the original OEMs including new OEMs like Ather, Greaves Electric, Hero Electric. Ola we are not present right now.

Pramod Amthe : With Punch Powertrain, you have been able to make inroads . Surprised to see the short lead time of win versus your delivery. So is there anything to see if we extrapolate the similar one for other EVs coming in car business? Or how are you looking -- or it's a one -off?

Anurag Jain: Punch Powertrain, for this business the lead time was not that big. But I think our engineering strengths, tool room, our capabilities will help us to get into SOP and production at speed. And

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that will be one of the key things in future . Whereas for castings , our strong R&Ds, our own test track for the proprietary products, are really helping us to do quicker development .

Technology is a huge focus, which is helping us to get into new products very fast. And castings, our own engineering team, tool room shortens the lead times.

Pramod Amthe : Looking at the opportunity in the EV Powertrain, how much you might have addressed in the case of Punch? And is there more headroom available for you to expand your opportunity in that? How do you look at it?

Anurag Jain: I think the opportunity is huge, and you will see new order wins in the future. We are looking at a lot of other EV opportunities in the battery casting space for 4-wheeler EV,

Pramod Amthe : Can you highlight new order wins in 9 month FY24 and what has been done in the last 2 years in Europe? How you explain the new product development which itself was weaker or your wins

were lower in Europe this year and how that will have a repercussion going forward?

Massimo Venuti : In Europe, we won EUR 29 million orders in the last 9 months, but in the last 4 years, we have won EUR 249 million orders. The annual turnover of Endurance Overseas is usually around EUR 250 million. So, the new order intake is quite healthy.

And we are investing EUR 50 million in this financial year to put in place the production capacity to cater to the new orders . Such new capacity creation needs capital expenditure and space in our factories. In view thereof, we have also slowed down new business acquisition. But by and large, we continue to quote for new business.

For instance, for Punch Powertrain Europe, we're quoting for components of electrical vehicle for the plug-in technology 150,000- 180,000 parts per year. Our major focus in Europe is to implement the production capacity for orders already won, because we have a lot of new projects and the target is to start as soon as possible with good volumes.

Anurag Jain: I would just like to add here to what Massimo said. We are acquiring new land and making new buildings. So, we will

have space for growth. These business wins of EUR 250 million are largely for the EV products as well as hybrid applications .

But you will see we are going to take more orders . You will see a larger share of revenue in the coming years coming from newer orders, because there has been a delay in ramp-up in some of the electric vehicles .

Arvind Sharma : On a QoQ basis, there has been a slight decline in the EBITDA margin . What are the possible reasons for that ?

Anurag Jain: No, there is no decline because there was no mega project incentive in Q3. Q2 has the mega project incentive so you have to compare it with that. So if we do not take mega project incentive, EBITDA was at Rs . 2,336 million in Q2 FY24 , 11.9% margin , which went up to Rs . 2,447 million. Endurance Technologies Limited  
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million, at 12.2% margin . We don't get mega project every quarter, largely it's booked in the first 2 quarters.

Arvind Sharma : Are we expecting any mega project incentives next year?

Satrajit Ray : We book about 90% of our entitlement as per Accounting Standards, as-and-when we clock up SGST based sales. This remaining 10% for the initial years will be due to us once the GST audit is over, the report is filed with the authorities and they clear the balance.

As far as we are concerned, with under the current mega project incentive, that is 2013 to 2019 scheme, this was the last big year of close to Rs . 60 crores booking. Going forward would be smaller amounts of 10% , which we have held back for getting the GST audit done. It is difficult to say, but you could see some booking of this 10% amount in Q4 this year.

Arvind Sharma : The next question will be more on the demand trends that you are seeing. Yes, there have been new order wins, which will help the revenue. But on the demand front, especially in the two-wheeler segment, what are your views for next year, FY 25 from an industry perspective?

Anurag Jain: The two-wheeler demand trend for the first six months was not so good but the next six months it's fantastic in Q3, Q4. And it depends a lot also on how fast the scooter EVs will grow with the FAME II subsidy practically going out from June , 2024 and how the rural sector is doing.

Right now, we see an increase in demand as well as a good financing. So let's hope it continues.

And that's the reason though we at Endurance continue to focus on two wheelers , three wheelers , 4-wheelers and non-automotive .

Arvind Sharma : For the European business, please share the PAT in euro terms?

Massimo Venuti : We closed Q3 with EUR 63.4 million of turnover, 5.4% higher compared to the previous year. EBITDA, EUR 9.8 million with 15.5% margin, 13.5% higher compared to the previous year. PAT, EUR 3.3 million with 5.2% margin, 7.5% higher compared to the previous year.

Viraj: With respect to aspiration of 45% of mix from 4-wheelers by 2030, what product segments will drive that for us? Can you talk about the suspension segment performance and can you brief on how the two-wheeler end market has done on a nine month in comparison to Endurance? And the last question what are the competitive dynamics in suspension for both 2W and 4W?

Anurag Jain: The four-wheeler 45% is going to come from aluminium castings, forgings. It could also include four-wheeler alloy wheels and from die casting business and in proprietary , it could come from brakes, suspension for 4-wheelers and new products which are required for both ICE and EV in the 4-wheeler space. And it could come from acquisitions and collaborations.

Viraj: On suspension, you talked of orders from Hero Motors close to Rs .130 crores and from Suzuki and other players . What would be your share now in the 2-wheeler space? And what are the opportunities for further growth in the 2-wheeler space and suspension?

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Anurag Jain: Growth will come automatically if the two wheeler industry grows. Further growth will come from the higher -end suspension - suspension of the above 150cc bikes, with technologies of inverted front forks , rear mono shock absorbers , becoming more prevalent . It will also include exports to KTM in all the regions of the world.

We're also working with other foreign players in the two wheeler domain to be able to increase our exports on the 2-wheelers. So suspension will be an element of this . In Suzuki, we were not present but have won a large suspension order from them.

Viraj: Can you throw some color on the Maxwell competitive dynamics in the product segments, their participants , who will be the large players and their share as of today?

Vishwas : Let me also come to how the industry is shaping up because that will help you understand much better. EV segment as such is still a volatile segment. There is a lot of consolidation happening.

There are a lot of regulations, which are transforming the industry in one way or the other.

And BMS also has had an impact due to the FAME II as well as the AIS -156 and so on. So when it comes to the competitive space as such, the initial competitors were mainly coming from China with respect to the low -cost PCMs and so on, which many OEMs were using.

Now with AIS -156 coming in from last year , so these low cost options have gone off. And there is also a lot of localization support with respect to FAME II that has largely gone off and smart BMSs was the order of the day since April last year.

Going forward, many of the OEMs are realizing that they have to move towards a more functionally safe BMS. So when I say functionally safe in automotive the BMS must have, the power to manage the battery, even when the vehicle is for example switched off .

So this trend is going to continue, and that's where Maxwell is getting a lot of advantages. And Anurag already mentioned we won the business with Royal Enfield mainly with our expertise on the functionally safe BMS with designing the hardware, but mainly it's related to the software side of things.

So regarding the functionally safe BMS, there is less competition, and that's where we see the niche being developed for Maxwell. We are confident of our USPs, and we are confident of our advantages and many of our customers as well as new customers we're going to acquire are already seeing that impact.

Viraj: Despite such healthy performance specially in standalone business and also softer raw material costs , is there any particular segment which is dragging the overall piece in the standalone business?

Anurag Jain: When Endurance did 14.5% to 16.5% margin , the raw material percentage to sale in India was 62% to 63%. And you can see the record of the last 4-5 years .

Endurance Technologies Limited

February 07, 2024

Today, we are at 12.2% in Q3 FY24 without mega project incentive and 11.9% margin in the nine months without the mega project incentive , where the RMC is 66.3% . So there's a huge difference of minimum 3% there or even more than that. We have been improving. What you have to see is how much EBITDA amounts we are making . Raw material cost is high at 66.3% in this financial year but we have done better than the last financial year in terms of EBITDA margin.

Viraj: Is it more to do with the segment or the product mix? Or it's more about the cost recovery, which may play out further in coming quarters ?

Anurag Jain: We are trying our best to improve the profitability, trying to see how we can with our Endurance Vendor Association keep focus on raw material percentage to sales, see how best we can achieve lower figures and grow the business with a better product mix, whether it's 4-wheeler, 2 -wheeler, and non-automotive.

If you're comparing 15% -16% with 13.1

%, this year, it's because of the raw material percentage.

And you can see the figures of the last 5 years how the percentage has moved up. Of course, it's moved down compared to last year. That's why you see a better EBITDA margin percentage compared to last year.

If we compare first nine months, YoY, EBITDA was up from 11. 8% to 13.1% . So you can see the improvement there with EBITDA. But of course, the focus now will be on better product mix in 2 -wheelers and focusing on non -automotive and 4-wheelers .

Prateek Poddar : In Maxwell, from the peak revenue of Rs . 380 crores, how much would come from Hero Electric?

Vishwas : Hero Electric is around Rs.70 crores.

Anurag Jain: Thank you all for your time. Thank you.

## Call: May 2024

ENDURANCE TECHNOLOGIES LIMITED  
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CIN No. L34102MH1999PLC123296

24th May, 2024  
The Manager,  
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Phiroze Jeejeebhoy Towers,  
Dalal Street,  
Mumbai - 400 001

BSE Code: 540153 The Manager,  
National Stock Exchange of India Ltd.,  
Exchange Plaza,  
Bandra -Kurla Complex, Bandra (E),  
Mumbai - 400051

NSE Code: ENDURANCE  
Sub.: Transcript of Conference Call held in respect of the Company's Q 4 FY24 financial results.

Ref.:

1. Regulation 30 and Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations").
2. Intimation of telephonic / virtual meeting with Analysts / Institutional Investors dated 10th May, 2024

Dear Sir / Madam,

In continuation of the referred intimation and Listing Regulations, please find enclosed the transcript of the conference call held on 17th May, 2024 in respect of the Company's Q4 -FY24 financial results.

The transcript has been hosted on the Company's website at:  
<https://www.endurancegroup.com/wp-content/uploads/2024/05/transcript-concall-17-th-may-24.pdf>

We request you to take the above information on record.

Thanking you,

Yours faithfully,  
For Endurance Technologies Limited

Sunil Lalai  
Company Secretary and Executive Vice President – Legal  
Membership No.: A8078  
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Endurance Technologies Limited  
Q4 FY24 Earnings Conference Call  
May 17, 2024

Management: Mr. Anurang Jain – Managing Director,  
Endurance Technologies Limited  
Mr. Ramesh Gehaney – Director and Chief Operating  
Officer, Endurance Technologies Limited  
Mr. Massimo Venuti – Director and Chief Executive  
Officer – Endurance Overseas, Endurance Technologies  
Limited  
Mr. Satrajit Ray – Director and Group Chief Financial  
Officer, Endurance Technologies Limited  
Mr. R.S. Raja Gopal Sastry – Group Chief Financial  
Officer Designate, Endurance Technologies Limited  
Mr. Rajendra Abhange – Chief Operating Officer  
Designate, Endurance Technologies Limited  
Mr. Raj Mundra – Treasurer & Head Investor  
Relations, Endurance Technologies Limited

Moderator: Mr. Nishit Jalan – Axis Capital Limited

Endurance Technologies Limited  
May 17, 2024

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Moderator: Ladies and Gentlemen, Good Day and Welcome to Endurance Technologies Q4 FY24 Earnings Conference Call hosted by Axis Capital Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "\*" then "0" on your touchtone phone. Please note that this call is being recorded.

I now hand the conference over to Mr. Nishit Jalan from Axis Capital Limited. Thank you and over to you, Sir.

Nishit Jalan: Thank you so much. Good morning, everyone. Welcome to Q4 FY24 Post Results Conference Call of Endurance. We are pleased to host the entire Management Team of Endurance; we have with us, Mr. Anurang Jain – Managing Director, Mr. Ramesh Gehaney – Director and COO, Mr. Massimo Venuti – Director & CEO, Endurance Overseas, Mr. Satrajit Ray – Director and Group CFO, Mr. Raja Gopal Sastry – Group CFO (Designate), Mr. Rajendra Abhange – COO (Designate), and Mr. Raj Mundra, Treasurer and Head Investor Relations.

I will now hand over the call to Mr. Jain for his opening remarks, post which we can have Q&A. Over to you, Mr. Jain.

Anurang Jain: Thanks a lot, and good morning to everybody.

I would like to share details of how we have done in the Q4 FY24 and in the financial year FY24.

a. In India in the Q4 FY24, as per SIAM data, the two wheeler industry sales grew by 25.87% compared to the previous financial year. Scooters grew by 21.82% and Motorcycles grew by 28.21%. The automotive industry in India had a growth of 20.5%.

b. In Europe in Q4 FY24, there was an increase of 4.4% in the European Union automotive sales.

On the financials, I will brief you on the Q4 FY24 and then the financial year FY24.

1. In Q4, our consolidated Total Income grew by 20.2% and was Rs. 27,113.14 million as compared to Rs. 22,551.54 million in Q4 of the previous financial year. Consolidated EBITDA grew by 35.8% and was Rs. 4,159.36 million as compared to Rs. 3,062.1 million in Q4 FY23.

Consolidated EBITDA margin was at 15.3%. The Net Profit grew by 54% and was Rs. 2,101.54 million at 7.8% margin. This includes the Maharashtra state mega project incentive in Q4 FY24 Rs.203.34 million.

2. In Q4, our standalone Total Income grew by 26.1% and was Rs. 20,931.19 million as compared to Rs. 16,595.76 million in Q4 FY23. Standalone EBITDA grew by 51.5% and was Rs. 3,118.02 million as compared to Rs. 2,058.34 million in Q4 FY23. The EBITDA margin was at 14.9%. Standalone Net Profits grew by 74.4% and was Rs. 1,823.13 million at 8.7%. This includes the Maharashtra state mega project incentive in Q4 FY24 Rs.203.34 million.

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3. In FY24, our consolidated Total Income grew by 16.7% and was Rs. 1,03,264.86 million as compared to Rs. 88,494.73 million in FY23. This was the first time that Endurance Technologies

crossed the 100,000 million mark. Consolidated EBITDA grew by 30.7% and was Rs. 14,135.99 million as compared to 10,816.93 million in FY23. Consolidated EBITDA margin was at 13.7%. The Net Profit grew by 41.9% and was Rs. 6,804.88 million at 6.6%. This includes the Maharashtra state mega project incentive of Rs.792.35 million.

4. In FY24, our standalone Total Income grew by 16.6% and was Rs. 79,204.71 million as compared to Rs. 67,957.07 million in FY23. Standalone EBITDA grew by 30.8% and was Rs. 10,557.83 million as compared to Rs. 8,074.34 million in FY23 with the EBITDA margin at 13.3%. Standalone Net Profit grew by 43.7% and was Rs. 5,877.93 million at 7.4%. This includes the Maharashtra state mega project incentive of Rs.792.35 million. There was no net debt and there was

a consolidated positive cash available which has crossed the Rs.5 billion mark and it stood at Rs.5.044 billion. The detailed financials are available with the stock exchanges and on the Endurance website.

I would now like to share certain key points for the financial year FY 24.

1. In FY24, 77% of our consolidated Total Income, including Other Income came from Indian operations and 23% came from European operations. In India in FY 24, Rs. 11,980 million new business was won from OEMs other than Bajaj Auto, which included Royal Enfield, TVS, Hero MotoCorp, Tata Motors, HMTI, Jaguar Land Rover, Hyundai, Mahindra, Tata Punch Powertrain, and Suzuki. This business win of Rs. 11,980 million constitutes Rs. 8,248 million of new business and Rs. 3,732 million of replacement business. This Rs. 11,980 million of business will reach peak sales in FY27.

2. The total four-wheeler business win in FY24 is Rs. 2,810 million, which is 23% of our total order wins in FY24. These orders are mainly from Tata Punch Powertrain, Tata Motors, Mahindra, Jaguar Land Rover, and Hyundai.

I would also like to mention that we are in discussion for Rs. 18,440 million worth of request for quotes from OEMs.

3. Since FY20 in India, Rs. 40,857 million of business has been won, out of which Rs. 29,306 million is new business and Rs. 11,551 million is replacement business. Out of Rs. 29,306 million new business, Rs. 26,900 million is expected to reach peak sales in FY27 and is mainly for suspension, castings, and brakes. TVS business win has been Rs. 5,320 million till date and it is growing. The business win is largely for brakes, aluminum alloy wheels, and suspension. The Rs. 5,320 million sales will reach peak in FY26.

4. The total business win for electric vehicles till date is Rs. 7,145 million. These orders are mainly from HMTI Ather Energy, Bajaj Auto, Hero Electric, Greaves Electric (Ampere), Tata Motors, Bounce and Aptiv. This is apart from the Rs. 3,785 million business won by our subsidiary company, Maxwell.

Some of the significant new business won this year are as follows:

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- We have won Rs.719 million of new business from TVS in FY24 which included Rs.309 million of inverted front forks and rear mono shocks suspension business and also Rs. 404 million of the TVS Rider and H LX bikes front fork and rear shocks business for which SOP is planned in August 2024.

- We have also won Rs. 1,750 million of new business from Hero MotoCorp in FY24, which includes inverted front fork new business win of Rs. 240 million where SOP is planned in June 2024. The brake assembly new business of Rs. 263 million - this SOP has already started in April 2024. Also, the front and rear shock absorber business of Rs. 1,247 million - this business has also started.

- We have won Suzuki new scooter front fork for business of Rs.253 million. This is an addition to the Rs. 1,400 million for business already won in the previous year. The SOP of both will be in Q3 FY25.

- We have won HMTI brake assembly new business of Rs.294 million and the SOP is planned in Q3 FY25.

- We have won Royal Enfield's alloy wheel new business of Rs.961 million - SOP has started.

- We have also won Tata Punch Powertrain four-wheeler aluminum casting new business of Rs. 1,026 million. For Rs.582 million, SOP has already started in the first project and for Rs.444 million second project, SOP is expected in Q3 FY25.

5. The new 35-dia air suspension inverted front forks for supply to KTM Austria will start by Q3 FY25, with the help of KTM technology, from our Waluj, Aurangabad plant. The value of the business will be Rs.400 million per annum and products will be exported to KTM Austria.

6. We have also won Rs. 876 million per annum business from Hyundai for aluminum castings for which SOP is expected in Q3 FY2



7.

7. HMSI has awarded us two new businesses in Q4 FY 24 - for 100cc motorcycle front for k/rear shock absorber of Rs.343 million per annum , for which SOP is in February 2025, and for their first EV Scooter front for k/ rear shock absorber, for which SOP is also in Q4 FY25.

9. For EV Scooters , we are ramping up our sales to 240,000 sets per annum of aluminum castings, which are required for electric vehicle battery packs and motor housings. The total value will be Rs. 1,000 million per annum, which has already started and will reach peak sales value in Q3 FY25.

For E V three wheelers, we have won new business for case transmission and battery housing castings of Rs.200 million per annum which will peak in FY26.

Our customers recognize us as a trusted and capable partner in their value chain in terms of both technical and financial strengths.

10. The electronic vehicles market offers significant opportunity for growth in future to the auto component sector. As you know, Endurance has executed a Shared Subscription and Purchase

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Agreement for acquiring 100% of equity share capital of Maxwell Energy in a phased manner. We have last year increased our equity stake to 56% in Maxwell as per our agreement . Maxwell is in the business of advanced electronics, particularly in the battery management system for two-wheeler EVs and for automotive and two-wheeler battery packs.

11. At Maxwell , we have won battery management system business of Rs.793 million in FY24 and have a pipeline of RFQs of more than Rs.1 billion. Till date, since FY22 , Rs. 3,785 million business has been won by Maxwell. Despite the latest trends in the EV market, we believe that these orders will help us achieve sales in excess of Rs. 2,500 million in FY27.

With the current order book, order pipeline and technical strengths of both Endurance and Maxwell, we are confident of achieving our goals in this advanced electronics space.

12. As the disc brake assembly business is growing with addition of customers like Bajaj, TVS, Royal Enfield, Yamaha , Hero MotoCorp, Ather as well as HMSI , our second plant at Waluj, Aurangabad had been set up for this increase in volumes.

We have already started the disc brake assembly supplies to Hero MotoCorp from April 2024 and the supplies to HMSI will start from Q3 FY25.

With this new plant, we have reached a run rate of 6.2 million numbers per annum of disc brake assembly volumes, and 8.1 million numbers per annum of brake disc volume.

As you are aware, the supply of two wheeler ABS assemblies for Bajaj Auto and Royal Enfield have started . We have reached a run rate of 400,000 ABS assembly per annum . As you are aware, the competition is mainly from Bosch and Continental, which controls the major market share in the Indian ABS two-wheeler market of approximately 3.5 million per annum. We are now in the process of supplying our dual channel ABS from July 24, 2024. Today , we are doing only single channel and we have scaled up additional assembly lines by increasing the capacity by another 240 ,000 ABS assemblies per annum which has taken the total capacity to 640 ,000 ABS assembly per annum . We are further planning to increase this capacity to 1.2 million single and dual channel ABS assemblies per annum in the second half of FY26.

13. In March 23 , we have started manufacturing the ABS valves , which is not only a technological component but has helped us to substantially lower our costs.

14. Due to increased orders in alloy wheels from Bajaj Auto, Yamaha India, TVS and now Royal Enfield, we have added a new plant in July22 at Chakan to help increase our supplies to 4.5 million wheels per annum . With the new order wins from Royal Enfield and TVS, we are now expanding to supply 5.5 million wheels per annum and the SOP has already started for April 24 for Royal E

nfield, and

TVS will start from the end of this Q1 FY25.

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15. As far as Europe is concerned, in FY 24, we have won €30.8 million business , mainly from the Volkswagen Group including Porsche & Audi , and Mercedes Benz. In the last 24 months , out of €115 million orders , €61 million orders are for the growing battery EV business and €35 million are for hybrids . In 2023, battery EV penetration in Europe has been at 15% and hybrids at 33%. We are therefore well placed in terms of securing orders for this growing segment.

I would also like to point out that Endurance, both in India and Europe , is actively pursuing its focus on gaining access to new technologies and focusing on new products, through organic and inorganic growth.

16. At Endurance , our future focus will be on the following projects for a better product mix and better

profit margins .

- Increase our four-wheeler share of consolidated business from 25% now to 45% by FY 30. This increase is going to come from aluminum castings and aluminum forgings, as they are going to be increasingly used for light-weighting and also from proprietary products through acquisitions, joint ventures, and technology agreements.
- Increase our share of business for the premium bikes 150cc and above for our brake assemblies, ABS , suspension as well as clutch assemblies with upgraded product technologies and process.
- Increasing our business for electric vehicles with existing and new products.
- Increase our embedded electronics business by becoming a significant player in the future for Battery Management Systems and electronic products required for EVs and other applications.
- Focus on non-automotive business which has large opportunities, especially in aluminum castings. We are now in the process of setting up a new plant in the 11-acre land at AURIC, Aurangabad, 17 kilometers from the Aurangabad airport where the SOP will start in Q1 FY26. Here, our focus will be on four wheelers including four wheeler EV parts and non-automotive aluminum casting business. The total CAPEX is expected to be Rs. 4,009 million which should be spent in stages from now to March 2028, with the sales expectation of more than Rs. 5,000 million per annum.
- Our focus also is to reach 10% of India sales in our aftermarket business in India by FY28. In FY24, our aftermarket sales grew by 6.92% from Rs. 4,310.9 million in FY23 to Rs. 4,609.36 million in FY24.

With three more countries added to our network, we are now exporting our aftermarket parts to 34 countries. After-market sales growth is a large focus area for us, and we are targeting a good growth in this financial year.

17. In FY24, the export sales for India standalone business grew by 4.43% from Rs. 2,116.23 million in FY23 to Rs. 2,210.06 million in FY24. The sales growth came from two-wheeler suspension exports for KTM plants at Austria, China, and Southeast Asia, and from the aftermarket export sales.

On the environment front, I would especially like to mention that Endurance is striving to be in carbon neutral plants by effective use of solar power and wind power, creating carbon sinks by driving tree

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plantations and thereby creating dense forests and driving use of natural gas and LPG in place of electric power and furnace oil. The use of furnace oil has been completely stopped at Endurance. We have achieved now a carbon-neutral percentage of 35 % till date in FY 24 and the aspiration is to reach a carbon-neutral percentage of more than 50 % by FY30. This has increased from a carbon-neutral percentage of 22.6 % achieved in FY23. We are also focusing in lowering hazardous waste generation and to achieve zero waste to landfill.

At Endurance , it will be a continuous endeavor to grow through o

rganic and inorganic growth with focus

on technology upgradation, quality improvement, cost as well as our focus on environmental , health and safety. We will do our best to fulfill our stakeholder expectations by following our five values of Customer Centricity, Integrity, Transparency, Teamwork, and Innovation.

We at Endurance have a very positive outlook based on our new large business wins in the last four years, including for electric vehicles both in India and Europe.

With these opening remarks, I would now like to invite questions from all of you. Thank you.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Jinesh Gandhi from Ambit Capital. Please go ahead.

Jinesh Gandhi: The India business margin has seen a very sharp improvement . What are the drivers for the margins and are these sustainable margins?

Anurag Jain : India margins have been helped by the increase in our volumes and improvement in the product mix. At the same time, there has been an approximate Rs 200 million positive impact , both on the client as well as on the vendor side , because we have got one-time gain of Rs. 200 million . This is in addition to Rs. 203 million PSI incentives . But, largely improvement has been because of the good volumes and the product mix improving every quarter .

Jinesh Gandhi: In the European business, new order wins have slowed down considerably in the last nine months. Is this largely a reflection of slowing EV sales in EU or there's something else which we are seeing there?

Massimo Venuti : In the previous financial year, we won 31-million-euro business , which has been lower as compared to the previous year . But, considering the situation in the market , it is very important to note that we acquired business for the strategic projects of Mercedes and Volkswagen . Total wins reached 251 million euros in the last five years . We are optimistic for the future and we expect increase of volumes in the next financial year, considering business acquired in the last few years.

Jinesh Gandhi: In European business, margins are flat on year-on-year basis despite sharp decline in energy costs. What led to offsetting of this benefit of lower energy cost on margin front?

Massimo Venuti : In the last quarter of the previous financial year, we closed with 17.8 % EBITDA, which is same as the

of the energy cost increase and we also received additional compensation from the customer for the impact of energy cost. If we compare the profitability of the quarter compared to the previous financial year, we are growing more or less 2% points in EBITDA on a normalized basis. From the operating point of view, we are better compared to previous year. In fact, if you analyze our profit & loss, you will see a reduction in the material cost of 12% compared to the previous year, more or less with the same turnover, and increase in other expenses of 26%. The material cost is due to the fact that we are producing a lot of machined parts hence, the RMC cost is lower and profitability is higher. In the Other Expenses, the increase over the previous financial year is linked to the increase of energy cost (net of grants), since in the previous financial year we had benefit from the government and the customers. The profitability in this quarter was very good compared to the previous financial year. For FY 24, EBITDA margin was 16.1% as compared to 14.5% in FY23. Despite the energy gross cost reduction, we still continue to pay more or less three times compared to the pre-COVID situation and this has affected our EBITDA more or less 1.8%. And so, if I do have a statement of the EBITDA with pre-covid energy cost I

levels, we would have more or less 18% of EBITDA.

Mumuksh Mandlesha : Will there be any incentive in FY 25, like last quarter ?

Satrajit Ray : We are looking at the incentive scheme against FY13 to FY19 capex. So, in the last year, we have booked close to Rs. 79 crores as incentive. In FY25, under mega project incentive scheme of 2013 to 2019, we expect to book Rs. 30 crores approx.

Mumuksh Mandlesha : And will it spread equally across quarters?

Satrajit Ray : This incentive is paid by government based on our SGST paid sales in the state of Maharashtra. Therefore, this appetite is normally consumed over 1 or 2 quarters, so we don't expect it to go beyond second quarter. But also, there would be incentive under a new scheme for 2019 to 2024 capex, as and when we apply and get approval, but that is not within the purview of the discussion right now.

Mumuksh Mandlesha : The new capacity we've announced for the 4-wheeler and non-auto, at AURIC. What kind of order wins

we have already won for the plant?

Anurag Jain : We started evaluating in the beginning of this calendar year. We cannot disclose the order wins at this stage. These are basically for 4-wheeler parts with an EV focus and a technology focus. This also has non-auto parts, could be for segments of 5G, 6G, ATVs, UTVs, and other industrial areas. These will have special processes. It will have automation, very good surface treatments and there will be self-sufficient cells with minimal handling. Largely, this project will be for exports. We already have order wins for this and that's the reason we have committed to this project, which will start production in Q1 FY26. Building construction has already started. Our strength is in aluminum die casting and machining and we are very well equipped with our own engineering skills, tool room and over 35 years of experience in this line to explore these new opportunities.

Mumuksh Mandlesha : On Capex - what kind of guidance is there for the FY25 and FY26 ?

Anurag Jain : We have done Capex of about Rs. 3,833 million in FY24, which was 81% for growth, which included building, plant machinery and dies. Rest was for quality, process efficiencies, routine and R&D Capex. Next year, the figure should be similar to about Rs. 4,000 million, unless there are other new opportunities. Apart from the new plant also coming up at Auric, we have key investments in our growing business of brakes, alloy wheels, as well as suspension s.

Mumuksh Mandlesha : What is your revenue growth outlook for disc brake and alloy wheel for FY25?

Anurag Jain : We have capacity in alloy wheels of 5.5 million per annum and there is not only huge potential but large requests for increasing the alloy wheels' sales.

Brakes is our fastest growing segment. In-fact our Head for Brakes was telling me in April itself that we have crossed the planned run rate. We have a huge requirement to fulfill, we have taken a large number of orders. So brakes is really growing fast.

Pramod Amte : Slide 8 of the presentation where you talk about EV order wins for India, they seem to have slowed down drastically in FY24. I can understand it is a function of the industrial activity also. So, what are your customers looking at and how are you planning to address this for the medium term?

Anurag Jain : We follow our customers and their requirements. We ensure that we are connected with all the OEMs, especially in the 2 and 3-wheeler space and also the 4-wheeler in terms of aluminum castings. According to our customers' business plans, we do our best to take orders. Definitely, the withdrawal of FAME II subsidy in India has affected a lot of 2-wheeler EV OEMs who were market leaders. Now we'll see how it

plays out in the future. For all EV OEMs, we focus on bagging orders for our products, even where we are not

present on their initial platforms. Lower orders is a function of how the industry is doing. But nowhere are we going to lose any opportunity on the EV front because that is a very large growth area for us. And also, our Max well business has a lot to do with EV .

Similarly, in Europe, we are highly focused and connected to all the OEMs. And we are really doing our best. We have taken good amount of orders. And of course, sometimes the LOIs show lower volumes. If the volumes increase, the value will increase. But we are not leaving any stone unturned to take orders.

Pramod Amthe : In standalone business if we adjust for incentives, still the gross margin expansion is pretty comfortable, and it seems the raw material has come down for the first time from that 66% to 63%. Do you feel structurally you are back in that zone or it's a one-off and hence you still have to work on it to get the gross margins back to the old days?

Anurag Jain : We are focusing on product technology and ensuring that the product mix is improving in all the areas, and we are looking at new areas, which has helped a lot and in turn it has paid off in Q 4. We are 80% in India with two wheelers, which I would say in the last two quarters has done very well and continued to do well in April as well. The product mix and volumes will definitely help us in our EBITDA margins, but I also mentioned there was Rs. 200 million one-time gain, which has come both on the vendor and the client side , and that may or may not come in future. We will continue to do our best on the margins.

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Pramod Amthe : On the European side on the EV front, I think there has been a lot of recent noise about slowdown in the EV penetration. So, considering that, how are you looking at your order book wins to be consumed this year? Do you see any opportunity for M&A?

Massimo Venuti: In Europe, starting from September 2023, there has been significant reduction of registration of electrical vehicles due to the fact that a lot of countries stopped the incentive. Unfortunately, without the incentive, it's very difficult to sell an EV car with high prices as compared to the general market. And we await the new election in Europe to understand the situation better. As you know, a lot of OEMs officially stated that they will continue to invest in the internal combustion engine. At Endurance, we are in a strong position considering we have won orders and have already installed production capacity for the electric projects. This financial year, we are ready to reach approx. 50% of the total peak capacity of the business already acquired for the electrical vehicles.

In FY24 , we booked capex of € 62 million of investment in order to install this production capacity . In the coming year, we foresee an increase in ICE and hybrid vehicle sales . In the first month of this financial year, there was an increase of 2% in the diesel technology and 5% in the hybrid technology of gasoline. We can see growth in a range of products where we have production capacity. In our business, we also have 'take or pay ' contract with some of our customers which means that we are protected from potential significant slowdown of volumes in some of the applications . In the near future, we hope that the government will invest in infrastructure, electric vehicle which will thereby continue to grow .

Unfortunately, there are a lot of companies in bankruptcy due to the fact that the OEM 's strategy in the last few years was to focus only on a few suppliers like us for the electric development. We are considering possible acquisition in order to grow.

Divay Agarwal : Congratulations on the great set of numbers. What is the trend in the aluminum prices and the outlook going ahead in the aluminum die casting ?

Anurag Jain : In India, the aluminum alloy prices

are not always dictated by London Metal Exchange (LME) . It is dictated by the availability of scrap, which largely imported. We believe that due to increase in sea freights and also the crisis of Israel and Hamas, the rates keep fluctuating . The price trend appears to be downwards.

Divay Agarwal : What are the price outlook of aluminum right now and the outlook for the entire aluminum die casting segment for our Company.

Anurag Jain : Aluminum die casting is one of our strongest segment which started in 1985. We are very strong in terms of engineering, our tool room, our plants. That's why we are investing in Auric in Aurangabad to go into 4-wheeler EV and non -automotive businesses. I would say that as far as two wheelers, three wheelers or four wheelers customers are concerned, we are amongst the first or the second choice for getting new orders. So, the opportunity is huge.

Our focus is to do more machining, take orders with machining because value add is much better. We are also getting into structural castings like swing arms and subframes and structural fairings which are

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complex, which need technology and where pricing is better. We are getting into large motorbikes, key castings like crank cases. So, the outlook is very good, and we are growing. Die casting requires higher Capex and we are very mindful of the financials. So, we don't wish to lose any good opportunity, but sometimes we have to decline some of the opportunities where we feel that other opportunities are better. We are willing to spend more than the budget if required, if there's a great opportunity, organic or inorganic. Opportunities are huge, because we are one of the leaders in this industry. The growth potential is excellent and fortunately in the EV space because of light weighting, aluminum castings is a material where number of parts are increasing. In ICE vehicles, we have crank cases, covers, cylinder heads and cylinder blocks. In EV vehicle, we have case transmissions, battery housings, motor housings, and different types of plates, modules. So, the number of parts are more in EV and the opportunity is huge.

Divay Agarwal : On the US market how's the demand and supply situation there in terms of aluminum casting segment only?

Anurag Jain : From India we are not exporting anything to the US yet. But I will ask Mr. Venuti to answer regarding this question as far as Europe is concerned.

Massimo Venuti : At present, we are indirectly exporting to Mercedes and BMW. US market has seen an important reduction in the last 3-4 months. So, we are careful about potential growth in the United States. At the moment, we are following the growth of the European market in the electrification process, and this is the focus of the company.

Jinesh Gandhi : Some clarification on this Rs 200 million one-time gain which you're talking about. This is over and above the incentives of 200 million or is it one and the same?

Anurag Jain : Yes, it is separate from the incentive.

Jinesh Gandhi : With respect to Capex for European business, we were investing quite materially for the orders on hand.

Given that some of these orders were for EVs and we are seeing some slowdown in the EV side, is there any change in our Capex plans for the European business? How much do we plan to invest over and above the €51 million which we invested in FY24? Also, can you share the revenue, EBITDA, PAT in euro terms for FY24 year?

Massimo Venuti : In FY24, we booked capex of €62 million, of which €8 million for Volkswagen, €33 million for Stellantis, and €10 million for Mercedes. For Stellantis, almost 100% of the investment is in hybrid segment. For Volkswagen and Mercedes, 100% for the electric project. Speaking about FY25, the budget is to implement the total production capacity with an effort of approx. 40 million

on euro as gross amount.

In FY24, €263.3 million turnover as compared to €245.6 million with an increase of 7.2% as compared to FY23. EBITDA €42.3 million compared to €35.6 million, an increase of 18.9% compared to the previous financial year, EBITDA margin for FY24 16.1% as compared to 14.5% in FY23. PAT was €14 million with 5.3% margin in FY24 as compared to €12.1 million with 4.9% margin in FY23. The increase of net profit was 15.4%.

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Jinesh Gandhi : On the ABS side, we are expanding our capacity in a meaningful way, given the opportunity size. What are you seeing there on the ABS new order wins and the revenues?

Anurag Jain : We have a run rate of 400,000 per annum, which is the single channel ABS. We have added a capacity of 240,000 per annum further for the dual channel which is starting in July 24. It is starting from the 2 existing OEMs we are supplying to. We are engaged with other 2-wheeler OEMs also to get new orders and that's why our plan in the second half of FY26 is to reach 1.2 million of ABS. But definitely, we are going step by step, looking at how the market is also growing. And we are also hoping that ABSs are used in 125cc and lower cc bikes also in future.

Nishit Jalan : On the domestic 4-wheeler side, how much it would be contributing to your revenues? I would assume that Hyundai would be the largest customer here and what kind of components are you supplying?

Anurag Jain : In FY24, our 4W India business share was 6.5% and we are focusing on increasing it by FY30. Our India 4-wheeler business is mainly for aluminum die casting components to Hyundai, Kia, Mahindra, and Tata Motors, and of course some exports to Europe. Our focus is to capitalize opportunities in the aluminum casting space, even in the aluminum forging space, where we have won an order of Rs.250 million from Jaguar Land Rover, which we'll be starting in this financial year. We will also be looking at getting more OEMs on the aluminum forging and of course we are looking at proprietary products by way of acquisitions, or by way of Technology Agreements.

Nishit Jalan : What kind of capacity do you already have for aluminum castings? Is Aluminum forging a new business area in India? So, any other domestic OEM also where you have started getting orders on the aluminum forging side?

Anurag Jain : Aluminum forging was a backward integration mainly for the KTM and Bajaj inverted front forks. But we found other opportunities with new customers and have won orders from customers like Jaguar Land Rover.

We have also got orders from Harley-Davidson, and we are talking to other OEMs. We learn from Jaguar Land Rover that aluminum forgings will be a very important part in 4 wheelers.

We are looking at new opportunities now also in aluminum forgings. We have a technical collaboration with FGM in Italy, for both process as well as on the product technology areas. And we have a really good

plant in Waluj, Aurangabad which we are planning to expand in the future.

Nishit Jalan : When we are winning orders for hybrid vehicles, what are the kind of components we will be supplying to those vehicles? Will it be too different from the components that we supply in ICE, or it is largely similar?

Massimo Venuti : In high pressure die -cast machines , we need important automation and machining investment compared to

the previous technology, due to the fact that we have to respect quality requests which are very tough compared to the previous ICE powertrain, engine and transmission. The quality requirements of the customers in EV components are strict since electrical components are linked to the battery. And for this

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reason, the investment in terms of automation is higher compared to the past , manufacturing

process is

absolutely the same.

Nishit Jalan : Any plans to get into aluminum forgings in Europe as well or you will just focus on aluminum forgings in India?

Massimo Venuti : At present, we are producing only high-pressure die -casting components in Europe. We sell some gravity components, but we buy from the market. The strategy is to focus on high pressure die -casting of aluminum.

Divay Agarwal : What will be our final capacity in the aluminum die casting segment after the new plant in Aurangabad ?

Anurag Jain : We had more than 100,000 metric tons per annum excluding alloy wheels. ,900 metric tons per month is what we are putting up.

Moderator : Thank you. On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us.

## Call: Aug 2024

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19th August , 2024  
The Manager,  
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Phiroze Jeejeebhoy Towers,  
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BSE Code: 540153 The Manager,  
National Stock Exchange of India Ltd.,  
Exchange Plaza,  
Bandra -Kurla Complex, Bandra (E),  
Mumbai - 400051

NSE Code: ENDURANCE

Sub.: Transcript of Conference Call held in respect of the Company's Q 1 FY25 financial results.

Ref.:

1. Regulation 30 and Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations").
2. Intimation of telephonic / virtual meeting with Analysts / Institutional Investors dated 2nd August, 2024.

Dear Sir / Madam,

In continuation to the above referred intimation and Listing Regulations, please find enclosed the transcript of the conference call held on 14th August , 202 4 in respect of the Company's Q1 FY25 financial results.

The transcript has been hosted on the Company's website at:  
[https://www.endurancegroup.com/wp-content/uploads/2024/08/Transcript - Conference -Call-14-08-2024.pdf](https://www.endurancegroup.com/wp-content/uploads/2024/08/Transcript-Conference-Call-14-08-2024.pdf)

We request you to take the above informat ion on record.

Thanking you,

Yours faithfully,  
For Endurance Technologies Limited

Sunil Lalai  
Company Secretary and Executive Vice President – Legal  
Membership No.: A8078

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Endurance Technologies Limited  
Q1 FY25 Earnings Conference Call  
August 14 , 2024

Management: Mr. Anurang Jain – Managing Director, Endurance Technologies Limited

Mr. Rajendra Abhange – Director & Chief Operating Officer, Endurance Technologies Limited

Mr. Massimo Venuti – Director & Chief Executive Officer, Endurance Overseas, Endurance Technologies Limited

Mr. R. S. Raja Gopal Sastry – Group Chief Financial Officer, Endurance Technologies Limited

Mr. Raj Mundra – Treasurer & Head Investor Relations, Endurance Technologies Limited

Moderator : Mr. Nishit Jalan – Axis Capital Limited

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Moderator: Ladies and Gentlemen, good day and welcome to the Endurance Technologies Q1 FY25 Results Conference Call hosted by Axis Capital Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "\*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nishit Jalan from Axis Capital. Thank you and over to you, Sir.

Nishit Jalan: Thank you, Lizan. Good afternoon, everyone. Welcome to Q1 FY 25 Post Results Conference Call of Endurance Technologies.

We are pleased to host the Management Team. We have with us today, Mr. Anurang Jain – Managing Director, Mr. Rajendra Abhange – Director & COO, Mr. Massimo Venuti – Director & CEO, Endurance Overseas, Mr. Raja Gopal Sastry – Group CFO and Mr. Raj Mundra – Treasurer and Head - Investor Relations.

I will hand over the call to Mr. Anurang Jain for his Opening Comments, post which we can start with the Q&A. Over to you Mr. Jain.

Anurang Jain: Thank you very much and good morning to everybody.

I would like to share certain details of how we have done in the Q1 of this financial year:

- a. In India in Q1 FY25, as per the SIAM data, the 2W industry sales grew by 19.8% compared to Q1 of the previous financial year. Scooters grew by 27.9% and Motorcycles grew by 16.5%. The automotive industry in India had a growth of 16.3%.
- b. In our overseas operations in Q1 FY25, EU and UK markets saw an increase of 4.1% in the volume of passenger cars sold, while our European sales including tooling income grew by 16.8% in euro terms.

I will now brief you on the Q1 FY25 financial performance.

1. During Q1 FY25 as compared to the previous year same quarter, our consolidated Total Income grew by 15.9% from Rs. 24,666 million to Rs. 28,593 million.

Consolidated EBITDA grew by 20.8% from Rs. 3,378 million to Rs. 4,080 million.

Consolidated EBITDA margin was at 14.3%. The Profit After Tax grew by 24.7% from Rs. 1,635 million to Rs. 2,039 million and the PAT margin was at 7.1%. This includes the income from Maharashtra state mega project incentive of Rs. 228 million. There was no consolidated net debt and the company had a net cash available of Rs. 6,128 million.

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2. During Q1 FY25, our standalone Total Income grew by 16.3% from Rs. 18,361 million in Q1 FY24 to Rs. 21,346 million in Q1 FY25. Standalone EBITDA grew by 19.7% from Rs. 2,409 million in Q1 FY24 to Rs. 2,884 million in Q1 FY25, with EBITDA margin of 13.5%. Standalone Profit After Tax grew by 24.8% and was Rs. 1,628 million and the PAT margin was at 7.6%. This includes the Maharashtra state megaproject incentive of Rs. 228 million. There was no net debt and there was a standalone net cash available of Rs. 5,818 million.



We would like to mention that Endurance is focused in both its Indian and European operations for a profitable growth. The detailed financials are available with the stock exchanges and on the Endurance website.

I would now like to share certain key points of the Q1 FY25.

1. In Q1 FY25, 74.8% of our consolidated Total Income including Other Income came from Indian operations and the balance 25.2% came from our European operations.

2. In India till date in FY25, Rs. 1,843 million of new business was won from OEMs other than Bajaj Auto, which included TVS, Hero MotoCorp, Mahindra, Kawasaki, Piaggio and Tata Motors. This includes:

- a. Rs. 1,061 million of electric vehicle business won which includes Rs. 795 million business from Mahindra & Mahindra for their EV 3W.
- b. Rs. 300 million of suspension

on business won from HMSI, which is a new business for 160cc motorcycle.

c. Rs. 257 million worth of brakes assembly business won from HMSI and Hero MotoCorp.

d. Rs. 87 million aluminum casting orders from a Japanese multinational for Mahindra 4W application.

e. Rs. 68 million business won for TVS EV 3W for suspension, brakes and drive shafts. Despite low volumes for TVS vehicle, this is very significant from the future perspective.

3. I would like to mention that we have Rs. 17,705 million worth of requests for quotes from OEMs. Since FY21 in India, Rs. 36,774 million of business has been won, out of which Rs. 28,364 million is new business and replacement business is Rs. 8,410 million. Out of this Rs. 28,364 million new business, Rs. 24,425 million will reach peak sales by FY 27 and it will be mainly for our product areas such as suspension, castings and brakes.

4. Our TVS business has reached a cumulative of Rs. 5,389 million and this business is growing. The business won has been for brakes, aluminum alloy wheels and suspension. Rs. 5,389 million sales would reach peak sales in FY26.

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5. The total business won for electric vehicles till date is Rs. 8,421 million. These orders are mainly from HMSI, Ather Energy, Bajaj Auto, Hero MotoCorp, Mahindra, Tata Motors, TVS and Aptiv. This is apart from the Rs. 4,242 million business won by a subsidiary Company Maxwell.

6. The significant new business wins which will start in this financial year are as follows:

- Rs. 719 million of new business from TVS in FY24. Out of this, Rs. 309 million was for inverted front forks and rear mono shocks and Rs. 404 million was for the TVS Rider and the HLX Bikes and this was the front fork and shock absorber business - which SOPs are planned for this year in October 2024 onwards.
- In FY24, we had also won the Hero MotoCorp business, where the inverted front fork business win of Rs. 240 million SOP is planned in September 2024. The disc brake assembly new business of Rs. 263 million has already started from April 2024, and also the front fork and rear shock absorber business win at Halol plant of Rs. 900 million has also started from April 2024 and this will reach peak by Q4 FY25.
- We won the Suzuki new scooter front fork business in FY24 of Rs. 253 million in addition to the Rs. 1,400 million front fork business won earlier and both these combined SOP business value of Rs. 1,653 million will start in Q3 FY25.
- We also won the HMSI disc brake assembly new business for Rs. 294 million in FY24 and the SOP is planned in Q3 FY25.
- We also won the Royal Enfield alloy wheel business of Rs. 960 million in FY24, SOP has started in April of this year.
- The 35 dia air suspension inverted front forks for supply to KTM, Austria, will also start by Q3 FY25 and the value of the business is Rs. 400 million per annum and it will be directly exported to KTM Austria.
- We also won Rs. 876 million per annum business from Hyundai in FY24 for aluminium castings which SOP is in Q3 FY27.

- HMSI has also awarded us two new businesses in Q4 FY24, which are the 100 cc Shine motorcycle front fork and rear shock absorber business for Rs. 343 million per annum which SOP is in February 2025. Second is the first electric vehicle scooter of HMSI for the front fork rear shock absorber business which SOP is also in Q4 FY25.

7. As far as the electronic vehicles market is concerned, it offers a very significant opportunity for the future and the growth in the auto component sector. And as you are aware, Endurance has executed a Share Subscription and Purchase Agreement for acquiring 100%

of equity share capital of Maxwell Energy in a phased manner by FY27. We own 61.5% stake in Maxwell, which we have increased in July 2024 from 56% and which is as per the agreement. And as you know Max

well is in the business of advanced electronics particularly in the Battery Management System for 2W EVs and battery packs.

8. At Maxwell, we have won the Battery Management System business for Rs. 457 million till date in this Financial Year and we have a pipeline of RFQs of Rs. 1 billion. Till date

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since FY22, Rs. 4,242 million business has been won by Maxwell. Despite the latest trends in the EV market, we believe that these orders will help us achieve a sale in excess of Rs. 2,500 million in FY27.

I am happy to inform you that in Maxwell we have recently won an order of Rs. 344 million for Motor Control Units and the SOP of this will be in March 2025. We are in touch with a lot of customers to secure business for various electronic products.

With the current order book, the order pipeline and our technical strengths between Endurance and Maxwell, we are confident of achieving our goals in this electronic space.

9. As disc brake assembly business is growing with addition of Bajaj Auto, TVS, Royal Enfield, Yamaha, Hero MotoCorp, Ather and HMSI new business, our second plant at Waluj, Aurangabad has been already set up for increase in volumes and has already started production since last year.

10. We already started disc brake assembly supplies to Hero MotoCorp from April in this year, and supplies will also start to HMSI from Q3 of this Financial Year.

With this new plant, our 2W disc brake assembly volumes have increased to 6.2 million numbers per annum and brake discs to 8.1 million numbers per annum. Also, for three wheeler brake assemblies, we have increased to 1 million numbers per annum. We hope to reach these volumes in this financial year from these two plants.

We are also working on the product and process technologies to manufacture high performance braking systems for catering to more than 350cc motorcycle market. We are planning to start this business by March 2026.

11. As you are aware, the supply of 2W ABS assemblies to Bajaj Auto and Royal Enfield have started. We have reached a run rate of 400,000 ABS assemblies per annum. As you know, the competition is mainly from Bosch and Continental, which control the major market share in the Indian ABS 2W market. We are now in the process of supplying dual channel ABS from next month onwards and we have scaled up additional assembly lines by 240,000 ABS assemblies per annum which has taken the total capacity to 640,000 ABS assemblies per annum, which run rate will be reached in Q4 of this Financial Year. We are further planning to increase these volumes to 1.2 million single and dual channel ABS assemblies by 2026.

12. We have already started manufacturing both the stainless-steel braided hoses and the ABS valves in-house, which has helped us in lowering our cost and stopped the dependence on imports.

13. Due to increased orders in aluminum alloy wheels from Bajaj Auto, Yamaha India, TVS and Royal Enfield, we are now at our plants at Chakan expanding to supply at a run rate of 5.5 million wheels per annum from this quarter onwards.

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14. In FY25 till date, our Europe business has won orders of €3.1 million, including the first

Volkswagen business win for a specialty plastic component for a hybrid vehicle. In the last nine quarters, out of €118 million orders won, €61 million orders are for the battery EV business and €37 million is for the hybrid business.

15. In the calendar year 2024, the battery EV penetration in Europe has been at 13% and hybrids at 36%. We are therefore well placed in terms of securing orders for this growing segment. Also, the growth in EV segment is slow. We have existing ICE segment orders, which will continue. So, there will be no loss of business for our overseas operations.

16. Earlier this year,

our Italian subsidiary acquired 100% stake in Ingenia Automation Srl.

This is a very strategic acquisition as it bolsters our strength in the industrial automation space, which will help us in our existing ongoing business as well as in our future expansion, which will happen at the plant.

I would also like to point out that Endurance both in India and Europe is actively pursuing its focus on gaining access to new technology and focusing on new product organic and inorganic growth.

Our future focus will be on the following projects for a better product mix and better profit margins :

- To increase our 4W share of consolidated business from 25% to 45% by FY30.

This increase will come from aluminum die castings, aluminum forgings, as they will be increasingly used for lightweighting and also from proprietary products through acquisitions, joint ventures and technology agreements.

- To focus on increasing the share of business for premium bikes greater than 250cc for brake assemblies and ABS , suspension & clutch assemblies as well as alloy wheels for upgraded product technologies and process.

- To focus on increasing business for electric vehicle existing and new products.

We will increase our embedded electronics business by becoming a significant player in the Battery Management System and electronic products required for electric vehicles, as well as other applications.

- To grow our aluminum alloy wheel business in future.

- To focus on non-automotive business which has large opportunities especially in aluminum castings. We are in the process of setting up a new plant at AURIC industrial area in Aurangabad. The SOP will start in FY26, and this will focus on 4W as well as non -automotive aluminum casting business.

- As far as our aftermarket is concerned, our focus is to reach 10% of India sales by FY28. In Q1 FY25, aftermarket sales grew by 14.94% from Rs.922 million in the previous year to Rs.1,060 million in Q1 FY25. We are now exporting aftermarket parts to 37 countries with addition of Costa Rica in June of this year.

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So, after-market sales growth will always be a large focus area for us, and we are targeting good growth in this financial year.

On the environment front, I would especially like to mention that Endurance is striving to be being carbon -neutral in its plants by effective use of solar power and wind power, creating carbon sinks by driving tree plantations and thereby creating dense forests and driving use of natural gas and LPG in place of electric power and furnace oil. We have reached carbon -neutral percentage of 35% till date in FY25, and our aspiration is to reach a carbon -neutral percentage of more than 50% by FY30. We 're also focusing in lowering hazardous waste generation and to achieve zero waste to landfill.

At Endurance, it will be a continuous endeavor to grow through organic and inorganic growth with a focus on technology upgradations in product and process, quality improvements, costs as well as focus on our environment, health and safety.

We will do our best to fulfill our stakeholder expectations by following our five values of Customer Centricity, Integrity, Transparency, Teamwork and Innovation.

We are very positive about the future outlook both in India as well as in Europe and we are really excited about the future.

With these opening remarks, I would like to invite questions from all of you. Thank you.

Aditya Jhawar: For India business for four -wheelers, we are seeing some decline. So, if you look at last one year, FY24, it 's reported a decline of about 13%-odd, even in this quarter there is a decline of 3%. So, if you can help us understand is there any customer -specific issue? And also , in your cumulative order book about 37 billion, what could be the proportion of four -wheelers in that?

Anurag Jain: In our new order wins

, the four-wheeler business which has been acquired is mainly from Hyundai, Kia, Tata Motors and Mahindra & Mahindra. There's also the order from Punch Powertrain which is for a tie up with TACO. The four-wheeler business on the whole has been increasing, but you see a decline in 4W percentage of total business, because the other businesses are growing very much faster. In absolute Rupees, I don't think we would have degrown from FY23 to FY24. Our presence in Indian OEMs is growing. There has been some decline in export sales to Ford Getrag. That is perhaps because of the slowdown in Europe, and the drag in this order is expected to continue. In the India business, we have not lost any share in the four-wheeler market.

Aditya Jhawar: In Freedom 125, what could be Endurance's content per vehicle?

Anurag Jain: I can only tell you it's large everywhere. I can't give you these figures. But, we're normally the first choice for all our products. So, it's sizable. For this model, we are there for all product areas.

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Aditya Jhawar: Out of the total capacity that we have set up for forging, what would be roughly for internal consumption for a backward integration and what would be for external sales? And since the 4th press has come on stream, what could be the peak revenue potential from this capacity?

Anurag Jain: The aluminum forging business has been set up as a backward integration for our inverted front forks, not only to be cost competitive to get new business, but to de-risk imports.

So, apart from the Jaguar and Range Rover order of Rs. 250 million which will be starting in this financial year itself, everything as of now, including products from the 4th press, will be backward integration for our inverted front forks, for producing axle clamps required for inverted front forks. And now we are getting into hydraulic pre-load adjusters, which also require aluminum forging.

But like we got orders for the Jaguar, Range Rover business, now we are getting RFQs and opportunities from others, especially in the four-wheeler field, we also got RFQs in the two-wheeler field to grow this business. But to answer your question, our current production is largely as a backward integration with very less third party aluminum forging sales.

Jinesh Gandhi: Throw some light on the passenger vehicles and the non-auto business on the aluminum die casting, given that has been the focus growth area - how has been the order wins?

Anurag Jain: We are in the process of acquiring orders, both for the non-automotive and four-wheeler for AURIC. As far as this new project is concerned, we have a separate team to focus on the needs of these customers.

I think I should be in a better position to share the kind of order wins, which we are getting for both non-automotive as well as the four-wheeler in the next call. But we are highly focused and there are many projects. Some are resourcing. One is new business. There are quite a few things happening on that front.

Jinesh Gandhi: But clearly, there we are on track for increasing share of business for next three to five years. Obviously, quarterly basis, things may be different.

Anurag Jain: We are very committed. This will be a part of our foray into 4W. It will be a step-by-step journey, but there is a focus to reach 45% consolidated share of business for 4W by FY30. And of course, there should be some inorganic growth because our target growth cannot just happen by greenfield.

Jinesh Gandhi: Congrats on first LOI for MCU in Maxwell. So, can you talk about the content difference between a BMS versus a Motor Control Unit. What is per unit sale ASP of MCU vs BMS?

Anurag Jain: MCU will be a good profitable product for us.

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Rajendra Abhange: MCU value is

less compared to the total sale of Maxwell. The main business for Maxwell is going to be BMS.

Anurag Jain: We cannot give you the per unit value or what is the percentage of this value in total vehicle cost. Total order value for our MCU order is Rs. 340 million per annum, and SOP is starting in February 2025.

At Maxwell, we are looking at order growth from Rs. 1 billion of RFQs and we are also looking at other products from Maxwell. Motor Control Unit is a product we have been working upon, but we announced it to you after the order win. Like this, there are other products and we are really engaged with different customers.

Our target is to have a profitable growth. Maxwell was a strategic acquisition in July 2022 because we wanted to be a part of the EV journey. And I am sure the EV journey will continue, and this business will increase. There are not many players in what we are doing. Our advantage is that the whole technology – both process and product resides in-house. It is not a collaboration. That is a plus point. We are showing these strengths to our customers and slowly getting the

businesses. So, it has been a bit of a slow start, but you will see a lot more of this going forward.

Jinesh Gandhi: Can you talk about the client concentration in that order book of Maxwell ? How much would be coming from the new players or the players who have been lower market share today versus incumbent ?

Anurang Jain: Today our biggest customer is Hero MotoCorp for their Vida model . They are a large customer. We have a lot of things in the pipeline going on. Basically, this company started with them and certain battery pack makers as well as to two -wheeler companies in export markets as well as in India . Since last month, there has been a very good improvement and really the volumes are now really going up from this month onwards.

Jinesh Gandhi: In European business. we have seen a very good growth in the revenues. But is that partly because of aluminum cost inflation or it is because of strong growth in the business?

Massimo Venuti: The aluminum cost is same as the previous quarter, thus no aluminium cost difference impacting the sales growth . There is 16.8% increase of turnover compared to the previous year – 50% of that is due to the business growth and the other 50% which is more or less 8% change over last year is due to tooling sales relating to the substantial investments we have done for our customers . In Europe, new car registrations grew YOY 4.1% in Q1 FY24 . Endurance grew double than market growth from product sales, and 4 times or 16.8% considering higher product sales and sale of tooling.

Jinesh Gandhi: In that context, our margin performance has been, relatively weak considering the strong revenue growth. There has been a huge decline in margins despite having a strong revenue outcome.

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Anurang Jain: In a market like this, we have 16.5% of EBITDA margin from our European business – which is a reflection of our strong performance .

Jinesh Gandhi: We have seen a sequentially strong volume growth, and considering that the business has a reasonably good operating leverage , would there not be benefit of that?

Massimo Venuti: EBITDA in Q1 FY25 is €13.3 million compared to €11.1 million in Q1 FY24. So, we grew 20.2% in terms of EBITDA, with an increase of turnover of 16. 8%. That reflects the operating leverage benefit. In terms of net profit , we have €4.9 million in Q1 FY25 compared to € 4.2 million Q1 FY24, we grew 15.7% in terms of net profit with 6.1% margin.

We are changing completely our organization in Europe. We started in January of this financial year with a new plan for Stellantis, where we will begin from zero and produce 850,000 clutch housings per year. And it means that the fixed cost is not at the same level of the previous

quarter.

The benefit in Endurance Overseas from such orders will be clear in the next two years, when we will reach the maximum production capacity. We are doing € 50 million investments per year.

So, the structure of our profit and loss is changing compared to the past .

Anurang Jain: We are quite satisfied with our performance in this challenging environment which is there in Europe. But of course, our goal is to keep improving .

Jinesh Gandhi: We have talked about this specialty plastic component order from Volkswagen. Can you talk about the kind of investment we will need to make on the capabilities and capacities for the business? Can this be material , new technology for European business? How do you think about this as an opportunity?

Massimo Venuti: No, so the technology is the same that we use to serve other customers – with Stellantis and Mercedes as final customers. The important news is that this is the first order as a tier 1 supplier for Volkswagen Group in plastic injection moulding.

At present, there are a lot of problems in the plastic market due to the increase of raw material and a lot of companies are in financial trouble. And this was an important order acquisition for us because this is the first acquisition but we are targeting future growth and we can use the existing production capacity for this business.

This order is for only 2 million of euro, but this is 20% of the total turnover of our plastics company. So, you can imagine the potential for the future. At present, the total turnover of the Endurance Engineering is approximately €10-12 million euro. I want to remind you that we had bought Endurance Engineering when our key customer initiated a technical conversion from aluminum to plastic of the specific product for the upper part of the engine. And we are moving now in component for the hybrid and electric vehicles, also in our plastic component space.

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Anurang Jain: This plastics business is a small value business, today . This business is about € 12 million annually . So, it 's a small value in overall Endurance Overseas scheme of things. It 's about 5%.

But when you win a €2 million order from a customer like Volkswagen, it opens up many new opportunities for growth.

Pramod Amthe: Continuing on this European business, some of the manufacturers, especially Porsche, have guided for a very soft next quarter. What type of repercussions on your Europe business ?

Massimo Venuti: In this moment, even if we have seen a reduction of volume in the electric component, Taycan to be specific with Porsche, we are compensating this reduction with an increase of volume in internal combustion engine technology parts .

Volkswagen and Porsche are confirming the same volume of the previous quarter, also for the next 2 -3 months. And so, we don't see a particular problem. Probably, the major problem is in the assembly of the car and not in the powertrain and transmission division.

Pramod Amthe: In India, when you look at these alternative powertrains, especially like CNG bikes, does your content per vehicle drastically increase or is the same as any other ICE vehicle?

Anurag Jain: It is the same.

Pramod Amthe: Considering that there is a GM plant being now acquired by Hyundai and Hyundai is anyway your existing client, do you see more scope for you to add more components because you already have a ready capacity available? How do you look at this opportunity?

Anurag Jain: It's a very good opportunity. It's next to our plant at Chakan. We are just doing four -wheeler parts, including for exports. These are very similar parts.

Pramod Amthe: And would you be able to indicate which line you are looking at? Is it still be in the metal forming, or?

Anurag Jain: This is in aluminum die casting , similar to what we do for them in Chennai and Vallam

Pramod Amthe: But do you have the headroom capacity , or you have to add capacity in the existing plants ?

Anurag Jain: We also have capacity. We will look at the business quantum which we will get. Based on that , we will take a call whether the existing capacity is enough, or we need to add new die casting machines.

Divay Agarwal: What proportion of the total order book would be in the aluminum die casting?

Raj Mundra : We have the data year by year. So, it will take a while for me to give you a cumulative number for aluminum die casting orders in our total orders from FY21.

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Divay Agarwal: Regarding the new order wins in the aluminum casting, I missed the part of your remarks about new order wins that you got in aluminum casting. So, can you repeat that?

Anurag Jain: In the aluminum castings, one order is for the aluminum alloy wheels and we have castings orders from various customers right from HMSI to Hero MotoCorp to Royal Enfield and except for Royal Enfield, all the other customers it is with machining because we are only encouraging orders for machined casting.

We also have the Punch Powertrain business which is an order of Rs. 1,000 million. We started in a small way, but it will pick up in future. And there are other opportunities coming also with Punch Powertrain as we go along. And big Hyundai business of Rs. 876 million, for which SOP is expected in FY27

The business which I spoke above is non-Bajaj. In Bajaj, any new business comes for new products, new growth, there are also structural casting items like sub-frames, structural fairings, swing arms. Alloy wheels, crank cases, covers, machines. Then we have parts for EVs with the Chetak model . There are a lot of parts for EVs which we are doing for them.

So, it is a combination of alloy wheels, and castings , largely with machining for 2 -wheelers, 3 -wheelers and four -wheelers for different customers.

Divay Agarwal: In the aluminum casting space, there are listed players who are the sole providers in the cylinder heads to Toyota, Maruti, and many other OEMs. Are we solely supplying any product to any OEMs?

Anurag Jain: Yes, we are sole -suppliers for many parts mainly for 2W . In 4W also, there are a few segments for Hyundai , Kia and Mahindra . 100% SOB depends basically on the volume of business per year. If volumes per month are low at say 10,000, then there would be a single source. Then beyond a certain volume they will have two sources in general, so, we have a combination of both.

We have been in the aluminum die casting business for the last 39 years. We have got a very strong operation in die casting in terms of a good engineering center, and a lot of value engineering development is happening . Also , our tool room, and of course a very strong business technology in product and process .

We are in a good space and don't see so much of competition for us in India as of now. There has been a consolidation over the years, but there is a lot of business . Die casting is a CAPEX intensive business , and we are choosy while picking orders .

Akshay Karwa: You expect the 4W segment to reach 45% by FY30. What type of margins would this generate?

Anurag Jain: We can only say the margins will be higher. I can't put a figure to that, but the margins will be high on that. So, we are getting to four -wheeler for two reasons. One is to de-risk from the two -

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wheeler industry in India, as well as to improve the profit margins, And this growth cannot happen only from organic growth. Our new AURIC Shendra plant is a first step , apart from growing our existing 4W businesses, which is mainly in aluminum die -casting in our Chakan plant and the two plants in Tamil Nadu. But growth will also happen also from inorganic

growth

opportunities. We are looking very actively in Europe as well as in India . But we have to choose the right product where we can really grow. It has to be a technology product with few players and is EV agnostic. I know it is taking time, and I have been talking about this for some time now. But it will happen.

Akshay Karwa: This business growth with Jaguar , Hyundai and others - By which year will we see an impact ?

Anurang Jain: See, the percentage will definitely increase. Our focus is on that 45% consolidated target , which today is at 25 %. So, 4W share will definitely increase both India as well as Europe. But of course, it will happen for inorganic also in a large way. It cannot just happen from organic.

Akshay Karwa: What is the top line number in Euro terms ?

Massimo Venuti: Yes, we closed the Q1 FY25 with €80.3 million of turnover compared to € 68.8 of the previous Q1 FY24 financial year, an increase of 16.8%. In terms of EBITDA, we closed with € 13.3 million compared to €11.1 million of the previous year, an increase of 20.2% with EBITDA margin 16.6%. In terms of net profit result, we closed with € 4.9 million compared to € 4.2 million of the previous financial year, with an increase of 15.7%. The net profit margin was at 6.1%.

Moderator: Thank you. With that, we end this call.

## Call: Nov 2024

ENDURANCE TECHNOLOGIES LIMITED  
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CIN No. L34102MH1999PLC123296

14th November , 2024

BSE Limited,  
Phiroze Jeejeebhoy Towers,  
Dalal Street,  
Mumbai - 400 001

BSE Code: 540153  
National Stock Exchange of India Ltd.,  
Exchange Plaza,  
Bandra -Kurla Complex, Bandra (E),  
Mumbai - 400051

NSE Code: ENDURANCE

Sub.: Transcript of Conference Call held in respect of the Company's Q 2 FY25 financial results.

Ref.:

1. Regulation 30 and Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations").
2. Intimation of telephonic / virtual meeting with Analysts / Institutional Investors dated 28th October, 2024.

Dear Sir / Madam,

In continuation of the referred intimation and Listing Regulations, please find enclosed the transcript of the conference call held on 7th November , 202 4 in respect of the Company's Q2 FY25 financial results.

The transcript has been hosted on the Company's website at:  
<https://www.endurancegroup.com/wp-content/uploads/2024/11/Transcript-of-Earnings-Conference-Call-7th-Nov-24.pdf>

We request you to take the above information on record.

Thanking you,

Yours faithfully,

For Endurance Technologies Limited

Sunil Lalai  
Company Secretary and Executive Vice President – Legal  
Membership No.: A8078

Encl.as above

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Endurance Technologies Limited Q2 FY25 Earnings  
Conference Call

November 07, 2024



MANAGEMENT : MR. ANURANG JAIN – MANAGING DIRECTOR , ENDURANCE TECHNOLOGIES LIMITED

MR. RAJENDRA ABHANGE – DIRECTOR & CHIEF OPERATING OFFICER , ENDURANCE TECHNOLOGIES LIMITED

MR. MASSIMO VENUTI – DIRECTOR & CHIEF EXECUTIVE OFFICER , ENDURANCE OVERSEAS , ENDURANCE TECHNOLOGIES LIMITED

MR. R. S. RAJA GOPAL SASTRY – GROUP CHIEF FINANCIAL OFFICER, ENDURANCE TECHNOLOGIES LIMITED

MR. RAJ MUNDRA – TREASURER & HEAD - INVESTOR RELATIONS , ENDURANCE TECHNOLOGIES LIMITED

MODERATOR : MR. NISHIT JALAN – AXIS CAPITAL LIMITED

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Moderator : Ladies and gentlemen , good day and welcome to the Endurance Technologies Limited Q2 FY25 Earnings Conference Call hosted by Axis Capital Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “\*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nishit Jalan from Axis Capital. Thank you, and over to you, sir.

Nishit Jalan: Thank you, Del. Good afternoon, everyone. Welcome to Q 2 FY25 Post Results Conference Call of Endurance Technologies.

We are pleased to host the entire Management Team of Endurance . We have with us, Mr. Anurang Jain – Managing Director, Mr. Massimo Venuti – Director & CEO, Endurance Overseas, Mr. Rajendra Abhange – Director & COO, Mr. Raja Gopal Sastry – Group CFO and Mr. Raj Mundra – Treasurer and Head - Investor Relations.

I will hand over the call to Mr. Anurang Jain for his opening comments , post which we can have the Q&A. Over to you , Anurang .

Anurang Jain: Thanks a lot. Good morning to everyone. We thank you for joining us and appreciate your time and interest in our Company.

You may have seen from our financials that we had a fairly strong Q2 . India is expected to post a GDP growth of over 7% in FY25 on a strong base of 8.2% growth in FY 24.

For Q2, Indian 2W numbers were strong, but 4W numbers both in India and Europe were not. The Q2 volumes sold by Indian OEMs rose 13% year -on-year for 2W with scooter growth at 17% and motorcycle growth at 11%. 3W sales grew by 5%. On the other hand, the commercial vehicle volumes fell 9% and passenger vehicle volumes saw a drop of 1%.

I would now like to highlight the progress on a few strategic and operational actions taken, which have a strong bearing on our short, medium, and long -term performance. To begin with, I will explain our recent expansions taken up :

a. We had mentioned that we are constructing a factory in the AURIC Shendra industrial area, focused on 4W and non-auto machined aluminum castings. The construction is progressing well. There is a very good interest from 4W OEMs, both in domestic and export markets and a few non-auto plants. This is evident from the large quantum of customer pre -qualifications and requests for quotes and our initial order intake. This progress makes us confident of meeting our business plan for the investment we are doing.

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b. You would have also noted our recent announcement on the new factory to manufacture two-wheeler alloy wheels in the AURIC Bidkin Industrial Area . That is also in Aurangabad. We are particularly excited about this project due to the success of our alloy wheel plant in Chakan, where we have seen profitable growth with volumes growing almost five-fold in the last five years. This project will double our volumes from existing

volumes at our Chakan alloy wheel plant. Moreover, with key learnings and targeted operational improvements, including automation in the new AURIC Bidkin factory, we are expecting a good profitable growth.

It is important to note that only half of the 30 acre AURIC Bidkin industrial land will be used for this two-wheeler alloy wheel project, and the rest will give us headroom for expansion. It is encouraging for us to see that automotive companies like Toyota, JSW and Ather Energy are setting up green field plants also at the AURIC Bidkin industrial area. On Electric Vehicles, I would like to mention that as far as sales to electric vehicle two-wheelers are concerned, in Q2 of FY2

5, it has almost doubled to Rs. 739 million over Q1 of this financial year which was at Rs. 391 million. Our CAGR growth in the last 3.5 years is 236% as compared to the electric two-wheeler industry 3.5-year growth of 147%. This is as per the Vahan data. This growth in our sales is across all our product segments including suspension, aluminum castings, braking as well as alloy wheels.

I will now speak on some important operational topics.

1. First, I would like to speak on suspensions. In the past, we have mentioned about some of our suspension plants not running to full capacity. With higher sales to our anchor OEMs in these plants and fresh orders for other models from various OEMs, the capacity being used is rapidly increasing. At our Sanand and Halol plants, capacity is being almost fully used.

At Waluj, our plant capacity is being fully used, and now we are further expanding to service a large suspension order for Suzuki scooters of Rs. 1,650 million per annum. The SOP is planned from January 2025. The best Industry 4.0 tools are being deployed in these assembly lines. Last year, the design and development team of Endurance successfully applied the 48 mm diameter inverted front fork for a major European client. This is the largest diameter front fork being used worldwide and helps us in our future growth.

In our suspension business, we continue to undertake various projects to help in our profitable growth. We have spoken to you in the past about our backward integration through aluminum forgings. We are also engaging other levers as value engineering, right sourcing and process innovation to lower our cost and remain competitive.

2. Now moving on to our braking segment, which shows a robust improvement in every dimension, namely scale, operational parameters, cost competitiveness, order acquisition from multiple OEMs and increase in our share of business. These are our key strategic strengths.

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The total income from our braking business doubled in just 2 years, from Rs. 5,950 million in FY22 to Rs. 11,610 million in FY24. The higher demand made us set up a second brakes factory at the Waluj industrial area. The new factory has now reached close to peak volumes within 2 years of SOP, and now we are undergoing a further expansion.

Since we began the manufacture and sale of the single-channel ABS in September 2021, we have around 700,000 numbers of such ABS ensuring rider safety on the roads. The two-channel ABS is also at an advanced stage and is expected to start SOP in Q4 of this financial year.

The manufacturing of brake systems and disc brakes is constantly being upgraded to improve our cost competitiveness, improving the product offering and its applicability to the premium segment two-wheelers. Some of the recent improvements are advanced heat treatment for brake discs, in-house manufacturing of ABS valves as well as stainless-steel braided hoses. Both of these are imposed substitutions. Launch of our Grimeca brand brakes in the premium segment of two-wheelers is another important development.

Our technical capabilities are constantly being improved with enhanced R&D, calibration and testing. Experts in braking were engaged, among other things, in the development of the ABS ECU which is the Electronic Control Unit for in-house manufacturing. Importantly, advanced braking system development activity has been started jointly with one of our European OEM clients which will help us to offer the best technology in braking systems both to Indian as well as our overseas OEM clients.

Also for enhancing our brake

steel braided hoses technology, we are setting up a facility for the same in-house at our second Waluj brakes plant which will give us additional brake assembly orders for exports and for Indian OEM requirements and this is expected to go into SOP in January, 2025.

3. In the transmission product segment, several OEMs are upgrading their clutch technologies to the assist and slip technology, which is of higher value add and will contribute to our profitable growth. For the assist and slip clutches, we are offering technology from our European subsidiary Adler with localization of the parts in India. This SOP will start in Q4 of this financial year.

As far as our transmission drive shaft business is concerned , at Waluj , the capacity is now being fully used. We at present manufacture for three 3W OEMs and are targeting orders from two more OEM clients.

4. We continue to maintain being a leader in the machined aluminum die casting business. In our Chakan castings plant, we are constructing a new building to cater to 4W machined casting requirement. Here we will see improved quality standards and cost optimization because of automation. We have also put an unmanned machining line for a four-wheeler application. An exercise of improving processes using TPM philosophy and other productivity tools is underway , and we are already seeing operational efficiency improvements.

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5. Our strategic venture into electronics is slowly gaining traction , and this quarter witnessed certain turnaround events. Our Battery Management System offtake by a key OEM client has picked up leading to a significantly improved financials for our subsidiary Maxwell and better use of our surface mounted technology line that we have set up for BMS at our Waluj plant. Further, our pursuit for electronics business other than BMS is also progressing well. I will now touch upon our order intake , which was part of our presentation that was uploaded last evening.

a. Our order wins and request for quotes where we are targeting new business is a testimony to our market leadership and ability to increase our content per vehicle in several models across OEMs.

In the last six months, we have won Rs. 3,082 million non-Bajaj orders, bulk of which are new orders. Only Rs. 334 million of these orders are of a replacement nature. With this, the new orders booked over the last 4.5 years has reached Rs. 29,268 million , which would reach peak in FY27. These orders involve diversification of our customer portfolio and expansion of our share of business with all the OEMs across our product range.

b. The major orders won till date in this financial year are for the Hero MotoCorp brakes business, TVS brakes business, Ather Energy battery part aluminum casting business and Generac USA aluminum casting business for their stationary engines.

c. We are in the process of submitting our quotations for business totaling Rs. 22,153 million.

d. In Q2, Bajaj Auto has shown a healthy growth in volumes both in 2W and 3W, and we also had a good growth in our sales , aided by premium product mix specially in the areas of suspension and braking.

Coming to our focus on ESG, Endurance is striving for being carbon neutral through solar and wind power and driving tree plantations.

a. We are also seeing increased use of natural gas and LPG in lieu of diesel and furnace oil. We have reached a carbon neutral percentage of 35% in FY24; we have seen further improvement in FY25 and our aspiration is to reach a carbon neutral percentage of more than 50% by FY30.

b. We are also focusing on lowering hazardous waste

generation, achieving zero waste to

landfill, improving water recovery percentage and lowering resource consumption per unit of sales, not only in our plants but also in our value chain.

c. On the social front , our focus and emphasis is on human capital management, labor practices, health and safety and talent diversity.

We are happy to induct in the Board of Directors of Endurance and its two direct subsidiaries in Europe , Mr. Alfredo Altavilla . He is an Independent Director . He is an industry stalwart with a commendable track record serving in senior roles including Board seats in global automotive companies such as Ferrari, Teksid and Chrysler. I also take this opportunity to thank our earlier Independent Director Mr. Roberto Testore for his contribution to Endurance in his role as an Independent Director .

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Endurance Technologies has been recognized by its OEM clients, its customers and industry forums with several awards and recognitions. Some of them are the 'Best Delivery Management Award ' from Honda Motorcycles and Scooters India in 2024, 'Persisting Affiliation Award ' from Piaggio in 2024, the 'VA/VE Award ' from Royal Enfield in 2024 and the 'Ford Q1 certification ' for the die casting and machining plant at Chakan in 2024.

We are also making good progress on executing our strategy for growth which focuses on:

a) to further strengthen our presence as a 2W Tier 1 supplier, which at present is our core business in India, by supplying multiple products to all OEMs with high share of business. Also by improving the product mix by providing more high value parts in this space, for example, paper-based clutch assemblies, the new assist and slip clutch assemblies, inverted front forks, rear monoshocks, single channel and dual channel ABS, machined castings, structural parts, and components for premium 2W.

b) to increase our 4W share of business from existing percentage of 25% to 45% by FY 30.

- I spoke to you earlier about the progress of our 4W marketing team which has made progress on the new orders and RFQs for our AURIC Shendra aluminum machined casting plant.
- We are also targeting entering into the 4W drive train products.
- We are expanding our aluminum forging unit where we will target more four-wheeler business. In view of products required by 4W OEMs, we are adding advanced friction welding technology in our aluminum forging plant. This is to supply to our 4W OEMs.
- For products such as suspension, brakes, alloy wheels, we are a leader in the 2W space. Our pursuit is to offer technology-intensive products now to the 4W OEMs through technology agreements or through M&A or through joint ventures, which is progressing well.
- Our aim is to continue to grow our Europe business, which in any case focuses on 4W, both organically and through M&A.

c) In aftermarket, our focus is on further growing our distribution network, reaching out to retailers and mechanics with use of digital technologies, excelling in order fulfillment and lowering the proliferation of spurious parts. We have also expanded to vehicle models where we do not serve the OEMs. Our success in these products puts us in the position of a ready-choice supplier for these OEMs.

In the export markets, we aim to add new countries, expand our dealer network, target growth in each country for each product segment, and expand the product offering.

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In Europe, we intend to grow our aftermarket business in the two-wheeler space with our subsidiary companies Adler, Frenotecnica,

and New Fren.

d) We will keep an eye on the pace of electrification in different vehicle segments and different markets. Our strategy is to ensure good order intake for the EV and hybrid segments, particularly in the areas where electrification is rapid.

e) Finally, we are invested in electronics through our acquisition of Maxwell and our investment in the surface mounted technology line in Waluj plant and for our ABS electronic control unit requirement.

We also have electronically controlled damping in our suspensions. With greater use of electronics in our existing and future products, we will continue to invest in and launch new electronic applications.

In Europe, in the first half of FY25, we won orders for peak annual sales of €23.6 million. This includes machined castings for the BMW EV transmission of €10.5 million and assemblies for the Volkswagen EV castings of €7.6 million. Further, we have won orders for €1 million of finished aluminum castings from a non-automotive customer.

Our European business has stood strong in spite of headwinds in the form of pandemic induced lockdowns, extremely high energy prices, and low vehicle sale volumes due to demand or supply chain issues. Our focus on serving the OEM customers through product development, quality, competitive pricing, and professional service has been unwavering. Internally, we are focused on making ourselves financially stronger and more diverse. Our OEM customers see this as a strength for their supply chain. With new orders and increasing market share, Endurance's Europe business is well placed in terms of combating the adverse market conditions.

Now coming to the Financials:

The quarterly information has been uploaded at the stock exchanges last evening along with our presentation explaining the numbers:

I will, however, describe a few key data points . The quarter witnessed a strong performance on all parameters . Our standalone and consolidated total income grew to Rs. 23.2 billion and Rs. 29.4 billion respectively, which is a 16.8% and a 14.8% year-on-year growth. Our standalone and consolidated net profits grew to Rs. 1.85 billion and Rs. 2.03 billion respectively, which is a 29.7% and 31.3% year-on-year growth. Our profit after tax percentage growth, which is twice the total income growth, reflects a healthy expansion of margins. It is important to note that our European subsidiaries in Euro terms achieved a total income growth of 6.5% and net profit growth of 12.8% versus the same quarter last year, which is commendable given the market scenario in Europe.

Now with these opening remarks, I would now like to invite questions from all of you. Thank you.

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Moderator: Thank you. We will now begin the question -and-answer session. The first question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities. Please go ahead.

Mumuksh Mandlesha: Can you provide some more details on how do you see the revenue ramp up for the new AURIC plant? Any details on what kind of products we are targeting? For the four wheeler segment you mentioned about the drive train products and aluminum forging opportunities. Can you share more how do you see the revenue projection for these new products?

Anurag Jain : The first project we had announced was for the four -wheeler aluminum machined castings as well as the non-auto aluminum machine d casting s, which is in the AURIC Shendra area at Chhatrapati Sambhaji Nagar. Here, already the construction has started and we are targeting that by Q 2 of next financial year, we are able to manufacture aluminum die casting s with machining for both overseas as well as Indian OEM clients and non-auto clients.

I am not allowed to give the names of the OEM customers to you because there are some NDAs we have signed. But we are at a very good stage of having won certain orders, and some other orders are in progress . That's why I said that we are quite confident that we will meet our business plan in the next three years. Sales will start from the next financial year, which is Q2 of FY26.

So, I will not be able to throw much light on the customers, but the product is large machined aluminum die casting parts of various types. It's for automotive, four -wheeler, as well as for non -automotive. And this is our focus as it leads to four-wheeler business growth.

As far as the second project is concerned, which is on the two -wheeler alloy wheels at AURIC Bidkin . We have a capacity of 5.5 million alloy wheels in our Chakan plant in Pune. And there's a huge demand for these products, and that's why we are putting up another plant of about 4.5 million wheels per annum. And this plant is going to start in September 2025. So, there are two plants which will really add to our profitable growth. And it will also increase our sales quite substantially.

Now, coming to the next part of your question... we started aluminum forgings as a backward integration project for inverted front forks . It's been a game changer. Also, for the rear mono shocks, you have a hydraulic preload adjuster casting. These are import substitutes. Once we started this forging facility , we are finding a lot of interest from the four -wheeler OEMs also both for India as well as export . There are requirements from two -wheeler OEMs also. So, this forging plant in Chhatrapati Sambhaji Nagar is rapidly expanding .

And we also won some orders but I will not share the details of the customer .

As far as the drivetrain is concerned, I will request Mr. Rajendra Abhange , our Director and COO, to speak a few words on that.

Rajendra Abhange: So, first of all, thanks for asking more information about our journey into four -wheelers, specifically the drivetrain products. You see, drive train is considered to be one of the most critical components

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of any four -wheeler. And we have chosen to be in this space, taking into account that we have good experience already in two -wheelers and three-wheelers.

In three-wheelers, we already make these kinds of products . Without mentioning the name of the customer and without mentioning the exact product , I can only tell you that we are in very advanced stages of introducing these kind of products for 4W, and target is to launch early next year. So, all the CAPEX and everything in terms of planning is in the pipeline, and once the SOP and LOIs are on place, we will make it public , probably next quarter. So, it's not just one product in the drivetrain, there are multiple products which also involves high-precision mechanical components as well as electronic components, which has got programs and the software inbuilt into it. These products are for the modern generation four -wheelers which are being produced in India.

Mumuksh Mandlesha: What kind of CAPEX are we doing for this aluminum forging and the drive train products?

Anurag Jain: CAPEX for aluminum forging, which is done till date is Rs. 63 crores and for drive shaft, it's Rs. 40

crores till date .

Mumuksh Mandlesha: On the alloy wheel how do you see capacity utilization happening in the new plant - any color on the new customer wins we have including the EV customers ?

Anurag Jain: In fact , as far as two -wheeler alloy wheel s are concerned , the pressure to supply is tremendous and that's why there's a gun pointing at our head - I will just put it that way. So, to answer your question, capacity will be fully used. Ramp -up will be very, very fast from September 25 onwards. In fact, the pressure is very high .

gh . We will be serving existing as well as new customers for alloy wheels. I can't give you the names, but it will be to new customers also including for EV customers, as far as the alloy wheels are concerned. We will reach full capacity utilization in the second year.

Mumuksh Mandlesha: In terms of market share for this segment, do you see that has increased with the new order win ?

Anurag Jain: If you see our alloy wheel market share , it is 13.3% . And this will take us to ~ 25% . . It depends on how much growth will be there in the two-wheel er industry. So, I can say based on the existing volume that 13.3% will become 25% with the new plant coming up.

Mumuksh Mandlesha: On the financial side., aluminum prices have increased in recent quarters. Is there any impact in Q2 and just want to understand generally what is the pass -through like for the aluminum prices ?

Secondly, on the incentive part, what is the incentive expected for the second half?

Anurag Jain: I will request our group CFO – Mr. Raja Sastry to speak on this, but just to answer one question, the aluminum increase or decrease is a pass through 100%.

Raja Sastry: So, if you look at comparing the first half of this year versus the first half of last year, aluminum alloy rates have gone up from Rs. 200 to Rs. 213 on average. And we have passed on every rupee of this increase. We also had some marginal increase in steel and other products, but as per our contracts,

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we have managed to pass on every single rupee of increase to our customer. Of course, it does have a contribution load as they call it because we get a rupee -to-rupee advantage and not the contribution out of that . However, from a compensation perspective, the compensation is complete, and we have booked all the compensation. And we have amended purchase orders for the same.

Mumuksh Mandlesha: Is there an impact of incentives in the current quarter ?

Raja Sastry: Of the total of Rs. 447 crores which we had to book on the earlier 2013 Mega project incentives scheme , we still have another Rs. 8 crores to book . We have already received about Rs. 283 crores of cash, and we have another Rs. 164 crores to receive. So, the progress on the earlier Mega Project incentive is good . We already are in an advanced stage of filing our applications for the next 2019 Mega Project incentive scheme also. And the entitlement for this incentive is higher than the earlier one. And as we have more details, we will explain to you.

Moderator: Thank you. The next question is from the line of Aditya Jhawar from Investec. Please go ahead.

Aditya Jhawar: What is the expected contribution on aluminum alloy wheels – where your capacity is to increase to 9.8 million wheels per annum ? and What would be the share of imported alloy wheels in India ?

Anurag Jain: Aditya, we do not share the contribution figures. I can only say that it's an important part of sales growth and profitable growth, so I cannot give you the contribution there. It is sensitive.

Aditya Jhawar: And import share in India ?

Anurag Jain: See, as far as I know, there would be very small pockets where certain customers are importing. But I think it's practically zero now as far as imports are concerned, it's all bought from Indian manufacturers or there are foreign players who have facilities in India . But as far as I can think, I have not heard of any imports now. I think it has practically stopped, but I could be wrong. I mean there could be few pockets where there is import. You see there is a BIS introduction in India as you might be aware - BIS or Bureau of Indian Standards . Imports are easily allowed, only if you are exporting the vehicle. I think in that context you can import some special alloy wheels, but now almost everything is localized.

Aditya Jhawar: On the profitability of the standalone operations. this time around, we saw a spike in OPEX -Other

operating expenses. , it increased 20% Y oY to almost about Rs. 400 crores. So, is there anything that you would like to call out on this? Also, your margin expansion is largely driven by gross margin.

We did not have a significant benefit of operating leverage despite a 16% top line growth. Is there anything that you would like to call out in OPEX , and how should we look at standalone margin in the medium to long term?

Raja Sastry: Aditya, good question. our standalone income went up by 16.8%. And if you look at our PAT , it has gone up by 29.7%. So, I would still say there is an expansion in margin. However, your question on the Other Expenses is correct. There has been an increase.

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Our raw material cost has gone up by 15.2%. Other Expenses have gone up by 19.6%. We do have a pretty detailed analysis into why these expenses have gone up. There have been some special processes which we had to add to our production, like anodizing processes for specific customers. They were impacted by the minimum wage increase and certain other topics which increase our other expenses. However, there are quite a lot of initiatives underway in terms of improving our efficiencies.

The Managing Director mentioned about the TPM exercises in some of our plants and these are specifically aimed at improving our operational efficiency and better expansion of margin.

Aditya Jhawar: Some of the items you mentioned are more part of COGS and employee cost. Now, one would expect that with the better utilization of some of our plants, especially the suspension plants, we could start seeing a slight better performance at EBITDA level, but EBITDA margin increased only by 40 basis point YoY and that was driven by gross margin. Is there anything one time that you would like to call out on, or is this the recurring run rate from here on. And when we have to look at margin from FY25 or FY26 perspective, what are the drivers of margin expansion? Or are there any headwinds because multiple factors will flow in regard to product mix change, Greenfield facilities coming on stream. And so if you would like to throw some light on how should we think about margin for the next 2 years?

Raja Sastry: For the Greenfield projects which are being set up - If you look at the Bidkin alloy wheel project, all the lessons which we have learned in our existing Chakan facilities are already implemented at a design stage. So, the aim of these new Greenfield facilities is to be margin-accretive.

Second question was about headwinds because of different product mix. No, we only see tailwinds. That is the kind of order acquisition which we have in the proprietary range and also some of our better product range. So, we are only seeing that mix will be benefiting our margins. And the most important element is our targeted operational efficiencies and our ability to earn more margins. So, overall, we only see good news as far as the margin expansion is concerned, unless something very untoward or something completely out of our control happens. But the aim and the trajectory from here on, we see a very strong performance from our side.

Aditya Jhawar: On Europe, can you highlight on BMW order win for e-Axle. It's a big development. So, how is the commercialization of this plant? Also, at the new facility for transmission housing that we have made in Italy, where are we in terms of ramping up and, what would be the potential revenue and are we targeting new set of customers from this business line?

Massimo Venuti: We closed an agreement with a new customer for us, AISIN – which is a company inside of Toyota Group. They took this important business for BMW, and we are their partner for the raw part and machining of this transmission component.

t. This is a strategic project of BMW. They want to reach 500,000 parts per year starting from 2027. The start of production will be in 2026. And we will do the foundry and the machining activity in Germany.

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Speaking about the second project - transmission for Punch and Stellantis. As you know, we acquired 850,000 parts per year business, two years ago. We started production in July of the previous financial year. We are now reaching 45,000 parts per month. We will reach 65,000 peak volume, starting from the second week of December of this financial year.

We are also discussing with the customer a possible increase of volume for this part. This is an absolutely strategic project for us, because these are machined parts, and so the added value is very high.

In our profit and loss statement for this quarter, you see an increase of the other expenses owing to outsourced people in the new plant, because we want to maintain the flexibility. This is the reason why there is an increase of other expenses and raw material costs. The total turnover of this project could be €70-€75 million and the peak of volume will be in February of the next year. Actual revenue will depend on the market, but as you know the current European market volumes are not encouraging.

Aditya Jhawar: In this quarter, we did reasonably well despite a decline in registrations in Europe. We reported a strong growth of about 6%, but looking at the next few quarters and the interaction with customers, what is your sense in terms of overall industry growth in Europe in the second half of the year and what should be the number for Endurance?

Massimo Venuti: So, the situation in Europe in this moment, frankly speaking, is not so good. But first of all, the situation of Endurance is completely different. The market (EU + UK) closed with a YOY reduction of registration of 6.4% in the previous quarter. And Endurance grew 6.4% YOY. So, it means that we are gaining market share from our competitors. And this is due to the fact that in the last five years, we acquired an unbelievable number of projects – new orders worth €160 million.

And we are benefiting from production in these new projects – particularly Punch/Stellantis project. If we exclude new projects, we have seen a reduction that everybody else is seeing in the market. With the start of production of the new project, we are growing in an important way. We closed Q2

in terms of turnover with €66.9 million compared €62.8 million in last year same quarter, with an increase of 6.4%. EBITDA grew 15.1% compared to the previous year we closed with 16% EBITDA margin or €10.7 million EBITDA in the Q2. The net result was € 2.9 million, 4.3% with an increase of 14.7% compared to the previous year. Q2 in Europe is usually the lowest in terms of volume because we have August, and August is a month of holiday s. And this is the reason Q2FY25 topline is lower than Q1FY25. Endurance is growing faster than the market. Also for the future I see this scenario and I repeat, I am really optimistic for Q3 and Q4 of this Financial Year.

Moderator: Thank you. The next question is from the line of Jinesh Gandhi from Ambit Capital. Please go ahead.

Jinesh Gandhi: First question is on the PV drive train business that you are talking about. Is this going to be through the aluminum die casting technology or we are looking beyond that and totally different products or

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technologies which will be coming into that ? We talked about electronics as well, but can you throw more light on that?

Rajendra Abhange : The drive train products are not the die -cast products which we are already into. We are already supplying to major OEMs in India and overseas. What we propose to enter into are proprietary products in nature , and they are engaged in transmitting the motion to the wheels. So, the castings are stationary components, but these are rotating components. And it has also got electronics inbuilt into it because the vehicles are getting smarter. So, we are offering a complete solution to the vehicle manufacturers.

Jinesh Gandhi: And this is developed in -house, or do we have a partnership with someone ?

Rajendra Abhange : A part of it is in -house and part of it is going to be in partnership.

Jinesh Gandhi: With respect to the alloy wheel business - clearly there is a good amount of demand which is there, but there is a substantial amount of capacity addition happening, not just at Endurance, but other players as well. So, in that context, how should we think about the margins for aluminum alloy wheel business?

Anurag Jain: No, I don't see it will impact the margins. And I think the capacities which are coming up are in line with the LOIs which the customers are giving to different suppliers. Now, of course, it will depend upon how the two-wheeler industry grows. But there is also a use of alloy wheels in vehicles, where they were not being used. So, the demand is coming from the 2W market growth and also from substitution of the earlier steel wheels with aluminum alloy wheels .

And as far as margins are concerned, I don't see decline. I think industry has gone through a very turbulent time in the last 15 years, with the Chinese imports and I think the prices are quite well settled, very competitive and we don't see a change there.

Jinesh Gandhi: With respect to ABS, how big is ABS business now , given that we are already supplying single channel ABS. Can you talk about the size of the business now and also the roadmap going forward on the dual channel ABS? Any order wins on that side?

Anurag Jain: Yes, see right now we are supplying at a run rate of 400,000 single channel ABS per annum . Additionally, we have a capacity of 240,000 , which is for the dual channel, which is starting in Q4 of this financial year. And so right now you can say that the capacity which we will have is 640,000 in a market of maybe 3 -3.5 million. So, we will slowly ramp -up based on our technical capabilities and competitive pricing. We will slowly scale the business up, partly with volume increases , partly from taking share from the competition, but that's our goal, to keep increasing this business by going step by step. So, the next step is to go into dual channel with 240,000 ABS' per annum.

Jinesh Gandhi: Right, and have you got orders for dual channel already or we are in process of getting orders there?

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Anurag Jain: Dual channel product validation by customer is in process, so that's why I am telling you we should supply by Q4 .

Jinesh Gandhi: And clarification on the incentive side. So, would it be fair to say that by the time this balance Rs. 8 crore of incentive on the old scheme gets recognized , probably in Q 3 or early next year , and the new scheme becomes operational there will be gap in FY26 where incentives recording may not be material. Would that be fair understanding?

Raja Sastry : The applications have been made under the new scheme . We are waiting for the eligibility certificate and we will take it as it comes. So, our expectation is to make it happen as quickly as possible. But given that there are elements where we have to allow the administrative mechanism to work through its course, we will make more comments, or we will give a confirmation as and when it happens. But the efforts from our side for the eligibility, and all the collection and submission data have been completed. Once the administrative process takes its course, and then as quickly as eligibility happens, we will make a statement on that.

Jinesh Gandhi: Got it. And the last question



on the European Business side. So, we have seen material divergence between how the E V business has been shaping up in the European market, the demand has been shaping up in the European market. And when we look at our order wins, almost 77% of our order wins are coming from EVs now as against much lower salient in the total order book. So, how do we balance out with respect to our CAPEX versus the order book built up towards EVs?

Jinesh Gandhi: The question for European businesses is that we are getting substantial orders for EVs. In the first half, 77% of orders came from EVs. Whereas the EV volumes in the markets are not growing or rather moderating materially.

Massimo Venuti: We acquired a lot of business in the last 4 years in electric, and market EV volumes are not doing well. One of the reasons why we are growing more than our competitors is that we are doing the same level of turnover with Internal Combustion Engine (ICE) as in the past, and we are increasing our revenues due to the start of production of the electric vehicles.

Even if in this moment a lot of countries are reducing the incentive in the electrical vehicle, please consider that in Q1, and Q2 BEV and hybrids reached 50% of the market. So, it's absolutely interesting.

In last financial year, Endurance Overseas crossed €62 million investment and in the first 6 months of this financial year we have invested €28 million with support of our customer. The major reason of our increase of turnover is higher market share but basically in the electrical vehicle.

Jinesh Gandhi: Would it be only in the existing aluminum die casting business or we are open to look at new areas beyond aluminum die casting in European market from M&A perspective?

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Massimo Venuti: At this moment, we are seeing the market at 360 degrees. There are thousand and thousand opportunities. We are working in a tough way in this direction, and I hope to give you interesting news in the next conference. But we are working 360 degrees. A lot of companies are in financial problems. For Endurance, this is an opportunity because every day we are asked by our customers to consider partners and to support them for the future increase of our product lines in die casting, in machining, and also in other sectors.

Moderator: Thank you. The next question is from the line of Arvind Sharma from Citi Bank. Please go ahead.

Arvind Sharma: Sir, the first question is on the ramp up schedule that you have given in the presentation. A very strong ramp up experience in FY26, almost Rs. 23 billion. Would it be fair to assume this is driven by the expansion in the four-wheeler and non-auto's? Or what would be the key drivers for this big ramp up in FY26?

Anurag Jain: See, the big drivers, one is of course on the 4W front which is the AURIC Shendra project, 4W and non-auto. That will be one driver. And there will be other drivers, one is the increase in the business we are getting on suspension, braking, as well as a 2W new alloy wheel plant, which is being set up. But I think it would be both on the 2W and 4W space.

We are fully focused on reaching 45% of our group sales in FY30 from 4W. And there are a lot of efforts being made. We will start informing you as it happens. Mr. Rajendra Abhange – our Director, has already talked about it briefly. But what you see right now on our graph is a combination of 2W and 4W. In 2W, growth is largely from alloy wheel, suspension, transmission and braking. And on the four-wheeler, it is from the new drive train initiative and it will be from the 4W aluminum die casting and machining at AURIC Shendra as well as in our plant at Chakan, where a new building is coming up to cater to complex 4W casting requirements.

Arvind Sharma: Please share Europe revenue, EBITDA, and PAT in Euro terms, I missed

that part.

Massimo Venuti: In Q2, €66.9 million total turnover, increase of 6.4% compared to the previous year. EBITDA, € 10.7 million, 16%, with an increase of 15.1% compared to the previous year. Net result, € 2.9 million, 4.3% with an increase of 13.7% compared to the previous year.

Moderator: Thank you. The next question is from the line of Pramod Amte from Incred Equities. Please go ahead.

Pramod Amte: You said you are entering into drivetrain components of 4W. How do you see the risk of EV and hybrids when you are entering this new stream of business?

Rajendra Abhange: Almost no risk, because EV penetration is still very small in four wheelers. Moreover, our planned drivetrain products are engine agnostic.

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Pramod Amte: How do you see this BMW e-Axle components versus what you were already doing for the other car makers, one. Second, with regard to specialty plastics, is it a new avenue you are trying to look at as a business opportunity in the car space?

Massimo Venuti: So, regarding the first question, we are producing similar parts for other customers, axle parts and transmission for Volkswagen and Mercedes, and so we don't see a particular problem. The strategic reason for this acquisition is due to the new customer, AISIN, as I told you before, is part of Toyota Group, and we are discussing other opportunities. This is the reason why it's absolutely strategic.

But speaking about the complexity of the part, we don't see particular problem because we will produce this component with existing technology in terms of foundry, high level of automation as in the last 20 projects in Endurance Overseas in Europe and with the same machine in our machine plant. So, no particular issue compared to the existing product that we are producing.

Pramod Amte: So, you also talked about the specialty plastic product win for Volkswagen . So, I wanted to ask you, is it a big opportunity for the Endurance Group to enter into this new area?

Massimo Venuti: Correct. As you know, we have Endurance Engineering that is our division of injection molding plastic components. The importance of this acquisition is that it's the first order acquisition with Volkswagen Group as Tier 1. As you know, in the past in Endurance Engineering, we grew in an important way, thanks to the reverse engineering from aluminum component to plastic. And why strategic? Because unfortunately, in the plastic component industry in this moment, there is a lot of production capacity free in the market, a lot of companies with financial problems, for this reason the customer is considering the opportunity to start in production with a new strong supplier like us. For this reason, I presume that if we are able, as I am sure, to respect the quality and the due date for the start of production, we could be involved in other future projects in the plastic with the Volkswagen Group, with Porsche, with Audi, with Skoda, with all the brands that we are serving for aluminum die casting.

Moderator: Thank you. The next question is on the line of Divy Agarwal from Ficom Family Office. Please go ahead.

Divy Agarwal: So, I just wanted to know about your outlook on the entire aluminum casting sector and your current market share if you can share it. And secondly, we are right now reading the articles of the auto dealers having inventory of around Rs. 80,000 crores. So, do you see any risk of delaying the offtakes of any aluminum casting products and any risk to the entire aluminum casting sector?

Anurag Jain: No, as far as the stocks of the 4W passenger cars are concerned, I can only answer for ourselves. We have not got any indication as such that there would be any impact on our sales or on our business. So, I will not be able to tell you in general about the overall sector in India and the impact it

will

have. But we are not seeing much of an impact in India because in India, as you know, almost 80% of our sales is for 2W. So, we are not seeing that kind of impact in our business in India.

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As far as the aluminum casting, you asked me what would be our share of business. We don't have data for market share in aluminum casting. We have a capacity of 100,000 metric tons per annum in our various plants, and which is largely used. And because you have so many number of players into smaller aluminum castings, different types of casting, low pressure, gravity, high pressure castings, it is very difficult to calculate a market share. There is no industry body, which is giving these figures to us. For us, aluminum as a metal, whether it's casting or forging is a huge opportunity because it is used more in EVs and hybrids in addition to traditional ICE usage. So, we are in a very good space, and we are taking the opportunities where there is profitable growth. As far as aluminum casting is concerned, we are leaders because we have expertise, we have our own engineering, we have our own tool room, so we are very competitive. And we have the technology edge that we have used in the past, to give customers an advantage by converting gravity die casting into high pressure die casting, low pressure die casting into high pressure. So, we have a lot of expertise and a lot of experience over the last 30 years in this space. So, I would say as far as aluminum die casting is concerned, we are in a very good space for the future.

Moderator: Thank you. Ladies and gentlemen that was the last question for today.

## Call: Feb 2025

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18th February , 2025

BSE Limited,  
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BSE Code: 540153  
National Stock Exchange of India Ltd.,  
Exchange Plaza,  
Bandra -Kurla Complex, Bandra (E),  
Mumbai - 400051

NSE Code: ENDURANCE

Sub.: Transcript of Conference Call held in respect of the Company's Q 3 FY25 financial results.

Ref.:

1. Regulation 30 and Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations").
2. Intimation of telephonic / virtual meeting with Analysts / Institutional Investors dated 5th February, 2025 .

Dear Sir / Madam,

In continuation of the referred intimation and Listing Regulations, please find enclosed the transcript of the conference call held on 13th February , 202 5 in respect of the Company's Q3 FY25 financial results.

The transcript has been hosted on the Company's website at:  
<https://www.endurancegroup.com/wp-content/uploads/2025/02/2025-02-18-Transcript-of-Earnings-Conference-Call-13th-Feb-2025.pdf>

We request you to take the above information on record.

Thanking you,

Yours faithfully,  
For Endurance Technologies Limited

Sunil Lalai  
Company Secretary and Executive Vice President – Legal  
Membership No.: A8078

Encl.as above

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Endurance Technologies Limited  
Q3 FY25 Earnings Conference Call

February 13, 2025

MANAGEMENT : MR. ANURANG JAIN – MANAGING DIRECTOR ,  
ENDURANCE TECHNOLOGIES LIMITED  
MR. RAJENDRA ABHANGE – DIRECTOR & CHIEF  
OPERATING OFFICER , ENDURANCE TECHNOLOGIES  
LIMITED  
MR. MASSIMO VENUTI – DIRECTOR & CHIEF  
EXECUTIVE OFFICER , ENDURANCE OVERSEAS ,  
ENDURANCE TECHNOLOGIES LIMITED  
MR. R. S. RAJA GOPAL SASTRY – GROUP CHIEF  
FINANCIAL OFFICER, ENDURANCE TECHNOLOGIES  
LIMITED  
MR. RAJ MUNDRA – TREASURER & HEAD - INVESTOR  
RELATIONS , ENDURANCE TECHNOLOGIES LIMITED

MODERATOR : MR. NISHIT JALAN – AXIS CAPITAL LIMITED

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Moderator : Ladies and gentlemen , good morning and welcome to Endurance Technologies Limited Q 3 and nine months FY25 Results Conference Call hosted by Axis Capital.

As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing ‘ \* ’ then ‘ 0 ’ on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nishit Jalan from Axis Capital. Thank you, and over to you.

Nishit Jalan: Thank you so much. Good morning , everyone. Welcome to Q 3 FY25 Post Results Conference Call of Endurance Technologies.

We are pleased to host the entire Senior Management Team of Endurance. We have with us today , Mr. Anurang Jain – Managing Director, Mr. Massimo Venuti – Director & CEO, Endurance Overseas, Mr. Rajendra Abhange – Director & COO, Mr. Raja Gopal Sastry – Group CFO and Mr. Raj Mundra – Treasurer and Head - Investor Relations.

I will now hand over to Mr. Anurang Jain for the opening remarks , post which we can start Q&A. Over to you, Mr. Jain .

Anurang Jain: Thanks a lot. Good morning to everyone.

As we look at the broader economic landscape, our GDP growth for FY 25 is expected at 6.4 % , which is a downturn from last year's 8.2% , with Q2 marking a seven -quarter low at 5.4% . However, the index of industrial production grew to 5.2% in November signaling manufacturing recovery.

Further, the measures taken in the Union Budget and in the RBI MPC meeting would leave a higher disposable income for discretionary consumption and this offers us a hopeful outlook for our industry.

In India, in Q 3 of this financial year, as per the SIAM data, the two -wheeler industry sales grew by 7% compared to Q 3 of the previous financial year. Scooters grew by approximately 13.3% and motorcycles grew by 4.6%. The passenger vehicle segment grew by 6.6%, while commercial vehicles witnessed a 2.3% growth, while three -wheelers grew a modest 0.2% as compared to Q3 of the previous year.

Against this macro environment and the industry performance, I would like to explain various strategic actions in Endurance and their potential impact on the company's future performance.

First, I would like to touch upon our acquisition of Stöferle in Germany :

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You must have read the announcement and hence I will not go into the details. This is an important acquisition for us. The company is highly profitable, has a good customer presence and is vertically integrated as they manufacture also their own machines. This along with our existing presence in Germany holds significant promise in terms of not only revenues and profitability but also creating a strong presence with our

German OEM customers leading to higher business and opportunities.

The Stöferle acquisition and that of the automation company Ingenia, which was done earlier this year, brings onboard in-house machine building and automation expertise, which can also be used in our Indian operations. Mr. Massimo Venuti and I will be happy to take questions from all of you on this topic.

Having spoken about Stöferle and before we go deeper into some of the highlights, I would like to touch upon certain key topics which impact our business:

a. Continuing on Europe, despite the difficult market, where the year-to-date new car sales have dropped by 0.4% compared to the same period of last year, our subsidiaries grew their revenues by 16.1% and EBITDA by 22.1%. This is the effect of the astute management of a net positive financial position in spite of investing substantially on new business wins.

b. The OEM customers in Europe

trust our companies in Europe and are considering us for various new business. These business wins, which gave us a growth of 21.8% in revenue and a growth of 27.4% in EBITDA in Q3 FY25 versus Q3 FY24, are executed with a very robust control on cost and cash. We note with pride that the European operations are managing the acquisition of Stöferle largely with internal accruals and will achieve early payback of the same.

I will also have to explain and give you a status update of our important customer KTM:

- As you will be aware, certain entities of KTM have filed for financial restructuring and the progress so far is very smooth. Ahead of the court hearing on 25th of this month, we have clear indications that KTM will soon start operations in the second half of March, and we have started to get schedules. We are positive about the outcome which is evident in our growing sales to the KTM entities in Australia and China.
- Our sales to KTM India are expected to grow close to Rs. 120 crores in FY26 based on schedules which we have got. We will also be starting sales of braking systems to KTM in India and overseas in the second half of the next financial year, which is FY26. As KTM has often given us an opening for our advanced technology products, we also see opportunities for expansion of these advanced technology products to our other OEM clients.

The major dimension of our business is our strong business partnership with Bajaj. While we are growing from strength to strength with all our OEM customers, our sales of Bajaj is always keeping pace with the quantity and quality of revenue earned.

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- From FY22 to what is expected at the end of this financial year, our sales to Bajaj have been growing at a robust compounded annual growth rate of 10.8% in spite of the high base and the high content per vehicle, whereas sales to our other OEM customers have grown at a CAGR rate of 13%. Even in the recent quarters, if we remove the effect of commodity price changes, our sales to Bajaj have been growing every quarter, in spite of the vagaries of the external demand.

- The influence of our Bajaj partnership is very positively impacting our inroads into other OEM customers where we have been securing orders in all our product verticals. All the OEMs are introducing high-quality models into the market ranging from the premium, high-capacity motorcycles to budget-friendly models with drivetrains across various options of petrol, CNG and electric motors. We are happy to know that Endurance is figuring as a key partner in many such new offerings and we are in various stages of winning orders and nominations with some orders already won. These are the precursors of the details which I will now explain to you. These will clearly indicate an approach which is towards keeping our growth continuing in various markets and demand situations.

Now let me update you on significant expansion projects:

1. We are making excellent progress at our AURIC Shendra four-wheeler casting plant. The plant infrastructure is set to be ready by the end of February, 2025 and the SOP is planned for June 2025.

- o This facility will be a landmark in the Indian die casting industry being our first green building with zero waste to land fill. This plant will use 1,100 to 2,500 ton fully automated die casting machines with advanced machining and finishing equipment. The state-of-the-art facility underscores our commitment to sustainability and innovation as we have discussed in our previous calls.

- o For this plant, we have won business from two large global customers. We have won a machined casting order from Valeo with a peak annual sale of Rs. 730 million as they localize an e-axle for a Mahindra E.V.

o At AURIC Shendra , we have introduced India's first di -electric powder coating service f

or electric vehicle platforms. The Shendra facility gives us an edge in tapping high value opportunities in the E V segment.

o The other order is for peak sales of Rs . 1.5 billion for export to a global renowned OEM , with strong presence in the premium segment and the E V segment . We will discuss more details once we have the clearance to do so.

2. Our AURIC Bidkin 2W alloy wheel project too is progressing as per schedule and we are excited about this as it widens our OEM customer base for 2W alloy wheels as we capitalize upon the ir growing demand in India.

3. Speaking about a new future ready R&D facility , which is for 2W, 3W and 4W suspensions , which we call G45 based on its address , we are on track to start this by Endurance Technologies Limited

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March / April , 2025 . The existing R&D space will then be used for expanding our suspension manufacturing lines, ensuring we continue to meet the growing demand and help in profitable growth of our suspension business. The new R&D facility will be a game changer with :

o a testing facility that is 4x larger than the existing one an office space 3x the size for a planned capacity of 220 subject matter experts and R&D engineers , which is 3x our existing team size. This expansion aims to leverage the fast-growing automotive market by enhancing our OEM customer trust, share of business and establishing our leadership in suspension technology.

o There will be advanced labs for innovation, electronics , benchmarking, road load data acquisition, noise vibration and hardness flaps , ride and handling, metallurgy and FMEA , ensuring that we can offer designs that not only meet, but they exceed the global specifications. It will serve as a one-stop solution for promoting home -grown, future -ready suspension technologies focusing on affordable innovation and value engi neering.

o By internalizing advanced vehicle level suspension R&D and validations currently done in-house by OEMs, it helps us to co-create and engineer win - win solutions, solidifying our role as a trusted technology partner to our OEM customers.

Now I wou ld like to focus on our product segments. Please note that the business value from new orders that I would disclose are without including orders from Bajaj Auto:

1. Starting with suspension, I just spoke about the new G45 suspension R&D facility. In FY25, so far we have won orders to the tune of Rs . 1,413 million of peak annual sales. These are from various OEM customers and for their various platforms. These wins signify our increasing expansion within each OEM and augurs well for the increase in our content per vehicle.

Needless to say, our zealous perseverance towards quality standards, quick turnaround of new products, value engineering exercises and strong governance standards are aiding this. Significant in the suspension business is a continued expansion of the inverted front fork business with wins of the TVS Apache model , Hero 250cc plus models amongst others. We have also won orders for e -scooters.

2. On braking, this is our most exciting segment , and we continue to enhance capabilities. We have won Rs . 1,710 million of new orders till date in FY'25 from multiple OEMs. With these inroads, we would now be supplying to every prominent two- wheeler OEM in the country.

Just reminding you that our capacities at present are six million 2W braking syste ms, eight million 2W brake discs, 1.5 million 3W tandem master cylinders , one million 3W drum brake assemblies and 650,000 2W ABSs or the anti -lock braking systems.

Key capabilities and backward integration projects , that will also aid in lowering our costs and better serviceability , are being implemented. Our range covers vehicles right Endurance Technologies Limited

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from 100cc all the way till 800cc. We have

also kick -started a project to manufacture the 4W brakes.

3. In transmission segment, in spite of increasing electrification, we continue to win new

orders for our clutch assemblies. A couple of significant new wins are the clutches from Hero MotoCorp and Royal Enfield, which will help us to increase the annual sales of 1 million more clutch assemblies and increase sales value by more than Rs . 1,000 million in the next financial year. We continue to invest on the improvement in quality and performance of our clutch assemblies. We now have orders for our Adler technology Assist and Slip clutches.

4. As far as the drive shaft transmission business is concerned, we have won Rs. 450 million of new orders in this year from two key OEM customers. Despite this being a new vertical, with no 2W end use, we soon expect to hit an annual revenue run rate of close to Rs. 1,000 million per annum, including orders from Bajaj Auto. We expect to start SOP also for 4W drive shaft in FY26.

5. In aluminum castings business, we continue to win orders. These orders are across 2W, 4W and non-automotive business and also for the ICE and electric vehicle business. I have already spoken earlier about the AURIC Shendra orders, which we have won.

6. On embedded electronics, we are accelerating the development of innovative mid and high voltage BMS platforms, which is Battery Management System platforms, that cater to a broader range of market segments and geographies. Our XT-Safe and HP-Safe products, which are under development, incorporate functional safety measures and draw on our existing XT platform know-how.

The XT Safe BMS platform addresses applicative segments ranging from cars, buses and trucks to grid scale storage applications while the HP Safe focuses on high performance 2W, 3W and 4W as well as smaller backup and UPS systems. These solutions are in collaboration with semiconductor partners to offer cost effective and reliable platforms for diverse market requirements and regions.

Beyond the Battery Management System, we are in advanced phase for a suite of motor control and power electronics solutions. The expansion of our product lineup opens up opportunities with new OEM clients in both established and emerging markets while simultaneously strengthening our business growth with existing partners.

7. In the recent past, we have seen a slew of announcements by the 2W OEMs, including introducing the electric vehicle models. We have always maintained that our product range except clutch assemblies, which is almost 96% of our range, are EV agnostic and is used in both EV and internal combustion engine models.

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I will briefly touch upon our recent sales and order wins:

- Our sales to electric vehicles in Q3 FY25 was Rs. 722 million, which is about 3.5% of our sales. This is close to double our Q1 FY25 sales. We have won orders now for electric vehicles from various OEM customers amounting to Rs. 9,631 million since FY22. Now this is after considering the removal of Rs. 1,580 million of business wins from 5 electric vehicle OEMs who we don't feel, due to their financial issues, can give us this business. So, Rs. 9,631 million is the net figure.

This is across all our products with aluminum castings and brakes, which are leading with Rs. 4,273 million and Rs. 3,524 million business won respectively. Suspensions orders stand at Rs. 1,305 million and transmissions at Rs. 529 million.

We also state here that given the volatility of the markets, particularly for electric vehicles and the status of some of the OEM clients, we further tone down these numbers down for our internal business plans.

- We are also actively quoting and pursuing the request for quotations for an annual sale value of Rs. 32 billion from various OEM customers other than Bajaj and

across all

our product segments. This also includes a significant percentage for electric 4W customers.

- Our subsidiary Maxwell has also received orders to the extent of Rs. 2.5 billion. This value is after removing business from customers who have seen headwinds such as a sharp fall in market share.
- You are aware that we have won large value orders in electric vehicle and hybrid space also at our European plants. Overall, we are well poised to make the best of the shift in power train from ICE to electric vehicles.
- On the 4W front, Endurance is strategically working to capitalize on both the ICE and

the EV markets with a focus on niche and proprietary products. One of our entry strategies is to enter into technical assistance agreements with global players where we leverage expertise to enhance our offerings.

We are happy to state that one such technical assistance agreement for 4W suspension has been signed last month with a leading Korean entity. This technical assistance agreement will give Endurance Technologies the complete capabilities to manufacture and sell shock absorbers and struts to a large range of four -wheelers .

- We are pursuing opportunities to enter into joint ventures with existing global players and thus combine our strengths on technology, cost competitiveness and the growing

Indian market. These pursuits are at various stages of maturity and we will announce the same as and when they are finalized .

- We are also tapping our own R&D capabilities to pioneer new solutions. To this end, we are modernizing and enhancing our R&D facilities at G45 to cater to the 4W requirements also. We have added to our skill inventory and many subject matter experts to our roles in the field of our target 4W products.

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Our discussions with global leaders are advancing well and we are optimistic about concluding business awards for 3 to 4 products within the next 6 months. This aligns with our strategy to increase the share of 4W as a segment in our total income. At present , our focus is on 4W suspension, 4W brakes, 4 W drive shafts, 4W alloy wheels while we continue to increase our 4 -wheeler casting and aluminum forging business.

We are implementing several key strategies to elevate our presence in the aftermarket business :

- We have just embarked on a special project which will span over the next two years to multiply our aftermarket sales. This is being done in collaboration with one of the top global consultancy firms. The approach is to operate all levers, namely the market spread, new product introductions, merchandising, exports, and 4W products to achieve the target growth.
- We are revamping our distribut or policy to ensure it aligns with our growth objectives and fosters strong partnerships. Our focus on retailers and me chanics is more targeted now with a focused milestone -based incentive plan while addressing critical pain points like inventory management to improve the service levels and satisfaction.
- We are actively identifying and planning to induce new value -add products , which are trading products, areas for both 2W and 4W, expanding our product portfolio to meet evolving market demands.
- We are also targeting and aiming to increase our market share in high potential regions both in India and our export countrie s by leveraging our understanding of the local market dynamics.
- Our efforts to improve product quality and market share and value -add products within our existing geographies are yieldi ng good results, reinforcing our commitment to excellence and customer satisfaction.

I would like to touch upon our order wins till the date of this financial year. This is excluding Bajaj Auto :

a. This year , we have won a total of Rs . 7,806 million of business , including the business wins secured for AURIC Shendra plant fo

r four -wheeler castings . We are actively pursuing business worth Rs. 3.2 billion , which are in the form of a request for quotes in our hand .

b. I would specifically like to mention that 50% of this Rs. 7,806 million business won till date this year is for electric vehicles. Also 40% of the Rs. 7,806 million business which has been won is for 4W.

c. Out of the Rs . 7,806 million business won this year, our aluminum casting business led from the front and won Rs . 3,779 million of new orders till date this year. This was from various customers including Tata Motors, Valeo , Ather , HMSI, Piaggio and others.

d. On suspension, we have won Rs. 1,413 million of new orders , the OEM customers being Hero MotoCorp , HMSI, Kawasaki and T VS.

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e. Our brakes business won new orders of Rs. 1, 710 million , which includes orders from Hero MotoCorp, Honda Motorcycle & Scooters India, Mahindra, Royal Enfield , TVS and others.



f. On the transmission clutch assemblies, our order wins amount to Rs . 524 million in this financial year. We have also won substantial orders for a drive shaft worth Rs . 415 million mainly from Mahindra. It would be worth mentioning that we are moving towards supplying all our product segments to all OEMs.

g. Further , close to Rs. 14 billion of new orders won since FY21 are expected to have the SOP by this financial year and further Rs. 10 billion are expected to have SOP in FY26.

At Endurance, our focus on people and work culture is absolutely important to our success. We have been actively right sizing our organization pyramid to ensure agility and accountability. On talent acquisition, we are focusing on strategic workforce planning at all levels with a focus on gender diversity, which is at 20% of our total hiring. Our Winning the Women program is focused on empowering our women employees with workshops on self-care, self-awareness and financial wellness.

Our potential management framework is robust, including development centers by top consultants, career discussions and mentoring high potential employees for leadership roles. We have also launched Saksham , which is a capability building program for reskilling and upskilling , to prepare our workforce for facing future challenges. We also have our wellness and happiness programs by way of health talks, yoga and mindfulness, diversity weeks to help promote physical, mental and emotional well-being.

On the ESG front :

- We are actively working on a net zero target in collaboration with CII, aligned with SBTi guidelines. I am happy to say that we have achieved a carbon neutral percentage of 43% and are well poised to achieve a target of achieving our carbon neutral percentage of more than 50% by FY30.
- The life cycle assessment of five products , conducted by TUV SUD, is in progress . Validation of 6 zero-waste to landfill sites are underway through an external agency.
- We have increased sourcing of captive solar power from the SPV that has been formed with Tata Power since October 2024. The capacity at this SPV has doubled to 25 M W.
- We have achieved significant improvement in lowering thermal and electric energy consumption along with achieving 91% water and 90% hazardous waste recycling.
- Through our CSR arm, which is the Sevak -Trust , we are committed to fostering sustainable development and mutual growth with our stakeholders with a special focus on education, livelihood generation, health and sanitation and environment.
- We have transformed 51 schools with solar energy, digital literacy through our world on wheels program, touching over 17,500 lives. Our efforts have led to higher attendance and better education outcomes with a focus on hygiene and health.

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- We have empowered over 3,500 farmer

s with sustainable agriculture training and supported hundreds of youth through our ECOVE - vocational training center at Aurangabad by achieving over 75% employment for nearly 1,800 youth.

- Our health program has reached 42 villages, treating over 15,000 people, and we have built over 2,300 toilets to improve sanitation.
- On the environment front , we have enhanced water storage capacities through canal deepening and created lush biodiverse forests across 38 acres, planting over 300,000 trees.

I would also like to mention some of our special projects.

- Our Balwadi School project in Aurangabad is nurturing the young minds of underprivileged children.
- Our Kagzipura Museum project will celebrate the legacy art of handmade paper.
- The Paithani Revival Project is a tribute to ancient silk weaving offering new opportunities for weavers.

On the awards front :

- I am happy to tell you that our IPR team has won the CII Intellectual Property Award in 2024.
- Our two brake plants have secured Platinum and Gold quality awards at the recently held Bajaj Auto Vendor Meet .
- Very recently , on the 11th of this month, our company won the Innovation Award at the Mahindra Vendor Meet .

I will now talk about our European operations :

- The story there has always been one of capable business leaders , intelligent investments and strong balance sheet management. We achieved growth in sales and also in profits, in spite of the flattish market in Europe in Q3 . In this quarter, new

orders to the tune of € 12.4 million were won . This included large orders from Volkswagen and BMW, both in the hybrid segment.

- As mentioned earlier, Stöferle acquisition will give us up to € 80 million in sales and €15-16 million of EBITDA . This gives us significant strategic advantage when we acquire a profitable company like Stöferle and that we get access to a larger OEM customer base.

- Also the key skills and capabilities of Stöferle will give us significant synergies and generates major growth opportunities for us in our German business. The German region experienced inflationary pressures due to high energy cost which the management is finding mitigation actions for.

Now coming to financials :

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The quarterly information has been uploaded at the stock exchanges last evening along with our presentation explaining the numbers. I will, however, highlight some key numbers :

- During this quarter, the company performed well and turned in revenues of Rs . 21.9 billion and Rs . 28.8 billion respectively for the standalone company and the consolidated company. This translates to a year -on-year growth of 9.2% and 11.3% respectively. The company earned a profit after tax of Rs. 1.57 billion and Rs. 1.84 billion for the standalone and consolidated company. This is a growth of 18.5% and 21.1% respectively. This expansion of margin is achieved through lower material cost in India and lower other costs in Europe.

- It is important to note that our European companies have defied many odds to post an impressive year-on-year growth of 21.2% in Q3 revenues, and a growth of 26.7% in Q3 EBITDA.

- I would like to also mention specifically that our consolidated earnings per share has more than doubled from our IPO year, which was FY17, from Rs. 23.48 earnings per share to Rs. 48.38 earnings per share in FY24. Further, for the trailing 12 months, the earnings per share is at Rs. 56.97.

With these opening remarks now, I would like to invite questions from all of you. Thank you.

Moderator: Thank you very much. We will now begin the question-and -answer session. We will take our first question from the line of Aditya Jhawar from Investec. Please go ahead.

Aditya Jhawar: Congratulations on the big breakthrough on Suspension. Can you elaborate in terms of the likely outcome of this tie-up - OEMs ,

order size and Cap ex required for this project ?

Rajendra Abhange : Aditya, first of all, thank you for asking this very relevant question. And I think the investor community has always been very curious about what we do in the 4 W proprietary product lines, where our presence was not there so far. So , this breakthrough of getting into Suspension has happened very recently , with a global company who is having diverse interests, other than Suspension as well. They are market leaders for one of the largest car manufacturer globally. And we have been able to make a deal with them , in terms of providing end-to -end product technology.

You see the Suspension for 4 W is a very complex product. The entire vehicle stands on this particular part, and it is supposed to do many things , other than absorbing shocks. It is also supposed to do the vehicle dynamics. And entry into this high -end product technology is only possible if we have a very formidable partner. And we found this company in Korea. And this news is very exciting for most of the OEMs. Wherever we have gone, they have been very happy about it.

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The Suspension space in India is very less crowded. There are not many players. Hardly 1 or 2 players are there, and OEMs are looking for very formidable companies , who can offer products that are affordable, and also world-class.

So, the current status is that the license agreement has been signed successfully. And with OEMs, tech review discussions are going on . Our team is very busy in finalizing the product configuration. And if all goes well , in terms of techno-commercial s, we are going to set up a greenfield facility very soon , which will probably be India's finest shock absorber facility .

Aditya Jhawar: So, as of now we are in discussion stage with OEM for orders. And the greenfield facility, any CapEx that you would like to talk about? And where would it come up, would it be Chennai?

Anurag Jain : We have finalized the location , but I think I may talk about that in the next call. We have finalized land also. But there are certain things ongoing.

Aditya Jhawar: On Maxwell , the performance has been quite encouraging , both on growth and profitability

perspective. So, if you can throw some light on what kind of customer base currently, and on any new addition in customers? And what is the plan of ramp up of Maxwell business in the next couple of years?

R. S. Raja Sastry : Aditya, we have been focusing very closely into Maxwell's operations. The R&D function of Maxwell has a significant level of products in their pipeline, which cater to a wide range of applications.

We are focusing on projecting this product range, which go for multiple customer configurations, and which have enhanced safety in them. Now, we have only few customers to whom we are supplying on a mass production basis. But the quotations are going out to a wide range of customers, who produce 3W, and 2W.

That, along with the motor control unit which we spoke about earlier, and some ventures which are allied to the Battery Management Systems are also in progress right now. And we do see good interest from some customers on these product lines, and we should see growth going forward. And as and when they become mature, we will be very happy to make announcements.

Aditya Jhawar : The Europe performance was pretty solid, and very encouraging. Can you talk about any new incremental orders that came for execution in this quarter? Also, if you can just explain the reason of such a strong performance in Q3? And if you can particularly talk about the outlook for our European business and overall industry for the medium term.

Massimo Venuti : The situation in Europe in terms of the market is not promising. As you are aware, the demand is very low. In last few months, the volume has

been stable, compared to the previous financial year. But let me say, as Endurance, we are in a different position, thanks to the business  
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acquisition over the last 5 years. Please consider that we acquired EUR 244 million. We invested EUR 160 million in Capex in the last 5 years.

And so, the future is absolutely positive. I am optimistic for the next quarter. We grew double digits in the past three quarters, and the expectation for the future is more or less the same. For sure, the acquisition of Stöferle can strengthen our position with our customer, because it's absolutely strategic. And let me say, I want to underline that this acquisition is part of the strategy started during the COVID period. It's not a decision of the last 2 months.

Every month, starting from 2022, with our colleague in India, particularly with Rhea Jain, we have had several meetings to discuss different process to reinforce our product and customer portfolio in Europe. And let me say that the process of acquisition is not finished.

In parallel, we have had several meetings with Rohan Jain, more so with Ingenia, to share our expertise with our Indian plants, and to quote profitable new business for Europe and also for India. We don't want to lose any opportunity to grow and increase synergies. And let me say, you will see in our new plant in India for automotive and automotive components, we are installing high level of technology and automation, state-of-the-art technology.

The large volume of new orders in the last 5 years is the key reason why Endurance is performing very well. I want to underline that we closed the previous quarter with 21% increase of turnover, 27% of EBITDA, and 17.5% of net result. And these are results that are possible only because we acquired a lot of business in different segments.

We had a headstart in winning orders for EV and Hybrid segment, which added to our existing product range in the internal combustion engine. We are performing very well with a high-level of profitability, and with a level of technology that is not reachable for everybody, because you have to spend a lot of money. We had made EUR 160 million of investment in the last 5 years.

And so, let me say, I am absolutely optimistic for the future.

Moderator: Thank you. We'll take our next question from the line of Jinesh Gandhi from Ambit Capital. Please go ahead.

Jinesh Gandhi : On the 4W suspension agreement which we have done. So, there would be an anchor customer in form of Korean OEMs. Just any inputs on whether that anchor customer is currently having single source of supplies for suspensions and we'll be a second source supplier?

Anurang Jain : We will definitely be a second source supplier, unless there are some new models looking at how we do in performance in future. But right now, definitely for the customers we enter in India, we will be as a second source.

Jinesh Gandhi : Okay. So, they currently only have a single supplier?

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Anurang Jain : Yes.

Jinesh Gandhi : Secondly, you also talked about the 4W braking business. So, any inputs on who is the technology partner? And how should one think about the ramp-up in that segment as well,

because that again is a very large opportunity ?

Anurang Jain: As we go along , we will share more data, but we will definitely start the 4W Brake s business. Our target is the last quarter of the next financial year , because it takes time for testing and development. But that is something which is already at advanced stage , and that 's going to happen for sure.

Jinesh Gandhi : Is there any technology partner for 4 W braking or we have done it in-house?

Anurang Jain: The technology for the high-end braking systems will likely come from BWI , who is already a partne

r as you know for the 2 W ABS. We are at a fairly advanced stage in talks with them .

Moderator: Thank you. We will take our next question from the line of Shagun Beria from Anand Rath i . Please go ahead.

Shagun Beria: Yes. Thank you for the opportunity , and congratulations on a good set of numbers. So, on the recent acquisition of Stöferle , can you just help us understand and elaborate more on what this acquisition brings to the current business , in terms of products, technologies and customers? And also, how should one look at the revenue growth for this entity over medium term , and also the EBITDA and PAT profitability?

Massimo Venuti : On 12th of December , we signed the SPA with the Stöferle family. Now, we are waiting the confirmation from the Authority of Antitrust in Europe , because this is a strategic supplier for our customer. This acquisition helps Endurance reinforce our position in one of our major customers. And so, we are waiting the answer from the authority , but I presume that within t he end of this financial year, we can close the transaction .

The Company was a strategic competitor of Endurance in the transmission component , and they have a high level of techn ology , also due to the fact that they produce their own machines . This aspect is absolutely important for us , because as you know we invested a lot of money in machining centers in the last few years. Now, inside of our company we will have also the expertise to reuse the existing production capacity by refurbishing machines . This is absolutely strategic for us , in parallel with the acquisition of Ingenia that can improve the automation in the process.

The Company has a total turnover of EUR 80 million , and EBITDA that is more or less 18 %-20% - EUR 15 million -EUR 16 million of EBITDA. T he company purchase is on cash free debt free basis . And the acquisition will reinforce our position in the very difficult Germany market , because you can be competitive only with high level of volume .

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And the product portfolio of Stöferle is very similar to the existing portfolio of Endurance. It means that they are in 60 % of their product range sole supplier ; and the rest 40%, they were competit or of us . And so, it means that as we reinforce the product portfolio , we will also strengthen our position as sole supplier in the supply chain of our customer. We will become sole supplier for 80% of our product range in Endurance.

The family at Stöferle understood very well that the only possibility for their business to survive was to make synergy with strong partners like us , and they are very happy because the morale in the team in Germany in our existing pants at Massenbachhausen and in Stöferle's Laupheim plant is absolutely positive.

Shagun Beria: The state incentives that you had mentioned earlier , INR 80 million , would that be booked in Q4?

R.S Raja Sastry : The remaining INR 80 million under the 2013 scheme will be booked in FY26 and FY27. For the 2019 scheme , we are at a stage where we have submitted our applications and our documentation is complete. We are waiting for the eligibility certificate from the government, and it will be subject to the receipt of eligibility certificate that we would book any amount in Q4. And I can only tell you that our applications are complete , and we are at an advanced stage,

but we have to wait. Once we get the eligibility certificate, we will make an announcement.

Shagun Beria: About the TLA that you mentioned with the Korean player for 4 W and suspension - we didn't have much presence in 4 W suspension? And which are the key customer wins that are expected from this TLA?

Anurang Jain: About the customers, we are not allowed to mention the names yet.

Rajendra Abhange: I really appreciate the investor community's interest in the 4W Suspension

business , which we

are going to get into. This Korean partner has been handpicked and identified with lot of internal deliberations , that who is the right company who can work with us in India , and provide the niche and affordable technology. India market i n 4W is ver y cost competitive , and we have to be mindful of the fact that we cannot bring something which is a rocket science, something that will not sell in the country.

The average price of a car in India is close to \$10,000 , which is very low , but the demands of

the products are extremely high. We needed a partner who is actually going to help us meet these requirements.

There are already some formidable players. One player is definitely very strong in India, and we will be the second source in most of the OEMs to start with. But let me tell you that for the new platforms, we will get RFQs very soon, where we will be the first supplier, and this company's name is so formidable, the OEMs have absolutely no hesitation to work with Endurance.

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Shagun Beria: Can you also talk about the new large order of 2.4 billion for E 4-wheeler applications from the likes of Valeo and Yazaki?

Anurag Jain: You are talking about our new project, AURIC Shendra which is starting in June '25. For this plant, the orders which we have got is INR 0.7 billion from Valeo, and there is of course a very large customer whom we cannot name, from whom we got INR 1.5 billion business. And as we talk, we are in touch with more customers, and as we get the orders and when we are allowed to speak about them, we will speak during these investor calls. We are at advanced stage with a few other customers.

So, right now, the business which has been won for the AURIC Shendra plant INR 2200 million, and this will be increasing, because we have targeted efforts. And of course, our focus was to get into customers we don't have; mainly in exports; try and improve our profit margins in the casting business; and we are very, very excited about this move, because we are a very strong player.

We process almost 120,000 metric tons of aluminium. We are the largest in the country as far as aluminium die casting is concerned. We have strong engineering capabilities, and a tool room, and are very innovative. This Mahindra award we got for innovation, was for the hydraulic lifter which is used behind the tractor. It used to be a cast iron part. I think it was 30 kg, we have lowered the weight to 4 kg or 5 kg. It led to huge savings. We are getting new opportunities from customers, who are looking at our strengths.

At Shendra, we are very excited to be in this new area, new customers, export customers, higher profit margins. These orders are mainly for EVs, that is also an exciting part. So, we are in a very good space.

Moderator: Thank you. We will take our next question from the line of Pramod Amte from Incred Equities. Please go ahead.

Pramod Amte: On E-Axle - traditionally the conventional transmission used to be made by 4-wheeler companies in-house. So, this completely opens up a new opportunity for you, because of EV?

Second, what is the content you are supplying to the E-Axle, what type of parts; and what is the scope of expanding this content within the E-Axle, because many of the players are yet to localize E-Axle in India?

Anurag Jain: I would like to clarify that in this order, we are not going to supply the E-Axle. We are supplying die casting machined parts for the E-Axle, to Valeo who will supply the complete assembly to the Mahindra EV. So, ours is still an aluminum casting business. It's not an E-Axle business.

Pramod Amte: Earlier, OEMs used to do even those castings in-house. Is there a scope for you to move up, considering the aluminum content is higher?

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Anurag Jain: There is a tremendous scope. All the customers we are getting into, the scope is just tremendous. Whether it's EV, ICE, hybrid, there's a huge requirement, because aluminum is a lightweight material. And why we went into more of export-oriented and parts with sophisticated machining is, we want to increase our margins in our aluminum casting business. In fact, our focus is to make the new castings margin higher than our proprietary business.

Pramod Amte: In 4W suspension, many of the 4W OEMs are very closely working with their own country-based partners, and India is more ruled by Japanese than the Koreans. So, does it restrict your market presence because of your partner being Korean?

Anurag Jain: I don't think so. We are very optimistic. We are in touch with many companies, including also Japanese OEMs. So, we will make all efforts to see that we can make inroads, based on our cost competitive technology products, and the performance which we will offer. So, we will do our best to see that the Korean entity doesn't come in the way of Japanese companies.

Moderator: Thank you. We will take the next question from the line of Jinesh Gandhi from Ambit Capital. Please go ahead.

Jinesh Gandhi: Regarding ABS for 2W can you talk about the progress with respect to how is acceptance of our products with customers beyond Bajaj and RE, in the sense that where are we in terms of RFQs and testing, and those things?

Anur ang Jain: I will not give you the customer names. We are in touch with all the OEMs . With 2 other customers , we are at quite an advanced stage. And it's for dual channel , as well as single channel. We want to launch a dual channel ABS , which we hope to do, if not in this quarter , then in the next quarter.

Jinesh Gandhi : Does Stöferle have any debt on its book s?

Massimo Venuti: The agreement is to buy the company without cash and without debt. As I told you, this is one of the most profitable companies in the European market. They made EUR 15 - 16 million of EBITDA , considering EUR 80 million of turnover . They do only machining. But as you know, machining for us is the added value of our process. And in the future, we wi ll decide for the potential backward integration also with the high-pressure die casting component. But we will buy the company without financial debt.

Moderator: Thank you. Ladies and gentlemen, we'll take that as the last question for today. I now hand the conference over to Management for closing comments. Over to you S ir.

Anurang Jain: I want to thank everybody for their time on this call. Thank you.

Moderator: Thank you. On behalf of Axis Capital, that concludes this conference. Thank you for joining us. And y ou may now disconnect your lines.

## Call: May 2025

ENDURANCE TECHNOLOGIES LIMITED  
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CIN No. L34102MH1999PLC123296

23rd May, 2025

BSE Limited,  
Phiroze Jeejeebhoy Towers,  
Dalal Street,  
Mumbai - 400 001

BSE Code: 540153  
National Stock Exchange of India Ltd.,  
Exchange Plaza,  
Bandra -Kurla Complex, Bandra (E),  
Mumbai - 400051

NSE Code: ENDURANCE

Sub.: Transcript of Conference Call held in respect of the Company's Q 4 FY25 financial results.

Ref.:

1. Regulation 30 and Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations").
2. Intimation of telephonic / virtual meeting with Analysts / Institutional Investors dated 29th April, 2025 .

Dear Sir / Madam,

In continuation of the referred intimation and Listing Regulations, please find enclosed the transcript of the conference call held on 16th May, 2025 in respect of the Company's Q4 FY25 financial results.

The transcript has been hosted on the Company's website at:  
<https://www.endurancegroup.com/wp-content/uploads/2025/05/2025-05-16-Transcript-of-Earnings-Conference-Call.pdf>

We request you to take the above information on record.

Thanking you,

Yours faithfully,  
For Endurance Technologies Limited

Sunil Lalai  
Company Secretary and Executive Vice President – Legal  
Membership No.: A8078

Encl.as above

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Endurance Technologies Limited Q 4 and FY 25  
Earnings Conference Call  
May 16, 2025

M  
ANAGEMENT : MR. ANURANG JAIN – MANAGING DIRECTOR ,  
ENDURANCE TECHNOLOGIES LIMITED  
MR. RAJENDRA ABHANGE – DIRECTOR & CHIEF  
OPERATING OFFICER , ENDURANCE TECHNOLOGIES  
LIMITED  
MR. MASSIMO VENUTI – DIRECTOR & CHIEF  
EXECUTIVE OFFICER , ENDURANCE OVERSEAS ,  
ENDURANCE TECHNOLOGIES LIMITED  
MR. R. S. RAJA GOPAL SASTRY – GROUP CHIEF  
FINANCIAL OFFICER , ENDURANCE TECHNOLOGIES  
LIMITED  
MR. RAJ MUNDRA – TREASURER & HEAD INVESTOR  
RELATIONS , ENDURANCE TECHNOLOGIES LIMITED  
MODERATOR : MR. NISHIT JALAN – AXIS CAPITAL LIMITED

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Moderator : Ladies and gentlemen , good day and welcome to Endurance Technologies Limited Q 4 and FY 25 Earnings Conference Call hosted by Axis Capital.

As a reminder , all participant lines will be in the listen -only mode and t here will be an opportunity for you to ask questions a fter the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '\*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nishit Jalan from Axis Capital. Tha nk you, and over to you, sir.

Nishit Jalan: Thank you, Manav . Good morning , everyone. Welcome to Q 4 FY 25 Post -Results Conference Call of Endurance Technologies.

We are pleased to host the Management Team. We have with us today , Mr. Anurang Jain – Managing Director, Mr. Massimo Venuti – Director & CEO, Endurance Overseas, Mr. Rajendra Abhange – Director & COO, Mr. Raja Gopal Sastry – Group CFO and Mr. Raj Mundra – Treasurer and Head Investor Relations.

I will hand over the call to Mr. Anurang for t he opening remarks , post which we will have the Q&A. Over to you, Mr. Anurang .

Anurang Jain: Thanks a lot. G ood morning to everyone.

I would like to say that India's economic landscape remains strong , in spite of tariff wars threatening global trade and the recent situation in the subcontinent. As we observe the broader economic environment, GDP growth for FY 25 is estimated at 6.5%, lower than the 9.2% recorded in the previous fiscal. The index of industrial production grew at an estimated 4.1%. In FY 25, average inflation stood at 4.6%. Moderating inflation coupled with higher capital expenditure proposa l s in the Union Budget this year is expected to spur consumption and investment.

As per the recent Economic Times article dated 5th May 2025, two-wheeler OEMs expect sales this year to test the pre -COVID peak, hoping that lower EMIs due to cut -in interest rates, higher disposable income due to income tax reforms, will encourage the middle class to spend on two wheelers.

Also, as per the SIAM report, forecas ts for a favorable monsoon helping rural areas, strong replacement demand, and government support for purchase of electric vehicles would be factors for growth of two-wheelers in this financial year. The passenger vehicle sales from India during Q4 FY 25 grew by 4.1% year -on-year and commercial vehicles witnessed a 4.6% growth , while three-wheelers grew 9.1% as compared to Q4 of the previous year.

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Two-wheeler sales reached 5.7 million units in Q 4 FY 25, up 5.3% year -on-year driven by scooters at 10.9% and motorcycles at 3.3% growth .

In our standalone financials for the quart er, Endurance has seen a total income Q 4 FY 25 year -on-year growth of 8.4%.

In the European Union, new car sales saw year -on-year drop of 1.9% in Q4 FY 25 , while our



Endurance Europe total income growth was significantly higher at 17%. In the Q4 FY 25 industry volumes, there was a 15.2% share for battery electric vehicles, 7.6% for plug-in hybrids and 35.5% for hybrids.

While our India business is fairly insulated from U.S. markets, certain components made by European plants do find a way into the U.S., particularly components for the higher segment cars. We await clarity on the U.S. duty structure, and it also remains to be seen if duty changes would drive consumer preference away from niche European models.

Having spoken about the macros, I will now tell you about certain steps which we have taken at ETL:

1. We are setting up a state-of-the-art lithium-ion Battery Pack manufacturing plant near Pune to address the rapidly growing market demand for electric vehicles and renewable energy storage systems. The new facility will leverage

our in-house

developed battery technology, and also Maxwell's expertise in Battery Management System to make superior quality battery packs.

Happy to inform you that in April 25, we have won an order of Rs. 3 billion per annum from a large OEM for their e-scooter. Our offering has the advantage of better thermal stability, improved lifespan and safety, and caters to requirements for Indian climate and road conditions. We are beginning with a small investment. Our unit is modular and automated, thereby leading to an ease of capacity addition, and better cost management.

We are focused on not only two-wheeler, 3W and four-wheeler programs, but also for supplies of battery packs to high-potential non-automotive sectors such as telecom, battery energy storage systems, and inverters. The SOP is planned in January 2026.

2. Our 2022 agreement for the acquisition of Maxwell Energy had an upfront payment of 51% shares with a plan to buy balance 49% based on a consideration linked to the financial performance of Maxwell. As of 31st March 2025, the Company had purchased a total of 61.5% of the shares in Maxwell.

Based on the minority shareholder's request for an accelerated sale of the balance 38.5% stake, the Company considered the strategic advantages of early total control  
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and agreed to buy the same for a consideration of Rs. 75 million. As a result of this agreement, the Company had to reverse the liability recorded in the consolidated financials against the estimated price for the balance shares to the extent of Rs. 913 million in Q4 FY 25.

Further, the independent Big 4 valuer retained by us to evaluate the goodwill pertaining to Maxwell advised a scenario, where margins in new age automotive products may normalize in the long run, which the Company accepted, applying conservative accounting principles. This led to lowering the value of goodwill pertaining to Maxwell by Rs. 582 million.

I would like to mention that our outlook on Maxwell's business and the overall electric and electronic business comprising battery packs, anti-lock braking systems, electronically controlled suspension systems, and other assemblies on our surface mounted technology lines is stronger than ever, auguring well for the profitable growth of the Company.

3. I informed you last quarter about the acquisition of Stöferle entities in Germany, where we required statutory approvals. We have completed the acquisition of the 60% stake and will acquire the remaining 40% over 5 years as per the Share Purchase Agreement. The addition of these two Stöferle plants in Germany enhances our manufacturing capabilities and takes our total number of plants in Europe to 14. We have already begun to add new orders in this business. As mentioned earlier, from April 2025, Stöferle financials will be consolidated in the Endurance group financials.

4. You may have noted our recent announcement of receiving the eligibility certificate for incentives totaling Rs. 6.06 billion under the Maharashtra PSI 2019 scheme. In earlier calls, we had mentioned that our eligibility amount would be significantly higher than under the 2013 scheme, where we had an eligibility of Rs. 4.46 billion.

Under the 2013 scheme, Rs. 4.37 billion income has been accounted till FY 25, and Rs. 2.9 billion cash has been received.

5. Our G45 Waluj R&D facility for two, three and four -wheeler suspensions will be fully operational in a month, marking a significant milestone in our innovation journey. This state -of-the-art facility helps us to co -create advanced suspension solutions with OEMs, further solidifying our leadership in two-wheeler, three-wheeler technology and supporting our growth in the four -wheeler segment.

You will recall that we have a technical assistance agreement with a leading Korean player

which will help us access four -wheeler suspensions business. We have established promising contacts with leading Indian and global passenger car OEMs  
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for this business.

Faster growth in the 4-wheeler segment is our key focus. Through our internal process and product technology strengths, technical collaborations and merger & acquisitions, we aim to grow our presence in the 4 -wheeler aluminum casting and aluminum forgings, 4-wheeler suspensions, 4-wheeler brakes, 4 -wheeler alloy wheels, 4 -wheeler drive shafts as well as embedded electronics for the 4 -wheelers.

6. It gives us great pleasure to see the developments taking place at Chhatrapati Sambhajnagar , where our journey began. This includes the setting up of AURIC Bidkin and AURIC Shendra 10,000 acre industrial parks. The upcoming ring road which will connect AURIC Shendra to AURIC Bidkin areas where one each of our new plants is being set up in Q2 of this financial year. AURIC expansion by acquisition of a further 8, 000 acres of industrial park land is testimony to the excellent industrial prospects of the region. Chhatrapati Sambhajnagar is becoming an EV capital with investments from large companies including Toyota, JSW and Ather amongst others.

a. At our AURIC Shendra four-wheeler casting plant, the SOP is from September 2025. I had mentioned to you about having one business from Valeo , where our products will be part of assemblies going into Mahindra EV platforms. Further, we have secured export business from two global U.S. and European OEMs which I cannot name now. I would like to clarify that these are new OEMs not served by our European plants. These parts are for premium cars for EVs. Both these businesses will start in this financial year. The total order book for the AURIC Shendra plant stands at Rs . 2.75 billion per annum.

b. The new 2 -wheeler alloy wheel plant at AURIC Bidkin is gearing up for SOP in Q2 of FY 26 . This plant will have a capacity of 3.6 million wheels per annum. We have firm requirements from multiple OEMs for the same.  
Let me now give you a gist of orders won during FY 25 . Please note that the business value from these new orders are without including orders from Bajaj Auto:  
The overall orders won in FY 25 in India business was Rs. 11.99 billion, of which Rs . 10.82 billion is new business , and the remaining is replacement business.  
Key customers in this list of FY 25 orders are two -wheeler OEMs , such as Honda, Royal Enfield, Hero MotoCorp, and Ather Energy . Among key four-wheeler orders are Valeo, Yazaki , Tata Motors , and the two large U.S. and European OEM orders which we have got at AURIC Shendra. 34% of this FY 25 order booking of Rs. 4.11 billion of orders are for four -wheeler end use, and 37% of this FY 25 orders or Rs. 4.39 billion, are for the electric-vehicle segment.  
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The cumulative India business orders for the electric vehicle segment since FY 22 stands at Rs. 8.35 billion. And, if I have to include Bajaj Auto orders, this figure crosses Rs. 10 billion per annum.

Out of the total orders worth Rs. 46.92 billion won since FY 21, Rs. 37.34 billion is new business and Rs. 9.58 billion is replacement business. Of this 37.34 billion new business, close to Rs. 14 billion has seen SOP in FY 25, and the further Rs. 10 billion is expected in this year . The rest of

the business will be realized in FY 27 and FY 28.

In the standalone business, we are actively quoting and pursuing requests for quotations for an annual sale of Rs. 34 billion from various OEM clients other than Bajaj and across all our product segments. This also includes a significant percentage of electric 4-wheeler OEM customers.

In our Europe business, we have booked orders worth € 40.2 million during the year. This includes

includes a machining order of € 5.2 million from BMW in our Stöferle plants. Other large orders during the year are from Volkswagen, and indirect business for Rolls-Royce and Jaguar Land Rover. Also, we have won non-auto business in the pumps and electric electronic component space.

In our subsidiary, Maxwell Energy, we have won cumulative orders to the extent of Rs. 2.5 billion. This value is after removing business from those customers who have seen headwinds such as a sharp fall in market share. Maxwell is pursuing leads at present of Rs. 2.6 billion.

Now I will speak to you on our existing product segments in India :

Starting with Suspension : I just spoke about the new G45 suspension R&D and our 4-wheeler focus. Talks with leading OEMs are underway, regarding shock absorber requirements, and with one leading OEM for LC Vs and MCVs, and we hope to conclude this order soon.

In FY 25, we have won Suspension orders to the tune of Rs. 2,351 million per annum of peak annual sales. These are from various OEMs and for their various platforms. While some of these orders will require capacity being added or de-bottling, we are also seeing order intake which would improve existing use of capacity and drive our goal of asset sweating.

At our Narsapura plant in Karnataka, we have planned an 80 % year-on-year increase in sales in this year, with new business getting started with Honda, TVS, and Ather. New orders won in Q4 include Royal Enfield, Hero MotoCorp and Honda.

The Hero MotoCorp order includes inverted front forks for the Harley-Davidson bikes, with SOP planned in Q3 FY 26. And the SOP for the TVS inverted front forks has already started in April 2025.

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We have also won new orders for inverted front forks and mono-shocks from a leading China based 2-wheeler company; with phased SOP planned in H1 of this financial year. This part has special features, including tension and rebound adjustments.

Post the court-monitored restructuring scheme, the KTM Austria entities have again given their firm order schedule to us. We expect to start supplies of inverted front forks and rear mono-shocks in a small way from June of this year, which is next month.

In the non-auto suspension space, we are in the final stages of developing Solar Dampers, for a Spanish client.

In the Braking segment, we have won Rs. 2,366 million per annum of new orders in FY 25 from multiple OEMs. In the previous quarter, I mentioned our brakes range is from 100cc to 800cc 2-wheeler platforms. We have now started the development of brakes for a 990cc motorcycle, for a key OEM client.

We have also won the much-awaited twin-channel ABS orders from two OEMs. Trial lots have begun with SOP planned for Q2 of this financial year. We are assembling the electronic control units in-house, at our ABS plant at Waluj. Further backward integration is possible, and we wish to manufacture the printed circuit boards for the electronic control units, on our surface mounted technology line at Waluj.

We are already the leader in two-wheeler Disc Brake market share and plan to further expand, for which a new building at our E-71 second brakes plant is close to completion. Braking too is an area where we wish to serve 4-wheeler OEMs, and we hope to conclude this business soon with a leading four-wheeler OEM.

Coming to Transmission : In the previous quarter, I spoke of new clutch orders from Hero MotoCorp and Royal Enfield, that have enabled us to increase the annual sales of 1 million more clutch assemblies and increase sales value by more than Rs. 1,000 million per annum. These orders will see SOP in May and July respectively and will peak in Q4 of this financial year. And for this, an expansion has already been completed.

In Driveshafts, we have won business from three 3-wheeler OEMs

and now from a leading 4-wheeler OEM. We are working with these OEMs, as well as others for more business across passenger and goods segments. With current capacities and increased volumes, we would invest this year in augmenting our capacity, to produce higher volumes of driveshafts for both 3-wheelers and 4-wheelers.

In our Aluminum Castings business, we have won orders in FY 25 to the tune of Rs. 6.1 billion during the year. These orders are across 2-wheeler, 4-wheeler, and non-automotive business, and also for ICE as well as the electric vehicle business. I have already spoken earlier about the

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Rs. 2.75 billion AURIC Shendra orders which we have won. Non- auto orders include also the generator end use .

Casting volumes from Ather Energy , from our Vallam plant are expected to double in Q 2 FY 26, and new machining assets are being installed for this purpose. For large 4 -wheeler castings, our new investments both in Shendra and Chakan include high level of automation.

At Chakan, we have a fully automated machining line, with no human intervention from start to end. Also, we have upgraded four die casting cells with full automation. At AURIC Shendra , we have used the services of our new European subsidiary Ingenia, which we acquired last year, to assist on the automation.

Coming to our Aluminum Forging business, we have added another forging press in Q4 FY 25, taking the total to 4. Because of increased volume and demand, more presses will be added next year. Therefore, we are in the process to move our existing Aluminum Forging plant to a more spacious location at Waluj and start production in this new plant by Q4 of this financial year.

The work has already started.

In the new plant, we have Aluminum Forging orders from Hero MotoCorp. This is in addition to our own captive requirement for inverted front forks , and also for a 4-wheeler export order from Jaguar Land Rover.

At our subsidiary Maxwell, we have redesigned the Battery Management System for Hero MotoCorp, helping us improve our product profitability and offer a cost advantage to the OEM.

These steps demonstrate our prowess in embedded electronics. Apart from the Battery Management System , we have booked business for Motor Controller Units and in the Internet of Things segment. And SOP is in October 2025, and January 2026 respectively.

Further, there are other products at an advanced stage of development. Our focus is to keep increasing our profitable sales at Maxwell.

In the Indian Aftermarket business, we continue to progress on execution of our domestic strategy, which would lead us to a strong growth. As informed in the previous call, we have begun to implement a two- year strategy with a global consultancy firm, where we have revamped our distributor policy, introduced new value -add products, and enhanced our focus on expanding regional market share.

During FY 25, we have achieved 29% growth in the aftermarket exports. We have launched a new plan targeting additional markets with products yet not supplied to the Indian market.

Our value -add products portfolio now contributes over 14% to our aftermarket sales.

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Coming to our financial performance, the information has already been uploaded at the stock exchanges last evening , along with a presentation explaining the numbers. I will, however, highlight some key numbers. During FY 25, the Company recorded a standalone total income of Rs. 89.1 billion, a growth of 12.5% over FY 24. Consolidated total income was Rs . 116.8 billion , which is a growth of 13.1%.

The Company recorded a profit after tax of Rs . 6.79 billion , and Rs . 8.36 billion in the standalone and consolidated books.

It is important to note that our European Companies have defied many odds to post an

impressive

year-on-year growth of 15.4% in FY 25, and a growth of 20.9% in FY 25 EBITDA.

During Q4 FY 25, the Company turned in a total income of Rs. 22.7 billion for the standalone Company , and Rs. 29.98 billion for the consolidated Company . This translates to a year -on-year growth of 8.4% and 10.6% respectively. The Company earned a profit after tax of Rs. 1.74 billion , and Rs. 2.45 billion for the standalone and consolidated Company .

In Q4, our European business recorded a top-line growth of 17% and an EBITDA growth of 21.2%.

I would also like to mention specifically , that our consolidated earnings per share has more than doubled from our IPO year , which was FY 17 to FY 25 from Rs . 23.48 to Rs. 59.46.

At Endurance , our people remain central to our growth. We continue to drive strategic workforce planning with women now comprising 8% of our hiring, reflecting ongoing commitment to diversity with a target to take female population to 10% and 15% for our blue and white -collar employees by 2030.

We have undertaken specific projects with a focus on enhancing employee experience & care & well-being of them at ETL, focusing on an inclusive work culture, focusing on best -in-class HR policies and building up talent by helping upgrading, focusing on skills and capabilities and

leadership potential of our people.

On the sustainability front, we continue to advance our commitment to sustainability and community impact. This year, we made significant progress towards our ambitious sustainability goals for FY 30. We achieved a 45% carbon neutral percentage. We lowered specific electrical, thermal energy as well as specific water consumption, while water recycling and hazardous waste recycling stands at 96% each.

We also enhanced our renewable power share from 23% in FY 24, to 25.2% in FY 25 through expanded rooftop solar and wind power agreements. We contributed 300,000 kl of water through water augmentation projects. Six of our plants completed zero waste to landfill assessments with platinum ratings in third-party assessment.

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Education, Health & Sanitation, Environment, and Livelihoods continue to be at the core of our CSR focus. Through Sevak Trust, which is our CSR arm, we have transformed 54 schools with solar energy and hygiene focused facilities, thereby enhancing attendance and outcomes, while training over 900 adolescent girls in health and skills.

With sustainable agriculture training, our farmer empowerment program has helped over 4,000 people. And our ECoVE, Vocational Training Centre in Chhatrapati Sambhajanagar, has imparted vocational training to 1,900 youth, securing over 75% employment.

Our health work has reached 42 villages, serving 17,000 people, and we have built 2,300 toilets to improve sanitation. Our Vet van program too has been successful in providing treatment to 40,000 animals in 47 villages.

This year we have started with one village, by creating a green energy village by providing rooftop solar energy units to 100% of households, promoting sustainable energy access.

Endurance continues to earn accolades from its OEM customers as well as industry forums.

Some of the key awards and recognitions in this financial year were:

- o Making it to the 2024 DET Hurun India Manufacturing 400 list, compiled by the Dubai Department of Economy and Tourism, in partnership with Hurun India.
- o Winning the Innovation Award at the Mahindra Vendor Meet.
- o Ranking 32nd among Fortune India's future-ready workplaces.
- o Getting the Ford Q1 certification for our casting and machining plant at Chakan.
- o Winning platinum & gold awards for our two brake plants at Waluj at the Bajaj Auto Vendor Meet.
- o The CII Intellectual IP award 2024 and the ASSOCHAM IP Excellence Award.

With these opening remarks now, I would like to

invite questions from all of you. Thank you.

Moderator: Thank you very much, Sir. We will now begin the question-and-answer session. We have a first question from the line of Aditya Jhawar from Investec. Please go ahead.

Aditya Jhawar: Yes, good morning. Thank you for the opportunity and congrats on a good set of numbers. My first question is on our Lithium-Ion battery pack assembly. Can you throw some more light on it in terms of any commitment from any OEM? Sir, did you mention about the 3 billion order win for e-scooter pack? Can you just throw some light on the margin profile of this business as compared to the main business? And do you expect that the ramp-up in Maxwell could accelerate because we are providing more value-added service?

Anurag Jain: I will not be able to talk about the margin, as this is sensitive information. But yes, we won a 3 billion order from a leading 2-wheeler EV OEM. This was in April, and definitely this is going to be a huge growth opportunity, not only for two, three, & four-wheelers end use, but also for Endurance Technologies Limited

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other industries like telecom, inverters, battery energy storage systems. And we are very excited, it's a forward integration with our own technology from Maxwell because as you know, the battery management system is the heart of a battery pack.

I would also request Mr. Pranit Parekar, who is from our senior management team and a key person for our battery pack plant to explain further on this. He can throw light on what we are doing at the battery pack plant.

Pranit Parekar: We are setting up Plant 1 with two different lines, which are fully automated. One line will be used for cylindrical type of cells, which will be starting from 18650. It can accommodate up to 46120, or even 46133. And the second line will be making packs on the prismatic cells, which will be starting from 50 Ah prismatic cells to 675Ah prismatic cell. It is also designed for making packs for 2-wheeler, 3-wheeler, 4-wheeler as well as battery energy storage systems, UPS and telecom battery packs.

The line is already getting installed with AGVs, and it is capable of handling low voltage as well

as high voltage battery packs. The technology that is being used, it's basically an IP-led technology. The battery is completely designed and developed in-house by Endurance.

Aditya Jhawar: You mentioned, about a nother Rs. 300 crore order win on e-4-wheeler application from international customers. So, Valeo and Yazaki, you called out specifically. Can you talk a little bit about what are the products that we are doing for all four of them and which market we plan to supply and little bit more color on the new U.S. and EU OEM?

Anurang Jain: See, three of the customers which are Valeo and the two other OEMs which I cannot name, but they are leading global OEMs in the world. These are products mainly for EVs. And these are castings like end caps. I cannot mention all these names. These are castings required for EVs, very key parts. When the plant is ready to start in September, you all can come and see the plant in AURIC Shendra at Chhatrapati Sambhajinagar. But you can say that most of these orders are for EV platform. Valeo, as I mentioned, is for Mahindra, and functionally extremely important, and it's a huge opportunity. Let me just tell you, the margins here are much higher. I want to just put this on record.

Aditya Jhawar: Sure, so these would be exported to U.S. and Europe, right?

Anurang Jain: Well, some would be for India, like I said Mahindra, but the other two will be exported. And these customers are not those customers which our European operations are supplying to.

Aditya Jhawar: If you can give us a little bit of an update on the 4-wheeler suspension, the technical tie-up that we have done, how has been the customer engagement,

any timeline of commercialization, any

indication on what kind of customers we are talking to, any further update on it?

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Anurang Jain: I will start, and I will ask Mr. Rajendra Abhang, our Director & COO, to speak further. These are all the leading OEMs in India, I would just say that for the time being that we very closely engage with them, and as we speak, plant audits have already happened. So, we are at a very advanced stage, but I will request Mr. Abhang to speak on this.

Rajendra Abhang: Suspension, is one of the most critical parts for vehicle dynamics, and also for the safety of a passenger vehicle. Our tie-up with this company, which is already explained, is one of the leading players of suspension manufacturing, which has delivered over 10 crore shock absorbers all over the world and is a highly experienced company. We joined hands with them sometime in January this year. When we approached the OEMs, they were excited about our association with this company, looking into their profile, and their product lines.

There are not many players in this space in India, because these products are not easy to handle by the tier-1 companies. And therefore, there is a huge traction from most of the OEMs.

Wherever we have gone, they have welcomed us, and they have actually told us to speed up the development process of these products. So, as you know, this suspension development takes a long time. It has to undergo a lot of vehicle and durability tests. Currently we have 3 programs in discussion, and most of them are going to be very crucial projects. The development time, could be anywhere between 8-12 months. During this period, we will also decide the location of the plant, as it will require a greenfield facility.

Aditya Jhawar: Question for Massimo - A fantastic delivery in FY 25 considering the backdrop of Europe. If you can give us some sense, then how should we expect overall industry in FY 26? And what are the big order wins that might come for execution? And what is the growth expected of Endurance European business in FY 26?

Massimo Venuti: The situation in Europe for the next financial year is difficult to predict because of ongoing instability from various factors, including recent tariff escalations. In Q4 FY 25 (January-March 2025), new car registrations in the European Union dropped by 1.9% year-on-year, and according to S&P Global Mobility, production of new light vehicles in Europe is expected to decline by over 2% in the 2025 calendar year.

Despite these market challenges, we expect Endurance's European business to grow. The acquisition of Stöferle that has added €80 million to our revenue, our past performance, and recent business wins, will be the key drivers of our growth. We expect to continue outperforming the industry.

Moderator: Thank you. We have a next question from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities. Please go ahead.

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Mumuksh Mandlesha: Thanks for the opportunity and congrats on a good set of numbers. Sir, firstly on the Suspension side, you mentioned about the first order for Solar Damper assembly. I just want to understand the size of the order, and what is driving the opportunity in this space, sir?

Rajendra Abhange : As you know, we always aspire to diversify our business out of 2 -wheeler . One of the area is 4 -wheeler, which we already spoke about. But we are also exploring areas which are non -auto . And one of the success stories is that we are getting into the racking system for the solar panels, which is a very high -tech kind of a system that requires to manoeuvre the solar panels during the day, and it has to work according to the direction of the sun. So we are going to produce this entire racki

ng system . The technology that we applied is from our knowledge of automotive engineering . It is an extension of what we already know, so it's not very difficult for us. So, no collaboration is needed. The company that approached us is a Spanish company , which is world's third largest solar panel system supplier. It's a global company and all the audits have happened, and we are expecting the commercial production to start in the next quarter from one of our plants for supply to India, Saudi Arabia , and to the United States. So these three areas we will be supplying. On the question about technology , when you speak about what is different than automotive is that these products are, from the size perspective, they are very big, very long, more than the height of a human. And they have to operate in the field for nearly 25 years , without any substantial maintenance. So , we have validated our products , in our labs, with all kinds of tests , according to the customer specifications. All the machinery is getting into place , and the commercial supplies will start within next 2 to 3 months ' time. If you ask about the potential, the potential is enormous. But we are going to start in a small way, I would say between Rs. 25 to Rs. 50 crores to begin with . But the potential is to get to over Rs. 500 to Rs. 1000 crores business .

Mumuksh Mandlesha: The AURIC plant, I just want to understand how will this ramp up of Rs. 275 crore order would happen ?

Anurag Jain: The peak of this Rs. 275 crores will reach in F Y 27. But as we speak, we are also in touch with other customers to take more orders. And the customers are also in a real hurry to get the supply started. In fact, one of the customers was there last evening at AURIC Shendra , they have done the audit and are quite happy. The trial lots already have started, only that mass production is in September. We are already supplying smaller lots. And , as you know that this has a special process also, which is first time in India . It's a surface treatment process . So, the potential is enormous , but we are going to go step by step. We are very excited about this , and maybe after September 2025 , we can invite all of you to come and see the plant.

Mumuksh Mandlesha: On the alloy wheel business, this space is seeing a very strong growth led by import substitution. Also, we are seeing that increasing number of players who are entering this space. I just want to understand how this business margins or the ROCE stand versus how the Company currently does?

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Anurag Jain: Our focus is to see that the margins are in line with the Company . That's our target. And we have made a lot of effort based on the product mix and the operational efficiency , to see that we are able to do it. We have gone in for more automation, which requires less dependence on people, which you will see once the plant will start. We are making our full efforts ; we have learnt from our experience and seeing that the margins are in line with what we make in the Company . As far as this space is concerned, we are aware of the competition. So , when we take new orders for these alloy wheels, we have full clarity from customers about the competition and their share of business , there is no doubt about that. There may be a number of players , I agree with you , but as far as we are concerned, we have a clear -cut sight of our share of business and volumes, subject to the customers doing those volumes . So, if they do more, we get a higher volume , and vice versa.

Mumuksh Mandlesha: So no major margin pressure it would be fair to say sir?

Anurag Jain: I have always said in the past that price, of course, is very important, but it is dictated by the competition. It is also important to execute your operational strategy to make money - whether it'

s your raw material purchases, whether it's your operational efficiencies in the plant, your manpower cost . So it's up to you , what is the kind of model which you run? And building on these strengths is what Endurance has done for the last 30 years . Price, of course, is very important, but it's just not the price . It is a strategy which we have followed both in Europe and India, which makes us a bit different from most others.

Mumuksh Mandlesha: On the PSI incentive, the annual number should be around Rs. 870 million and just wanted to check this Rs. 380 million for this quarter, did you include any earlier quarter number as the schemes started from second half? And just in that Rs. 870 million annual number, will be going ahead will be uniformly spread across the quarters or there would be bunch up in the few quarters ?

Raja Gopal Sastry: We did book a total of Rs. 38 crores in Q4, and because, we got the eligibility certificate under

2019 scheme, effective 1st of October, the number is slightly more than the average. The total eligibility certificate received by us was Rs. 606 crores, and we are expecting that in the year, it should be anywhere in the range of Rs. 65 to Rs. 70 crores, we should be able to book 75 also. Generally, this is a function of the quantum of state GST which we are paying. And given the current run rate of how we are paying the state GST, we do expect that in the first 2 quarters, and a little bit in the third quarter, we should be booking that in each year.

Moderator: Thank you. We have our next question from the line of Pramod Amthe from Incred Equities. Please go ahead.

Pramod Amthe: This is with regard to the Battery Pack. Just wanted to understand what is the value add proportion you are planning in terms of the sales value, and what are these items?

Second, what is it you are bringing onto the table in terms of designing battery pack as compared to established players in the system?

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Pranit Parekar: There are a lot of technologies that we are bringing on table from Endurance side. For the uniqueness of a temperature monitoring system, there are multiple patents which are going to be filed, some of them are getting applied also. CCS, which actually does the cell-to-cell contact system, is a unique technology, which allows the connections to happen properly with the register mapping algorithm and also allows a very high rate of thermal discharge from the cell to the enclosure.

These battery packs are very uniquely designed with specific technology that makes it a wire-free battery pack. We do not use wires to connect the cells, or even voltage sensing lines, or temperature sensing lines. Everything is wireless, done through a unique IP-led technology. The enclosure design is also unique, in a way that it allows the thermal propagation or the thermal transfer at more than 5 watts per meter-Kelvin. I know the industry has bigger players in battery industry, but the large unmet need of high quality robustly engineered battery systems is encouraging Endurance, to bring in-house fully developed IP led battery design. There is a huge demand for high quality robustly designed battery packs. Endurance is making batteries that will work for more than 10 years, without having a maintenance to it, and keeping the R&D on continuous path, for making it ready, for next generation battery packs.

Pramod Amthe: Thanks for that explanation and can you give some color in terms of what's a value add as a proportion of the sales value because there's a lot of bought out in terms of sales and all, right?

Anurag Jain: Value add we cannot tell you, but we can give you, the price range which can go from 25,000 to 45,000. Let Pranit answer, what is the normal range for 2-wheelers, 4-wheelers?

Pranit Parekar: For two-wheel

er battery packs, which start from, Rs. 15,000 a kilowatt, and it goes up to Rs.

45,000 - 50,000 for packs like 4, 5, 6 kilowatts worth. And for 3 kilowatts, the major Indian market is on 5 kilowatts to 15 kilowatts, which starts from Rs. 30,000 to Rs. 1 lakh per battery pack. And if you ask me about the value add, it's basically the quality and a strategically developed supply chain, with good partners for cell supplies, as well as keeping it on very high level negotiations on the cell values and proposition for OEMs, so that the volumes which are increasing in India, will be supported by Endurance.

Pramod Amthe: Sure. And the cells, you will procure them, or the OEM will approve it and you will be just procuring from those sources? How does it work?

Pranit Parekar: We will be designing the pack. There are 2 ways to do the battery pack: one is basically built-to-print and the second is basically built-to-spec. The orders which we are right now getting are built to spec, so that the design and the cell selection, as well as our proprietary BMS is basically selected by Endurance.

We have strategic tie-ups with cell manufacturers from China, South Korea, Japan as well. We are also talking to the companies which will be making cells in India. We are very aggressive in

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having a supply chain managed in such a way that we should give a very big advantage in terms of costing to our OEM partners.

Pramod Amthe: With regard to KTM supplies, considering that KTM itself is going through a restructuring, you have any direct exposure there and how do you look, do you have to make a provision there presently or not expect?

Anurag Jain: In fact, we have already made a provision of Rs. 5.3 crores in Q4 FY 25. Going forward, we are not worried because as far as the assets are concerned, if something goes wrong, they are very flexible, they can be used for other OEMs, we are not worried. Inventories also, it is not such a figure that we are alarmed about. But having received this first set of firm orders, we are quite confident that some good things will happen. So I think, we will be knowing this after 23rd of



May, when the last court hearing is held.

Pramod Amthe: With regard to the EV Castings . As you disclose the name of Valeo , which seems to be in the e-axles or transmissions of the EVs . So you're making more inroads into E V axles? Is that fair understanding on castings?

Anurag Jain: It's not only axles, but also other Casting products. Because for the other 2 customers, it is other Castings . It is not for e -axles , there's a huge range and this is really a very exciting opportunity. It's a new world we are entering , we are very strong on casting as you know - engineering , our own tool room, we are very strong there.

Rajendra Abhange : It is not just the drivetrain products , it's also the other parts of the vehicle. Because in EV, aluminum content is very high.

Pramod Amthe: Your key customer profile for FY 25, the big jump seems to be the VW Group per se, moving to emerge as the second largest for you. What has gone right for you to win there , and what's the headroom you expect there? Because it's a big entity to approach and there's a lot of headroom for you to grow there. So how are you looking at it as an opportunity?

Massimo Venuti: Okay, now when we speak about Volkswagen Group, it is 25% of our total Europe turnover - we have 5% of Audi, 9% of Porsche, and the balance is other Volkswagen Group brands . Because as you know, we produce internal combustion engines , transmission components, and electric components for all the brands of Volkswagen , including Skoda . So, we are not worried about the situation for the future also, because we are speaking about our brand being very strong in the European market. For sure , at the moment, some bra

nds are suffering from the China situation as Porsche & Audi , and from the duty in United States. But despite the reduction of registration compared to the previous year, we grew 60% with the Volkswagen Group due to the start of production of the business in the electric field that we acquired in the last 3 years. And we started in the previous financial year with this new business - the total amount is €17 million. Our expectation is to keep growing and we will grow in the next Financial Year as well .

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Moderator: Thank you. We have our next question from the line of Arvind Sharma from Citigroup. Please go ahead.

Arvind Sharma: On the India business , what are your CAPEX plans for FY 26? And also given that there is so much CAPEX Endurance is doing on 4-wheelers and non -autos, what would be the broad direction impact on returns and margins?

Raja Gopal Sastry: If you see our presentation, we have invested close to Rs. 611 crores in F Y 25. And quite a few of them are growth and strategic projects which are still in their gestation period. So, there will be investments in FY 26 also to complete those projects, which are our AURIC Shendra, AURIC Bidkin and also certain investments for the Battery Pack which we have announced . I will not be able to give you the exact number, but it is going to be a significant number of CAPEX even in FY 26.

As the Managing Director mentioned, quite a few of these projects are starting their start of production in the second half , and also the third, fourth quarter of this year . That would mean better revenue as we go forward , and given that quite a few order wins of about Rs. 3,500 crores of the past have seen the SOPs in F Y 25, and also another 30% are seeing the start of production in FY 26. All these augurs well for our revenues , and also the bottom line in the coming year.

All the investments we are making in the past will see some effect in FY 26, but definitely much bigger effects in FY 27, and going forward.

Anurag Jain: Also, the product mix is improving.

Arvind Sharma: For Europe , if you could just share the revenue and EBITDA, as well as a broad outlook for the European markets, including the Stöferle acquisition .

Massimo Venuti: We closed the previous quarter with € 80 million turnover , compared to €68.3 in the previous financial year with an increase of € 11.7 million, means 17.1% of increase in terms of turnover.

We closed the EBITDA with €14.7 million, which means 18.4% compared to € 12.2 million of the previous financial year with an increase of 21.1%. In terms of net results, we closed with 4.8 million, 5.9%, with an increase of 19.5% , compared to the previous year.

Speaking about the total financial year, the Company closed for the first time with € 304 million, with an increase of 15.5% , compared to the previous year. The EBITDA was €51.1 million , which means 16.8% in total financial year, more than 20% compared to the previous year. And the net result was € 16.3 million, which means 5.4%, with an increase of 16. 9% compared to the previous financial year.

This quarter was , from my point of view , the best in the history of Endurance Overseas in terms of technology , and also in terms of profitability , because if I do adjustment of the energy costs and also the increase of the material cost, the EBITDA should have been more or less 19% or 20%. So it's a very good performance and the expectation for the future months is to try to

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maintain this performance. We are optimistic that we can maintain the profitability we have had in the previous financial year, and for sure improve the situation.

Moderator: Thank you. We have our next question from the line of Aniruddha Mane from Standard Chartered Bank.

Aniruddha: Thank you so much

for the opportunity. And congratulations on a good set of numbers. I had just one question to understand. Basically, at a consolidated level, what sort of revenues would be driven from the US markets which might get affected because of possible tariff implications?

Anurag Jain: In India, we don't see anything. But for Europe, I can request Mr. Massimo Venuti to speak. As I mentioned in my opening remarks, there could be some of our products going into premium cars, which may be exported to the US.

Massimo Venuti: We do not have direct sales towards US, so the effects are all indirect, for vehicles sold in US by European carmakers. A rough estimation of the effects on sales could be about 20/30 €/mn particularly for Porsche applications.

Moderator: Thank you. We have our next question from line of Niril Parekh from Awirga Capital Advisors. Please go ahead.

Niril Parekh: I have two questions, both on the Europe geography. First one is with respect to the acquisition we did of Stöferle. It has 60% of its revenue where it is the sole supplier. For the last 3 years, based on my rough calculations, we were growing Europe geography sales at around 8% -10%. With this acquisition, and cross-sell opportunity for the next 3-5 years of the combined business, do you foresee a better high to mid-teen level of growth?

Massimo Venuti: With the consolidation of Stöferle, our growth will have an immediate boost for its contribution to the consolidated revenues after we will track the market to try to perform better but it is still unpredictable. With large orders recently booked, we are expecting to grow faster than the market, even without Stöferle.

Niril Parekh: Are we in active talks with any of the Chinese OEMs and have you received any SOP?

Raj Mundra: So Niril, right now we do not have orders from Chinese OEMs, but yes there are some Chinese OEMs with whom we are in discussion.

Moderator: Thank you. On behalf of Axis Capital, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

## Call: Aug 2025

ENDURANCE TECHNOLOGIES LIMITED  
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CIN No. L34102MH1999PLC123296

22nd August , 2025

BSE Limited,  
Phiroze Jeejeebhoy Towers,  
Dalal Street,  
Mumbai - 400 001

BSE Code: 540153  
National Stock Exchange of India Ltd.,  
Exchange Plaza,  
Bandra -Kurla Complex, Bandra (E),  
Mumbai - 400051

NSE Code: ENDURANCE

Sub.: Transcript of Conference Call held in respect of the Company's Q 1 FY26 financial results.

Ref.:

1. Regulation 30 and Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations").
2. Intimation of telephonic / virtual meeting with Analysts / Institutional Investors dated 6th August, 2025

Dear Sir / Madam,

In continuation of the referred intimation and Listing Regulations, please find enclosed the transcript of the conference call held on 14th August , 2025 in respect of the Company's Q1 FY26 financial results.

The transcript has been hosted on the Company's website at:  
<https://www.endurancegroup.com/wp-content/uploads/2025/08/2025-08-22-Transcript-of-Earnings-Conference-Call-on-14-08-2025.pdf>

We request you to take the above information on record.  
Thanking you,

Yours faithfully,  
For Endurance Technologies Limited

Sunil Lalai  
Company Secretary, Compliance Officer and Head - Legal  
Membership No.: A8078

Encl.as above

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Endurance Technologies Limited  
Q1 FY 26 Earnings Conference Call

August 14, 2025

MANAGEMENT : MR. ANURANG JAIN – MANAGING DIRECTOR ,  
ENDURANCE TECHNOLOGIES LIMITED  
MR. RAJENDRA ABHANGE – DIRECTOR & CHIEF  
OPERATING OFFICER , ENDURANCE TECHNOLOGIES  
LIMITED  
MR. MASSIMO VENUTI – DIRECTOR & CHIEF  
EXECUTIVE OFFICER , ENDURANCE OVERSEAS ,  
ENDURANCE TECHNOLOGIES LIMITED  
MR. R. S. RAJA GOPAL SASTRY – GROUP CHIEF  
FINANCIAL OFFICER , ENDURANCE TECHNOLOGIES  
LIMITED  
MR. RAJ MUNDRA – TREASURER AND HEAD-  
INVESTOR RELATIONS , ENDURANCE TECHNOLOGIES  
LIMITED  
MODERATOR : MR. NISHIT JALAN – AXIS CAPITAL LIMITED

Endurance Technologies Limited  
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Moderator : Ladies and gentlemen , good day and welcome to Endurance Technologies Limited Q 1 FY 26 Earnings Conference Call , hosted by Axis Capital Limited .

As a reminder, all participant lines will be in listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '\*' then '0' on your touchtone phone. Please note that this call is being recorded.

With this, I now hand the conference over to Mr. Nishit Jalan. Thank you, and over to you, sir .

Nishit Jalan: Thank you so much. Good morning, everyone. Welcome to Q1 FY 26 Post-Results Conference Call of Endurance Technologies.

We are pleased to host the Management Team of Endurance today. We have with us Mr. Anurang Jain – Managing Director, Mr. Massimo Venuti – Director and CEO, Endurance Overseas, Mr. Rajendra Abhange – Director and COO, Mr. Raja Gopal Sastry – Group CFO, and Mr. Raj Mundra – Treasurer and Head - Investor Relations.

I will now hand over the call to Mr. Anurang Jain for his opening remarks, post which we can move to the Q&A. Over to you, Mr. Jain.

Anurang Jain : Thank you. Good morning to all.

As we conclude Q1 of FY 26 , India's economic landscape reflects a steady foundation amid evolving global dynamics. As per latest government estimates, the Indian economy achieved a GDP growth of 6.5% in FY 25. CII and S&P have maintained a similar guidance in FY 26 . Businesses worldwide are facing uncertainties with regard to trade barriers, rare earth magnet supplies, inflation, and end -user demand. Very recently, challenges faced included the pandemic, wars, chip shortages and energy price hikes. Individual businesses like ours cannot change the course of these events. We instead focus on building strength and diversity in our own business. At present, we serve multiple OEMs across India and Europe. Our products go into ICE and electric vehicles. In India, we are strong in 2W and 3W end-use and are focused on growing our presence in the 4 W segment, which is already our area of strength in Europe. We are also adding new products to our portfolio.

In the Automotive sector, as per SIAM , 2W sales reached 5.81 million units in Q1 FY 26 , down 1.6% year -on-year, with Motorcycles at 1.8% degrowth and scooters at 0.8% degrowth. Passenger Vehicle sales increased by 0.8% to 1.22 million units, while 3 W sales rose 10.4% to 0.26 million units. Endurance in its standalone financials for Q1 FY 26 saw a year -on-year growth of 10.1%.

In our European Union, new car sales saw a year -on-year drop of 1.8% in Q1 FY 26 , while our Endurance Europe total income growth was significantly higher at 28.5%. If we also remove the Endurance Technologies Limited

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impact of the Stöferle acquisition, our top line in Europe grew by 0.6%. In Quarter 1 FY 26 industry volumes, there was a 15.9% share of battery electric vehicles, 9.2% for plug-in hybrids, and 34.2% for hybrids in Europe.

On the strategic growth front, we are pleased to share key updates :

1. As most of you are aware, the Ministry of Road Transport and Highways has proposed new safety requirements mandating 100% use of ABS for greater than 50 cc ICE 2W, and all 2 W EVs greater than 4kW motor -power. This, as of now, is made effective from January 2026.

As you are aware, Endurance had embarked upon the ABS journey and had rolled out its first ABS in September 2021 . We are the only Indian auto-ancillary Company in this domain dominated by MNC players . We have installed a capacity of 640,000 units, both for single and dual -channel ABS. Our single -channel ABS has been on the road since 2021 and our dual -channel ABS final samples have been sent to Royal Enfield and Bajaj , and we expect SO

P to start next month.

The new safety requirements are expected to increase the ABS requirement in India 5-fold. Higher ABS use would also lead to higher disc brake penetration. Endurance is in touch with its OEM customers to meet the OEM's deadlines for higher quantum of ABS requirements. This would involve expanding our ABS set -up in Waluj, for which the process has already started and will complete by March 2026.

2. We are planning to set-up a new plant for disc brake assembly including for master cylinder, caliper, brake disc and brake hoses in Chennai, where we already have a land bank. This plant will cater to the South Indian OEM clients , including T VS, Royal Enfield and Yamaha India amongst other OEMs.

3. I am pleased to highlight significant progress at our AURIC Shendra facility. We have successfully commenced shipments to a leading European OEM for pre -SOP builds, completing the journey from customer LOI to facility installation in a record time of 4 months. We have also supplied initial samples for the electric vehicle motor housing for Mahindra's 6E and 9E platform through Valeo, within a record 10-week lead time, achieving first -time right parts to support the localisation drive.

The AURIC Shendra plant is a green building die casting facility and actively supports our ESG goals with sustainable manufacturing practices. Die casting press machines ranging from 1,100T to 2,500T are planned to align with market trends towards higher tonnage and light weighting in electric vehicles and advanced automotive components. The SOP is now planned in Quarter 4 of this financial year.

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4. I am pleased to inform you that the SOP at our 2 W alloy wheel plant in AURIC Bidkin will start in week 4 of this month. The plant has an installed capacity of 3.6 million wheels per annum, and bulk of this capacity has been booked with orders from OEM clients.

5. At our battery -packed manufacturing facility near Pune, civil work and statutory consents are in place. Machinery has been ordered and will be installed at our plant in early next quarter.

We had mentioned that we have received an LOI from a leading 2 W OEM for a peak business value of ₹ 300 crores per annum. 3D validation and simulations have been completed in quick time. Protos will be submitted in this quarter, which is in line with our planned SOP in January 2026.

6. In Q1 of FY 26 , we accelerated the purchase of the balance 38.5% stake in Maxwell. We are now 100% owners of this business and have strong plans to make it the cornerstone of our electronics and energy business.

With good acceptance of reconfigured models of electric 2W for our key OEM client, Maxwell has witnessed a healthy uptick in sale of battery management systems. With our R&D and innovation, we have been able to provide optimized products for each of their offerings.

Apart from scooters, we also have orders for battery management system usage in motorcycles, 3W, tractors and have recently secured an order for airport cargo handling electric buggies where BMS supply will begin in November 2025. This strategic transition also paves the way for future high-voltage platforms for 4 W and e -buses. We have won cumulative orders to the extent of ■ 156 crores per annum at Maxwell , which will reach peak in Q uarter 1 of FY '2 7. Maxwell is also pursuing leads now of ■ 150 crores per annum.

7. With increased business , both in BMS and for future ABS electronic control unit boards, we would need to add capacity at our surface- mounted technology lines in Chhatrapati Sambhaji nagar. We have recently installed additional end -of-the-line testing lines and in due course, 2 new high-speed surface- mounted technology lines will also be set up to cater to this increased demand.

8. Our new generation suspension R&D center at Waluj f

or 2 , 3 and 4W applications is fully operational since July 2025, marking a significant milestone in our innovation journey. This state-of-the-art facility helps us to co -create advanced suspension solutions with OEMs, further solidifying our leadership in 2 W and 3W suspensions.

Also, the new R&D center's 4 W testing and validation capabilities, along with our expanded R&D team , and our 4 W suspension technical assistance agreement with a Endurance Technologies Limited  
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leading Korean entity will enable us to enter and grow in the 4W suspension market. We are actively pursuing new business prospects with multiple OEMs.

9. Endurance is by far the market leader for inverted front forks. Over the years, this business has grown with demands from various Bajaj and KTM models. In January, we have begun supplies to TVS for the inverted front fork requirement. We have orders from Hero MotoCorp and a leading Chinese OEM, for which SOPs will start in this financial year. The KTM export offtake has been lower than the earlier years. Now, with Bajaj in full control o ver the global KTM operations, we expect demand to increase in the next quarters.

10. Our aluminium forging products are used as components, namely axle clamps for inverted front forks. They are also offered to third- party 2W and 4W OEM clients. Our supplies to Jaguar Land Rover are expected to begin in January 2026. We now have orders also from Royal Enfield and Hero MotoCorp, and multiple RFQs are being addressed from Indian and international OEMs. This is a huge focus area of growth for us.

Increased deman d would require setting up of more aluminum forging presses. We have ordered our fifth press now, which we would install next year in our new aluminum forging plant at Waluj. Our existing aluminum forging setup will also be moved to this new plant , where t he civil work is on.

11. We have begun SOP in May 25 for the first Hero MotoCorp clutch, for which peak requirement will reach 100k clutch assemblies per month, which we hope to do in Q 4 of this financial year.

In September, we will begin SOP for the first assist -and-slip APTC clutches to Royal Enfield and Bajaj Auto. This introduces our Italian company , Adler's technology to the Indian market for the first time.

12. We are also setting up a new R&D facility for ABS and 2 and 4W brakes at our second brakes plant at Waluj. This will have advanced test rigs , focusing on higher -end 2W brakes, ABS testing including electronic tests, as well as 4 W brake tests.

We have also secured our first order for the 4W drum brakes from Tata Motors. This is the start of a journ ey where we would require and deploy technology for advanced 4 W braking systems.

13. Our aluminium casting plant at Vallam has won the Best Supplier Award for Excellence in Delivery from Ather Energy for the first -time right products and quick ramp-up. This is another testimony to our unwavering commitment to high levels of achievement in

14. I had mentioned to you about our first order in the 4 W passenger vehicle driveshaft. We have begun on-vehicle testing at our captive proving ground in Chhatrapati Sambhaji nagar. Our testing facilities cater not only to our current needs, but also act as a pathway to reach our aspirations in new product segments.

15. As informed in the previous call, we completed the acquisition of the 60% stake in the Stöferle entities in Germany in the beginning of Q1. Stöferle has an annual turnover of approximately EUR 80 million. From April 2025, Stöferle financials are consolidated in the Endurance Group Financials.

16. We had announced that under the Maharashtra PSI 2019 scheme, we received an eligibility certificate of ₹ 606 crores for CAPEX incurred till September 2025. Under this 2019 scheme,

we would apply now for additional eligibility for CAPEX up to FY

2026. Based on ₹ 606 crores, we have recorded a PSI incentive of ₹ 32.91 crores in Quarter 1 of this financial year.

You will recall that we have booked almost all amounts under the ₹ 446 crores under the PSI Scheme of 2013 and have collected cash to the tune of ₹ 329 crores.

Let me now give you a gist of orders won during Q1 of FY 26. Please note that the business value from new orders are without including orders from Bajaj Auto.

Overall order booking in Q1FY26 in India business was ₹ 252 crores of which ₹ 247 crores is new business. This is excluding the ₹ 300 crores per annum business, which we have won for battery packs.

Key OEM customers in the list of Q1 FY26 orders are 2W OEMs such as Royal Enfield, TVS and Mahindra. And our first 4 W foundation business won from Tata Motors, which opens the door to a new vertical.

We have a total of ₹ 3,225 crores worth of RFQs in hand. Cumulative India business orders for EV segment till date stand at ₹ 864 crores. And with Bajaj Auto, this figure is now at ₹ 1,017 crores per annum.

Total orders won since FY 22 is ₹ 4,329 crores, of which ₹ 3,612 crores is new business. Out of the ₹ 3,612 crores new business, close to ₹ 1,400 crores saw SOP in FY '25. A further ₹ 1,150 crores is expected in this year FY 26. The rest of the business will be realised in FY 27 and FY 28.

In our Europe business, we have booked orders worth EUR 2 million during Q1. These are electric vehicle component orders for our specialties plastics unit in Turin.

In continuation of the strategic aftermarket growth plan started with a global consultancy firm, on-ground activations have begun across the top 100 high potential districts in India. We have also begun test marketing new product ranges with a focused go-to-market approach. For aftermarket exports, detailed market studies were conducted to have a robust product and channel strategy for high potential countries. In addition, we have introduced front fork pipes in Indonesia and Brazil, catering to both Indian and non-Indian 2W platforms to further expand our range in these key markets.

Coming to our financial performance, the information has been uploaded at the stock exchanges last evening, along with our presentation explaining the numbers. I will, however, highlight some key numbers.

During Q1 FY 26, the company recorded a standalone total income of ₹ 2,351 crores, a year-on-year growth of 10.1%. This growth comes majorly from content addition, as the industry volumes were tepid in this quarter. The major content addition comes in new business, especially in brakes and suspension segments with OEMs such as TVS, Royal Enfield, HMT, Suzuki and Hero MotoCorp.

A significant portion of the growth in the total income is also from price corrections to compensate increase in commodity prices. Unfortunately, the commodity inflation-based total income increase had a negative impact on our percentage margins, which is evident in the 0.5% drop in EBITDA margins.

Further, this is the period where we are investing in our future, and along with the lands, factories, and assets, we are also hiring the talent required to further our multi-prolonged

business growth plans. The people cost increase reflects our talent acquisition which is a strong positive for us to consolidate our growth plans in the future.

Further, Q1 FY26 had its own seasonal and mixed factors. Therefore, the standalone profit after tax is ₹ 166 crores or 7.1% against ₹ 163 crores or 7.6% in Q1 FY25, which is a ₹ 3 crore increase in profit after tax.

Europe top line increase in Euros is 28.5% with the car market in Europe being 20% below the pre-Covid size. We have achieved higher sales through the acquisition of Stöferle. Even without Stöferle, our

European product sales had a year-on-year growth, in spite of decline in new car sales.

The European profit after tax is at ₹ 62 crores, which grew 42% over Q1FY21 profit after tax of ₹ 44 crores, with margins slightly improving.

In Q1 FY26, our consolidated total income grew 17.3% over Q1 of last year from ₹ 2,859 crores to ₹ 3,355 crores. The EBITDA grew 17.5% from ₹ 408 crores to ₹ 480 crores and the margin

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was maintained, same at last year's levels of 14.3%. The profit after tax grew 11% to ₹ 226 crores at 6.7%.

I would like to also mention specifically that our consolidated earnings per share have more than doubled from our IPO year FY 17 to FY 25, i.e., from ₹ 23.48 per share to ₹ 59.46 per share.

A high performing inclusive culture remains core to our success. We have deepened our focus on inclusion, capability building, and employee experience through sensitization programs, upgraded HR policies and infrastructure enhancements.

Flagship skill and capability programs like Saksham for the white-collared people and Unnati for the blue-collared employees are helping nurture talent across levels, while also grooming high potential employees for future leadership roles.

On the sustainability front, we made significant progress this year towards our ambitious goals for FY 30. We achieved a 45% carbon neutral percentage. We lowered specific electrical and thermal energy as well as specific water consumption, while water recycling and hazardous waste recycling stands at 96% each.

We also enhanced our renewable power share from 23% in FY 24 to 25% in FY 25. We have now increased this share to 31% in Q1FY26 through expanded rooftop solar and wind power agreements. We contributed 300,000 KL of water through water augmentation projects.

CSR is a strategic priority for endurance, rooted in our belief that real impact comes from reducing inequity, which means one community, one child, one individual at a time. And this will help in every community we transform, every child we inspire, and every individual we empower. I am happy to inform you that our CSR arm Sevak Trust has transformed 55 schools with solar energy and hygiene-focused facilities enhancing attendance and outcomes, while training over 900 adolescent girls in health and skills.

With sustainable agriculture training, our farmer empowerment program has benefited over 4,000 people, and ECoVE, our vocational training centre in Chhatrapati Sambhajnagar has imparted training to over 2,000 youth, securing over 85% employment. Our health initiatives have reached 42 villages, serving 17,000 people, and we have built 2,300 toilets to improve sanitation. Our Vet van program too has been successful, providing treatment to 40,000 animals in 47 villages.

I am happy to tell you that in Q1, 3 of our plants have received the National Award for Manufacturing Competitiveness from International Research Institute for Manufacturing.

With these opening remarks, I would now like to invite questions from all of you. Thank you.

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Moderator: Thank you very much. We will now begin the question-and-answer session. Ladies and gentlemen, we will wait for a moment, while the question queue assembles. The first question comes from the line of Aditya Jhawar from Investec. Please go ahead.

Aditya Jhawar: Thanks for the opportunity, and congrats on a good set of numbers. My first question is on the PV Brakes business- It's a very encouraging start. If you can just let us know what could be the SOP, and broadly the order size. Based on this breakthrough, do you think that we could get access to other OEMs or do we still need a tech tie-up on this? That's the first question.

Anurag Jain: Yes. Of course, it's very heartening to note, because you need a first br

eak to start the business.

Right now, the drum brake assembly business, I think the value is small, maybe about ₹ 25 crores per annum. SOP will start end of Q4. As far as the collaboration is concerned, ultimately



our aim is to go into advanced systems of braking like the ESP, for example, which is required for 4W. We have a collaboration with Beijing West industries for 2W ABS. And we are totally involved with them to try and introduce this. Of course, this will take some time, because there is a long lead time for the 4W advanced braking systems, but we are totally focused on trying and increasing these orders in the 4W space.

Aditya Jhawar: Yes. Thank you for that. The second question is on our ABS opportunity. So, clearly, this regulation change has come in our favor. If you can help us understand what could be the opportunity size in ABS plus the disc brake, and how is your discussion progressing with OEMs on this? Do you think that there could be some postponement of the timeline? Do you think that India would have enough capacity to support the ABS requirement for the 2W industry?

Anurag Jain: We are today engaged with most OEMs, because there are not many players. You have Bosch, Continental, Nissin, and Endurance. We are the only Indian Company doing ABS. And as I mentioned, at least 16 million, 2W, if not more, will need ABS. Of course, as per the draft from the Ministry of Road Transport and Highways, they are talking about January. But if I look at our past experience, normally the delay could be 3-6 months. But of course, we don't know what will happen. We expect that we will get some clarification by next month. So, let's hope that happens. But definitely, I think this is here to stay. It could be 3-6 months of delay is what we feel, based on past experience. But we will have to wait and watch.

As far as Endurance is concerned, of course, our capacity is 640,000. We are expecting a tenfold growth for sure. So, the commitments which we have already got from certain customers, we are immediately going ahead with 2 lines which will add another 2.4 million. These lines should be ready by March 2026. And as we engage, and as we get commitments, we will keep adding more lines. But for us, this opportunity is definitely 10 times. And I also expect the 2W industry to grow. Because as per figures for FY 30, even if we take a small growth, I think we should reach 29-30 million vehicles.

So, today we are talking about a figure of 16 million on a 22 million units which we expect, both in India as well as in exports. But this industry will also grow. And so, at present, we feel it's a tenfold opportunity for us to go to at least 6.4 million, and then looking at technology and pricing, Endurance Technologies Limited

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we will do our best to try and increase this in future. So, this is, of course, for Endurance, a real game-changer.

Aditya Jhawar: My final question is on CAPEX. If you can help us understand, how should we think about CAPEX for FY 26? In the presentation, you have included for the quarterly CAPEX. But for a full-year basis, how should we think about that number? And directionally, if you can give us a sense that what could be the CAPEX in 2027 and 2028 as compared to the last couple of years?

Anurag Jain: The CAPEX has been growing every year if you see a past track record. And we've been growing despite turbulent times, which I mentioned in my opening remarks. We have been growing, both in India as well as in Europe.

Our Europe growth has also come through acquisitions. And also, these acquisitions make a lot of money for the Company. If you see Q1 in India, we have spent ₹ 286 crores on Capex. And as you know, there are 3 big projects which I have already mentioned. The big ones are the AURIC Shendra, starting in Q4. And then you have the AURIC Bidkin, which

is starting in

week 4 of this month. And also, we have the battery-pack plant, which is starting in January 26.

And of course, we have our existing business expansion, which is going on.

Looking at the capacities which we need to sweat, the CAPEX might be crossing ₹ 800 crores in this year. For FY 27, this figure is very difficult to say. We believe in sweating our assets, that's why you see operational efficiency is quite good, since the beginning. So, we only spend when there is a requirement to spend. But as we look at inorganic growth opportunities also, both in India and Europe, and which is actively going on as we speak, I don't see this figure going down in FY 27. And of course, we at Endurance will take all opportunities. We have now Aluminium Castings, the AURIC Shendra, which is a very good margin export plant, mainly with EVs to start with. It's a huge opportunity.

Alloy Wheels is a large sales growth plan. Aluminium Forgings, is a new product segment which is coming up- we started as a backward integration. Battery pack in the new energy space is a good opportunity for the future.

And of course, we don't supply all our products to all the OEMs. I just mentioned that we have really increased business for Brakes and Suspension in Suzuki. There were no scooter Front Forks last year. Now we are doing 60,000 a month from April to June. As far as Hero MotoCorp is concerned, it was 5,000 brakes a month. Today we have gone to 30,000 to 35,000 brakes a month. TVS, we were doing 75,000 brakes a month, now it's 100,000 brakes a month. Royal Enfield Brake Disc per month have increased from 50,000 to 100,000. So, there is a lot happening and as we increase new customers to all our product segments, that will be the biggest

growth driver, not just the industry volumes. So, we are very excited because of our strengths in process and product technology, the trust we have created with the OEM clients of 2 and 3W, and now starting on a new 4W journey.

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At the end of last month, we started production of solar suspension or solar tracking system. We won ■ 200 crores order from a Spanish client, which will reach peak next year. And now, we are talking to somebody else. I mean there is a huge business opportunity for profitable growth in non-auto also. We are looking at non -auto inorganic growth also. And of course, when you talk about CAPEX, there would be high CAPEX now for the ABS. I have said more than ■ 800 crores this year, but it could go higher. We'll see what really happens because ABS is also there. With ABS, there are new brake systems which are coming. Because ABS requires a disc brake system and not a drum brake, and if it is above 50cc, all the drum brakes will convert to disc brake with ABS. Now, that requires a disc brake assembly system. So, based on whatever orders and business nominations we are getting, since ABS announcement, even the brake system orders are increasing. And that's why I mentioned that, in Chennai, we are planning to put up a brakes plant because we can't handle it in the existing two plants at Waluj. So, I would say there is a lot happening on the growth front at Endurance and we are really excited about that.

Aditya Jhawar: Just one clarification, if you have to summarize what you have just said that in terms of numbers, last year overall we spent about a little over ■ 1,000 crore including Europe business in terms of CAPEX. This year we are talking about India CAPEX of north of 800 crores and Europe CAPEX, should we assume about a 550 crore number or is there an update on that? And what could be the total CAPEX in terms of absolute number?

Anurag Jain: See, there is a lot of money which has gone into Stöferle acquisition and which will go in the next five years like we said. We're exploring new acquisitions there. I would require

Massimo

to answer this CAPEX question?

Massimo Venuti: In the first quarter of this financial year, we spent €9 million in terms of CAPEX for the new project with Stellantis and Mercedes, and also Volkswagen. For sure, in this financial year, the CAPEX will be lower compared to the previous year where we spent €51 million, due to the fact that in this moment the market is awaiting an official position from the European government for the incentives. This is positive for us at Endurance, because we can use this situation for expansion in inorganic growth that we are evaluating after the acquisition of Stöferle. The European market is consolidating, and the business that we are in is part of this consolidation. But, for sure, the impact of the CAPEX for this financial year will be 50% compared to the previous year, and at a maximum of €20-25 million.

Moderator: Thank you. The next question comes from the line of Pramod from InCred Capital. Please go ahead.

Pramod: First, I wanted a clarification on this Europe sales. So, if you have to look at Stöferle, can you give a similar breakup in terms of EBITDA, where it stands now because you have given a breakup of sales addition, how much they brought this time?

Massimo Venuti: Absolutely yes. We closed this quarter with €103.2 million of turnover compared to €80.3 million of the previous financial year. So, we grew 28.5% of which Stöferle is €22 million. As

Mr. Anurag Jain told you before, without the acquisition of Stöferle, the European Company

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grew more or less at 1%. We closed EBITDA at €18 million, which means 17.4% EBITDA margin compared to €13.3 million in the previous financial year with 16.5% margin. And so, we grew €4.7 million, which is 35.1% YoY growth. In terms of net results, we closed with €6.4 million, which means 6.2% margin compared to €4.9 million of the previous financial year with 6.1% margin. We increased in terms of net result of €1.5 million, which is 31.3% YoY growth.

Pramod: The second question is with regard to the ABS. Wanted to know, based on your experience in R&D over the last four years, what's the ideal timeline you would require to do R&D for this 100cc and come up with a product? And what cost efficiencies or product improvements can be brought in? Because these guys will look for a more economical solution. Would you feel you can be in a better position to give much better solution than the MNC players and how?

Anurag Jain: See, I think cost is a very big strength for us, because we have our own R&D. And as I have always said, it's not just the performance and durability we do on R&D, we do a lot of value engineering. And I have been saying in the past about backward integration - ABS, stainless steel braided hoses and valves which used to be imported are being done in-house today. The electronic control units should start from next quarter in-house. So, these are ways in which we lower the cost. Plus, when the volumes go up, your fixed costs are spread. That also brings down

the cost. And I can only say that we are very strong as far as the cost controls are concerned. So, that's why, we feel very confident, based on the OEM confirmations we have got. We've already started the work, we are not waiting for the final norms to come from the Ministry of Highways and Road Transport. So, we are going ahead because we want to be ready with the capacity, which I said should be by March 2026. There are some long-lead machineries involved and we'll be very fast on the CAPEX. But that's the time it takes to set it up, and I don't think that capacity is there in India right now.

Pramod: And you also supply CBS. So, incrementally it will be a CBS vanishing and ABS coming for you, if I understand right?

Anurang Jain: It is not only ABS growth

, and it took us a day to realize that there is also disc brake systems growth because ABS needs disc brakes, and not a drum brake. So, for example, if scooters had drum brakes, now they will have an ABS with a disc brake.

Pramod: But you will lose out on the CBS, right? So, if I am able to understand it, and then gain on the ABS front?

Anurang Jain: When you have an ABS, it requires a disc brake assembly and caliper in disc. It doesn't need a drum brake. So, that becomes an added volume. And the reason for the planned Chennai plant is that those volumes are also going up. So, based on that, we have immediately started and are planning to start the work there.

Pramod: Sure. And considering your experience with the higher CC, would you still be looking at giving a full system or you would also be open for just supplying disc brakes and capture a value with the customer? How are you trying to approach this?

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Anurang Jain: We are a complete solutions provider. We give the whole system, but what happens is that some customers have a step-by-step approach. So, like I said, we first start with the brake disc, and then get into the brake system. That is what happens sometimes. That's been a journey of last 20 years. First, in some, it was directly the system, while in others it started with a brake disc, and then the system.

Pramod: Okay. And if I had to look at the current market size and the market share, how it has traveled for you, would you give some colour? What's the size of the market in terms of value?

Anurang Jain: Leaving the value apart, I just mentioned that we are gauging the market to be 16 million out of 22 million. Now, maybe that's a conservative figure. I have seen some analysts' reports talking about ₹ 2500- 2750 per ABS as the price. Now you can gauge what the value would be.

Pramod: Okay. Sure. And where is your market share currently, sir? And where do you expect to be post this new norm?

Anurang Jain: Right now, we were on track for 400,000, in a market of maybe around 3,500,000. Now with expansion to cater to dual channel ABS needs, our capacity is now 640,000. We have immediate plans to add 2.4 million. The OEMs would like us to act with urgency keeping in mind the upcoming norms. That is why we are placing the orders for machinery and working with our supply chain. For further expansion, we are in talks. We are again going next week to meet a major customer. So, all actions related to greater participation in this market, are in process, but we are all waiting for the final norms. Finally, the new norms will be applicable in January or April, or July; that is an unknown. But some OEMs don't want to wait. So, they have already started giving commitments. That is the basis on which we are going ahead.

Pramod: Okay. So, is it fair to say you have a single digit market share now, and which can be substantially moving up? Is that the fair understanding to have?

Anurang Jain: Right now, it is less than 15%, but we should now, with this higher volume. Our target is at least 25%, or higher number.

Pramod: Okay, sure, sir. So, you are ambitious to ramp up. The last one is with regard to R&D capability, even though you have been seeding this with the R&D capability in the ABS front, how is it prepared to handle this rush of customers and how are you better placed on R&D and test track versus the others?

Anurang Jain: See, I don't like to comment about others. I would like to talk about ourselves. We are fully ready. I can only say that.

Pramod: Okay, sure. And how does it compare versus when you started in ABS? Is that substantial improvement in capability on R&D side?

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Anurang Jain: Yes, absolutely, a lot of learnings. Because you learn a lot from custom

ers, your experience,

cutting costs, improving efficiencies. Then the main thing is on the software part, the collaboration of software. We used to depend a lot on our collaborator, Beijing West Industries or BWI. Now with the test riders, and our internal team, we are able to do a lot ourselves. And that, I would say is one of the biggest learning. The speed, and the cost also comes down.

Pramod: Okay. And I hope that should also substantially reduce your development time?

Anurang Jain: Yes, absolutely.

Moderator: Thank you. The next question comes from the line of Arvind Sharma from Citigroup. Please go ahead.

Arvind Sharma: Hi, good morning, sir. Thank you for taking my question. First question would be on the ABS part. So, just to confirm, your current capacity is 6, 40,000. And on top of it, you plan to add another 2.4 million. Is that right understanding?

Anurang Jain: Yes, absolutely.

Arvind Sharma: Great. And any timeline for the 2.4 million, sir?

Anurang Jain: Yes, I said March 26 we'll be ready.

Arvind Sharma: This Chennai facility that you talked about, that is also for ABS, I believe?

Anurang Jain: No, like I clarified in my opening remarks, that is being planned for disc brake assembly system, which is master cylinder, caliper, disc, brake disc, and brake hose.

Arvind Sharma: Got it, sir. And there is one small clarification in the presentation when you give the 15.5% number of for disc brake in the pie chart, that includes your ABS, I believe?

Anurang Jain: Yes. That is total braking. Includes ABS.

Arvind Sharma: Second question would be on Europe. Sorry, I did not get the exact Stöferle contribution this quarter, if you could repeat that, sir, in revenue and EBITDA?

Massimo Venuti: So, we closed with €103.2 million of turnover compared to € 80.3 of the previous financial year, and so it means €22.9 million increase in terms of turnover, of which €22 million is Stöferle.

And speaking about EBITDA, €18 million was the actual for Q1, compared to €13.3 million in the previous financial year. And so, it means €4.7 million difference, of which € 4.5 million is Stöferle. And so, without Stöferle, the profitability of the Company grew 0.6% in terms of the turnover and 0.2% in terms of percentage in EBITDA, as compared to the previous Financial Year.

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Arvind Sharma: Got it. Thank you so much. And just one last question, if I may ask. In the European ramp-up schedule that you gave in the presentation, there has been a very slight slowdown, especially in FY 26. Is that a reflection of the broader industry environment?

Massimo Venuti: Yes. In this moment, it is very difficult to predict the next 18 months, as you can imagine. I can tell you only one thing. In Q1 of this financial year, the European market reached 25% share in electrical vehicles, BEV at 15.9, and PHEV at 9.2%, and this is an important signal. We await the official position of the government's on the incentive. You have seen that Spain is the only market that is growing double digits compared to the previous year, only because there are incentives in the automotive sector. Everybody in Germany, France and Italy are waiting for this incentive, and this could be a booster for the future growth in the next 18 months.

Arvind Sharma: The current revenue and EBITDA for Stöferle is only for the 60% stake. The remaining 40% is yet to come?

Massimo Venuti: No, we are consolidating 100% of the result, also for the Indian GAAP. These are the rules, and so we are also considering as liabilities towards minorities, the potential € 27 million that we will pay in the next 5 years due to the multiplier of the EBITDA for the future 5 years. And so, in our figures, you will see 100% of the result.

Moderator: Thank you. The next question comes from the line of Shagun Beria from Anand

Rathi. Please go ahead.

Shagun Beria: Since the acquisition for Stöferle is 60%, there will be some minority interest. So, I want to check which line item is it reported in the consolidated financials. That is my first question?

Next is, what is the opportunity size for Disc Brakes and Pads with the new norms? And what are the plans to expand market share with the new customers in ABS? Also, the CAPEX in terms of Disc Brakes and Pads and the market penetration for Disc Brakes currently?

Massimo Venuti: For the first answer, I repeat that there are no minority interest in the acquisition of Stöferle. We are consolidating 100% of the results, and also 100% of the assets and are creating a liability towards future purchase of 40%.

Anurang Jain: At present, in 2W, Endurance has 43% market share in the Braking System. It is mainly Master Cylinder and Caliper. When you come to only Brake Disc, I think it is over 60%. Now, what is happening is ABS right now, our capacity is 640,000. As we are only doing single channel, it is 400,000 is what we are using. We will utilize our new 240,000 capacity we will realize mainly from the next quarter when we start the dual channel ABS. So, we will try and use up our 640,000 then.

I also mentioned that the total market should be at least 16 million on a conservative basis for the use of ABS, as the draft rules talk about all vehicles above 50 cc including scooters. Now, in the 16 million, as Endurance, we have started with another 2.4 million, which we want to

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reach by March 26. And of course, our target would be 25% SOB where we want to reach first. And we'll go step by step from there.

Moderator: Thank you. The next follow-up question comes from the line of Aditya Jhawar from Investec. Please go ahead.

Aditya Jhawar: Under one of the comments, you mentioned about the Chinese OEM. So, is it included in the 300 crores order that we talked about in the presentation?

Anurag Jain: No, that 300 crores per annum is for the Battery Pack, which is for an Indian 2W OEM.

What I talked about the leading Chinese OEM is for supply of Inverted Front Forks and Rear Monoshocks, which will start in this financial year. So, that was about our inverted front fork growth other than Bajaj, KTM, TVS and Hero MotoCorp. We are talking to almost everybody. And we have got this order from one of the top Chinese companies, a leader in bikes and that is for the inverted front forks and rear monoshocks. This will be exported to China. As of now, I don't have the Chinese order value, but it is quite a decent value. I can get back to you on this. But it will be more peak in FY 27, as we are starting only in next quarter end.

Aditya Jhawar: For AURIC Shendra also, you said 300 crore order for e-4W application?

Anurag Jain: Actually, it is a coincidence. That 300 crore in Shendra is for 2 global OEMs, in US and Europe.

Moderator: Thank you. The next question comes from the line of Mr. Nishit Jalan from Axis Capital. Please go ahead, sir.

Nishit Jalan: You are mentioning that the size of ABS would be 16 million units. Now, if ABS is getting mandatory on every product higher than 50 cc, then will it not be applicable in entire 22 million units? Is it something we are missing here?

Anurag Jain: I have just taken out mopeds and some exports. We have taken a conservative figure of 16 million.

Nishit Jalan: No, but the domestic market size itself will be like 20 million units plus, excluding the exports?

Anurag Jain: As per your figure it could be 19. We are conservatively saying 16, so there is 3 million difference, but we will see how that goes. Major exports are to South America, Africa, Southeast Asia, and they don't have these ABS rules.

Nishit Jalan: Correct. One last question on Europe - this Stöferle acquisition that

we have done, this company seems to be very profitable, right? €4.5 million EBITDA on €22 million topline. It was not a struggling company, right? So, why were they looking to sell? What is the total amount that we have paid to acquire 60% stake in this company?

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Massimo Venuti: We spent €37.7 million to buy 60% of shares. Speaking about your statement regarding the profitability of the Company, for sure, I guarantee that the profitability of the Company is very high. For us, it was a strategic acquisition, basically, for the consolidation of one customer, which is Mercedes. And you have to consider that this is a Company with only machining. You cannot compare the EBITDA of a company with only machining with a company that is also a foundry component. And so, the profitability of the company is 20% or 18.7%. It will continue to grow from a point of view in the future years due to the fact that now, we are doing an important synergy between Endurance Overseas and Stöferle. Stöferle bought 100% of the foundry parts in the past. Now, we can produce these parts for them, and certainly we can add value. This was the strategy of the acquisition of the Company.

Two years ago, we acquired an important business with BMW for €5 million turnover for a new transmission, 100% electric. At Stöferle, we did the machining of this component because they had the production capacity available, and we could move from Endurance GmbH to Stöferle for this project. This means that we can save more or less €3.5 million fixed assets in our balance sheet.

These are the economies of scale that we are trying to do, and that we did in the past in the acquisition when you are obliged to grow in terms of organic growth in a market that is not growing in terms of volume. And so, this is the only possibility to save and to survive and to increase and maintain our profitability.

Anurag Jain: Massimo, I just want to add that even there is a machine building capability, which we have acquired by acquiring Stöferle.

Massimo Venuti: Sure. As you know, Stöferle produces machines. And so, in terms of saving for the future CAPEX, it will be an important aspect for Endurance, because usually we are obliged to reinvest when we start a new business with our customers. With Stöferle, we can also learn about reusing of the existing production capacity to meet new needs of the market. You can imagine what it means to transform the existing production capacity of the internal combustion engine for future electric projects. We can save an important amount in our future assets.

Moderator: Thank you. Ladies and gentlemen, we take that as the last question. I now hand the conference over to the management for the closing comments.

Anurang Jain: Well, I would just like to close this by saying that we are really focused on profitable growth. There are a lot of opportunities now. Our focus will be on offering high technology products at affordable prices, so that we can increase the range and the volumes of our products. Features that were earlier meant for 250 -400 cc and we can bring them down to 125 cc. So, that will be our focus, to gain business by value engineering and giving more and more features to our customers, which we have done for the last 25 years. Thank you.

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Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of Axis Capital Limited, concludes this conference call. We thank you for joining us and you may now disconnect your lines. Thank you.

## Call: Nov 2025

ENDURANCE TECHNOLOGIES LIMITED  
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CIN No. L34102MH1999PLC123296

20th November , 2025

BSE Limited,  
Phiroze Jeejeebhoy Towers,  
Dalal Street,  
Mumbai - 400 001

BSE Code: 540153  
National Stock Exchange of India Ltd.,  
Exchange Plaza,  
Bandra -Kurla Complex, Bandra (E),  
Mumbai - 400051

NSE Code: ENDURANCE

Sub.: Transcript of Conference Call held in respect of the Company's Q 2 FY26 financial results.

Ref.:

1. Regulation 30 and Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations").
2. Intimation of telephonic / virtual meeting with Analysts / Institutional Investors dated 3rd November , 2025

Dear Sir / Madam,

In continuation of the referred intimation and Listing Regulations, please find enclosed the transcript of the conference call held on 13th November , 202 5 in respect of the Company's Q2 FY26 financial results.

The transcript has been hosted on the Company's website at:  
[www.endurancegroup.com/wp-content/uploads/2025/11/2025-11-20-Transcript-of-Earnings-Conference-Call-on-13-11-2025.pdf](http://www.endurancegroup.com/wp-content/uploads/2025/11/2025-11-20-Transcript-of-Earnings-Conference-Call-on-13-11-2025.pdf)

We request you to take the above information on record.  
Thanking you,

Yours faithfully,  
For Endurance Technologies Limited

Sunil Lalai  
Company Secretary, Compliance Officer and Head - Legal  
Membership No.: A8078

Encl.as above

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Endurance Technologies Limited Q 2 FY 2 6 Earnings  
Conference Cal l

November 13, 2025

MANAGEMENT : MR. ANURANG JAIN – MANAGING DIRECTOR ,  
ENDURANCE TECHNOLOGIES LIMITED  
MR. RAJENDRA ABHANGE – DIRECTOR & CHIEF  
OPERATING OFFICER , ENDURANCE TECHNOLOGIES  
LIMITED  
MR. MASSIMO VENUTI – DIRECTOR & CHIEF  
EXECUTIVE OFFICER , ENDURANCE OVERSEAS ,  
ENDURANCE TECHNOLOGIES LIMITED  
MR. R. S. RAJA GOPAL SASTRY – GROUP CHIEF  
FINANCIAL OFFICER , ENDURANCE TECHNOLOGIES  
LIMITED  
MR. RAJ MUNDRA – TREASURER AND HEAD INVESTOR  
RELATIONS , ENDURANCE TECHNOLOGIES LIMITED

MODERATOR : MR. NISHIT JALAN – AXIS CAPITAL LIMITED

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Moderator : Ladies and gentlemen , good morning and welcome to the Endurance Technologies Q2 FY 26 Earnings Conference Call , hosted by Axis Capital Limited .

As a reminder, all participant lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '\*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nishit Jalan from Axis Capital Limited . Thank you, and over to you, sir .

Nishit Jalan: Thank you so much. Good morning, everyone. Welcome to Q 2 FY 26 Post-Results Conference Call of Endurance Technologies.

We are pleased to host the Management Team of Endurance . Today, we have with us , Mr. Anurang Jain – Managing Director, Mr. Massimo Venuti – Director and CEO, Endurance Overseas, Mr. Rajendra Abhange – Director and COO, Mr. Raja Gopal Sastry – Group CFO, and Mr. Raj Mundra – Treasurer and Head Investor Relations.

I will now hand over the call to Anurang for his opening remarks, post which we can start with the Q&A.

Over to you, Mr. Jain.

Anurang Jain : Thank you very much . Good morning everyone. As we close Q2 of FY 26, India's economic backdrop remains strong, even as global uncertainties persist. The domestic economy continues to show strength as we move into the second half of the year.

The RBI has revised its FY 26 growth forecast from 6.5% to 6.8%. It has lowered its CPI inflation forecast for FY 26 to 2.6% , down from 3.1%. These, along with the steady repo rate, reflect a supportive macro backdrop for demand and investment.

World Bank too has raised India's GDP growth forecast for FY 26 but have cut their FY 27 forecast to 6.3%, citing headwinds from the recent 50% U .S. tariffs impacting Indian exports and slower global demand. We are hopeful for a better and amicable settlement on the trade tariff issue.

A major domestic policy move of the last quarter is the GST rationalization implemented from 22 September 2025, which simplified the rate structure into fewer slabs and lower rates for many consumer goods, farm and manufacturing inputs, and for most automobiles and auto parts. This is expected to support growth of the automotive industry by improving affordability and consumption across segments , and the robust festive season sales were also attributed to such lower cost of ownership.

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In the automotive sector, as per SIAM , 2W sales reached 6.9 million units in Q 2 FY 26, up 10.3% year -on-year with motorcycles at 9.6% growth and scooters at 12.4% growth. Passenger



vehicle sales increased by 2.4% to 1.3 million units, while 3W sales rose 21.4% to 0.4 million units. Endurance in its standalone financials for Q2 FY 26 saw a year-on-year growth of 16.2%. In our European Union, new car sales saw a year-on-year rise of 7.7% in Q2 FY 26, while our Endurance Europe total income growth was significantly higher at 32.5% with Stöferle consolidation. If we remove the impact of Stöferle consolidation as well as the tooling sales, our total income grew by 7.8%. In Q2 FY 26 industry volumes, there was a 17.4% share of battery electric vehicles, 10.2% for plug-in hybrids and 34.3% for hybrids in Europe. On the strategic growth front, we are pleased to share key updates.

1. As you are aware, the Central government had issued a draft guideline mandating ABS for all vehicles sold after 2025.

We announced a capacity expansion, increasing our ABS capacity by 2.4 million units per annum which is a five-fold increase along with a significant increase in disc brake systems and brake discs also. Our new ABS capacity of 2.4 million per annum will be installed in two phases

, with the first line of 1.2 million operational in Quarter 1 FY '27 and the second line linked to the timing based on the final guidelines, which are expected in this month.

Since ABS was already mandatory for more than 125cc two-wheelers, we expect much of the incremental demand to come from 125cc or lower two-wheelers with a single channel ABS. For our Dual Channel ABS SOP, one OEM will start SOP next month and the second OEM by January 2026. So, the run rate of 640,000 ABS per annum capacity, will be reached in Quarter 4 of this financial year.

For the large increase in volumes of single channel ABS, we are lining up backward integration of steel-braided hoses, valves and ECU assemblies. We also plan to in-source part of the ECU printed circuit boards needs through our SMT line.

2. We have started civil work for setting up a new Chennai plant for disc brake systems, which includes the master cylinder, caliper, brake disc and brake hoses, where we expect SOP in Q2 FY '27.

Here we will produce 3-million disc brake assembly systems per annum and 4 million brake discs per annum. This will be part of the total 7.6 million disc brake systems and 8.6 million brake discs planned at Endurance.

This will help us not only to serve better OEM customers in South India, like TVS, Yamaha and Royal Enfield, as we will be close to them, but also help create space for our new ABS expansion in our existing brakes plant at Chhatrapati Sambhajinagar.

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3. As you are aware, we are also setting up a new integrated R&D facility for brakes which will be double the size of the existing one. The new R&D facility will be ready and commissioned by Quarter 4 of this financial year and will completely integrate 2W brakes as well as the ABS R&D with space provisioned for 4W brake assemblies also. Here we are also adding a brake-parameter measurement lab.

4. We continue to position our new AURIC Shendra facility as a key point for critical machined castings for 4W and non-auto applications. We are therefore equipping this plant with highly sophisticated machining and finishing equipments.

In the past, we have mentioned about orders from marquee U.S. and UK-based OEMs and also orders from Valeo for electric platforms of Mahindra. And now we have added Yazaki as a customer taking the total sales close to Rs. 388 crores per annum at peak. SOP for both the U.S. and UK OEMs will start in Quarter 1 of FY '27, and we will reach peak sales in FY 28. The SOP for the AURIC Shendra plant is going to be in January 2026.

5. At our new 2W alloy plant in AURIC Bidkin, the SOP has already started in October for Bajaj Auto, while supplies for Royal Enfield will start next month, and Suzuki alloy wheels will start by the end of Q1 FY 27. This plant will have annualized sales of more than Rs. 600 crores by Q2 of FY 27. As you are aware, the plant has an installed capacity of 3.6 million wheels per annum, which has been entirely booked with orders from OEM clients. Our Chakan alloy wheel plant is also running full, with a capacity of 5.5 million wheels per annum.

6. For our Battery-Pack manufacturing facility near Pune, key imported machinery shall be installed by next month and SOP will be from January 2026 for a leading 2W OEM

in India. Once this Battery Pack cylindrical line is installed, we are confident of getting battery -pack business for other 2W and 3W programs. We will also focus on Battery Pack s for high potential sectors like inverters, telecom and battery energy storage systems.

With respect to the Rs. 300 crore / annum business won from the leading 2W OEM, the proto samples have been submitted in this quarter, which is in line with our SOP, which is planned in January 2026.

7. In H1 of this financial year, our wholly owned subsidiary Maxwell achieved

a record

turnover of Rs . 74 crores as against Rs. 70 crores in the full year of FY 25. We are now supplying Battery Management Systems for scooters, 3W , tractors, construction equipment for an European company, as well as for Telematics and also with motor control units .

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Our strong R&D and innovation cell at Maxwell has helped us to optimize and value engineer the Battery Management System products across 2W , 3W, and tractor segments. We are also focusing now on a high-voltage Battery Management System for 4W and e-buses.

The festive season demand was met by products rolling out of our highly automated surface -mounted technology line at Chhatrapati Sambhajinagar , where we have now a capacity of 44,000 Battery Management Systems per month. We will be adding another 44,000 Battery Management Systems per month on the second SMT line by March 2026.

8. In H1 FY 26 , at Maxwell, we have won Rs . 21 crores of new business , which has taken the total cumulative orders won to Rs. 209 crores /annum, which will peak in Q3 FY 27. The orders won are for 2W, e-rickshaws, e -bikes, electrical construction equipments and for airline buggies.

We at Maxwell now have a strong pipeline of RFQs of Rs. 137 crores.

9. We are the clear market leader in inverted front forks. And this business has grown steadily over the years, with rising demand from multiple OEM customers. We have started supply of Inverted Front Forks and Mono Shocks to TVS, where the Front Fork has been upgraded with adjustable features and with both-side cartridge systems.

The SOP for another OEM Hero MotoCorp is planned within this financial year, while SOP for a leading Chinese 2W OEM is expected to start in Q1 of FY 27. This will take the total number of OEMs using our Inverted Front Forks to six.

Our overseas OEM client KTM has also started increasing schedules for Inverted Front Forks, which should cross a total of 650,000 Inverted Front Fork sales in this financial year.

10. As you are aware, our aluminum forging business, which has a technical collaboration with FGM Italy, started as a backward integration for supplying aluminum forged axle clamps for our Inverted Front Forks. This large and growing Inverted Front Forks

business is a captive use opportunity for our aluminum forging axle clamps. We already have four aluminum forging presses , which we will move to a new forging facility in Q1 of FY 27, along with a fifth aluminum forging press, which has already been ordered.

For our aluminum forging business, we have now won export orders of Rs. 5 crores /annum for new parts from a German OEM. SOP is planned in Q1 FY 28. As you are aware, we have orders for aluminum forging from Jaguar Land Rover of Rs. 27 crores /annum , for which business will start in Q4 of this financial year. We have also won aluminum forging orders from Royal Enfield, of Rs. 12 crores per annum , for which SOP is in Q1 FY 27. Our line of sight for aluminum forging business next year is around Rs. 140 crores.

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11. Sale of the first set of containers carrying the export consignment of solar dampers took place in Q2 . We are building a new infrastructure at our Sanand plant in Gujarat to cater to the large volume orders for the solar dampers . This business value won from a Spanish OEM is Rs. 200 crores, which will be executed by FY 27. There is a tremendous opportunity to increase this business. We are in the process of finalizing

business with another global client.

12. In Q2, we started supplies of our assist-and-slip (APTC) clutches to Royal Enfield and Kawasaki, introducing Adler's technology to the Indian market. SOP for Bajaj Auto is expected in the next quarter.

13. As mentioned earlier, we have started on vehicle testing for our first 4W Driveshaft

haft

order. We expect to commence SOP in Q 4 FY 26. In view of multiple 3W orders across 5 OEMs and expected growth in the 4W business, we plan to set up a separate 4W Driveshaft assembly line during this quarter.

14. As informed in the previous calls, we completed the acquisition of the 60% stake in Stöferle entities in Germany in the beginning of Q1 of this financial year, with a line of sight of acquiring the remaining 40% in 5 years. Stöferle has an annual turnover of approximately €80 million. From April 2025, Stöferle financials are consolidated in the Endurance Group financials.

15. We have mentioned earlier that under the Maharashtra PSI 2019 scheme, we received an eligibility certificate of Rs. 606 crores for CAPEX incurred till September 2025.

Under this 2019 scheme, we will now apply for an additional eligibility certificate for CAPEX up to full FY2026. Based on Rs. 606 crores certified by the authorities, we have recorded a PSI incentive of Rs. 33 crores in Q 1 and Rs. 37 crores in Q 2 of this financial year.

You will recall that we have booked almost all of amounts totaling Rs. 446 crores under the PSI 2013 scheme and have collected cash to the tune of Rs. 350 crores.

Let me now give you a gist of orders won during H1 of this financial year. Please note that the business value from new orders are without including orders from Bajaj Auto.

Overall order win in H1 FY 26 in India business was Rs. 909 crores per annum, of which Rs. 903.8 crores is new business. This includes the new business of Rs. 300 crores per annum for the Battery Pack at our Talegaon plant and Rs. 21 crores new order of BMS at Maxwell.

Our 4W business win in H1 FY 26 is Rs. 355.8 crores. This includes Rs. 103 crores of EV casting business for a leading U.S. EV OEM and Rs. 146 crores aluminum casting order from Hyundai and Kia Motors. SOP is in FY '27.

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We have also won Ather Energy scooters alloy wheel business worth Rs.31 crores, with a 100% share of business for their new upcoming plant at AURIC Bidkin at Chhatrapati Sambhajnagar. Cumulative India business orders for the EV segment till date stands at Rs. 1,012 crores per annum. And with Bajaj Auto, this figure is Rs. 1,195 crores per annum. So, the total orders won since FY 22 is Rs. 4,671 crores per annum, out of which Rs. 3,953 crores is new business. We expect Rs. 3,500 crores per annum out of this to peak in FY 28. We have a total of Rs 4,209 crores worth of RFQs in hand. We expect to win more than Rs 1,500 crores of business in the next 12 to 18 months.

In our Europe business, we have booked orders worth € 12.7 million during H1. These are orders for machine d casting from the Volkswagen Group, machining orders for Stöferle and EV component orders for our specialty plastics unit in Turin.

Aftermarket is a strategic priority for us. We have set ambitious growth goals till 2030. We are focusing on secondary demand generation with retailers and mechanics for the domestic business. We have appointed a new Domestic Head and a VAP Head for the bought-out products. We have developed district actions plans for 78 district clusters and defined unique value propositions for 39 countries. We are the first in our industry to launch a Global Rewards Program, which is a tiered loyalty program for our channel partners. We are also driving a holistic development program to build capability of our sales team and to empower them with the right tools and skills.

Coming to our financial performance, the information has been uploaded at the stock exchanges last evening along with our presentation explaining the numbers. I will however highlight some key numbers.

During Q2 FY 26, the company recorded a standalone total income of Rs. 2,692.2 crores, a year-on-year growth of 16.2% from Rs. 2,317.1 crores in the previous year. The EBIT

DA grew 6.3%

from Rs. 316.1 crores to Rs. 335.9 crores, with a margin at 12.5%. The PAT grew 1.5% from Rs. 184.8 crores to Rs. 187.6 crores.

The EBITDA drop of 1.16% on total income is largely contributed by raw material cost increase led by aluminum alloy, which forms 55% of the total raw material purchases. Around Rs. 10 crores is due to investment in people for future business growth in the areas of strategy, R&D, aftermarket, and sourcing. Further around Rs. 10 crores is in two special projects, which are for the aftermarket profitable growth and the sourcing savings with a leading global consulting firm, which is an investment of profitable growth as well as cost control. And this will continue till Q4 of this financial year. In Q2 FY 26, our consolidated total income grew 22.6% over Q2 of last year from Rs. 2,939.2 crores to Rs. 3,603.8 crores. The EBITDA grew 21.9% from Rs. 408.5 crores to Rs. 497.8 crores.

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Our margin was at 13.8%. The PAT grew 12% from Rs. 203 crores to Rs. 227.3 crores at 6.3% PAT margin.

With diversification and business growth, our HR department continues to play a key role as an enabler in shaping the business outcomes. Our focus remains on strategic workforce planning and talent ramp-up, with emphasis on strengthening the mid-management layer to build a balanced organizational pyramid. HR digitization is being actively leveraged to enhance efficiency and improve ease of business.

To build future-ready capabilities, we have also launched LEGS - which is a Learn, Earn, Grow and Succeed program, which is a customized skill development program for our blue-collared employees. Alongside, we continue to strengthen our leadership and capability-building agenda through multiple flagship programs, such as the Endurance Leadership Program.

On the sustainability front, we made significant progress this year towards our ambitious goals for FY 30. We achieved a 48% carbon neutral percentage. We lowered specific electrical and thermal energy, as well as specific water consumption, while water recycling and hazardous waste recycling, both stand at 98% each.

We also enhanced our renewable power share from 23% in FY '24 to 25% in FY '25. And now we have increased it in Quarter 2 of this financial year to 28%, through expanded rooftop solar and wind power agreements. We also contributed 300,000 KL of water through water augmentation projects.

CRISIL has increased our ESG rating for FY 24 to 59, up from 56 in FY 23, while another agency SES, has increased our rating to 74, up from 68 in the previous year. Our K-120 Waluj plant has been awarded the prestigious CII – GreenCo Gold Rating.

At Endurance, we see CSR as a way to create real and lasting impact. Our approach is centered on lowering inequity, one community, one child, one individual at a time. This is how we create impact that endures well beyond the tenor or scope of CSR work we are doing.

I am pleased to share that our CSR arm, Sevak Trust, has transformed 61 schools with solar energy and hygiene-focused facilities enhancing attendance as well as outcomes, while training over 900 adolescent girls in health and skills.

With sustainable agriculture training, our farmer empowerment program has benefited over 4,900 people, and ECoVE, our vocational training center at Chhatrapati Sambhajnagar, has imparted training to over 2,300 youth, securing over 85% employment.

Our health work has reached 42 villages, serving 19,000 people, and we have built 2,300 toilets to improve sanitation. Our Vet van program, too, has been successful, providing treatment to 43,000 animals in 47 villages.

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This quarter, we have started work on the biggest dense forest project covering 25 acres land with 2.5 lakh tree plantations.

I am happy to inform you

that we have won the Quality Excellence Award from Tata Motors at their Annual Supply Conference in September 2025. I am also happy to inform you that in October this year, our Endurance Overseas plant supplying to Stellantis Group was recognized as a top supplier in the Global Supplier Awards 2025.

Now with these opening remarks, I would now like to invite questions from all of you. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Manish Oswal from Nirmal Bang Securities Private Limited.

Manish Oswal: I have a question on the Slide # 12 of the presentation where the scooter segment has seen a decline of 4.4% while industry volume is 12.4%. In the last quarter, there was very strong growth. So, any spillover effect? Can you comment on this line item, why there is a decline in this particular quarter?

Anurang Jain: I think this decline is mainly due to the decline of Honda Motorcycles and Scooters. As you

know, they have had a degrowth. HMSI is the second largest OEM customer, and when they get impacted, we also get impacted. If you see the previous financial year, when they grew, we did very well. HMSI is a market leader for scooters, so it does have an impact.

Moderator: The next question is from the line of Aditya Jhawar from Investec.

Aditya Jhawar: Congrats on a resilient quarter. My first question is on the standalone business, the India business, where we saw a Y-o-Y basis margin compression. If you can explain that, if you can quantify what could be the impact of aluminum pass-through, and what would be the other variables to drive this Y-o-Y margin compression?

Raja Gopal Sastry: We did get a flavor of that when the Managing Director spoke. We did have a compression in margin. When we compare with our product sales, there is close to a 1.36% increase in material cost. And this is coming predominantly, about 40%, from aluminum price increase. Also, strategically we have been consuming some material for our R&D projects, because we are getting a lot of suspension orders, and also we are getting ready for the upcoming legislation on ABS.

And there have been some seasonal effects. Generally, in Half - I we have this benefit in terms of turnover discount. Last year, we had it in the first half. This year they have been moved to the second half, so, there have been some seasonality effects.

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In effect, I would say that close to 40% -50% of that is from the commodity side, some part of it is the additional consumption due for our R&D projects, and some of it is the seasonality aspect of some one-time effects in the last year same quarter, and some of them which have been postponed to the upcoming quarters in this year.

And the other aspect which was also mentioned by the Managing Director in his opening remarks, is the employee cost. We have spent on employee cost for strategic reasons, and this will have a gestation impact where these additional people are in Sourcing, Strategy functions, and R&D function, which are important for our upcoming growth plans.

And the third one is on the special projects under Other Expenses, we did spend a bit on the consultant's cost and the associated travel and other deployment costs of the strategies to reduce the material costs and also to increase our Aftermarket sales. And this would continue for the next 2 quarters at least. So, we are beginning to see the impact of some of the initiatives, which we are taking for future growth and also the future cost competitiveness.

Aditya Jhawar: Yes, that's good to know. So, do we expect that next financial year we will be back to historical margin trajectory for the standalone business? Is it fair to assume that some of these headwinds might no longer be there?

Anurang Jain:

Yes. We are very, very focused on that, and we will put all our efforts to improve the product mix also. That's clearly our target as we go forward. As we believe in only profitable growth, but I think this raw material cost increase and these 2 special projects as well as our investment in people for the future was very important for us. So, here we don't look at just the margin percentage, we look at the future of the company, and that's very important for us going forward.

Aditya Jhawar: Next question is on our ABS expansion plan. So, where are we in terms of the expansion plans and incremental discussion with customers? What kind of timelines you are anticipating for the regulation to get implemented?

Anurang Jain: Right now, we have a capacity of 640,000, which I said we will reach in Q4 based on the line of sight we have on schedules from our customers by Q4 of this year. We have ordered a 1.2 million capacity ABS line, which we will install by Q1 of next financial year. We expect the guidelines to come this month, and I think the capacity utilization of the line which we have ordered will be based on the lead time to implement these new guidelines. But today definitely we have a line of sight to use that line, but we will have to see the timeline which is finalized under this new guideline. And the second 1.2 million line - we will order based on the final guideline.

We are talking to all the OEMs on the ABS and there are not many suppliers. So, we are very, very optimistic about this new business, going forward.

Aditya Jhawar: Has there been any discussion with customers and what is the initial sense we are getting on the 4W suspension side?

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Rajendra Abhange: We have made some inroads into 4W proprietary products. It's been already spoken in last couple of investor meetings. 4W Suspension is very much on our cards, and we are very close to getting into one of the OEMs now. As you know it's a technology product, and OEMs will only take it when you prove your competency. We are very close to getting into a leading OEM of India. The second one is also in the queue. So, as we get closer to it and we get a letter of intent, you

will come to know about it. But there can be exciting news in the near future, on this front.

Aditya Jhawar: If you can give outlook for the European business, medium term outlook, and any impact of this Nexperia chip issue that they are anticipating on the production line?

Massimo Venuti: In Europe, the quarter closed with an increase of 7.7% in terms of vehicle registration. But if you analyze the production of vehicles, it continues to go down. This means that the market is growing only because they are reducing stock with discounts.

The expectation for the future months is that the market remains stable. In this situation, at Endurance, we are performing, in line with the market, with an increase of 7.8% without Stöferle, as compared to the previous year. And our higher sales are not from stock, but from more production compared to the previous year. And we continue to be optimistic for the future 2 quarters, because the expectation is that market stability will continue.

In Europe, we await the government's position on the new June 2026 Green Deal. We anticipate the situation to remain largely stable until then.

Speaking about the situation regarding the component shortage, there are no issues from our customers. We have received indications from Stellantis and Volkswagen Group, that constitute approx 50% of our customer portfolio. So, at the moment, we don't see any problem.

Moderator: Thank you. The next question is from the line of Viraj from SiMPL. Please go ahead.

Viraj Kacharia: So, what technology, we are looking for in the business in 4W suspension? Is the competitive intensity quite high? How should we understand

profitability in this segment for us?

Rajendra Abhange: It's a tough business to get into. We are a late entrant, rather, we have not entered the 4W suspension as yet. There are established players in the market. But as you know, we always strive to give best value to our customers by way of the frugal technology. As we told you in the last time, we already have a technology partner from Korea, that is very formidable. And we feel their technology will be highly suited for the Indian cars, especially the small size cars. And we will definitely bring some value through local expertise.

Our engineering is also equally strong in suspension. As you know, we are market leaders in 2W. So, there will be a lot of horizontal deployment from the learning of 2W. And we are pretty

sure that we will crack into certain major markets, major customers in the passenger vehicles,

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and also make decent kind of the profitable proposition to the company. So, we are confident about it.

Viraj Kacharia: You talked about inverted front forks. What will be our market share there, just to get a perspective? And what is the adoption we are seeing in the industry?

Anurang Jain: I would not know the market share, but it definitely is a high majority. In front fork, we are, I think, at 43% of the market. And in shock absorbers, we are 44% of the market. This is as of Q2.

In Inverted fork, we are definitely higher because there are very few players.

We had the first mover advantage with our technology with KTM in 2008. Bajaj Auto, of course is also increasing its requirement, we are also starting with Hero Motocorp as well as with a Chinese OEM in Q1 FY '27, and we are in touch with almost every OEM on the inverted front fork.

Viraj Kacharia: Last question. On the solar damper side, you talked about us talking to further few large OEMs. Any color you can give in what stage the discussions are, and how big business can be for us in next, 3 to 4 years?

Rajendra Abhange: Okay, so this is relatively a new addition to our portfolio, and we have already started bulk supplies to this market as one of the fastest entrants into this segment. We know there is competition in this segment as well, but I think the way we have gotten into it has been well appreciated by the customer, their confidence has gone up. So, we will grow this business very rapidly.

Last time, I mentioned that the market potential is huge. Without floating any number, I can tell you that it can be a very significant part of our total business. It all depends upon how well we are able to garner customer support. There are multiple players in this space, one Spanish company is already with us, and we are going to 2 more companies. We are in deep discussions, if that works out, the size of this business could be very significant.

Viraj Kacharia: So, over a 5-year period, can it be like 10% or 15% of our business? Does it have that kind of a potential to be, you know?

Rajendra Abhange: Of our total business? No, no, no. I don't want to say any number at this stage. It's a bit too premature, but I can only say the potential is huge.

Moderator: Thank you. The next question is from the line of Rajit Aggarwal from Nilgiri Investment Managers.

Rajit Aggarwal: Good morning, sir. This question is related to the European business, and also on the overall margins. So, the European business sequentially has seen a decline in turnover, whereas the last quarter, there was an industry-wide degrowth, this quarter the industry has actually grown. And

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despite that, sequentially, our numbers are lower. At the same time, the margins seem to be higher. How do we read these numbers?

Massimo Venuti: Okay. So, speaking about the 2nd Quarter of the European operation, we closed with EUR 88.7

million turnover compared to EUR 66.9 million of the previous financial year, with an increase of 32.7%. In terms of EBITDA, EUR 15.8 million, 17.8% compared to EUR 10.7 million, 16% of the previous financial year. In terms of net results, we grew 36%. Net profit EUR 3.9 million, 4.4%, compared to EUR 2.9 million the previous year, 4.3%.

The company grew without considering Stoferle, more or less 6% in terms of turnover, and 7% in terms of EBITDA.

If you compare this quarter with the previous quarter, the reduction is only due to the normal seasonality of the business in Europe. In fact, we closed with EUR 88.7 million turnover, compared to EUR 103 million of the previous quarter, of Q1 FY 26, but the market went down 13.3% compared to the previous quarter. In the European Union, 2.5 million new cars were registered in this quarter compared to 2.9 million in the previous quarter. This is normal for Europe, because the 2nd Quarter of the financial year, there is a typical slowdown because of holidays. You can't compare it to the first quarter. This has been the pattern in the past as well, and you can check.

Rajit Aggarwal: Thanks a lot for the clarification. And the follow-up question was on the margins. So, the margins of this quarter, are they going to continue for European business? Will the trend be the same?

Massimo Venuti: We will try to do the best. For sure, this is our target. We are growing more than 47% in terms of EBITDA compared to the previous financial year. The EBITDA rate is 17.8%. Speaking about energy prices, please consider that it continues to have 3x the energy cost and the gas compared to pre-Covid situation. So, from my point of view, the performance is really, really good. And the expectation for the future months is to maintain and to improve the profitability.

Rajit Aggarwal: The presentation did mention that there were certain tooling orders in this quarter. So, if those were to be removed, then what would be the margins in the European business? Because tooling orders, I am assuming, are generally higher margin orders.

Massimo Venuti: It depends, because in tooling you can have 10% to 40% of the trading margin. It depends on whether we are speaking about tooling of foundry or tooling for the machining. Because, when you make important investments, you receive 15% to 20% of contribution from the customer. But we don't consider the tooling profitability, we consider only the industrial profitability.

It is correct to say that in Q2 of the previous financial year, we had an important impact in terms of turnover due to tooling. And if you adjust for this, the real increase of turnover compared to

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the previous year has been 7.8%, compared to a market that grew 7.5%. This is the reason why we say that we are growing more than the market.

And on top of this, our increase in turnover is from real production, as you can imagine. For the registration, as I told you before, the market is only de-stocking the dealer. Because the vehicle production continues to go down. Just to give you an idea, the German market, which is the major market in terms of production in Europe, lost around 4% of production compared to the same quarter in the previous year.

Rajit Aggarwal: Can you quantify the amount of tooling orders in terms of Euro or INR?

Massimo Venuti: The existing tooling order could be something like EUR 14 million.

Rajit Aggarwal: No, I am sorry. The revenue from tooling in Q2?

Massimo Venuti: EUR 1.9 million is the reduction in tooling sales in Q2 compared to the previous quarter.

Rajit Aggarwal: What will be the CAPEX in Q3 and Q4?

Massimo Venuti: Speaking about Europe, more or less, it is EUR 2.2 million. Our expectation is to reach EUR 30 million to EUR 32 million in the total financial year.

Raja Gopal Sastry :

In India, standalone business, we may be closing the year with close to INR 750 to INR 800 crores, and we already have done INR 460 crores in the first half.

Rajit Aggarwal: So, there will be an incremental INR 300 to INR 350 crores.

Anurang Jain: Yes. Mainly it's in 3 new plants, which are coming up this year.

Moderator: Thank you. The next question is from the line of Mr. Nishit Jalan from Axis Capital Limited. Please go ahead.

Nishit Jalan: On the India business, on the 4W side, we have been winning a lot of orders, but our revenue has been stuck at around 5% to 6% of total revenues. How do you see revenue scaling up in this

business over the next 2 years? Will the contribution from this business go up meaningfully from here on?

And my second question is on Europe. In Europe, earlier you used to say that, a lot of EV business is coming in, where investments initially will be higher? So, we should start looking at our EBIT margin. Your depreciation expenses have gone up substantially. Is it because of EV investment?

Massimo Venuti: In Europe, I confirm that the increase in depreciation in the quarter is due to the start of the important investment we have made for Stellantis and Volkswagen. And there will be another

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step-up increase of depreciation in the next quarter for the start of the new lines for Volkswagen 1.5 L gasoline. This is due to the important investment we have made in the past, but it's not an issue because we are growing more or less 1.6% in terms of cash profit.

And so, if we are able to increase the EBITDA in line with the increase in depreciation, it means that the payback of these investments is aligned with our expectations. I don't see any kind of problem.

Nishit Jalan: You mentioned that the depreciation is increasing because of some startup costs. So, is it going to be the normal run rate, or you will see depreciation coming off beyond once the plant starts, or it's going to stay around the similar levels?

Massimo Venuti: It will be the normal trend.

Anurag Jain: As far as India is concerned, we have won since FY 22, INR 3,953 crores of business, out of which we have realized around INR 1,440 crores last year. And this year, we will do about INR 1,160 crores of this business. And the balance will be in the next 2 years. I said we will reach a peak of INR 3,500 crores per annum in FY 28 versus INR 3,953 crores. That's the line of sight we see, which is there.

I also said we will win further more than INR 1,500 crores against the INR 4,200 crores we have of RFQs. This is the line of sight which we have.

We are also winning mainly for AURIC Shendra plant. If you see the casting orders for electric vehicles, we have already won INR 456 crores from 4 customers. Apart from that, we have also won another INR 355 crores of orders this year, which is for 4W castings.

We also won the driveshaft proprietary business of about INR 24 crores per annum last year.

Now we have won the drum brakes order. And we are really focusing on growth on the proprietary business, which is taking a bit of time, but definitely step by step, like in 2W, we will gradually build up the business. We plan to do so with our strength on technology and on cost. I am not worried about the growth. I think we have to focus more on product mix and cost control, and that's why we are trying to see that we take more and more profitable business in the future. I am very, very confident of the way things are going.

Moderator: Thank you. The next question is from the line of Jinesh Gandhi from Oaklane Capital. Please go ahead.

Jinesh Gandhi: Anurag, a question on Maxwell. Given that we are broad-basing that business from pure play BMS now to also having other electronic components, are we also thinking of broad-basing beyond e2W, broad-basing beyond autos, given opportunities

which are opening up in energy storage and other areas?

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Anurag Jain: We have done a forward integration to Battery Packs, that is going to start in January 2026 with one major OEM EV customer. Everybody wants to see our cylindrical assembly line of Battery Packs running. And that will help us to get into the non-auto, because when they see such a good, automated line, which is imported from China and will be commissioned by next month. Then seeing is believing, and then potential customers get confidence. These kind of projects are still new in India. EV is still a new area. Battery Packs and EV business has really caught up post-COVID. So, still initial space, but we are very, very confident of our technology, of our cost competitiveness, whether it's on BMS, and whether it's on Battery Pack.

I mentioned about our innovation cell, how we are able to value, engineer our products, both on the BMS as well as Battery Pack space. Our sourcing is very strong. We are very confident of really scaling up this business in future.

The potential value of the business on Battery Packs is huge, as you know. So, that can really scale up our sales in future. Rs 300 crores is just from one platform. So, there's a lot happening, and as we talk, there's a lot more new business we are talking about.

Jinesh Gandhi: Battery Pack on auto side, obviously, will get benefits from the start of assembly operations. How far are we from product preparedness as well as getting orders for energy storage?



Anurang Jain: We definitely know what type of BMS we have to offer. Our R&D cell is fully aware of it. It's a question of just getting the business. We know what kind of equipments we have to order, the product, the cost competitiveness. We are fully aware. So, main target is focus is not on the technology side, whether it's a process or the product. The main focus is to get the business.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to the Management for closing comments.

Anurang Jain: I just want to say that we, at Endurance are fully committed to profitable sales growth. We have done that since the IPO in October 2016, and we will continue to do so. There will be a huge focus on, of course, technology - process and product, huge focus on financial improvement. So, this will always be our focus. So, just want to say that. Thank you.

Moderator: Thank you very much, sir. On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us today, and you may now disconnect your lines.

## Call: Feb 2026

ENDURANCE TECHNOLOGIES LIMITED  
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19th February , 2026

BSE Limited,  
Phiroze Jeejeebhoy Towers,  
Dalal Street,  
Mumbai - 400 001

BSE Code: 540153  
National Stock Exchange of India Ltd.,  
Exchange Plaza,  
Bandra -Kurla Complex, Bandra (E),  
Mumbai - 400051

NSE Code: ENDURANCE

Sub.: Transcript of Conference Call held in respect of the Company's Q 3 FY26 financial results.

Ref.:

1. Regulation 30 and Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations").
2. Intimation of telephonic / virtual meeting with Analysts / Institutional Investors dated 3rd February, 2026

Dear Sir / Madam,

In continuation of the referred intimation and Listing Regulations, please find enclosed the transcript of the conference call held on 13th February , 2026 in respect of the Company's Q 3 FY26 financial results.

The transcript has been hosted on the Company's website at:  
<https://www.endurancegroup.com/wp-content/uploads/2026/02/2026-02-19-Transcript-of-Earnings-Conference-Call-on-13-02-2026.pdf>

We request you to take the above information on record.

Thanking you,

Yours faithfully,  
For Endurance Technologies Limited

Sunil Lalai Company Secretary, Compliance Officer and Head - Legal  
Membership No.: A8078

Encl.as above

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Endurance Technologies Limited Q 3 FY 26 Earnings  
Conference Call

February 13, 2026

M

ANAGEMENT : MR. ANURANG JAIN – MANAGING DIRECTOR ,  
ENDURANCE TECHNOLOGIES LIMITED

MR. RAJENDRA ABHANGE – DIRECTOR & CHIEF  
OPERATING OFFICER , ENDURANCE TECHNOLOGIES  
LIMITED

MR. MASSIMO VENUTI – DIRECTOR & CHIEF  
EXECUTIVE OFFICER , ENDURANCE OVERSEAS ,  
ENDURANCE TECHNOLOGIES LIMITED

MR. R. S RAJA GOPAL SASTRY – GROUP CHIEF  
FINANCIAL OFFICER , ENDURANCE TECHNOLOGIES  
LIMITED

MR. RAJ MUNDRA – TREASURER AND HEAD INVESTOR  
RELATIONS , ENDURANCE TECHNOLOGIES LIMITED  
MODERATOR : MR. NISHIT JALAN – AXIS CAPITAL LIMITED

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Moderator : Ladies and gentlemen , good day and welcome to Endurance Technologies Limited Q3 FY 26 Results Call.

As a reminder, all participant lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '\*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nishit from Axis Capital Limited . Thank you, and over to you, sir .

Nishit: Thank you so much. Good morning, everyone. Welcome to Q 3 FY 2 6 Post-Results Conference Call of Endurance Technologies.

We are pleased to host the Senior Management of E ndurance today . We have with us , Mr. Anurang Jain – Managing Director, Mr. Massimo Venuti – Director and CEO, Endurance Overseas, Mr. Rajendra Abhange – Director and COO, Mr. Raja Gopal Sastry – Group CFO, and Mr. Raj Mundra – Treasurer and Head Investor Relations.

I will now hand over the call to Anurang for his opening remarks, post which we can move to the Q&A. Over to you, Mr. Jain.

Anurang Jain : Thank s a lot. Good morning, everyone. As we close Q3 of FY 26, India's economic backdrop remains strong in a complex global environment. The government 's first advance estimates project real GDP growth at 7.4% for FY 26, supported by sustained private consumption, steady investment activity, and improving services and manufacturing output . The World Bank has also raised its FY 26 growth forecast to 7 .2% and retained its FY 27 forecast at 6.5% .

Inflation has remained within comfortable limits, and monetary conditions have been broadly stable through the quarter . The RBI had lowered the repo rate in the last quarter by 25 basis points to 5.25%, thereby lowering borrowing cost and supporting consumption and investment. In the full -year 2025, the repo rate was lowered by 125 basis points. In the bi -monthly meeting held in February 2026, the repo rate was kept unchanged, and RBI has cited that the trade deals are expected to boost growth.

On the domestic policy front, the GST rate rationalization, implemented in September 2025, has continued to support consumption. The simplified slab structure and lower rates across most of automotive sector, including auto components, have improved affordability and lowered the cost of ownership, contributing to strong industry sales numbers well beyond t he festive season. India's growth will be supported not only by strong domestic demand, but also international trade, where key trade agreements are taking shape. India and the European Union announced a Free Trade Agreement last month, which is being ac claimed as extremely important for both.

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Last week, India and the USA announced an interim agreement framework on reciprocal and mutual beneficial trade, and this is expected to progress into a more comprehensive agreement, offering greater market access, new opportunities, and lower uncertainty for business.

Global growth in 2026 is expected to be more moderate due to softer demand in advanced economies and slower trade expansion amid ongoing geopolitical and trade uncertainties.

In the Indian automotive sector, as per SIAM, two-wheeler sales reached 7.1 million units in Q3 FY 26, up 18.2% year-on-year, with motorcycles at 14.7% growth and scooters at 26.6% growth. Passenger vehicle sales increased by 19.2% to 1.5 million units, while three-wheeler sales rose 29.9% to 0.34 million units. Clearly, the GST cut impact has continued beyond the festive months.

In the European Union, new car sales saw a year-on-year rise of 4.6% in Q3 FY 26, with Germany and Spain recording high single-digit percentage growth. Italy was flattish, while

France

recorded a decline. In Q3 FY 26, new car volumes in Europe, there was a 21% share of battery electric vehicles, 10.6% share for plug-in hybrids, and 34% share for hybrids. So, roughly 2 out of every 3 vehicles sold in the European Union are either electric or hybrid.

On the strategic growth front, we are pleased to share key updates.

1. As you are aware, the government had issued a draft guideline in June 2025, mandating ABS for greater than 50 cc two-wheelers and all EVs greater than 4 kW motor power. We are awaiting the final guidelines for the same, which we hope should be clarified by end of this quarter.

Since ABS is already mandatory for more than 125 cc two-wheelers, we expect the incremental demand to come largely from the 125 cc and below segments, with single channel ABS, where we have over 4 years of strong execution experience. For the dual channel ABS program, SOP is now expected to start next month, as we await the final clearance from a key OEM customer.

To help increase our profit margin on ABS, the electronic control unit or the ECU, in-house SOP for the single channel ABS is expected to begin in Q1 of FY 27 on our surface-mounted technology line at Waluj, Chh. Sambhajinagar. The dual channel ECU will follow later in the same financial year. We are installing a new SMT line, or a surface-mounted technology line, as we expect volumes to substantially increase with this new line in H1 of the next financial year.

2. Civil construction for the Chennai plant for disc brake systems is at an advanced stage. Key machinery will be installed from Q1 FY 27 onwards, and the SOP is planned for Q2 FY 27. The plant will have a capacity of 3 million disc brake assembly systems per annum, and 4 million brake discs per annum, as part of the total 7.6 million disc

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brake systems and 8.6 million brake discs planned at Endurance. The location will help us better serve our OEM customers in South India, while creating space at our Chh. Sambhajinagar plant for the new ABS expansion and the four-wheeler brakes business.

3. Our new integrated R&D facility for brakes was commissioned in January 2026 at Waluj, Chh. Sambhajinagar, and we will be fully operational in this quarter. This facility is double the size of the existing one and integrates two-wheeler brakes and ABS R&D, with space provision for testing of four-wheeler brake assemblies. Apart from transferring several key equipment from the existing R&D facility, we have added key lab and testing machines for ABS validation.

We have also installed an assembly line for 4W passenger vehicle drum brakes for Tata Motors, with SOP expected in Q1 of FY 27. In addition, we are increasing our three-wheeler brake volumes from 0.6 million to 1.2 million units per annum.

4. Our new AURIC Shendra plant at Chh. Sambhajinagar is a strategic investment for key machined castings for Global and Indian 4W EV and ICE OEMs, as well as for non-auto applications. We are therefore equipping this plant with highly sophisticated aluminum casting, machining, and finishing process equipment.

As mentioned in the past, we have already got orders from marquee U.S. and UK-based OEMs, along with Yazaki and Valeo for electric platforms of Mahindra. With peak annual business value of ₹ 388 crore s per annum for this plant, where the SOP for both UK and the U.S. OEMs will start by Q2 of the next financial year, with peak sales expected in the FY 29.

5. At our Chakan die casting plant, we are growing our business for machined aluminum castings for existing and new programs of Tata Motors and Mahindra. The business won in this financial year for these programs stand at ₹ 128 crore s per annum.

We are proactively ensuring better use of our four-wheeler casting and machining

capacities across our Chakan and She

ndra plants to balance volumes, ensure flexibility, and improve overall sales volume growth.

6. At our two -wheeler alloy wheel plant in AURIC Bidkin, we have already booked 100% capacity earlier to the SOP . We started in October 2025, with Bajaj Auto alloy wheels. Supplies to Royal Enfield will start in Q 2 of FY 27, and supplies to Suzuki and Ather are expected to begin by Q 3 of FY 27, reaching peak order win sales in Q 3, FY 27.

7. During Q3, our battery pack manufacturing plant near Pune made significant progress with successful completion of assembly line Factory Acceptance Test and installation of key imported equipment . Assembly line installation and trials were taken during  
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this quarter.

Comprehensive battery pack validation and EV safety compliance testing will be concluded during this quarter. Post OEM and regulatory approvals, commercial ramp - up activities will be started to support the SOP from end of March 2026 or early April 2026. We will also pursue additional opportunities across 2W , 3W, and other high potential segments.

All the above four Greenfield plants, will be fully operational over the next few quarters, and we will feel the full impact in the second half of F Y 27.

8. In the first nine months of FY 26, our wholly -owned subsidiary, Maxwell, achieved a record turnover of ■ 114 crores, as against ■ 70 crores in the full year of FY 25. We are now supplying Battery Management System for scooters, three -wheelers, tractors, e-bikes, construction equipment for a European company, as well as for Telematics . Beyond this, we are also focusing on range of high voltage Battery Management System for four -wheelers, commercial e-trucks, and e -buses. At present, 1 in every 12 electric two -wheelers rolling out of Indian factories run with our Maxwell BMS. Our strong R&D and innovation cell at Maxwell has made significant progress to introduce new product technologies beyond BMS , catering to both EV and ICE electronics subsystems. We already supply Motor Control Units, and we have also won our first order for a DC -DC converter.

In the first nine months of FY 26, at Maxwell, we have won ■ 45 crores of new business, which has taken the total cumulative orders won to ■ 232 crores per annum, which will peak in Q4 of the next financial year. The FY 26 orders won for BMS are for two -wheelers, e-rickshaws, e -bikes, and electrical buggies , and our major OEMs are Yatri Electric, Qargos , Ultraviolette, and Motion Automotive. Further, we have a strong pipeline of RFQs of ■ 197 cr ores.

9. We maintain a leadership position in inverted front forks, with steady growth driven by wider OEM adoption. This year, we commenced supplies of inverted front forks , along with the mono shocks to TVS, where the front fork has been upgraded with adjustable features and with both- side cartridge systems.

The SOP for Hero MotoCorp started in January 2026, while validation is ongoing for a leading Chinese OEM, with SOP expected in Q 3 of FY 27. This takes the total number of OEM customers using our inverted front forks to six. Schedules from our overseas customer, KTM, have increased. Our total sales of inverted front forks are expected to reach more than 650,000 units in this financial year, and we expect to  
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substantially increase in further years, starting from next financial year.

Over the past few years, we are seeing customer preference shifting towards higher cc premium vehicles, helping in faster adoption of our premium offerings like inverted front forks, APTC or assist and slip clutches, and our hydraulic brake systems. In the period FY19 to FY 25, the share of the 75-100 cc vehicles dropped by 19%, while the 110- 125 cc two-wheeler category recorded a growth of 14.5%. This, club

bed with OEMs offering premium features in low er cc segment, has opened huge opportunities for our high-end products.

10. Our aluminum forging business, which started as a backward integration for supplying aluminum forge axle clamps for our inverted front forks, is growing consistently. We are adding one more aluminum forging press to meet the increasing captive and third-party demands. This new press, along with our four existing presses, will be housed in a new plant at Waluj, Chh. Sambhajinagar. This new plant will come up in Q 2 of FY 27.

As mentioned in the previous call, we have won aggregate orders of ■ 44 crores for our Aluminium Forging business from a German OEM, Jaguar Land Rover and Royal Enfield. These OEM orders coupled with our captive requirements is expected to yield an annual business of around ■ 140 crores.

11. As discussed in the last call, we have won Solar Damper business from a Spanish client. Till Q3, we have already exported solar dampers worth ■ 24 crores from our Pantnagar plant to our Spanish client with requirements in USA and Saudi Arabia, and the value is expected to double by the end of this financial year.

As mentioned in previous calls, we are building a new infrastructure at our Sanand plant in Gujarat to cater to the large volume of orders. The building work is nearly complete, and we expect to start SOP of solar dampers by April 2026. Apart from this business from a Spanish client, we have also won business from a U.S. -based client where execution will begin in the middle of the next financial year. The total business won till date for solar dampers and actuators across both the 2 clients stands at ■ 250 crores.

12. In Q2, we started supplies for our assist and slip clutches to Royal Enfield and Kawasaki, introducing our subsidiary Adler's technology to the Indian market. The SOP for Bajaj Auto is expected in Q2 of FY 27. I just spoke to you regarding the vehicle premiumization which should lead to increased orders for our assist and slip clutches.

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13. The assembly line in stallation and vehicle level validation for our 4 -wheeler drivshafts has been completed. The customer PPAP is planned towards the end of this month with SOP expected by March 2026.

14. Under the Maharashtra Package Scheme of Incentives 2019 Scheme, we have an eligibility certificate of ■ 600 crores for a capital expenditure incurred till August 2024 at our Waluj, Chh. Sambhajinagar units. In January 2026, we got addendum to this existing certificate, and with this, our Package Scheme of Incentives has increased from ■ 606 crores to ■ 858 crores for investments, up to 31st March 2025. These incentives will be availed through the Industrial Promotion Subsidy by way of State GST refund and Electricity Duty Exemption, broadly over a 7- year period.

15. Let me now give you a gist of orders won during the first 9 months of this financial year. Please note that the business value for new orders are without including new orders from Bajaj Auto.

Overall order win in the first 9 months of FY26 in India business was ■ 1282.8 crores per annum, of which ■ 1265.5 crores is new business. This includes the new business win of ■ 300 crores for our Battery Packs at our Talegaon -Pune plant and ■ 45 crores per annum new order for Battery Management Systems at Maxwell.

Our 4W and non-automotive business win in the first 9 months of this financial year stands at ■ 530 crores. These wins include orders from Tata Motors ; a large USA EV OEM , Hyundai ; Kia; Isuzu, which is a new customer; Mahindra; and the 2 clients in the solar space. So you can see our volume product mix is improving.

During Q3 alone, we won ■ 354 crores of new business, of which ■ 163 crores was in the 4 -wheeler and non -automotive space . These customers included Tata Motors, Mahindra, Kia and

Isuzu for 4 -wheeler castings ; Hero Moto Corp for 2-wheeler suspension ; and the U .S. Solar OEM.

We aim to supply all our product offerings to all major 2 -wheeler OEMs. In the case of Suzuki, we are a significant supplier of S uspensions , and during the quarter we further strengthened our business with them by securing a new order for alloy wheels , with an annual revenue of ■ 57 crores for our AURIC Bidkin p lant.

Similarly with Hero MotoCorp, we have been a prominent supplier of S uspension and Castings with Brakes added early last year. During Q3, we added 5 new brakes platforms from HMCL

totalling ■ 58 crores, taking the overall Hero Moto Corp Brakes business to ■ 200 crores per annum. With this, we are now supplying a full bouquet of products to Hero MotoCorp, including the Battery Management System and aluminium forgings. With this increased business, we have a line of sight to double our sales to Hero Moto Corp over the next 2 years.

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Cumulative India business orders for electric vehicles in the conventional product areas stand at ■ 1,058.7 crores without Bajaj Auto. This reaches ■ 1,241.5 crores per annum of orders if we include Bajaj Auto. And the total electric vehicle business win is ■ 1,636.5 crores if we add Maxwell and the Battery Pack business.

Our sales for EV two, three and four wheelers in the first 9 months of FY 2 6 grew 65.6% to ■ 287 crores as compared to ■ 174 crores till Q3 of FY 2 5. Our CAGR growth in the last 4 years has been 71% as compared to EV 2 -wheeler industry CAGR growth of 21% as per the Vahan data. This growth in our sales is across all our product segments of Suspension, Casting, Braking and Alloy Wheels.

The overall total orders won now in products other than energy and electronic areas, since FY 22 stands at ■ 5,021 crores, out of which ■ 4,291 crores is new business. We have a total of ■ 4,200 crores worth of requests for quotes in hand. We expect to win more than ■ 1,500 crores of business in the next 12 to 18 months.

In Europe, the industry continues to operate in a challenging environment, shaped by semiconductor shortages, the energy crisis, geopolitical tensions, inflation, high interest rates, duties imposed by USA, increased competition from Chinese OEMs, and muted automotive market growth. In spite of this backdrop, our European operations have continued to sustain profitable growth through both the existing business as well as through M&A. Our acquisition of Stöferle was completed in April 2025, adding around € 80 million of profitable sales to our topline.

In our Europe business, we have booked orders worth € 15 million during the first 9 months of FY 2 6. This includes large, machined casting orders from Volkswagen and Porsche, and certain plastic injection moulding parts for EVs.

16. Our Aftermarket business in India is a strategic priority for us. We have set ambitious growth goals till 2030. We have made a comprehensive long-term capability-focused blueprint, incorporating the voice of our team and channel partners, retailers and mechanics.

We are focusing on building long-term partnerships with distributors, who have the right mindset and are aligned to Endurance's vision. In addition, we are driving secondary demand generation with retailers as well as mechanics for the Domestic business. We have launched a mechanic loyalty program, conducting trainings with certifications on BS4 to BS6, electric vehicles and product equipment, organising health camps, and also providing scholarships to children of our top mechanics. We are the first in the industry to deploy an AI-enabled tech platform to drive the secondary order booking.

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We have understood the voice of our stakeholders in each country we are present in, and have created a unique value

proposition for them. Our customised offerings provide us a competitive edge in each geography.

We are also driving a holistic program to build capability of our sales team and to empower them with the right tools and skills to become strong business leaders.

Coming to our financial performance :

The information has been uploaded at the stock exchanges last evening, along with our presentation explaining the numbers. I will however highlight some key numbers.

During Q 3 of FY26, the Company recorded a standalone total income of ■ 2,678.3 crores, a year-on-year growth of 22.2% from ■ 2,191.6 crores in the previous year. EBITDA grew 18% from ■ 287.3 crores to ■ 339.1 crores with a margin at 12.7%. The PAT grew 8.8% from ■ 156.9 crores to ■ 170.7 crores.

During Q3 of FY 2 6, we booked an exceptional cost of ■ 20.6 crores towards assessed impact of the new labour codes, and this impacted our PAT by ■ 15 crores. The EBITDA margin drop of 0.4% on total income is largely contributed by raw material cost increases, led by aluminium alloy which forms 55% of our total raw material purchases.

In Q3 FY 2 6, our consolidated total income grew 26.5% over Q 3 of last year from ■ 2,881.1 crores to ■ 3,645.6 crores. The EBITDA grew 30.4% from ■ 394.5 crores to ■ 514.5 crores, our margin was at 14.1%. The consolidated PAT after the impact of the new labour codes on the Indian operations grew 20.2% from ■ 184.4 crores to ■ 221.6 crores at 6.1% PAT margin.

In India, we are extremely focused on improving our profit margin percentage by focusing on manufacturing in-house versus outsourcing to our vendor partners where the cost could be higher, price increases to OEMs where costs have increased mainly due to power and manpower costs. And thirdly, taking largely new business with better profit margins, thereby improving the product mix. We are highly focused on this now.

As the Company diversifies and scales, our people agenda remains integral to execution. We continue to strengthen workforce planning and talent depth, particularly at the mid-management level and our senior leadership team reviews the key capability and performance priorities through structured forums. Digitization and artificial intelligence tools in HR processes are improving our efficiency and ease of business. We are also investing in future-ready skills through programmes such as LEGS (Learn, Earn, Grow, and Succeed), a customized learn and earn platform to upskill our blue-collar workforce, and create structured growth pathways, along with multiple leadership and talent platforms across levels. Inclusion remains an important focus area with tangible progress in gender representation and engagement with diverse talent.

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On the sustainability front, we made significant progress this year towards our ambitious goals for FY 30. We achieved a 49.6% carbon neutral percentage. We lowered specific electric and thermal energy as well as specific water consumption. Water and hazardous waste recycling both stand at 98% each, while 14 of our sites have been certified as Zero Waste to Landfill.

Our renewable power share has increased from 25% in FY '25 to 28% now. We have also contributed around 400,000 KL or kilolitres of water through water augmentation projects.

Our ESG ratings have also seen improvement. CRISIL has revised our ESG score to 59 for FY 25, which is up from 56 in FY '24, while another agency, SES, has increased our rating to 74, which is up from 68 in the previous year.

Our K-120 Waluj, Chh. Sambhaji nagar suspension plant has been awarded the prestigious "CII GreenCo Gold" rating this year.

At Endurance, we approach CSR with the objective of strengthening communities and improving individual life outcomes. Our focus is in bringing down disparities in education, livelihood and health, while enabling

access, dignity, and opportunity. The aim is to create sustainable improvements that continue to benefit communities over time, rather than short-term.

Our CSR initiatives continued across education, livelihoods, environment, and healthcare. We launched a new course in the hospitality trade at ECOVE, which is our vocational training centre in Chh. Sambhajnagar, to improve employment opportunities for youth. We initiated a dense forest project over 10 acres in the Gadana village at Chh. Sambhajnagar. We supported farmers with high-quality seeds and vermicompost beds. To strengthen rural education infrastructure, we are renovating schools with toilets, libraries and RO plants. In sanitation and water management, 75 household toilets and 119 soak pits were constructed across three villages. Through the WOW bus program, 108 students were trained in basic computer skills. Our mobile veterinary van treated 1,173 cattle, and our mobile medical program treated 1,350 patients, including specialized eye and gynecology camps.

I am happy to inform you that we have won the "Quality Excellence Award" from Tata Motors at the 17th Annual Supply Conference in September 2025. I am also happy to inform you that in October this year, our Endurance Overseas Plant supplying to Stellantis Group was recognized as top supplier in the Global Supplier Awards 2025. In January 2026, our K-120 Suspension Plant at Chh. Sambhajnagar won the Platinum Certificate of Merit at the Frost & Sullivan India Manufacturing Excellence Awards 2025 and our Drive line Plant at Chh. Sambhajnagar won the Gold Certificate of Merit at the same platform.

Now with these opening remarks, I would now like to invite questions from all of you. Thank you.

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Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Aditya from Investec. Please go ahead.

Aditya: Thanks for the opportunity and congrats on good set of numbers, especially your delivery on margins. First question is on ABS regulation. You mentioned that you expect to have some clarity by end of this quarter? If ABS comes through clearly, the path is very clear. However, if there is a situation where we move to electronic CBS, what is the opportunity for Endurance in that situation?

Anurag Jain: If ABS comes like I mentioned, it will be for 120 cc and below up to 50 cc vehicles. I believe



there is a testing ongoing at ARAI , which I get from sources. I am not 100% sure, but I'm definitely told by a customer that we hope to get some clarity on the final guidelines by end of March. So, let's hope that happens. Now, in case they go for a CBS, which is not electronic, it is a mechanical CBS. What happens is all the vehicles that are on drum brakes will graduate to our hydraulic braking system, which consists of a master cylinder caliper and a brake disc. Now, if this happens also, it's a huge increase in business because the value of a brake assembly of these three parts is higher than an ABS price. So, we gain both ways, but of course, if the ABS does come in, the gain is much higher because the value goes higher.

Aditya: That's good to know. Second question is that, if you can break up the growth in Europe between Stöferle and Endurance, you talked about 80 million on an annualized basis, but in this quarter, what has been the growth of our European operation, excluding Stöferle ?

Massimo Venuti: So, Endurance overseas closed the quarter with a € 93 million turnover compared to € 76.8 million of the previous financial year, with an increase of 21%, of which Stöferle was € 20 million. EBITDA was € 16.8 million, with a margin of 18%, compared to € 12.4 million of the previous financial year, with margin of 16.2%. The increase of € 4.3 million means 34.9% compared to the previous year. I

n terms of net profit , we closed with € 4.9 million, with a margin of 5.3%, compared to € 3.8 million of the previous financial year, with a margin of 5 %, an increase in terms of net profit of € 1.1 million, with 28.5% growth . If I don't consider Stöferle , we have had a marginal reduction of turnover but this is entirely due to a reduction of tooling sales . Our production compared to the previous financial year, also without Stöferle , grew 4.2% compared to the previous year, with more or less all the customers, Stellantis, Mercedes and Volkswagen Group.

In terms of year -to-date, the Company grew 27.2%. If I consider only parts, it comes to 33.6%, and without Stöferle , 5.1% .

Aditya: The next question is on CAPEX. So, last couple of years, we have seen that there has been a modest increase in CAPEX from about ■ 800 crores to about ■ 1000 crores. So, this year, if you can give a sense that what is the CAPEX that we will end up considering, 4 to 5 big plants are coming on stream, and directionally, how should we think about CAPEX for the next couple of years?

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Anurag Jain : We have been investing in the last 3 years, with an average CAPEX of ■ 400 crores in India . Of course, the CAPEX was about ■ 600 crores in FY 25 , where in the new plants, the CAPEX had already started. We had bought two lands, in Aurangabad & Shendra, and in Chennai, where the braking system plant is coming in. This year, we will be slightly less than ■ 800 crores, largely because of these 4 new facilities, plus expansions which we are doing in Brakes . So, going forward now, our plan is very clear . Our investments will be in profitable growth products, mainly. To retain business, if I have to do products which are at existing margins, I may do it. That is why I specifically mentioned in my opening remarks, that ■ 530 crores of the ■ 930 crores, more than two -thirds business is on four -wheeler castings and on solar dampers, which are much higher margin businesses. So, the CAPEX will be mainly on such businesses. We are making a plan for this, in the next week, we will be more clear on the CAPEX plan for next year. Our focus will be more on automation now, for better consistency in quality and lowering contract labor. On CAPEX, I would say it will be more on automation, on environmental health and safety, some statutory compliances, on improvement of quality, or it will be on profitable growth, expansions or new plans.

Aditya: The CAPEX, when you look at it in India and Europe separately, is it fair to assume that the CAPEX in India would be the tune of about ■ 800 crores, and roughly about ■ 700 crores in Europe for 2026, because of Stöferle acquisition, and total about ■ 1,500 crores for 2026. And as we progress into ' 27, can you confirm that the CAPEX intensity of about ■ 800 crores would continue in India for the next couple of years or it would increase?

Anurag Jain : No, we are going to sweat our assets. If you see the impact on ROCE, in India, the customers don't give you any take -or-pay contracts. There are high risk on volumes and high risk on uncertainties. So, though we are going to in -house some of the high- cost outsourced components, but definitely there are certain components where we may use a balance about outsourcing and doing it in -house and controlling CAPEX. Unless there is a M&A, which we are already in process with. But according to me, in India, the CAPEX will be controlled much below this figure of ■ 800 crores. And this is our focus. And I cannot speak from FY 28 onwards. I can say FY 27 is what we are seeing right now in India. As far as Europe is concerned, I think let Massimo give you the answer.

Massimo Venuti: Speaking about Europe, for sure, we spent € 38 million to buy 60% share of Stöferle . For the ongoing business and new investment, we

spent more or less € 38 million. The expectation for next financial year is to stabilise the total investment with more or less € 25-30 million. But I want to underline that despite the acquisition of Stöferle on 1st of April 2025, we continue to be net debt -free. In fact, our net cash saw an increase in this financial year despite payment of € 38 million for the 60% stake and despite the capex of another € 38 million .

Moderator: Thank you. The next question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities . Please go ahead.

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Mumuksh Mandlesha: Thank you, Sir, for the opportunity and congrats on the good results. Firstly, I just want to clarify on the previous participant question on the ABS part. You mentioned if ABS doesn't come, what could be the alternative option?

Anurang Jain : So, what happens is that an electronic CBS has to have a hydraulic brake system. I have not seen it working with a mechanical brake system or a drum brake system. So , we have an opportunity even if a combined braking system comes - instead of a drum brake system, they will need to use a master cylinder calliper and a disc brake system rather than a drum brake system. And this is our major brakes business, apart from ABS. So, this definitely will be an opportunity for us to expand further which will be in the bracket of 125cc vehicles and below.

Mumuksh Mandlesha: Got it. What kind of content would be there for this hydraulic brakes? Content value, sir?

Anurang Jain : I cannot give you numbers, but let me tell you that is higher than ABS.

Mumuksh Mandlesha: On the four -wheeler suspension area, I just want to know what are the updates there, S ir? How are you seeing the t raction with the Korean OEMs and seeing the relationship with the Korean partn ers?

Rajendra Abhange: We collaborated with a Korean part ner for the technology to cater to our 4W customers in India. We have since, moved on to work on three proof -of-concept projects with different customers in India. O ne of these project is awaiting cu stomer feedback on product quality and tech- superiority , expected t his quarter. Two more projects are ongoing . So, things are advancing well.

It's a high technology product line. So, our customers will be very careful, and we have to meet the requirements better than what the current suppliers are doing. T hat's the current state and the progress is very good.

Mumuksh Mandlesha: Got it. And it will be a passive area or something like passive plus or semi -active area, S ir?

Rajendra Abhange: All passive.

Mumuksh Mandlesha: I wanted to come on the AURIC plant order book there, S ir. I just want to understand the reason for the change in SOP date.

Anurang Jain : There has been a delay mainly from the UK -based OEM. That was an SOP which was to start in this quarter, actually. Now they will be starting in Q 2 only, we have the schedules. And the US-based OEM should start by the end of Q 1. So that is the line of sight we have. But in the meantime, we are also going to start orders for other customers like V aleo, for example. I think the plant will start from April. But these two large OEM customers will come in end of Q1 and Q2. The US-based customer was always end of Q1 . It was this UK -based OEM where there's a delay of two quarters.

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Mumuksh Mandlesha: And the order book , total business won remains similar in terms of what earlier mentioned around ■ 230 crores, right, S ir?

Anurang Jain : It is ■ 388 crores per annum. With the peak value, I have said was FY 2 9. But as we speak, we are also getting new business from this quarter onwards also, so which we will report in the May meeting.

Mumuksh Mandlesha: Understoo d. Thank you for this. And finally, I just want to understand, we have

this O thers in

our segment al breakup which has been growing more than 2x in the last 9 months. Just want to understand what are the key products that are driving the growth?

Raja Gopal S astry : All the other products which are not included in our two-wheeler, three-wheeler, four -wheeler, we are right now grouping them in O thers and as soon as they become bigger, we will start grouping separately. For instance, the solar suspension panels a nd all the other businesses which are getting, we group it within that. Also, Other Income and government incentives are shown as 'Others'.

Moderator: Thank you. The next question is on the line of Jishnu from LFC Securities. Please go ahead.

Jishnu: I wanted to ask a specific question related to the Europe -India deal. W hat is the specific advantage that we will be getting that was not in our sight before the deal was signed? And now since the deal has been signed, what are the new advantages specific that specifically Endurance would be getting since it has a huge exposure to the Europe business and specifically it would

have in terms of Indian auto ancillary companies, we have the largest exposure. What are the advantages that we will get specifically from this deal which was not expected before the deal?

Anurag Jain : I think what I would like to say is we are at a stage where we are still trying to gather more information for us to take a call on the strategy we have to adopt for the future. Though we have the initial guidelines and rules, but we are required to go into the specifics . I believe this agreement will be only effective within the next 9 months to a year , though it has been signed. I think as this has just happened, , the Endurance European and Indian teams are planning to meet and maybe we can throw some more light in the next quarter call in case we are ready.

Jishnu: Are we having any advantage right now since our plants are located in Europe, so are we having any specific advantages right now in Europe? Like we would already have zero -duty access before the deal, right? Since our plants are there in Europe.

Raja Gopal Sastry : Because we were producing local for local in Europe and also in India, there was no cross -border transactions as of now, but we are studying the overall deal to see what we can do going forward.

Moderator: Thank you very much. The next question is from the line of Pramod Amte from Incred Capital. Please go ahead.

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Pramod Amte: If I have to look at your Slide 9 with regard to Europe order inflow, it seems to be dwindling down for last couple of years and I think in spite of German acquisition, it's pretty low for the 9-month period. What is really happening there? Is it an end-market situation or you are evaluating your own strategies to get new orders?

Massimo Venuti: Sure. Yes, in the 9 months of this financial year, we acquired only € 15 million of new business. This is lower compared to € 40 million the previous financial year. But we will have to consider that the market is in a very difficult situation. As you know, in December 2025, the European Commission proposed a review of the 2035 rules . This is not yet finalized, but suggests a potential shift from 100% to 90% of emission reduction target, allowing some residual emission to be offset through measures like green steel production or biofuel. And the market, reaction , as you can imagine, was not so positive.

Now, in the second week of March, there will be an official position of the European Authorities and we will see. But at the moment, investments in the ICE as well as EV have slowed significantly . This is the reason why we are not acquiring much business right now . This is unfortunately a market stagnation. On top of this, even if you see the registration that is growing compared to the previous year .

The previous quarter we closed with 4% of increase compared to the previous year in Europe and the year to date is more or less 3%. You have to consider also that the mix of these registrations are completely different compared to the past. To give you an idea, in the Calendar Year 2025, we have had an increase of import of 200,000 cars from China and from the rest of the world. And we lost 200,000 cars of production in terms of export. And so it means 4% reduction, if I consider 10 million vehicles per year. The situation in Europe is very difficult in this moment. But despite the situation, we have been able to close 4.2% without considering the acquisition of Stöferle and without considering tooling sales . But, we are optimistic even if the situation is very tough.

Pramod Amte : Sure. Thanks for the detailed answer. And related to the same, again, looking at the M&As which you have done and turnaround in Maxwell and also the German acquisition going smooth, how are you approaching, are you more confident now to do larger size deals or how is your M&A strategy going to plan out for next 3-4 years?

Anurag Jain : See, firstly the M&A strategy will be mainly in our existing areas - like we have done, for example in the solar business. It is suspension for non-auto applications. It could be castings in non- automotive. Our strategy will be in those segments where the margins are much higher with good target markets. It is very important that we enter new areas where there is a target market. We are already working on a deal right now and we will see how that goes. So, we are always looking for the M&A opportunities, but of course, we will be aggressively going ahead with it, but we will only do it if it makes sense to our business, I just gave you these examples. What's definitely high on our minds is not only automotive but also non-automotive applications, which will be partly in our products like suspension or casting, or it could be something else.

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Moderator : Thank you. The next question is on the line of Rajit Aggarwal from Nilgiri Investment Managers. Please go ahead.

Rajit Aggarwal : Good morning, Sir. Just a quick clarification on the CAPEX plans. There are two new CAPEX which have been mentioned in the slide. One is the Sanand expansion and there is another one of Aluminium Forging at AURIC, Bidkin. And both are going to be commissioned in Q1 and

Q2. So what is the total CAPEX on these two expansions?

Anurang Jain : We do not have the figures right now , and we do not want to give you a figure which is lower or higher. But these are not high CAPEX . These will be both below ₹ 50 crores each.

Rajit Aggarwal : Just following up from a previous participant's question on the order wins in Europe and congratulations for being able to sustain the growth despite the environment being so hard. But going forward, let us say , 1 year or 2 years, if there is inorganic expansion, do you see the growth rate coming down or do you see a chance of de -growth in Europe business?

Anurang Jain : We do not like to think on those lines. We only think of positive growth. Of course, we have to see the downside. But there have been many downsides since 2008 also, as you know, the global financial crisis. We have faced it, we have grown. So we will find our solutions. Because we believe in Endurance to find solutions, being positive and going this thing ahead. Because if you think in those lines, then you won't ever grow. You know what I am saying. So our thinking is a very, because we have faced some very tough times since 2008. So when we reach there, we will face it and we will do something about it.

Moderator : Thank you. The next question is from the line of Mihir from Equirous. Please go ahead.

Mihir : On slide 8, you mention that the total business wins prior to FY 2

6 in Stöferle is not included.

So, what would be that quantum?

Massimo Venuti : Stöferle acquisition was completed only in April 2025. Prior to our acquisition, the total turnover of Stöferle is € 75-80 million in the total financial year. In this financial year, we acquired € 5 million with the end -customer BMW. Please note that, Stöferle has volumes secured till 2030 -2032. So , I don't see any kind of issue and the company is really profitable.

Now, we have integrated Stöferle fully in the Company and we are trying to do a lot of economical scale because as you know, Stöferle is buying raw parts from the market, but we have the opportunity also to produce raw parts for them in our foundry. And this is the second step of the integration that we start in the next financial year.

Mihir : And the second question on the Europe front is that there are many Chinese OEMs now are putting up plants in Europe now. So how are we engaging with those customers there and some kind of thoughts on approaching the Chinese OEMs now?

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Massimo Venuti : Yes, this is true. We are discussing with some of these OEMs, but I repeat, in my opinion, we need to wait for a clear position from the European government, because these companies are coming and opening new plants, but only for assembly of the car. So we need to understand whether they will import components like the powertrain components and battery case components and assemble them here, or whether, to reduce tariffs, they will be obliged to produce here . As you know, we are discussing with BYD . They are expected to start at the end of this financial year in Hungary and in the next financial year in Turkey, but only for assembling the car . So, there are no benefits for our product range at the moment . If they are obliged to produce parts here in Europe, it could be an opportunity for us.

Regarding the previous question on the agreement between India and Europe , this could be, from my point of view, a big opportunity for Endurance Group, because as you can imagine, at the moment, we are facing strong competition from the Chinese suppliers. Considering the cost structure of our competitors here in Europe, using our production capacity in Europe and in India and taking benefit of the new trade agreements , is a positive for us and an opportunity in front of our customers. Our industrial footprint in India is a big opportunity, not just for the continuous growth of four wheelers in India, but also for Europe.

Anurang Jain: I just wanted to clear one point to everybody on the call. When I talked about ABS and the Brake Systems pricing, I had considered some other items and I took mainly for bikes of higher cc. So I think the pricing would be quite similar because there would be no Stainless Steel Braided Hoses and some other items which are there in the higher end bikes. So I would say the prices of the Brake System would be similar in some cases or even slightly lower. So I just want to clear my statement where I said earlier that they would be higher than ABS, the Master Cylinder , Caliper and the Brake Disc. So please make a note of that. It may be same or a bit lower.

Moderator : Thank you very much. As there are no further questions from the participants, I now hand the conference over to the management for the closing comments.

Anurang Jain : I will just say that we at Endurance, both in India and Europe, are fully focused on profit growth and trying to improve both sales growth as well as our margins. So, we will continue to focus on that , in spite of challenging conditions in Europe mainly . But we will try and take whatever opportunities we get and make the best out of them. So, thank you for all your support and see you in the next call .

Moderator : Thank you very much .

## Call: May 2026

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22nd May, 2026  
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BSE Code: 540153 National Stock Exchange of India Ltd.,  
Exchange Plaza,  
Bandra -Kurla Complex, Bandra (E),  
Mumbai - 400051

NSE Code: ENDURANCE  
Sub.: Transcript of Conference Call held in respect of the Company's Q 4 FY26  
financial results.  
Ref.:

1. Regulation 30 and Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations")
2. Intimation of the Conference Call dated 8th May, 2026

Dear Sir / Madam,

In continuation of the referred intimation and Listing Regulations, please find enclosed the transcript of the conference call held on 15th May, 2026 in respect of the Company's Q 4 FY26 financial results.

The transcript has been hosted on the Company's website at:  
<https://www.endurancegroup.com/wp-content/uploads/2026/05/Transcript-of-Earnings-Conference-Call-on-15-05-2026.pdf>

We request you to take the above information on record.

Thanking you,

Yours faithfully,  
For Endurance Technologies Limited

Raja Gopal Sastry R S  
Group Chief Financial Officer

Encl.as above  
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Endurance Technologies Limited Q4 FY 26 Earnings  
Conference Call "  
May 15, 2026

MANAGEMENT : MR. ANURANG JAIN – MANAGING DIRECTOR ,

ENDURANCE TECHNOLOGIES LIMITED  
MR. RAJENDRA ABHANGE – DIRECTOR & CHIEF  
OPERATING OFFICER , ENDURANCE TECHNOLOGIES  
LIMITED

MR. MASSIMO VENUTI – DIRECTOR & CHIEF  
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MODERATOR : MR. NISHIT JALAN – AXIS CAPITAL LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Endurance Technologies Q4 FY 26 Earnings Conference Call hosted by Axis Capital. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nishit J alan from Axis Capital. Thank you and over to you, sir.

Nishit Jalan : Thank you, Yusuf. Good morning everyone. Welcome to Q4 FY 26 post results conference call of Endurance Technologies. We are pleased to host the senior management of Endurance today.

We have with us Mr. Anurang Jain, Managing Director; Mr. Massimo Venuti, Director and CEO, Endurance Overseas; Mr. Rajendra Abhange, Director and COO; Mr. Raja Gopal Sastry, Group CFO; and Mr. Raj Mundra, Treasurer and Head Investor Relations.

I'll now hand over the call to Mr. Anurang Jain for his opening remarks, post which we can start with the Q&A. Over to you, Mr. Jain.

Anurang Jain: Thank you, and good morning to everyone. As we close Q4 of FY 26 and reflect on the full financial year, the global environment has become more complex. The escalation of conflict in the Middle East and disruptions in key shipping routes have led to volatility in energy, logistics, and supply chains, with implications for input costs and availability of raw materials and energy sources.

On the domestic front, India's economic performance has remained strong through FY 26 , supported by steady consumption and investment activity. The GST rate rationalization implemented in September 2025 continued to support demand across the automotive sector in the second half of the year. Inflation remained within the RBI's tolerance band through most of the year.

The RBI lowered the repo rate by a cumulative 125 basis points during FY 26 to 5.25%, and in April 2026 kept the rates unchanged. India's trade engagements also progressed during the year. Free trade agreements were signed with the UK and the European Union, and an interim arrangement was entered into with USA. These measures are expected to improve market access over time.

In the Indian automotive sector, as per SIAM, 2W sales reached 7.2 million units in Q4 of FY 26, up 25.4% year -on-year, with motorcycles at 19.8% growth and scooters at 37.1% growth. The 2W EV scooters grew 53.9% from 220,000 units to 339,000 units in Q4 FY 26. Passenger vehicle sales increased by 14.4% to 1.6 million units, while 3W sales rose 32.2% to 0.3 million units.

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While end users look for more options, OEMs have targeted higher market share by way of product launches and pricing actions, even as the transition towards electric vehicles continues.

In the European Union, new car sales saw a year -on-year rise of 4% in Q4 FY 26, with Italy and Spain recording high single percentage growth, while France recorded a degrowth. In Q4 FY 26 new car volumes in Europe, there was a 19.4% share of battery electric vehicles, 9.5% share of plug-in hybrids, and 38.6% share of hybrids. So roughly two out of every three vehicles being sold in the European Union are either electric or hybrid.

In Europe, the operating environment was perhaps even more challenging, with a sharp increase

in energy costs, uncertainty around policies regarding electrification and localization, and rising presence of Chinese OEMs. In the current geopolitical and economic environment arising out of the Middle East situation, efficient management of operations required closer coordination across the supply chain, continuous monitoring of availability and cost of the raw

materials, and

regular interactions with customers to update them on input cost increases, including gas and oil.

Having spoken about the macro environment, I will now take you through key updates at Endurance.

1. As you are aware, a draft guideline was issued by the Government in June 2025, to extend ABS requirements to lower engine capacity vehicles. In line with this guideline, we had announced the expansion of our ABS capacity, adding 12 lakh units to our existing 6.4 lakh units per annum.

Work has commenced on this expansion of 12 lakh units per annum, with SOP expected in September 2026. This project is being implemented irrespective of the final regulations, as increasing customer preference for safety will continue to drive adoption.

Instead of ABS, if the industry transitions towards hydraulic CBS, there would be increase in our addressable market of hydraulic braking systems comprising master cylinders, calipers, and brake discs.

For our dual-channel ABS, SOP will start in June 2026 for Bajaj Auto, with a sale of 120,000 units per annum, and another program of 120,000 units is scheduled to start in Q2 FY 27. We are enhancing our product offering with the integration of new features such as traction control for improved stability in select applications, in line with evolving OEM requirements in the premium segment of 160cc to 250cc motorcycles.

From a backward integration and profit margin perspective, we have started in-house SOP of the electronic control units for single-channel ABS. The dual-channel ECU will start from dual-channel ABS SOP in June 2026. This will help strengthen the Endurance Technologies Limited

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'value add' in the ABS braking business.

2. At our new Chennai site for disc brake assemblies, the civil construction is at a fairly advanced stage. This new brakes plant will be in close proximity to certain important OEM customers. In the first phase, we are transferring most of the assembly and machining equipment from our Waluj plant. From this plant, SOP for Royal Enfield is planned in July 2026, and for other OEMs from Q3 of this financial year. This will help better service the South-based OEM customers and also lower our freight costs.

The Chennai plant will have a capacity of 3 million disc brake assemblies per annum and 4 million discs per annum, which is part of our total 7.6 million disc brake assemblies and 8.6 million brake discs per annum planned at Endurance.

3. Our integrated R&D facility for brakes at Waluj, Chhatrapati Sambhaji nagar is fully operational. The facility enhances our capabilities across 2W brakes and ABS, while also supporting 4W brake assemblies with strengthened in-house testing and validation.

4. We also established our assembly line for 4W passenger vehicle drum brakes for Tata Motors. Samples have been submitted and are currently undergoing testing at the OEM end, with SOP expected in Q2 of this year. We are also progressing with the planned increase in our 3W brake assembly volumes, which will double from 0.6 million to 1.2 million units per annum by end of this year.

5. In view of our plans to manufacture electronic control units for ABS and with higher volumes of Battery Management System needs indicated by our OEM customers, we have ordered a new Surface Mounted Technology line at Sambhaji Nagar plant, which is expected to be installed in June 2026.

6. For our AURIC Shendra plant, we continue to win new business. Cumulative orders will translate into peak annual business potential of ₹513 crores. These orders are from

a large US EV OEM for automotive as well as non -auto applications, from Jaguar Land Rover, as well as from Yazaki and Valeo for electric platforms of Mahindra and Tata Motors. SOP for key programs is expected to be staggered between Q1 and Q3 of this financial year, with peak sales by FY 29. This plan

t has new OEM clients with highly sophisticated aluminium casting machines and surface treatment process and equipment.

7. In parallel, we are building depth across our existing casting operations. At our Chennai plant, we have secured orders for hybrid models of Isuzu, with SOP expected by Q4 of this year. Various orders won from Hyundai and Kia will have SOP in Q4 of

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this financial year and in Q1 of FY 28. For this expansion, a new 1,600 -ton die casting machine has been planned. The presence of multiple global OEMs in this region enables deeper engagement, and we are in active discussions with new OEM players for which the plant is undergoing audits and evaluations. At our Vallam plant, also in Tamil Nadu, we are seeing ramp up in die-casting volumes from Ather Energy. At our Chakan, Pune die -casting plant, we are expanding our business for machined aluminium castings across existing and new programs of Tata Motors and Mahindra. We are seeing strong traction at this plant, with demand from these OEMs increasing by approximately 35% to 40% in this year.

8. At our AURIC, Bidkin alloy wheel plant, the focus during the quarter has been on being ready and ramp up across multiple programs. We have completed key customer validations. In January 2026, we crossed 100,000 wheel sales, marking an important milestone.

In addition to Bajaj, Royal Enfield, TVS, and Yamaha, we would be also now serving new OEM customers such as Honda Motors and Scooters India, Ather, Suzuki, and Piaggio, from our alloy wheel plants both in Chakan and AURIC, Bidkin. The total capacity in these plants is now 48 lakh wheel sets of front and rear wheels per annum.

9. During Q4, our battery pack manufacturing program near Pune progressed into the final validation phase. Comprehensive regulatory compliance testing at the certification agency was successfully completed for the battery pack. During this phase, key improvement points identified through customer reviews were systematically addressed, leading to further enhancement of product performance, technical robustness, and overall product maturity.

In parallel, significant progress was made towards infrastructure and SOP ramp up planning, to support the upcoming SOP. Manufacturing process was further stabilized, and preparations for manpower and supply chain were aligned with the planned SOP timelines.

Going forward, with regulatory approvals and customer validations nearing completion, we are planning to start the SOP in week four of this month.

While our first product is for the 2W EV, we will continue to leverage this capability to pursue opportunities across 2W, 3W, and other high potential segments.

In FY 26, our wholly -owned subsidiary Maxwell achieved a record turnover of ₹162 crores as against ₹70 crores in FY 25. We have supplied 350,000 BMS' for scooters, 3W, tractors, e-bikes, and construction equipment in FY 26. Beyond our current portfolio of battery management systems, motor controller units, and telematics units, we have also won our first order for a DC -DC converter, which will see SOP next month in June 2026.

We are also focusing on a range of high voltage BMS' for 4W, commercial trucks, and buses, and are in close engagement with a key commercial vehicle OEM. In the beginning of FY 27, Maxwell achieved SOP with another leading 2W OEM for

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motorcycle BMS. The program has a peak annual business potential of approximately ₹15 crores.

At Maxwell, we have won ₹56 crores of new business in FY 26, which has taken the



total cumulative orders won to ₹247 crores per annum, which will peak in Q 2 of the next financial year. Further, we have a strong pipeline of RFQs of more than ₹ 300 crores for trucks and 2W .

10. We continue to see strong traction in our suspension bu

ness, particularly in inverted front forks and mono shocks, with growing adoption across OEMs and a steady expansion of our customer base. With increasing OEM offtake , we are adding assembly lines which will take our monthly sales of inverted front forks from 60,000 units to 75,000 units per month, by June 2026 and to 100,000 units per month by the end of FY 27. This is a huge increase.

In oil and gas filled mono shocks, demand is also increasing with platform transitions from twin -shocks oil and gas filled shockers to mono shocks in the 150cc to above bikes.

11. Our aluminium forging business continues to scale in view of higher captive consumption due to growth in our inverted front fork business and our aluminium forging component product supplies to Royal Enfield, Jaguar Land Rover, and a leading German OEM.

We are progressing with the addition of a fifth aluminium forging press. All our presses will be set up in a new forging plant at Chhatrapati Sambhajnagar, which will start SOP in Q 3 of this financial year. On the business front, execution is underway across key programs. Supplies to Royal Enfield will begin in June 2026, while supplies to Jaguar Land Rover are scheduled for August 2026.

For the leading German OEM, samples have been submitted and the SOP is expected towards the end of this financial year. These programs will support expansion of our customer base in the aluminium forging business.

12. In the non-automotive segment, the solar damper business continues to remain steady. We have won business of solar dampers from a Spanish client and one business for solar dampers and solar actuators from a US client . The total business won is ₹118 crores for solar dampers , and ₹227 crores for solar actuators, totalling ₹345 crores of business. The solar actuator business will start from H 2 of this financial year from a new building at our Sanand plant in Gujarat.

13. In the transmission segment, we had expanded our presence with the introduction of the assist and slip clutch assemblies for Kawasaki in Q 3 FY 26 and for Royal Enfield Endurance Technologies Limited  
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in Q4 FY 26, introducing our Italian subsidiary Adler's technology into the Indian market. The SOP for Bajaj Auto is expected in Q 2 of this financial year.

14. In our 4W driveshaft program, we have installed the assembly line and completed internal validations. The SOP for Tata Motors will start next month in June 2026.

For 3W driveshaft, we have won business from Bajaj, Mahindra, TVS, and Eka Motors.

With the above, the driveshaft business will cross ₹ 100 crores in this financial year.

15. A key focus area of our FY 27 capex budget is automation. We are undertaking these targeted investments across existing plants to enhance quality, improve consistency, and drive operating efficiency. Our India capex in FY 26 was approximately ₹ 800 crores compared to ₹ 600 crores in the previous year, and was driven by new plants and investments in new growth areas. We expect capital expenditure in FY 27 to remain similar to FY 26.

16. Under the Maharashtra Package Scheme of Incentives 2019 scheme, we had received an addendum taking our incentive up from ₹ 600 crores to ₹ 858 crores. These incentives will be availed through the Industrial Promotion Subsidy by way of a state GST refund, broadly over a seven-year period. We are uniquely placed to avail more incentives with several of our plants

located in Chhatrapati Sambhajinagar and serving OEM customers within the state of Maharashtra.

17. Let me now give you a gist of orders won during FY 26 . Please note that the business value for new orders is without including new orders from Bajaj Auto.

The overall order win in FY 26 in India business was ■ 1,596 crores, of which ■ 1,579 crores is new business, so it's largely new business. This includes the business win of ■ 300 cror

es per

annum for battery packs at our Talegaon Pune plant and ■ 56 crores per annum of new business wins at Maxwell.

Our 4W and non-automotive business win in FY 26 stands at ■743 crores, which is almost half of the total order intake. These wins include orders from Tata Motors, a large USA 4W EV OEM, Hyundai, Kia, Isuzu, Mahindra, Graziano, and the two clients in the non-auto solar space. During Q4 FY 26, we won ■ 316 crores of new business, of which ■ 227 crores was in the 4W and non-automotive space. These customers included Tata Motors, Mahindra, the large US EV OEM for 4W castings, Ather Energy and Greaves for 2W brakes, and Royal Enfield and Piaggio for 2W alloy wheels, and the two clients in the solar space for dampers and actuators.

Cumulative India business wins for electric vehicles in the conventional product areas stand at ■1,185 crores without considering Bajaj Auto wins. This reaches ■1,368 crores per annum of Endurance Technologies Limited

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orders if we include the Bajaj Auto EV business. The total electric vehicle business win is ■ 1,724 crores per annum if we add Maxwell and the battery pack business.

The overall total orders won now in products other than Maxwell and battery pack orders since FY 22 stands at ■5,323 crores, out of which ■4,593 crores is new business, and this will peak by FY 29.

In Europe, the industry continues to operate in a challenging environment, shaped by the Middle East crisis, high energy costs and interest rates, duties imposed by USA, increased competition from Chinese OEMs, and muted automotive market growth. In spite of this backdrop, our European operations have continued to sustain profitable growth through both the existing business as well as through M&A. Our acquisition of Stöferle was completed in April 2025.

In our Europe business, we have booked orders worth €15.80 million in FY 26. This includes large machine casting orders from Volkswagen and Porsche and certain plastic injection molding parts for EVs.

18. Aftermarket business in India is a strategic priority for us. We have set ambitious growth goals till 2030. We have prepared a comprehensive long-term capability focused blueprint incorporating the voice of our team, our channel partners, retailers, and mechanics.

We are focusing on building long-term partnerships with distributors who have the right mindset and are aligned to Endurance's vision. In addition, we are driving secondary demand generation with retailers and mechanics for the domestic business. We have launched a mechanic loyalty program, conducting trainings with certifications on BS4 to BS6, trainings on EVs as well as product fitment, organizing health camps, and providing scholarships to children of our top mechanics. We are the first in the industry to deploy AI-enabled tech platform to drive secondary order maximization.

We have understood the voice of our stakeholders in each country we are present in and have created a unique value proposition. Our customized offerings provide us a competitive edge in each geography.

Our teams are based locally in each continent to be in close proximity of our key stakeholders and to build capabilities to meet the changing requirements. We are also driving a holistic program to build capability of our aftermarket sales team and to empower them with the right tools and skills to become strong business leaders.

Coming to our financial performance, the information has been uploaded at the stock exchanges last evening along with our presentation explaining the numbers. I will however highlight some key numbers.

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During the full year FY 26, the company recorded a standalone total income of ■ 10,696 crores, a year-on-year growth of 20 % from ■8,913 crores in the previous year. EBITDA grew 11 % from ■1,218 crores to ■1,351 crores

with a margin of 12.6%. The PAT grew 8.1% from ₹ 679 crores to ₹734 crores. The PAT was at 6.9%.

In the full year FY 26, our consolidated total income grew 26.1% over last year, from ₹ 11,678 crores to ₹14,720 crores. The EBITDA grew 25.3% from ₹ 1,668 crores to ₹ 2,090 crores and our margin was at 14.2%. The consolidated PAT after the impact of the new labour codes in India and on the Indian operations grew 13.8% from ₹ 836 crores to ₹ 952 crores, at a 6.5% PAT margin.

During Q4 of FY 26, the company recorded a standalone total income of ₹ 2,975 crores, a YoY growth of 31.1% from ₹ 2,269 crores in the previous year. EBITDA grew 13.7% from ₹ 326 crores to ₹ 371 crores with a margin of 12.5%. The PAT grew 20.5% from ₹174 crores to ₹210 crores. The PAT was at 7.1%.

In Q4 FY 26, our consolidated total income grew 37.3% over Q4 of the previous year from ₹2,998 crores to ₹ 4,116 crores. The EBITDA grew 30.8% from ₹457 crores to ₹ 598 crores. Our margin was at 14.5%. The consolidated PAT after the impact of the new labour codes on the Indian operations grew 12.8% from ₹245 crores to ₹276 crores at 6.7% PAT margin.

19. The company's growth during the year was supported by a continuous focus on strengthening talent, capability, and organizational depth. Through hiring for key positions, succession planning, job rotation, we are building a future-ready talent pipeline. We accelerated capability building across technical, managerial, and behavioural domains, with a focus emphasis on shop floor and mid-level management to improve execution and productivity. We also strengthened our performance management framework through sharper KPI alignment, enabling closer linkage between individual contribution and the organizational priorities. Continued investments in employee engagement and well-being supported improved retention, including lowering in white-collar attrition. Progress on gender diversity remained steady with increasing representation across roles and a continued focus on building an inclusive workplace. In parallel, we worked on adoption of technology-enabled learning platforms, enhancing organizational agility, people analytics, and overall employee experience.

20. On the sustainability front, we continue to make progress during the year in line with our long-term goals. We had committed to the Science Based Targets initiative (SBTi), aligning our decarbonization roadmap with globally accepted standards. We have achieved a carbon neutral percentage of 51.67%, supported by a renewable energy share of 28.22%. We continue to improve resource efficiency across operations. We lowered specific electric and thermal energy as well as specific water consumption, while hazardous waste recycling stood at 98% during the year. 14 of our plants have achieved zero waste to landfill status with third-party certifications.

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Three of our plants, the K-120 Waluj suspension plant, the K 226/2 Waluj disc brake plant, and the Pantnagar plant, have received the prestigious CII GreenCo Gold ratings.

This is reflected in the improvement in our ESG ratings during the year. NSE has assigned us a score of 69, up from 64 earlier. SES has rated us at 74.9 up from 70.4 and CRISIL has revised our score from 56 to 59.

21. Our CSR work also continues to focus on improving quality of life across the communities we engage with, with sustained progress during the year across education, livelihoods, healthcare, and environmental interventions.

During FY 26, our healthcare work supported more than 5,000 beneficiaries through medical camps and mobile healthcare vans, while our mobile veterinary services treated over 8,000 animals.

Over 2,000 individuals benefited from education and skill development work, including school infrastructure upgrade and vocational programs. We also provided bicycles to 105

students to

improve access to education and trained over 300 youth through ECOVE, our vocational training centre in Chhatrapati Sambhaji Nagar. More than 700 farmers were supported through training and agriculture inputs, contributing to improved productivity and income opportunities.

Our environmental efforts included planting over 4 lakh trees, leading to two dense forests across 37 acres. We also provided 100% rooftop solar system to two villages in Chhatrapati Sambhaji Nagar. Basic infrastructure across villages was strengthened through water management and sanitation interventions, including construction of household toilets and soak pits.

In response to the floods in the Marathwada region, we have also supported over 600 families with essential supplies and assisted farmers with seeds to help restore their livelihoods.

22. During the year, the company continued to win recognition from customers and industry forums for quality, performance, and operational excellence. Key recognitions include the Quality Excellence Award from Tata Motors and recognition

as a top supplier at the Stellantis Global Supplier Conference.

Our K120 suspension plant and the driveline plant at Chhatrapati Sambhaji Nagar were also

recognized at the Frost & Sullivan India Manufacturing Excellence Awards. In March 2026, we won an award for Quality Assurance and Support (QASS) from Honda Motorcycles and Scooters India Private Limited at their annual supplier convention, and in April 2026 this year, we won the award for the best delivery at the Suzuki Annual Supplier Convention. With these opening remarks, I would now like to invite questions from all of you. Thank you.

Moderator: First question is from the line of Mumuksh Mandlesha from Anand Rath Institutional Equities.

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Mumuksh Mandlesha: Thank you sir for the opportunity and congrats on strong results. Sir, we have seen a notable growth of 30% Y-o-Y and also up 13% Q-o-Q on the consolidated revenue. I just want to check any one-time impact on the revenues in both standalone and Europe? Something like price hike which impacted the numbers?

Anurag Jain: Standalone revenue was driven by factors including commodity inflation. If I see the whole year, the raw material increased by ₹160 crores, which is in absolute terms 1.5% RMC increase. So if you see our RMC percentage went up from 65.3% to 66.82%. ₹73.70 crores out of this was for aluminium alloy and steel increase, which is a non-value add increase. We don't make any money on this increase in topline.

On the RMC front, we also had ₹31.3 crores from outsourcing cost due to large, unexpected increase in volumes post GST guidelines. But with the 10% lowering of GST, the volumes really went and we did not have enough capacity in-house. For example, for products we do in-house like bottom cases for our front fork, we had to outsource them at higher prices.

Due to the continuous inflationary trend in the commodity prices, RMC costs were higher due to cost increases yet to be passed on, as pass-on is with a lag of a quarter for some customers.

In Q4 of last year, there were one-time gains totalling about ₹25 crores. There were conversion cost increases as well as price correction by some of the OEMs, which did not happen in FY 26.

₹9.5 crores were corrections due to decrease in price due to some adjustments in components like springs. And ₹5.2 crores was the impact of the new plant at AURIC Bidkin, which is for 2W alloy wheels.

If I just take the ₹73.7 crores impact of alloy and steel, which is completely a non-value add, if you see the numbers from that angle, our EBITDA margin instead of 12.6% should have been 13.3%.

Mumuksh Mandlesha: So in a way, sir, this RMC ₹73.7 crores -- also on the top line, it would have impacted that much percentage?

Anurag Jain: Absolutely. So if

you take that out and you take our margin divided by net of that for the year, then the margin would look at 13.3% instead of 12.6%.

Mumuksh Mandlesha: Got it, sir. Sir, also I was checking on the PPTs, electricity gas cost in Europe has gone up. Do you see any further increase on it and also how is the pass-through happening?

Anurag Jain: In India, the government has increased petrol and diesel prices this morning as well - also LPG has seen price rise. Of course, this will impact us. We are in touch with all our customers for these conversion cost increases. Conversion cost increase is not very easy to get from customers.

But we are doing our best because these increases are quite high.

Fuel prices have already gone up by 50%. So this is something on which we are engaging with every OEM. As far as the aluminium alloy is concerned, where we have been largely affected also since March '26 - apart from shortages there have been large increases in the cost in March

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as well as April. We are engaged with the OEMs. Many OEMs have already confirmed the rates, some have given the emails or PO amendments, some are still awaited. It's a challenge when you ask for such large increases from customers. It's not that easy, so it's WIP. But we are quite confident that our customers would be fair and we would get these increases.

On the conversion cost also, we'll put our full efforts. These are very abnormal increases and we are assertively pursuing all the OEMs to give these increases to us.

Mumuksh Mandlesha: And sir, on the Europe side?

Massimo Venuti: Okay, so to answer the first question regarding the turnover of Europe. In the quarter, the European company closed with €106.9 million turnover compared to €80 million of the previous financial year, with a growth of 33.6% in terms of turnover. Speaking about the total financial year, Europe closed with €391.7 million compared to €303.9 million of the previous financial year. Please consider that the company grew 28.9% total financial year and also grew without considering the acquisition of Stöferle.

The market, as Mr. Jain told you, closed with 4% of new car registration increase compared to

the previous year in Q 4 and 3% total year. Without considering the imports of cars, the market was more or less stable. And so, also in this financial year, Endurance Overseas outperformed in terms of turnover compared to the previous financial year.

Speaking about energy, for sure we have had an increase in the last 2 months due to the war in Iran, but the situation was bad in the previous year as well due to the war in Ukraine.

So, everyday we face this kind of problem. But despite the increase of energy cost in the previous quarter in Europe, due to the important increase of volume, we have been able to optimize EBITDA and we closed with € 21.9 million, so it means 20.5% margin in the quarter and with an increase of 49.1% compared to the previous year. This was the best quarter of Endurance Overseas in the history.

And speaking about the full year, we closed with € 72.4 million of EBITDA, it means 18.5% margin with an increase of 41.7% compared to the previous year. So we are performing very well, despite the challenging environment.

Mumuksh Mandlesha: So Massimo sir, you are able to manage the energy cost through the growth and also some pass-through, right?

Massimo Venuti: Yes, we are managing the situation and we are discussing with the customer for the future months. For sure if the situation continues like this, we have to ask for their support, like in the past. If I compare the energy cost of the previous quarter compared to the previous financial year, there was an increase of just 5%. We are managing the situation more in the gas compared to the energy. The big increase was in the month of March. April is in

this moment more or less under control.

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Mumuksh Mandlesha: In this quarter, we have done a very good margin, more than 20%. Anything to call out, what drove - is it more for revenue growth?

Massimo Venuti: I explained to you why the margin was positive in Europe, because usually we try to do an analysis of the turnover compared to the registration. But in this case, it's important to analyze the volume compared to the production. It means that in the previous quarter as compared to Q3, the production of cars in Europe was higher by approximately 6%.

It means that even if the registrations are 2% higher compared to the previous quarter, the production was up 5.7%. And this is the reason why in the European market we grew 15% compared to the previous quarter. And this is the reason why we increased the EBITDA in an important way, because with stable fixed cost, this is the demonstration that if in Europe we have volume, we can make a lot of money with good profitability.

Mumuksh Mandlesha: On the ABS side, if you can indicate what kind of revenues we are doing currently. And with the dual-channel SOP starting, how should one see the revenue for next year?

Anurag Jain: In FY '26 we did about 280,000 ABSes, which were single-channel. This year we are doubling, but we feel this figure will go up also, looking at the line of sight and looking at the dual-channel which we are starting from July.

So I think the growth can be 100% to 150% compared to last year. Of course, we went ahead with the 12 lakh ABS line looking at the draft guidelines. But we believe and the sense which we are getting from most of the OEM customers, many of them will anyway go ahead and implement the ABSes.

This 12 lakh per annum line will not be fully used, but our plan is to see how fast we can fill up the capacity on this line. That's our focus with single-channel and dual-channel. I can't give the value, I'm giving you the numbers.

Aditya Jhavar: If you can just talk us through the four greenfield facilities, what are the timelines of them coming on stream? And when is the export to US EV OEM and JLR expected to start? And a related question to this is that in terms of our 4W revenue, it was about 6% in FY 26. How should we see this number in the next 2 to 3 years given the order book is about 60% share of 4W in FY 26?

Anurag Jain: As far as the 4W business is concerned, this is both for aluminium castings, which includes our plant at Shendra, which also includes Hyundai, Kia, Isuzu in South India, as well as Tata Motors and Mahindra at our Chakan plant in Pune, which is growing, as I said between 37% to 41%.

As far as proprietary is concerned, I said the Foundation Brakes for Tata Motors is starting in June, the driveshaft business is starting in Q2, that's also for Tata Motors. The non-auto is mainly solar damper and actuator business.

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The solar damper I said we have ₹ 118 crores of orders, and for the actuators ₹ 240 crores. That will start in H2 of the next year. For AURIC Shendra we won ₹ 500 crores of business, but this

is not all we won last year.

Aditya Jhavar: When we look at our 4W contribution it's about 6% . Putting all the things into perspective, how that 6 % will look like in 3 years down the line?

Anurag Jain: Our plan is to reach 10% soon , but the question in the 10% is because it may look as a lower number, but the sales in 2W are also growing. If you see the sales growth which we have planned in the next 3 to 5 years is very large.

Definitely you will see with the AURIC Shendra, with Tata Mahindra, with our plants in Chennai and Vallam, and the proprietary business, you will see a very good traction towards the 4W percentage. That's for sure.

Aditya Jhavar: That's very good to know. T

he timing of the four greenfield facilities and the start of commercial production for US EV OEM and JLR?

Anurag Jain: As far as the AURIC Bidkin facility for 2 W alloy wheel is concerned, it started in October 2025, it is already operational. I think it will reach peak sales by end of Q 3 or beginning of Q 4 of this financial year. And when I say sales, I think is around ₹600 crores per annum is what we are looking at, because there are many platforms of Suzuki, and Ather, which will be coming till then. Right now we have started only with Bajaj Auto. So this is one plant which we have started in AURIC Bidkin.

The second plant is the AURIC Shendra plant, where we have won business from this US EV 4W OEM, for which the SOP is in June 2026. And for JLR it is between July -August of 2026.

And we have other businesses of Valeo and Yazaki.

We are planning to cross ₹200 crores this year from AURIC Shendra plant. It's a profitable business .

Now coming to the third plant , the battery pack plant, where we have got an order from a 2 W EV OEM. That plant is starting from the last week of this month. This is an order which is approximately, as I've said ₹300 crores but I think could go to ₹350- ₹360 crores per annum. And of course , this order will go up to ₹600 crores per annum by next financial year based on the outlook of the customer.

The Chennai plant, for brakes which will cater to the South Indian customers like TVS and Royal Enfield , we are starting in July for Royal Enfield is in July and the balance customers will be in the in Q3 .

Aditya Jhavar: From a standalone margin perspective, we understand that FY 26 had few headwinds like the startup cost of the new plant that you talked about, the consultant charges that you had mentioned in the previous calls. Are these largely behind and FY 27 should we see a much more normalized margin trajectory?

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Anurag Jain: Well, I would say that Q1 will still be a bit volatile because as the war goes on, the prices are not going down, whether it's oil, whether it's gas, whether it's alloy. They continue to rise. So we will see a bit of volatility. I'm not at all concerned about the growth, but I'm definitely concerned about these cost increases in raw material and gas and oil and to be able to pass those on to our customers, which I said earlier that we have been very, very assertive on that.

And I hope this war ends by next month at least and then I think once the war ends, it will take some time to normalize, but I see much better numbers from Q 2. But that doesn't take away the fact that we are focusing on profit improvement. So those actions are already on.

Moderator: Thank you. Next question is from the line of Arvind Sharma from Citigroup. Please go ahead.

Arvind Sharma: First on the domestic business, as you highlighted energy cost and gas availability, what is the situation right now in terms of both availability and the cost of the gas and will it impact the first quarter FY 27 numbers?

Anurag Jain: See, today I think our dependence on gas has gone down because when the gas availability issue happened in March, we have switched not only our plants but even our Tier 2 supplier plants from gas to furnace oil and diesel oil. So, our dependence on gas has gone down, but of course gas for our surface treatments and all is still required. I don't think the availability is a concern as far as the industrial gases are concerned, but I think the main concern is on the cost increases and how we can pass them on to our customers. I think that's a concern which we are really speaking to our customers and working with them.

Arvind Sharma: Is there something that impacted the Maxwell margin this quarter ?

Raja Sastry: We had inventory in our books and you may have noticed that there was a recent decision, the resolution process f

or Hero Electric had failed . For the inventory pertaining to Hero Electric we have taken a provision using the appropriate accounting standards , and that's a one -time impact which is impacting the EBITDA of this quarter.

Arvind Sharma : So sir, in terms of gross margin, it's fairly okay?

Raja Sastry: Yes the gross margin is safe when we exclude the inventory provision of ₹ 6 crores.

Arvind Sharma: Right. And sir, one last question on the European front if I could ask. Very strong margins this quarter. Massimo did talk about it, but the sustainability of the margins from the current numbers and if you could enumerate the Stöferle revenue and EBITDA?

Massimo Venuti: Q4 of Stöferle was €21 million in terms of turnover, €4.9 million in terms of EBITDA and € 2.6 million in terms of net result. And speaking about year-to-date, the company closed with € 82.1 million turnover, € 17.9 million of EBITDA and €8 million of net result. And so completely aligned with our expectation, better compared to our expectation, 1 % more in terms of EBITDA.

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The company performed very well and not only from the income statement point of view but also speaking about the cash because they did more or less €20 million cash in the year. And regarding the total result of Endurance Overseas, I repeat, this quarter was the best of our history. If you ask me regarding the sustainability in the medium-long term, I can tell you that April was a good month. We don't see problems if we maintain this level of volume. If the market grows and the production grows, we are able to optimize our contribution margin and to improve our EBITDA.

For sure, energy continues to be a problem. If we compare compared to the previous year, more or less we are in the same condition, 5% - 6% more. But I remind you that if I compare with the 2021, we are paying the energy 3x, €130 per megawatt compared to € 44 and the gas € 42 compared to € 13 i.e., 3x.

Last year, there was war in Ukraine, now there is the situation in Iran. So we have to try to overcome this problem in some way, building efficiency and increasing the productivity in our process. And in the last quarter we have been able to do this.

Moderator: Thank you. Next question is from the line of Pramod Amthe from InCred Capital. Please go ahead.

Pramod Amthe: This is with regard to the aluminum casting business. You operate in Europe substantially and the way you've scaled up your profitability post the merger and also now you seem to have won good business from India for the global clients.

Would you anytime in the future look for entering into US territory for manufacturing considering the cost of energy is very high in Europe?

Anurag Jain: No, firstly let me tell you the customers who are coming to us are part of the China plus One strategy. And they want to buy from India. They don't want to buy locally, whether it's in US or in Europe. They want to bring that down.

So our focus will be to supply from India and that's why this new plant at AURIC Shendra has been set up. And our aim is to really grow the business, we have enough land there. In fact we can expand in the existing 11 acres and we can use another 24 acres of land where we want to expand.

And this is our focus, if we do a good job of supply and quality, there's a tremendous potential of growth in this business and that's how we are going about it. So we have no intention to put up any plant in US or Europe because this is not what the customers are looking at. They're looking at a best cost-base in a country like China or India and we become a part of the China plus One strategy.

Pramod Amthe: Sure, that's useful. And second, considering the wide fluctuation in the raw material cost, how do the cost escalation clauses are different for India versus European businesses if we have to

get

the nitty-gritty right?

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Anurag Jain: As far as castings is concerned in India, increases we get the same quarter. The question is the negotiation of what we pay to suppliers versus what customers sometimes think the price should be, but that is a negotiation which normally we do arrive at the right solution.

The issue happens in the proprietary products and now with Bajaj like I said with a quarter lag, which has impacted a bit of our cash flow also, is that the 3 months we get in the next 3 months. So here what we are requesting the customers are for the spot increases because the fluctuations are very high. We cannot wait for 3 months to get these increases. So that is where the work is on right now. Some have agreed, some are still to agree.

Pramod Amthe: And similar contracts work for Europe or they are different?

Massimo Venuti: Yes, in Europe it is more or less the same. As you know, we have a clear rule with our customer and we change the price quarter per quarter considering the average of the price of the previous quarter. And so it means that in our profit and loss we have an impact only if the price of aluminum continues to grow.

We try to fix the price with the same index also with our supplier. And so, in this moment is absolutely not a risk. The only problem is that, as you know, if the price of material continues to go up, only because of denominator effect, the percentage of EBITDA goes down, but in total value it continues to grow. And so no particular issue.

Moderator: Thank you. Next question is from the line of A Sriram Palaniappan from Ithought PMS. Please go ahead.

A Sriram Palaniappan: Thanks for the opportunity, sir. So, in coming years, can we expect an order book run rate similar to FY 26? And when we mention peak sales, does it mean the complete realization of sales orders, sir?

Anurag Jain: Yes, yes. When I say peak sales is a complete realization. If I say, ₹513 crores in AURIC Shendra is in FY 29, that's the peak sales. But that doesn't mean that we are not taking more orders.

I've said in the past that we have to also supply all our 2W products to all OEMs, and now with electronics included, which includes BMS and includes the battery packs also, we have to supply to all the customers, you know, which we are not doing today.

So that itself is a growth driver for us. And apart from getting more share of business, also when you look at the technology products like ABS, inverted front fork, braking systems for the high CC bikes, this is really a trigger for growth and the margins are good.

These factors which I told you is what is helping us to grow higher than industry, which we want to sustain. For example, if you see Bajaj, they grew 11.56% last year, we grew 16.10%. If you see Honda, 16.90% was our growth versus their 7.86%. For Royal Enfield we grew 32.70% versus their 23.90%. TVS, against their 21.17% we grew 29.10%.

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It's because we are entering new products, increasing share of business, and this is happening because of our strength of technology, our experience in these products, and the comfort which the customers have for us to do the investment for them and to supply these products to them. Because in most of these products we are there between 15 to 25 years brakes, suspension mainly. Castings for 35 years. So, to answer your question, that's our focus to keep growing and keep growing higher than industry.

A Sriram Palaniappan: Aren't some OEMs themselves backward integrating battery packing and even in BMS the market looks fragmented? So, what edge do we have in these segments, sir?

Anurag Jain: See, I think our edge is the technology which we have, and I think the connect with the customer, the trust we have of the customer. So even if it's a new

product, they would depend on us

compared to others. And let me tell you, in both battery pack and BMS there are very few players.

Moderator: Thank you. Next question is from the line of Raj Agrawal from Niveshaay Asset Management. Please go ahead.

Raj Agarwal: Sir, we have mentioned that we have received this ₹300 crores order on the battery pack side and we have received this from a customer. So, we also mentioned few calls back that basically this is a very different way of basically doing a wire-free battery pack. So how novel is this technology? Is anyone else doing this in India?

Rajendra Abhange: See, this has been always the impression about the investor community that what is so great in making the battery pack assemblies because everyone imports the cells and does the pack assembly. The differentiator that we bring here is that our product is highly reliable, it is produced on a fully automatic line.

The battery pack is a safety product, it has got the fire hazard situation and if the product manufacturing is not reliable, it can lead to problems in the field. So we have first of all taken care of with completely untouched production of the battery pack lines. The pack is nothing but an assembly of cells done in a battery box and then you have to connect it with the busbars. And

the design of busbars is the key to the battery design. Our design is very special, it has got couple of patents into it, that means it has a very low possibility of getting into a fire-like situation because of the heavy current densities into certain parts of the battery pack, and our products are superior in that context.

This is our know-how, this is our development, and this is our IP. So, these two parameters differentiate us from the other battery pack manufacturers who are in the country.

Raj Agarwal: Sir, did you develop this with someone and basically does OEM demand this solution?

Rajendra Abhange: This is fully in-house developed solution by our R&D team. We have a sizeable number of R&D engineers in the battery pack business which are from best of the best from the industry and this is our IP. And nobody in the industry currently can offer this kind of IP to the OEMs. The product is yet to go to the market and we will prove it once it goes to the market.

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Raj Agarwal: Are you talking to other OEMs as well?

Rajendra Abhange: Yes, we are talking to other OEMs ...

Raj Agarwal: OEMs demand this solution?

Anurang Jain : This solution is for this OEM we are supplying to. There could be different solutions being asked by different customers. So, it may or may not be the same.

Moderator: Thank you. Next question is from the line of Mihir Vora from Equirus Securities. Please go ahead.

Mihir Vora : In terms of European order book, we do see some kind of stagnation there, but there we are not, you know, including the Stöferle order book before FY 26. So, is it possible to quantify that what order book would Stöferle be having here and how we see the European revenue growth ahead?

Massimo Venuti: The total turnover in the quarter grew 33.60% compared to the previous year, but without Stöferle it was 7.40%. If I speak about the total financial year, the company grew 28.90% compared to the previous financial year and 2% without Stöferle . But please consider that this 2% total increase of turnover, but considering only the sale of parts without tooling, the increase of turnover was 6.40% compared to the previous year.

Mihir Vora: My question was on the order book front in terms of Stöferle , can you quantify that?

Massimo Venuti: The new business acquired from Stöferle in the previous financial year is more or less € 7.00 million with final customer Magna and BMW.

Raj Mundra: And when we had acquired the company, it had an annual run rate of around € 70 to €80 million.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to the management for the closing comments.

Anurang Jain: I would like to thank everybody for their time for this call. Thank you.

Moderator: Thank you very much.